

## **Fiem Inds (FIEMIND)**

*Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.*

## Call: Aug 2022

FIEM INDUSTRIES LIMITED Unit-VII: Plot No. 1915, Rail Industrial Estate, Phase-V, Sonapat-131029 Haryana (INDIA)

Tel.: +91-130-2367905/906/907/908/909/910 Fax: +91-130-2367903

E-mail: [fiemunit7@fiemindustries.com](mailto:fiemunit7@fiemindustries.com)

August 18, 2022 (Through Listing Centre)

The Manager,

Dept. of Corporate Services

BSE Limited

25th Floor, P.J. Towers, Dalal Street,

Fort, Mumbai - 400001

Dear Sir,

Sub: 01FY23 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on August 16, 2022 to discuss Operational and Financial performance of the

Company for Q1FY23. Pursuant to Regulation 46(2)(a) of the Listing Regulations, the copy of

Transcript of above Earning Call has been made available on the website of the Company

[www.fiemindustries.com](http://www.fiemindustries.com) under Investor section.

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing

Regulations, copy of the same being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

~'

Arvind K. Chauhan

Company Secretary

Encls: Na

Regd. Office: D-5, Mansarovar Garden, New Delhi-110015 (INDIA) Tel.: +91-11-25101002/03/04/05

E-mail: [info@fiemindustries.com](mailto:info@fiemindustries.com) Website: <http://www.fiemindustries.com> CIN: L36999DL 1989PLC034928

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"Fiem Industries Limited

Q1FY23 Earnings Conference Call"

August 16, 2022

Hosted by Monarch Network Capital Limited

MANAGEMENT : M R. J.K JAIN – CHAIRMAN AND MANAGING DIRECTOR

MR. RAHUL JAIN – DIRECTOR

MR. RAJESH SHARMA – DIRECTOR

MR. O.P GUPTA - CHIEF FINANCIAL OFFICER

MR. ARVIND CHAUHAN – COMPANY SECRETARY

OTHER FINANCE TEAM MEMBERS

ANALYST: MR. SAHIL SANGHVI – MONARCH NETWORK CAPITAL LIMITED

Fiem Industries Limited

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Moderator: Ladies and gentlemen, good afternoon and welcome to the Fiem Industries Limited Q1 FY'23

Earnings Conference Call, hosted by Monarch Network Capital Limited. Disclaimer: This

conference call may contain forward-looking statements about the company which are based

on beliefs, opinions and expectations of the company as on date of this call. The statements are

not the guarantees of future performance and involve risks and uncertainties that are difficult to

predict. As a reminder, all participant lines will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing '\*' then '0' on your

touchtone phone. Please note that this conference is being recorded. I now hand over the

conference to Mr. Sahil Sanghvi. Thank you and over to you, sir.

Sahil Sanghvi: Thank you, Diksha. Good afternoon, everyone. On behalf of Monarch Network Capital, I

welcome you all to the Q1 FY'23 Conference Call of Fiem Industries Limited.

We will start the call with the initial comment about the "Results" and the "Future Outlook of the Company," and then we will open the floor for "Questions and Answers."

So, without much delay, now I'll hand over the call to Mr. J.K. Jain -- Chairman and M.D. of the Company. Over to you, sir.

J.K. Jain: Thank you. Good afternoon, everyone. I welcome you all to the Q1 FY'23 Earning Call of the Fiem Industries Limited.

Joining me on today's call are Mr. Rahul Jain – Director; Mr. Rajesh Sharma – Director; Mr. O.P. Gupta, CFO; Mr. Arvind Chauhan -- Company Secretary and Other Members of the Finance Team.

The "Results" and the "Investor Presentation" has been uploaded on the stock exchange and the company website, which I'm sure you all must have gone through.

Q1 FY'23 has begun on an optimistic note. The overall macro indicators of the economy are strong with the record direct tax and GST collection. Further, forecast of the normal monsoon has an increase in grain prices should result in uplift in the rural economy. All of this is boosting consumer confidence and income, which should help two-wheeler industries to return back to the growth path.

Reflecting the above trend, the two-wheeler industries in Q1 FY'23 have grown to 4.8 million units, which is 38.4% growth on a year-on-year basis. This is a very encouraging trend. Your company continues to perform at its potential and recorded that income of Rs.445 crores in Q1 FY'23 which is a growth of over 52% over the same quarter last year. Net Profit has also grown to Rs.30.45 crores.

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Our industry generally perform its best in Q4 being the last quarter of the financial year and followed by relatively lean in Q1. However, we would like to inform you that this has been the best Q1 performance of the company. Seen in this light, we clearly see the growth path for the current financial year. Overall, with this solid base and the upcoming festival season of Gudi Padwa, Akshaya Tritiya and then Diwali, we expect industries to grow at double-digit during this financial year. We continue to move ahead in working jointly with our key customers on the development of several new projects.

The EV segment continues to be driven by attractive incentive schemes provided by both the state and central government. This has helped to bring EV two-wheeler prices closer to or at par with ICE two-wheeler prices in some segments.

I am delighted to inform you that we are now supplying to more than 20 customers in the EV segment. This reflects our strong leadership in this area.

To sum up, I believe that the improving macro environment and a good monsoon will create increasing rural demand and thus help our industries for the next level of growth.

With this I hand over t

o Mr. Gupta, our CFO, and the Finance team, do Update on Operational Performance. Thank you.

O.P. Gupta: Thank you, sir. Good afternoon, everyone. I would like to present the Q1 numbers for FY'23 as compared to same quarter last year. The company registered a sales of Rs.441.98 crores in Q1 of current financial year against Rs.272.25 crores in corresponding quarter 2021-22. This represent a 62.34% increase. The EBITDA for the quarter stands at Rs.57.55 crores, translating into an EBITDA margin of 13.02%. This compares with an EBITDA of Rs.31.53 crores in Q1 of previous financial year and margin of 11.58%. PAT of the company has also significantly increased to Rs.30.45 crores as compared to Rs.11.77 crores in Q1 of FY 2021'22. During the quarter, the company has made an insignificant investment in CAPEX. We continue to be a net zero debt company.

With this, I end the financial brief and now the floor is open for questions-and-answers. Thank you.

Moderator: We will now begin the question-answer session. We take the first question from the line of Aashin from Equirus. Please go ahead.

Aashin: My first question is regarding the sequential decline which we have seen compared to last quarter in our sales. If we see the two-wheeler industry has grown by approximately 10% quarter-on-quarter, and even our major customers, HMSI and Yamaha have also grown. Why have you seen a quarter-on-quarter in our numbers?

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Rajesh Sharma: I'm Rajesh Sharma. I'll just reply on your question. There are certain models which we were exporting to Yamaha especially for Europe and US. Those are having some certain fixed quantity, which has been completed by us in last quarter of last financial year. And now we are in regular supplies, regular models for other countries and for India. So, that is the only point which has been contributed the minus for last quarter to this quarter.

Aashin: Sir, on HMSI, we have seen a quarter-on-quarter decline?

Rajesh Sharma: HMSI is marginal. If you see that is again model-specific, but the key difference is only a slight decrease in Yamaha sales which is explained.

Aashin: So, how do we see this Yamaha sales going forward, I mean, we were in talks of getting other models as well?

Rajesh Sharma: Yamaha is in progressive growth and we will be continuing those with the new coming models also.

Harshit: What could be revenue from electric two-wheelers during this quarter?

Arvind Chauhan: This is Rs.18.5 crores.

Moderator: We take the next question from the line of Mahek from YellowJersey Investment Advisors. Please go ahead.

Mahek: I had just a few questions. First would be, when you say you have SMT line established from year 2006-04, I wanted to know where did you get the SMT line like we could have the access to it or have you patented it or something?

Arvind Chauhan: I think you are talking about the surface mounting SMT line. We already have since rather 2006 you have said. Your question is about the sourcing of that line or what is your question actually?

Mahek: About the sourcing of the line, where did you get the SMT line?

Arvind Chauhan: No-no, actually this is from world reputed manufacturers from various countries like Germany and other countries. We cannot disclose the name of the manufacturer.

Mahek: My second question is that you are exiting from the JV, which produce fuel pump module. So, does this mean this product will no longer be in your product portfolio?

Arvind Chauhan: Yes, we already exited from this joint venture of fuel pump. All formalities has been completed during the month of June itself. We already got the payment of Rs.26 crores.

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Mahek: So, the expected revenue that we were expecting around Rs.150 to 200 crores from fuel pump module will no longer be coming?

Arvind Chauhan: Naturally, we already exited. So, it will n

ot be part of our group now.

Mahek: Third, I wanted to ask what is your per annum capacity as per product wise, like head lamp, tail lamp....

Arvind Chauhan: I think the capacity the way you are asking is not relevant in our industry. We supply as per the requirements of the OEMs. And the capacity changes when the product change for the particular products and settings. So, you have to understand the factory itself first to understand the capacity.

Moderator: We take the next question from the line of Akshat Mehta from Sameeksha Capital. Please go ahead.

Akshat Mehta: If I look at your presentation, your LED share has gone down by 1% from Q4 to Q1. So, is this a normal thing that you kind of see on a quarter-on-quarter basis or there are some headwinds in terms of auto LED lamps? Since for the year, you said that the total share should increase around 3% to 4%? And how do you see that being achieved during the year?

Arvind Chauhan: So, your question is about the LED. This is in the same range of 44%, because sometimes one product where the LED content is more, then supplies are more, so it fluctuates. But you have to see the overall trend; see, in FY'2020 it was 39%, in FY'2021, it was 40% and we closed this FY'2022 with 44%. So, the trend is increasing, but quarter-on-quarter exact numbers remains a little bit fluctuation.

Akshat Mehta: Sir, over the years, what you said is that 3% or 4% in FY'20, if the market is good, there should be the increase in market share for LED. That guidance still stays?

Rajesh Sharma: LED share will increase over the next couple of years, it is heading higher. That's right understanding.

Akshat Mehta: One more clarification. In the earnings call, you said 44% share, while in the presentation, you show around 30%, 32% share. So, what is the difference between the two numbers?

Arvind Chauhan: When you are referring to the presentation, it is the total of the conventional, LED lighting, the mirror and this plastic part, the others. You are asking the specific question about the LED versus conventional. So, 44% is the LED and rest 56% is the conventional light.

Akshat Mehta: Your other expenses on a quarter-on-quarter basis has fallen down sharply by more than 1% of sales, Rs.15 crores absolute as well. What is the change in the other expenses that has caused

such a reduction and is it sustainable during the other quarters or it's just a one off-item?  
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Finance Team Member: No, actually if you see that expenses have gone down drastically, because of certain expenses which were put in the last quarter of the customer and this expense of Rs.53 crores this year will continue to remain the same, the deduction has gone only in this quarter.

Moderator: We take the next question from the line of Anika Mittal from Invest Research. Please go ahead.

Anika Mittal: Sir, company has exited from one of its joint venture, Aisan Fiem Automotives India Private Limited. My question is regarding the valuation of the JV. It is mentioned that sale consideration will be face value of fair market value whichever is higher, and company has invested Rs.26 crores in JV and received the same in Q1 financial year '23. So, is the JV fair market valuation is that of face value?

Arvind Chauhan: Yes, your understanding is correct. We exited on the face value because face value was higher.

Anika Mittal: Then sir, it is the fair market value?

Arvind Chauhan: It is a confidential data, but we have to see what we got. And this remains part of this JV agreement. So, whatever we already shared, it remains same.

Anika Mittal: My second question is regarding customers wins of the company. As Ola is entering into the four wheeler segment, will company supply to the Ola two-wheeler also?

Rajesh Sharma: It is too early to comment on this subject.

Anika Mittal: Ather is also a good EV player. Are you looking to supply to A

ther or Ather is already in your customer list?

Rajesh Sharma: As of now, not in our customer list, but we are already under discussion.

Moderator: We take the next question from the line of Saurabh Savla from Multi-Act. Please go ahead.

Saurabh Savla: A couple of questions. First one was what is the mix for the contribution of LED lights in head lamps and tail lamps? And is it that it is materially high in tail lamps or head lamps or is it other way around? And a related question was, what is our market share in this LED lights and halogen lights in the top five customers that we have?

Arvind Chauhan: So, regarding the pricing of the head lamp and tail lamp, this head lamp is naturally the higher realization.

Saurabh Savla: The head lamp is a higher realization segment you're saying?

Arvind Chauhan: Yes, yes.

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Saurabh Savla: Again, not specific to you, but in terms of the overall industry as well, the LED light penetration is higher in the tail lamps or in the head lamps currently?

Rajesh Sharma: It is in both. Almost industries are of course working for tail lamp parts. But now the penetration year-on-year is increasing for the front lighting also. All the EVs are coming with LED lamps on head lamp or tail lamp.

Saurabh Savla: Would it be fair to say that we have equally high market share in both the LED and the halogen segment, or is it that we are much stronger in the halogen segment and we are kind of picking up in the LED part for the company's market share?

Rajesh Sharma: We are equally strong in both the segments, conventional as well as LED.

Saurabh Savla: In the previous conference calls, you have given wallet share amongst different customers and different segments. So, if I compare your market share or wallet share in 2022 versus 2019, then we have lost some wallet share in the tail lamp segment with Honda and TVS, and even with Yamaha, we have lost around 18% to 20% wallet share in tail lamps and in the blinker segment. So, can you help us understand that why we have lost this wallet share?

Arvind Chauhan: First of all, there is no loss of the wallet share. I think you are referring three, four years back data. So, if you want, we can give the current wallet share customer wise and the product wise it is already there. So, if you have some doubt, we can clarify. So, I think there is some error in data you are referring.

Saurabh Savla: I had the data of 2019 from the con call. So, there you had around 82% market share in tail lamps with Yamaha and in Q4 '22 you had said that it is 64% and similarly for TVS it was 77% in 2019 and 69% in 2022. So, just wanted to understand, whether there is inconsistency of data or you have actually lost wallet share in that?

Arvind Chauhan: No, no, nothing. You see the overall turnover also, because turnover is increasing with every customer how we can lose the market share.

Saurabh Savla: You are saying maybe in some incremental models or the new launches you might not be

present and that's why this number optically is looking slightly lower?

Finance Team Member: Exactly, this is not the case. What you're saying is in terms of percentage. When the total sales volume increase, the percentage come down. So, you take the figure in terms of amount, that will be catered to step the increase.

Saurabh Savla: One of the competitors has entered with TVS in the LED segment. So, any comments on that?

Rajesh Sharma: Every customer is looking for multiple sources and we have taken the businesses from other competitors and some of the business has gone to other company.

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Moderator: We take the next question from the line of Naresh Kataria from Money Care Investment.

Please go ahead.

Naresh Kataria: I wanted to know about the projects which we continue to do on an ongoing basis. Last time you mentioned 80 proje

cts for various models which are in R&D phase. So, can you please tell us something about how they are shaping up and how is the schedules for coming festival season?

Rajesh Sharma: There are of course 80 projects are declared during our last con call, after that also 17 projects is being awarded by the customers, that is an addition. Some of the projects will definitely be launched within this year and some in subsequent years...

J.K. Jain: 2024.

Naresh Kataria: How are the schedules looking for the coming festival season?

Rajesh Sharma: For coming festival season, there are a few models will be launched by the customer, out of which overall volume and marketing is very nice.

Moderator: We take the next question from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead.

Anubhav Mukherjee: Yamaha has grown substantially for you over the years. So, do you see like from a longer-term perspective not something in very near-term, any other OEMs that can grow for you similar to Yamaha?

Rajesh Sharma: Yes, we are working with Yamaha of course and other Japanese customers, and we are expecting now very good volume from the domestic as well as export market, and we are under development of few projects which will definitely be launched by next financial year.

Finance Team Member: Additionally, there are 20 OEMs which are already signed up in the EV segment. These are of course small in terms of value right now, but as this volume grows, this should be a big kicker.

J.K Jain: Moreover, we have already announced about the Hero.

Anubhav Mukherjee: Can you elaborate like when we will be supplying, any qualitative data on the scope of business from Hero?

Rajesh Sharma: In last quarter also, we had informed we are working on four plus projects with Hero and very soon some of the supplies during this year, but next year will be of course complete.

Anubhav Mukherjee: You mentioned international models. So, can you elaborate a bit more like have we added any new OEM for exports or any new businesses in the export area?

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Rajesh Sharma: See, we are working with all the customers as of now. We are not only concentrating on domestic market. We are concentrating on export business too. And our presence is with almost all the customers as of now to gain more and more business from export segment also.

Anubhav Mukherjee: On the EV side, have we added any EV OEM in the passenger vehicles segment because like Tata Motors is going very strongly in the EV segment and even M&M is planning to launch a lot of new models in the EV segment. So, sir are we there in the passenger vehicles segment on the EV side or adding any new business?

Rajesh Sharma: We are working for two-wheelers mainly and, of course, where we will get the opportunity, we are already looking in the market where we can penetrate in passenger car also.

Anubhav Mukherjee: But as of now, do we have any business or any model?

Rajesh Sharma: The EV business was started with Mahindra Reva and we are the sole supplier for head lamp and tail lamp as of now. So, our entry is already in the EV car.

Moderator: We take the next question from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari: In case of HMSI, we've seen some fall in the revenue from Q4 to Q1 despite the volume going up. Is it the certain models where we supply, there was a production impact due to chip shortage?

Rajesh Sharma: There are few models wherein chip shortage is there at HMSI and certain volumes is dropped

where our presence was there.

Rajesh Sharma: Especially 350 CC H'ness.

Ashutosh Tiwari: Secondly, we also got order from Harley-Davidson, USA and Thailand Plant. Have we already started supplying over there and is it meaningful to our revenue?

Rajesh Sharma: Yes, we have already started supplying to them, but it is a ramp up right now.

w. So, might be

next year will be the full volume which we can see.

Ashutosh Tiwari: What would be the potential over there?

Rajesh Sharma: Harley Davidson of course will not be having so much of volume because it is not in commute vehicle, but we are expecting good volumes because four or five models which they launched.

Ashutosh Tiwari: On Yamaha side, you mentioned that certain models you are supplying to Europe for fixed quantity, that is gotten over last quarter. But we also have talked about new models being added from there. So, any timeline for that?

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Rajesh Sharma: Yes, we are working further on 10 new models and further developments are on the process right now, and some of the models will be launched within this year and some in the next year and continue.

Ashutosh Tiwari: So, considering all this, do you think that the Yamaha revenue will grow in this year basically versus FY'22 full year revenue?

Rajesh Sharma: It will be almost similar, not higher than that. But we are looking for good volume this year also.

Moderator: We take the next question from the line of Rahil Shah from BXV Investment. Please go ahead.

Rahil Shah: Just a couple of questions from my end. If you can help me with the wallet share of our top customers for Q1 and have we seen any decline in Yamaha wallet share?

Arvind Chauhan: There is no decline in the wallet share. So, I'm just sharing our wallet share with our top four customers. I start with HMSI, head lamp we are 40%, tail lamp 76%, side indicator 85% and for rearview mirror we are the sole supplier 100% wallet share with HMSI and for RR and Position Lamp 100%. For TVS, head lamp is 73% and tail lamp is 69%, blinker 82% and RVM 55%, License Lamp 50% and DRL is 100%.

Rahil Shah: Just want to understand on Yamaha?

Arvind Chauhan: For Yamaha, head lamp is 91%, tail lamp is 64%, side indicator is 5% and RVM is 32%, position lamp for Yamaha is 57%. For Suzuki, head lamp is 80%, tail lamp is also 80%, blinker is 23%, RVM 100% and RR is also 100%.

Rahil Shah: What is your sense on Ola, how do you see the demand coming in from Ola especially new scooter being launched? But we have seen some key people resigning from Ola as well.

Rajesh Sharma: We are expecting very encouraging result in time to come. Especially EV companies were suffering because of semiconductors, which will always be recovered. So, might be in the near quarters, we can see the good results from Ola.

Rahil Shah: What would be the overall utilization level for the company as a whole, what will we be operating at?

Arvind Chauhan: It's around 75% range.

Rahil Shah: Just want to get your sense on the overall outlook for the two-wheeler industry as to how fast can we see the recovery coming in?

J. K Jain: Yes, we believe that after a long period of two-wheeler returning back to the growth environment, we have a very robust pipeline of new projects and we are working closely with

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our OEM customers. This includes the face lifts and new models. The strong pipeline should help us to grow significantly over the next few years. Further, EV will also act as a major growth driver for our industry, where we are well positioned.

Moderator: We take the next question from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Sir, my question on the revenue side and margin side. As we are seeing good traction on the OEM two-wheeler for the EV in coming months and next year, so, how much revenue we are targeting and how much margin we are expecting going forward?

Arvind Chauhan: So, as far as the revenue is concerned, we are always growing better than industry, so, naturally we will grow better than industry and our margins are best, already our EBITDA margin is 13.02% in this quarter. So, we will try to maintain better

margins.

Jyoti Singh: If you can share how much wallet share we are doing for the Hero Motor Corp?

J.K Jain: For Hero, we have not yet started, although where we have mentioned earlier that we have been awarded three, four projects, which we hope that we will start by next year onwards.

Moderator: We take the next question from the line of Chetan Dhruva. Please go ahead.

Chetan Dhruva: In the last call, you had guided for 15% to 20% revenue growth, supposed to be fairly easy given the situation we were in, and a margin of 12% to 12.5%. You're already in that range in terms of margins. And the revenue growth also, you seem to indicate good outlook. So, are you going to revise this further upwards, any chance of revenue and margin guidance band moving upwards?

Finance Team Member: We generally don't give a specific revenue guidance, but given the overall industry, what we did say was that given what we see over the next couple of quarters, we felt confident that we can get there. So, I think our revenue guidance remains broadly in the same region. And also on the margin front, we've maintained that 12.5%, 13% or higher is something that we aspire for, we would rather just keep it at this, but overall, the outlook what we see over the next couple of quarters is fairly positive.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sahil Sanghvi. Over to you, sir.

Sahil Sanghvi: Thank you, Diksha. Just wanted to thank the management for patiently answering all the questions and thank all the participants for being on the call. Jain sir, would you like to give any closing comments?

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J.K. Jain: Yes. Thank you, everyone, for participating in the con call. I do hope we have been able to reply all your queries adequately. We are available for any additional questions you may have.

Thank you and goodbye.

Moderator: On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.



## Call: Nov 2022

November 17, 2022

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q2FY23 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on November 11, 2022 to discuss Operational and Financial performance of the Company for Q2FY23. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company [www.fiemindustries.com](http://www.fiemindustries.com) under Investor section.

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the same being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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"Fiem Industries Limited  
Q2FY23 Earnings Conference Call"  
November 11, 2022

Hosted by Monarch Network Capital Limited

MANAGEMENT : MR. J.K JAIN – CHAIRMAN AND MANAGING DIRECTOR  
MR. RAHUL JAIN – DIRECTOR  
MR. RAJESH SHARMA – DIRECTOR  
MR. ARVIND CHAUHAN-CS, MR. SANJEEV KUMAR-SR. VP  
(FINANCE) AND OTHER FINANCE TEAM MEMBERS

MODERATOR : MR. SAHIL SANGHVI – MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good afternoon, and welcome to FIEM Industries Limited Q2 FY '23 Earnings Conference Call hosted by Monarch Network Capital. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Sahil Sanghvi from Monarch Network Capital.

Thank you, and over to you, Mr. Sanghvi.

Sahil Sanghvi: Good afternoon to everyone. Thank you, Tanvi. On behalf of Monarch Network Capital, I welcome you all to the Q2 FY '23 Conference Call of FIEM Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we will open the floor for question and answers. So without much delay, I now hand over the call to Mr. J.K. Jain, Chairman and MD of the company. Over to you, Jain, sir.

J.K. Jain: Thank you. Good evening, everybody. I welcome you all to the Q2 FY '23 earnings call of the FIEM Industries Limited. Joining me on today's call are Rahul Jain, Director; Rajesh Sharma, Director; Sanjeev Kumar, Senior VP, Finance; Arvind Chauhan, Company Secretary and other member of the finance team. Results and the investor presentation for Q2 FY '23 have been uploaded on the stock exchange and the company website. I hope you all have gone through the same. I am pleased to report that the company has delivered a strong performance in Q2 FY '23 with revenues growing by 25% year-on-year and profit growth of over 42%.

Now I would like to talk a little bit about the 2-wheeler industry's performance. The 2-wheeler industry in Q2 FY '23 recorded production volumes of 5.6 million units, which is an 8% growth on a year-on-year basis and 17% on a sequential basis. This growth has been driven by good monsoon and encouraging farm activities and positive consumer sentiment.

The festive season has also contributed to the positive momentum. Other key drivers for our industry growth in the electric vehicle space for H1 FY '23, the EV volume has grown by 550% to 2.77 lakhs. We continue to strengthen our position in this segment and the increased penetration of the EV should help to grow volumes going forward.

Now let me talk about the performance of your company in Q2 FY '23. We continue to outperform the industry and have achieved a total income of INR 527 crores, which is a growth of over 25% over the same quarter last year. Sequentially, the revenue have grown 18%, EBITDA and PAT has also grown to INR 70 crore and INR 39 crores, respectively, reflecting the strong operational performance of the company. LED share as percentage of the total automotive lighting has touched 47% this quarter, reflecting the trend towards the faster adoption of the technology.

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We have maintained that this is heading towards 60% and higher. Our key customer like Honda, TVS, Yamaha and Suzuki continue to grow, and we are closely working with them on several new projects, including face lift of the existing model. Overall, as we move forward, I feel optimistic about the industry's trend. The easing of commodity prices and also the semiconductor availability should help the industry to achieve good growth in the future. With this, I hand over to Mr. Sanjeev Kumar and the finance team to update on operationa

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performance.

Sanjeev Kumar: Thank you, sir, and good evening to everyone. I will present the quarter two number for FY '23. The company registered a total sales of INR 521.32 crores in Q2 of current financial year. against rupees 416.26 crore in corresponding quarter of FY '22 and reassuring a growth of 25.24% on a year-on-year basis. On a quarter-on-quarter basis, this is an increase of 17.95% from a base of rupees 441.98 crore. The EBITDA was INR 70.46 crores, translating into an EBITDA margin of 13.52% as compared to an EBITDA of INR 51.95 crores that is 12.48% in Q2 of the previous financial year. EBITDA margin reflect by strong operational performance of the company. PAT increased by

42.51% to INR 39.12 crores as compared to INR 27.45 crores in corresponding quarter of FY '22.on quarter-on-quarter basis, PAT is higher by 28.47%. During the quarter, the company has made a capex of INR 10.32 crores. We continue to be a net zero debt company.

With this, I end the financial brief, and now the floor is open for question and answer. Thank you very much.

Moderator: The first question is from the line of Aashin from Equirus Capital.

Aashin: Sir my first question is that you are seeing a very strong sequential growth in plastic product and rear view mirror revenue. So could you please highlight that what has led to that growth?

Arvind Chauhan: Actually, the increase in overall sales, and accordingly, this growth is also reflecting in the plastic as well as in rear view mirrors.

Aashin: So actually, they have grown 30% sequential. So is there something which is there apart from our normal sales?

Arvind Chauhan: No, this is a little bit increase in the plastic products item. Yes, this is because of addition of some parts.

Aashin: Which OEM?

Rajesh Sharma: This is mainly for Honda. Honda and Suzuki.

Aashin: And sir, you talked about that you're working with our existing customers for the new facelift versions and new models. So firstly, talking about Yamaha. So we are the last time we said that we have 10 models for them. So if you could tell us how is the launch pipeline is Yamaha especially business to exports?

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Rajesh Sharma: Yes. These new models will be launching by next financial year and for export as well as for domestic, both.

Aashin: So what sort of revenue can we expect and how many models can you expect in the next one, two years?

Rajesh Sharma: On those volumes, we are still expecting from our customers. It will be a ramp up, but how much production will be there next year, that will be definitely be given in the next quarter only.

Aashin: And sir, thirdly, the Hero, we have said that we've launched with them from FY '24. If you could give us an update on how is that progressing ahead?

Rajesh Sharma: Yes. This development is in progress right now. So next year, few models will be launched and it will be continued respectively.

Moderator: The next question is from the line of Suruchi Parmar from NX Wealth Management.

Suruchi Parmar: Congratulations sir, for the blockbuster result. I want to know two, three things. What is our EV contribution for this quarter?

Finance Team Member: What is our EV? So EV is still in that range of 4% to 5%. I think what is critical to see is how many new customers are being added and how much development is happening. Volumes are still small. So I think our, in terms of percentage sale, it will not exceed 5%.

Suruchi Parmar: And can you give a fair bit of idea maybe in a two year time period? What can be the share in EV we can see?

Finance Team Member: It will really depend on a number of factors, including government policies. EV Sector is going through a lot of dynamic changes in terms of the regulation around battery, the FAME subsidy.

So while I think the consensus view is clearly there that EV will become very strong but what percentage of the total market, it will

take, and consequently, our share will really depend on a number of moving parts. But I think over two to three years, if you see till 2025, a penetration of 15-odd percent, 20% that is completely possible.

Suruchi Parmar: And Harley Davidson, how much sales we are doing, Harley Davidson? Because we see this H1, there is a 3%, 4% of export is there.

Arvind Chauhan: No, this is – actually the export dip is because of the lower sales in the European region. Otherwise, the Harley Davidson sales has increased. And you know Harley Davison, we are exporting to Thailand as well as to USA.

Suruchi Parmar: US, okay. So that sales for H1 was strong, correct?

Arvind Chauhan: Yes. Correct.

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Suruchi Parmar: Sir can you give this quarter-wise volume as well as realization bifurcations. What is the volume growth we achieved and realization?

Arvind Chauhan: This is the mix of the value and the volume. So it is difficult to give you the exact volume

increase for this thing.

Suruchi Parmar: But can we say that there were volume growth also during the quarter, can we say that?

Arvind Chauhan: Yes.

Suruchi Parmar: Sir, two things. We are not having a presence in replacement market. It is a specific strategy something that maybe other – maybe other smaller players are doing it, but we are not doing it because of some specific reason of the management or we have any plan to penetrate the replacement market?

J.K. Jain: Basically, as you know, in our case, we are supplying to the OEM, and we are restricted by the OEMs not to supply in the aftermarket. So that is one of the reasons, and moreover, we are not doing the trading like other people are doing. Whatever we are manufacturing, we are selling. We are not doing trading like other people are doing. So that is a difference.

Suruchi Parmar: And any other plans to move from two-wheeler cycle to four-wheeler or EV or we will stick to two-wheeler only?

Rajesh Sharma: We are open, and we are working on the same

Moderator: Next question is from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Yes, hi sir. Congratulation on very good numbers. Firstly, on this Hero models from next year. Are these existing models of Hero or new order launches that we are going to supply item?

Rajesh Sharma: These are all new model launches.

Ashutosh Tiwari: And obviously in a combination of LED and halogen both?

Rajesh Sharma: These are all LEDs.

Ashutosh Tiwari: And basically, in terms of, we probably have heard in the earlier calls as well. Can you provide some perspective on whatever models are in development right now on lighting side, what proportion of that would be LED is of now?

Arvind Chauhan: Total, you are talking about the total number of the projects and how much is the percentage of the LED in there?

Ashutosh Tiwari: Yes.

J.K. Jain: I think it's almost 100% the new projects are there with LED, because most of them are EVs and EVs are all LEDs.

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Ashutosh Tiwari: But let's say, existing OEM like Honda Motor cycle<sup>1</sup> or TVS or Suzuki and all, then there must be a mix of halogen and LED, right?

J.K. Jain: Yes. Nowadays, the trend is towards LED only.

Rajesh Sharma: So as we have shown this year, by next year, we are expecting more than 60% converting to LED.

Ashutosh Tiwari: And when you say that this is probably is always in terms of revenue in terms of volumes, will still be much lower, right? As of now broadly I'm asking what would be the content increase when you go from the headlamp halogen to LED in most of the models that we're applying to?

Moderator: Ladies and gentlemen, we have the management members reconnected.

Ashutosh Tiwari: I was asking that like broadly when move from halogen to LED headlamp, as in most of the models, you said high-end model. What is the content increase in term

s of value?.

Rajesh Sharma: This will be around 60%.. .

Ashutosh Tiwari: Sorry. It will be around? Sorry, what you said?

Moderator: Ladies and gentlemen, we have the management members reconnected. Sir, you may continue now.

Finance Team Member: Yes. Sorry, apologies some technology issue. Please go ahead with the question again, please.

Moderator: The participators not in the queue. We'll move to the next question. The next question is from the line of Jatin from RTL Investments.

Jatin: A couple of questions. So one, if I look at your margins over the last few years, we've been very close to -- been very consistent at around 12%. Now this quarter with the volumes moving up in what is I assume a seasonally strong quarter, we have seen margins move to 13.5%. Now are the margins can we sustain here? Or as this a seasonally strong quarter and for the full year, we should expect around 12% every?

Finance Team Member: So you're right. We've always guided to 12.5 odd percent to 13%. This quarter, significantly beaten that number and we hit more like 13 and half. Now that is obviously clearly driven by the significant volume jump that you see in the overall sales volume, which actually helps in adoption of the full operating cost. So I think for us, we will continue to guide around 13-odd percent range going forward. But you've seen our intent quarter-over-quarter, I think operationally, we like to do the best and get the best out of the whole margin. But I think from overall guidance, it still remains around 13-odd percent with minor fluctuations every quarter.

Jatin: Sure. So if the 2-wheeler industry, which now seems to be on a recovery path, if we continue to see strong volume traction, then there is no reason why costs will go significantly higher.

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Finance Team Member: Absolutely. What I mean the controllable, which are with us, they will be well within the range. The uncontrollable, which is the overall industry as you highlight, if the industry goes well, then there's no reason why we are not able to sustain these higher margin. So it could be that we could beat this margin, yes.

Jatin: Sure, sure. And I know this is the OEMs kind of decide. And -- but your sense on where -- when the 2-wheeler industry could hit its previous peak of FY '19 from what you speak with your OEM customers?

Finance Team Member: So what you've seen this year is an encouraging trend. The first -- at least the signs whether sequential growth or Y-on-Y growth, you're seeing that industry recovery because of all the onslaught that were there. And as you rightly mentioned, it at peak just before COVID. So it will take a while to get back to that peak level. But I think we are firmly on that path to get to that level. So there is no reason why we should not get there.

Jatin: And could you share the share of business numbers with different customers like you share usually on your calls?

Arvind Chauhan: Yes, so we are giving the share of business with our four top customers. HMSI, headlamps, this is same 40%, because this is on the full year basis. And tail lamps is 76%. Winkers 85%. The rear view mirror is 100%, we are sole supplier. Even for RR and position lamp, we are 100% with HMSI. For TVS, the headlamp is 73%, tail lamp is 69%, Winker is 82% and rearview mirror is 55%. For DRL - we are 100% with TVS and licence lamp share is 50%. Yamaha for headlamp, it is 91%, taillamp 64% and Winker 5%, rearview mirror is 32%. Yamaha position lamp is 50%. For Suzuki, our headlamp share is 80%. Taillamp is also 80% and winker is 23%. Rearview mirror is 100%. We are sole supplier. And same is RR- reflex reflector, 100%.

Moderator: The next question is from the line of Saurabh Savla from Multi Act.

Saurabh Savla: Sir, I wanted to ask on the LED mix, we have been guiding that the L

ED mix will gradually

improve. So based on the current interactions with your customers and the order pipeline that you have, the 50-odd models which are working plus the EV customers. So two years down the line, what could be the level of LED mix in our total lighting revenue?

Rajesh Sharma: Yes, around 60%, we are expecting in the next 2 years.

Saurabh Savla: And so this is based on the existing models, which we are working? Or this is a ballpark number that you are...

Rajesh Sharma: Overall.

Saurabh Savla: And sir, when we say that LED mix would increase to 60%, does that mean that absolute level, the non-LED lighting will see a degrowth from this level or even that will grow but at a slower rate?

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J.K. Jain: Yes. Basically, you see the trend is going towards EV and more and more EV will for LED lighting. And similarly, the higher model itself is there for LED. So the growth is going towards LED. So there will be more and more users of LED in future.

Saurabh Savla: So sir, my question was whether the existing revenues that you are getting from non-LED, will that sustain or even that will go down on an absolute basis? .

Arvind Chauhan: On absolute basis.. see you have to see the percentage, when the overall lighting is 100%, with the increase in LED, the conventional will go down, it is not only with our company side, but industry we are talking..

Rajesh Sharma: Even not only the conventional. Conventional is also been shifting in the near future, and those will be converted into LED. LED, yes.

Saurabh Savla: And sir second question was on Yamaha. In previous two quarters, you had indicated that there will be some slowdown in Yamaha because of the export revenue. So, any outlook on that?

Like is there anything changed on that or whether we'll see a further decline in Yamaha revenues? Or have you won any new models for the current year?

Rajesh Sharma: Yes. This year, we don't see any drop in the overall volume and revenue, wherein new models will be launched by the first quarter of next year.

Saurabh Savla: And sir, lastly, on Honda. When I compare last two quarters, Honda's production growth versus our revenue growth with respect to Honda. So there is some -- we are lagging somewhat the production growth. So is that because of a particular model or particular segment as

scooters or bikes where we are not present because of which our growth is lagging Honda's production growth?

J.K. Jain: Overall, if you see it is in line with the Honda growth.

Arvind Chauhan: You see the current quarter, our major contribution in growth is from Honda. And even you see the volume growth Honda, we are growing very good with the Honda.

Saurabh Savla: And lastly, on the current interaction with customers, how do you see like after the festive season is done? Like how do you see the numbers panning out in say, October, November, are you being able to kind of sustain some of the numbers or what's your outlook on that?

Arvind Chauhan: See, these are the industry thing, and we don't disclose about our interaction with the OEM customers.

Moderator: The next question is from the line of Akash Narnolia from Narnolia.

Akash Narnolia: Just I wanted to get a clarification on the product numbers, a very good October, fifteen lac fifty thousand - odd 2-wheeler vehicles sold out. Sir, I wanted to know because most of the supplies of these October months were done in prior to the months. So in Q2, that they got reflected in your sales jump. We wanted to know what -- how sustainable is the current run rate of the actual ground reality of 2-wheeler sales because somewhere other places we are

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hearing the rural prices is stretched. So I wanted to get a sense about what is in the coming months or how we see the 2-wheeler sales happening because once the festive season gets over

, what is the scenario you think?

Finance Team Member: I think you will have to see the commentary of the OEMs who are actually tracking at the dealer level. From our perspective, we are guided by how their production schedule be looked. And obviously, the festive season quarter 2 is generally better. So that is always the case that post-festive season, Q3 is slightly lower, but it remains to be seen how it plays out over the next couple of months.

Akash Narnolia: So I wanted to know what your diversification was the 4-wheeler side because still you have majority of the revenue coming from the 2-wheeler side. So by when can you see significant revenue coming from the 4-four wheeler side because you know and you have been talking to a lot of players. When do we see something coming out of 4-wheeler side in good perspective.

Rajesh Sharma: We are very closely working with the customer, which is totally dependent on that this, what order will we get. So we are hopeful and will very soon will inform once we'll get the business.

Akash Narnolia: That's the last question. Sir, hypothetical question , in case of raw material pricing issues, do you pass on to the players on an absolute basis of keeping the margin impact is pass on? Like I want to know when you pass on the increase on an absolute basis or you do you see the margin intact and then pass on that revenue?

Finance Team Member: We see it that way, which is why if you see our margins have been stable. So I think there have been quarter-by-quarter things change. I think we look at the overall 12-24 month outlook..

Moderator: The next question is from the line of Anubhav from Prescient Capital.

Anubhav: Sir, firstly, like in EV 2-wheeler space, what market share will be, like have like, do we have a sense of that?

Management: I think if you look at the overall number of EV, we just highlighted the first H1 number. It's still very, very small. I think the overall EV market itself is so small. So it is kind of at this point of time to calculate market share may not be something that will achieve much. But what we do want to tell you is that, I think it's been highlighted in the past that there are more than 20 EV OEMs that we are working with in terms of development, in terms of actual supply. So that is a significant number.

And if you -- even if you look at the top 10 EV players right now, we will be present in a majority of them. So we are -- we have significant amount of traction in this space. But I think for overall market share, allow us couple of quarters or perhaps another year before this market matures for us to be able to point a certain number.

Anubhav: And sir with the 2-wheeler volumes like moving up, have you seen any like new competitor coming in or the OEMs themselves trying to diversify the vendor, so how has the competitive landscape be?

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Finance Team Member: Lighting is a fairly technology-intensive industry. And this is not an industry where if the market expands or it is more attractive new players can get into easily and this is why you see the landscape is limited to a handful of players, and we are the leader in this segment. So we

don't think anybody can break through. It requires lot of technology, a lot of investment, a lot of number of years before you can actually break through. So no, answer is no competition we are seeing right now.

Anubhav: Sir but my question was, from the point of view of existing competitors, like Lumax. So from an incremental point of view, have you seen like the like any competitor getting more market share or? And sir, the EV 2-wheeler, you mentioned that it's on LED lighting. And so like-to-like product comparison will the realization be better in EV 2-wheelers or compared to your conventional OEMs?

Rajesh Sharma: LED lighting, all customer are paying the tooling cost. So the overall development cost is not

being paid by company. And realization will also be, because it is totally dependent on the volume and that will definitely prices there.

Finance Team Member: And on your previous question on competition, clearly, there will be existing players who would continue to fight. I mean, the names you mentioned, there is competitive -- and we continue that leadership position that we are going to.

Anubhav: Sir, last question is that what has been the trend of realization in like the LED auto lighting? Has there been a form of realization? And like in general lighting, I think like the realization over the year has like fallen significantly. So do you see that kind of a trend where like realization in auto LED, I think can also fall significantly over the years or that -- yes.

Arvind Chauhan: So to answer about your question, actually, there is no comparison between the luminaries and this thing that the realization is increasing because of the new technology and the improvement in the opticals and so on.

Anubhav: And that has been the trend also historically?

Arvind Chauhan: Even the more complex product like the headlamp for the big models, the realization is even higher.

J.K. Jain: So your question, the trend is towards LED.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: Sir, one of the line items in the financials, the employee benefit costs has been higher Q-on-Q also and from the trends that we are seeing for the past few quarters. So, anything one-off over there or this trend will be continued, if you can explain on this?

Arvind Chauhan: See, if you see our employee cost is 12.08% in this quarter. And as the sales volume has grown, so definitely that will increase. So it depends on the sales. Otherwise, there is no one-off kind of thing in this employee cost.

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Sahil Sanghvi: And on the trend of the raw material costs and the realization, if you can explain anything, I mean how are they moving?

Arvind Chauhan: You're asking about the price hike of what?

Sahil Sanghvi: Yes. So raw material cost trends and the realization?

Arvind Chauhan: See, there is softening in raw material prices. As this is always pass through. It is not a problem for us. There may be a lag of 1 or 2 quarters, but it is always pass through.

Sahil Sanghvi: And is Ather customer for us now?

Rajesh Sharma: No, we are not with Ather. We are not with Ather.

Moderator: The next question is from the line of Vinayak Mohta from Stallion Asset.

Vinayak Mohta: Sir, congrats on a great set of numbers. I had majorly two, three questions. So could you give me an update on what kind of capacity utilization we are running on currently? And what kind of additional capacities are we looking to put maybe in the next 1 year, 1, 1.5, 2 years?

Arvind Chauhan: See, currently, almost 80% plus capacity working in this quarter. And -- So what we are saying that we are adding the capacities in our south factories because we are feeling a little bit more business opportunity over there. And so depending upon the situation, we are increasing the capacity.

Moderator: We'll move on to the next question, which is from the line of Suruchi Parmar from NX Wealth Management.

Suruchi Parmar: Sir, in is quarter, cash balance around INR 150-odd crores, something. So do we have any plan to use for this? Because we are doing some INR 50 crores capex. So has this capex been done expense out?

Finance Team Member: Yes. So total capex is in the range of INR 50 crores to INR 75 crores. That is ongoing that we've already announced to South India and some of the other. We are supplementing with the machinery. But no opportunities on within...

Moderator: This is the operator here. Members of the management your audio is a little unstable. Now we can hear you yes. Yes, sir, we can hear you. Please proceed.

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inance Team Member: Yes. So we've -- I don't know if you got the full sense of what we said. What we said was that beyond the organic capex that we've talked about, there are other opportunities which we are looking at. And if those materialize, they will involve an outlay from the cash that we have. So we are in the process of evaluating a number of opportunities.

Suruchi Parmar: And sir what would be our gross margin this quarter in H1?

Arvind Chauhan: The EBITDA margin is already reflected this is 13.52% .

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Suruchi Parmar: Yes, that is already mentioned. Gross margin, do we keep the gross margin?

Arvind Chauhan: Based on the EBITDA margin, this is our main benchmark actually.

Suruchi Parmar: Okay. Sir, what was the ROE for this H1, ROCE, return on capital employed?

Arvind Chauhan: Sir, ROCE given on the yearly basis, this is in 20% range, already given in the presentation.

Suruchi Parmar: For '22, correct, not for H1?

Arvind Chauhan: Yes, FY '22, yes.

Moderator: The next question is from the line of Varun Arora from Safe Enterprises.

Varun Arora: So you break the shares of your other like core customers Yamaha, Suzuki. Could you do the same for Royal Enfield also?

Arvind Chauhan: See, we share this wallet share on a full year basis and we give only for top four customers.

Varun Arora: Sorry, would you be able to share that later?

Arvind Chauhan: Yes. We can share.

Varun Arora: And the second question is regarding -- I just wanted to understand how the margin profile of new products like rear view mirrors is different from our conventional lighting and LED lighting, how would the margins be different in new products?

Arvind Chauhan: See, please understand, even the rear view mirror is our old product line. And all the products goes to the similar -- I mean the same customers. So our margins are on the broad level is what we were 12% to 13%. And now this quarter 13.5%. It is on the overall. So we can say on all products, it is in the same range.

Moderator: The next question is from the line of Vinayak Mohta from Stallion Asset.

Vinayak Mohta: Yes. I guess I got dropped off. So I was just continuing on the capex question. I wanted to ask how much of the total capex that you're adding in south as a percentage of your total capacity right now?.

Arvind Chauhan: It is -- in South, we are having four factories. So it is -- we are not giving in the factory-wide capacity is giving on the overall company is and there is always an addition in the every factory. So it is very difficult to give factory-wise.

Vinayak Mohta: And as and when your LED share will be increasing, like you said, in the next two years, we will go to 60%. Do we expect a margin expansion on the back of LED as well? Does LED have a higher margin relative to other products?

Arvind Chauhan: See, as you know, the LED has the higher realization in comparison to the conventional, almost start from 2x and even go to higher. So higher sales will definitely give an overall

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improved margin. But as far as the product wise you are saying, it will remain in the same range.

Vinayak Mohta: But your company level margin will continue to move higher because the realizations are much higher in LED, right?

Arvind Chauhan: We will -- yes, we will definitely try to maintain a higher level.

Vinayak Mohta: Understood. And 1 last question. Can you give any growth guidance for the next 2 to 3 years about given how we are looking, given your order book and how you given you're expecting that 2019 levels to be on the 2-wheeler volume and EV penetration is the reason as well, so any internal targets that management has set for itself with regards to growth outlook for the next 2 to 3 years?

Finance Team Member: We don't give specific guidance. However, we've said that in t

he past, and we have the track

record, but we've always outperformed the industry. And given where the industry and for EV cycle is, we feel confident that I think a 15%, 20% growth is the growth target that we should set across for us.

Vinayak Mohta: So 15%, 20% is like you're expecting the industry to grow by. So given you are saying that we might...

Finance Team Member: From a Company -- we're saying at the company level, we believe 15% to 20% growth is something that we should really get to.

Moderator: Next question is from the line of Amarnath Bhakat from Ministry of Finance of Oman.



Amarnath Bhakat: That is the railway business is all about and at the moment, how big it is as a percentage of your total revenue?

Moderator: Members of the management, please confirm if you able to hear us? Ladies and gentlemen, we have the management line reconnected.

Arvind Chauhan: Yes, our apologies we're getting some -- please go ahead.

Amarnath Bhakat: Yes. I just wanted to do 1 division of your business is just supplying LED display panel to railways and buses and all those things. At the moment, how big it is? And what is the percentage of your total revenue coming from this side of the business?

Arvind Chauhan: See, our major business is coming from 2-wheeler segment, and we are -- yes, this -- all other segments are quite lower at this stage.

Amarnath Bhakat: But do see the prospect on this? Because we are hearing that the ministry of railways are now very aggressive in giving and modernizing different kind of stations and everything where your lights would use. So are you getting the same trend?

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Finance Team Member: The company has always been an automotive-focused company. So while we did get into this segment, but we didn't make much headway in terms of winning significant order. So I think our focus will remain automotive for the foreseeable future. And right now, the numbers on this segment are quite miniscule, probably under 1% type in terms of where we are on the total revenue. So we will remain a completely automotive-focused company.

Amarnath Bhakat: Okay. Now, since now we are focusing on more on the EV side. Can you give us a sense that out of your total revenue, how much we are get in totality from the EV and EV 2-wheeler or 4-wheeler manufacturing side, how much is the percentage in the total revenue?

Finance Team Member: Yes. So the percentages are still low. We are working with a whole lot of OEMs. But in terms of percentage, it will be around 4%.

Amarnath Bhakat: So at the moment it is 4% approximately?

Finance Team Member: That's true.

Amarnath Bhakat: And that segment is growing faster than your regular segment, right, in terms of growth?

Finance Team Member: Yes. On a very small base, it's growing like -- I mean it's grown 500% in H1. But that base is very, very small. What remains to be seen is how quickly it can go to a significant base and then grow from there.

Amarnath Bhakat: Yes. The purpose was of asking the question is I'm sure the margin of those sides of the business probably is higher than your regular side of the business. So the more proportion of that business increased to your total revenue, hopefully, it can contribute to our overall margin as well, right, not necessarily now, maybe 2, 3 years down the line?

Finance Team Member: I mean as of now at least, the margin is not higher. It is probably a similar range. But for us, whether it is EV or ICE, our product line is kind of at a similar margin level across.

Amarnath Bhakat: Okay. And sir, can you tell me with how many EV suppliers, you are the sole supplier? We know Ola, you are a sole supplier. Is there any other EV where you are the sole supplier? .

Rajesh Sharma: Yes. We are, as of now supplying to Okinawa. We are supplying to Revolt, Bounce 22. These are all sole suppliers.

Amarnath Bhakat: Okay. So 3, 4 suppli

ers you have, you are the sole supplier?

Rajesh Sharma: Yes.

Amarnath Bhakat: Okay. Sir, 1 more side on of export. Now as of now, I think the export is very miniscule or mainly negligible. Now those OEMs who are present in India. Do they ask you to supply to their production in other countries as well? And how much it is now?

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Rajesh Sharma: Of course, we -- every OEM customers have their own CKD warehouses and departments. So all the products which they are exporting to other countries are buying directly by them, to their warehousing, they are exporting directly to their subjective companies.

Amarnath Bhakat: Yes. But do you also have some share?

Arvind Chauhan: It is difficult to give. But on some estimation basis Yamaha's share of the export is quite significant...

Amarnath Bhakat: Yamaha, TVS -- Suzuki.

Rajesh Sharma: Every company is exporting right now, but they are taking the material from us in their own names. And thereafter, they are exporting to their subjective companies.

Amarnath Bhakat: Okay. And just in previous participant question, you said that the capacity utilization is already at 80%. And if I see your capex incurring almost in the last 6, 7 years, we incurred a heavy

capex, and your gross block reached to INR 941 crores. Now if as 15%, 20% growth, what you are estimating for the next few years, that means very quickly which you have more gross block and capex to be added. So can you get a sense that what kind of capex you're planning for the future, expect that INR 20 crores, INR 30 crores generally you spend, any major capex planning considering the growth outlook you are providing?

Finance Team Member: Yes. So we've already guided that INR 50 crores to INR 75 crores capex has been kind of already earmarked, there is work happening on that. That will definitely happen. Over and above that also, there are several opportunities, which we are exploring, which are more related to adjacent product lines or within our product line or within our customer base, what else can we do.

Any of these that come up will involve a significant capex because there's a new factory and building all of it to be set up. So besides the INR 50 crores, INR 75 crores, there could be a large number. I think the situation will become clear by the end of this financial year on the full capex plan....

Amarnath Bhakat: So this INR 50 crores, INR 70 crores, I'm sure you are planning to fund through your internal accruals, right? You have that much of cash?

Finance Team Member: That's right.

Amarnath Bhakat: And anything bigger come, probably that is the time you think about some kind of a debt if the cash is not sufficient?

Finance Team Member: I mean, we can look at that. But as of now, our cash flows are such that we can fund those bigger plans as well. But I think it's important to be crystalized first in terms of the quantum before we make that call.

Amarnath Bhakat: I understand pricing is simply pass-through mechanism that whatever cost increase or decrease is happening till eventually it is passed on to the OEM. So I'm just trying to understand that in

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case you guys are becoming effective or very efficient and you reduce the cost side compared to your competitors, how the OEM is going to recognize that fact? And if it is a cost-plus model. So if you're reducing the cost, they will always consider the reduced cost and plus your -- maybe some kind of an agreed margin and according to the sell price is fixed. I'm trying to understand how your efficiency in your organization is being recognized and as well as it is getting in terms of extra sales price from your OEM?

Rajesh Sharma: See, major point is because the raw material is well settle and raw material prices are being controlled for all the supplies by the customer only. Process costs be

cause since we are

working since long within this industry and product ranges, which are injection molding or other processes, which are being closely related with the lighting industries and our product industry are being well validated by the customer. And we have to focus on the customer specification, which is most important and prices are being converted based on that only.

Amarnath Bhakat: So if you're efficient for example, efficient on your labor side, you are efficient on your productivity side, I'm not talking about the raw material side. I'm only talking about the profit side. So if you become efficient compared to the market, and I'm sure you will, as you grow and your capex to increase how that will be coming to the revenue side? Because the customers generally very sticky in terms of giving the price at a fixed margin over a cost.

Finance Team Member: I think that efficiency is exactly what differentiates us, which is why we have industry-leading margins even for the product because that's not because we are getting anything different from the customer, but because we are able to manage our operations better.

Amarnath Bhakat: So that is how probably your margin are better than other that is reflecting that?

Management: Yes.

Amarnath Bhakat: Okay. And last one, probably. Inorganic opportunity, are you guys serious about looking into some of the inorganic opportunities available in the market or you are quite silent about it?

Finance Team Member: I think for us, the levers of growth are....

Moderator: Hello. Management is reconnected now.

Finance Team Member: Yes. Yes. Sorry, again, the line got disconnected. Please go ahead. You were asking.

Amarnath Bhakat: Yes, I was asking about this inorganic opportunity, you were saying something?

Finance Team Member: That's right. So on the inorganic, I mean, clearly, we are open. There are a lot of opportunities which we are seeing evaluating. But what will result into a deal, it's difficult to say. But I think clearly, we are completely open to what is happening in the market. And beyond that, the organic start also is good. However, I think we are in a position where if the market presents something interesting, we'll be happy to take it.

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Amarnath Bhakat: You have a concept of kind of content per vehicle. I mean like other suppliers, they always have a kind of content per vehicle that whether that has been in an increasing trend, do you have some kind of a calculation like that?

Finance Team Member: So I think what you have to see is that we have kind of restricted ourselves in our -- this journey over the years around 2-wheeler there because we wanted to make sure that we are a leader in this segment, which we are. Now within this, opportunities, as you rightly pointed out, whether content per vehicle, which is what we said product efficiency or other areas, those are some things which we are looking at.

Amarnath Bhakat: Yes. But sorry, sir, this part is not very clear to me means I'm trying to understand the fact that as the industry grows as you grow to more and more customers, the product you manufacture and supply to them is that for each vehicle, if your product is going, change is going higher or it is stagnant or is going lower in terms of the per vehicle is supply. So for example, if you go to Yamaha or take anybody. So per vehicle year after year, what is supply for per vehicle that content value is increasing?

Rajesh Sharma: Yes, of course, if we see some conversion to LED and the technology, which is being implemented in Yamaha is, of course, increasing the overall value.

Amarnath Bhakat: So as it is growing, your content is also increasing. That is revenue per vehicle, what you're supplying to us, that is also increasing?

Rajesh Sharma: Yes, it's also increasing. Revenue per vehicle is also increasing because the revenue is increasing

, the volume is increasing, it has increased on that area.

Moderator: That was the last question for today. I now hand the conference over to management for closing comments.

J.K. Jain: Thank you, everyone, for participating in the con call. I do hope that we have been able to reply all your queries adequately. We are available for any additional questions you may have.

Thanks and good day.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: During the call, disruptions happened multiple times because of network connectivity issues. For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Feb 2023

February 22, 2023

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q3FY23 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on February 16, 2023 to discuss Operational and Financial performance of the Company for Q3FY23. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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"Fiem Industries Limited  
Q3 FY'23 Earnings Conference Call"  
February 16, 2023

MANAGEMENT : MR. J.K JAIN – CHAIRMAN AND MANAGING DIRECTOR  
MR. RAHUL JAIN – DIRECTOR  
MR. RAJESH SHARMA – DIRECTOR  
MR. ARVIND CHAUHAN-CS, MR. O.P. GUPTA – CFO  
AND OTHER FINANCE TEAM MEMBERS

MODERATOR : MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Fiem Industries Limited  
February 16, 2023

Moderator: Ladies and gentlemen, good day and welcome to Fiem Industries Limited Q3 FY '23 Earnings Conference Call hosted by Monarch Network Capital. This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance, and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Thank you, Aman. Good afternoon, everyone. On behalf of Monarch Network Capital, I welcome you all to Q3 FY '23 Conference Call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the Company, and then we will open the floor for question-and-answers. So without much delay now, I hand over the call to Mr. J.K. Jain, Chairman and MD of the Company. Over to you, Jain sir.

J.K. Jain: Thank you. Good evening, everyone, and welcome to Q3 FY '23 Earning Call of Fiem Industries. Joining me on the call are Rahul Jain, Director; Rajesh Sharma, Director; Arvind Chauhan, Company Secretary; O.P Gupta, CFO, and other members of the finance team. The results and the investor presentation for the Q3 FY '23 have been made available on both the stock exchange and the Company website. I hope everyone has had a chance to review the same. As we start this calendar year, the Indian economy finds itself in the spotlight on the global stage. With the challenges facing the global economy, the world is relying on India to provide its stability and growth. The domestic economy is projected to grow at 6.5% with the auto industries playing a crucial role as it contributes 49% to the manufacturing GDP. Government also continues to play an active role for the growth of the industry.

The recent Union Budget proposed a custom duty exemption for the capital goods and the machinery used in the production of lithium cell for EVs. This move is expected to promote EV industries and will boost local manufacturing. In addition, the tax rationalization at the lowest slab is expected to increase the demand by enhancing the disposable income for the taxpayers. Overall, the Indian economy is likely to facilitate the growth of the industries as we move forward. Let me shift the focus to the operating environment for the two-wheeler industries. Domestic sales have grown at a healthy rate of 16.8% for the quarter.

We are optimistic that the demand will continue to improve, and the new peak will be these in the coming years. Now looking at our operating performance, we have delivered the strong result once again, maintaining our outperformance of the industry. We have achieved the highest ever sales and the profitability for the first nine months of the year, the sales have grown 30% to INR 1,401 crores with the net profit of INR 101.5 crores. The LED shares as percentage of the total Fiem Industries Limited  
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automotive lighting has touched 50% this quarter, reflecting the trend towards the faster adoption of this technology.

As maintained by us, this would move to 60% going-forward. Electric vehicle adoption continues to grow and the total two-wheeler EV have grown more than three times over last year. During the quarter we saw a number of the EV OEMs facing challenges relating to FAME-II incentives. I am confident that these

are temporary hurdles and the industry will adopt and move forward swiftly.

The share of the EVs will continue to grow at a rapid pace. As we entered the fourth quarter, outlook for the economy remains bullish. There is a significant increase in the investment for the infrastructure and the rural economy, agriculture sector is looking promising due to the higher minimum support price. Overall, I continue to stay positive on demand outlook. With this, I hand over to Mr. O.P. Gupta and the finance team do update on operational performance.

O. P. Gupta: Thank you, sir. Good evening to everyone. I'm presenting quarter three number for FY '23. The Company registered a sales of INR 437.9 crores in Q3 FY '23, which is a 13.5% growth from INR 385.69 crores in same quarter last year. The sale for nine months have shown a 30.7% increase on a year-on-year basis to INR 1,401.2 crores. The EBITDA for Q3 FY '23 is INR 59.63 crores, translating into the healthy margin of 13.62% as compared to an EBITDA of INR 47.59 crores that is 12.24% in Q3 of previous financial year.

Nine-month EBITDA stand at INR 187.6 crores, which is a growth of 43.6% over the nine-month period of previous financial year. PAT increased by 33.19% to INR 32.02 crores as compared to INR 24.04 crores in corresponding quarter of FY '22. Nine months PAT is 61% higher at INR 101.58 crores, in comparison to nine months period of previous financial year. During the quarter, the Company has made a capex of INR 18.42 crores, largely in plant and machinery at our Hosur plant. Now we continue to be a net zero debt company. With this, I end the financial brief and now the floor is open for question-and-answers. Moderator: Thank you very much. The first question is from the line of Viraj Kacharia from Securities Investment Manager. Please go ahead.

Viraj Kacharia: Yeah, hi, thanks for the opportunity and congratulations on good set of numbers in such a challenging environment. I have couple of questions. Am I audible? Hello?

Moderator: Yes, you're audible.

Arvind Chauhan: Yes, yes.

Viraj Kacharia: Yeah. Sir, first is just a clarification, for Yamaha, when we report sales for Yamaha, would majority of the sales be purely LED or there will be some traditional lighting business as well?

Rajesh Sharma: This is all purely LED.

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Viraj Kacharia: If you adjust the sales to Yamaha, which is close to 15%, 16%, and if we look at the overall LED sales for us is close to 35% of overall sales. So ex-Yamaha, the overall LED penetration would just be around 20% for us. In that relation, how would it compare for the industry, sir.

Arvind Chauhan: I think your first -- this is Arvind.

Viraj Kacharia: Hi.

Arvind Chauhan: Regarding this LED penetration -- yeah, hi. So this LED, it's not 35%, it is 50% as of now for this quarter.

Viraj Kacharia: No, no. Yamaha, as a percentage of sales is close to 15%, 16% percent of sales and LED sales is actually 35% of overall sales. So, for simplicity if I remove -- adjust for the amount of sales, roughly LED penetration is still around 20% for rest of the business, HMSI, TVS. So in that sense I'm just trying to understand how does it compare for the industry.

Arvind Chauhan: I think the total sales you are comparing with also includes the plastic as well rearview mirror pie chart you're asking for the Yamaha, but anyway, to clarify, the LED what's the percentage you are looking for, it is already clear this Yamaha all lamps are LED, that is one thing. Second thing about the LED as a percentage of ICE, in our 50% LED portion, 43% is coming from the ICE and 7% is from the EVs.

Viraj Kacharia: Okay. When you say 43% is for ICE, but when I say it for the two-wheeler industry, generally, what will be the penetration for LED integratively?

Arvind Chauhan: See it is -- for the industry, at volume levels it should be lower because you can work it out bec

ause we are reporting here on the value basis, not on the volume basis, but industry always...

Viraj Kacharia: Yeah, I am talking about value only sir.

Arvind Chauhan: Value means it is for the industry we have to club all companies' automotive LED lighting sales.

J.K. Jain: Moreover, what we are talking about, out of our turnover, the LEDs constitutes 50%.

Arvind Chauhan: Out of total lighting.

Viraj Kacharia: Understood. Basically my question was, sir, just to understand when I talk about the tool industry in India, what will be the penetration of LED, to get a sense.

J.K. Jain: Yeah, the penetration is very strong because day-by-day, most of the conventional lamps are being changed into the LEDs. So, we hope that in the coming years, the penetration will be, as we mentioned, it is going to be higher and higher.

Arvind Chauhan: But giving the specific numbers on the industry volume is not possible, as of now.

Viraj Kacharia: Okay. Second question was when I look at the new launches, in the last week talked about having a very strong pipeline. Now, some of those customers, see Yamaha, they recently launched -- upgraded a whole new portfolio and they launched new models like FZS and all. So, if you can

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just provide some perspective, are we kind of a supplier for those new models as well, and same as for the Hero Motors, the launches we were expecting, when do we expect that to come across?

Rajesh Sharma: Yamaha FZS, we are the sole supplier for headlamp and taillamp both. There are two kinds of model is being launched one is for the domestic and one is for the export. So export and domestic, both models, we are the 100% supplier of headlamp and taillamp and those are all in LEDs.

Viraj Kacharia: I think they all launched MT-15 and FZS right and a whole lot of other...

Rajesh Sharma: All models. There are 14 models which is already launched for the domestic as well as export market. All MT series is being supplied by Fiem only.

Viraj Kacharia: Okay. And for Hero Motors, sir?

Rajesh Sharma: Yeah, Hero Motors, as we already communicated in last con call also, we are into right now on ramp up situation, so might be in the next quarter we will be having sales figures also in our overall turnover.

Viraj Kacharia: But will this be for the new products in the ICE or EV, or this is also for the older products we're using LED?

Rajesh Sharma: These are both. As of now, it is very difficult for us to inform.

J.K. Jain: ... as per confidentiality binding also, we cannot announce.

Viraj Kacharia: Okay, got it. Just two more questions, sir. If I look at the other segment, correct me in my thinking, which is EV and other categories, Q-on-Q it's been flat despite the volumes and issues a lot of EV guys are facing in the industry. So what is given a stable performance in third quarter in others?

Finance Team Member: You're talking about the EV industry overall, this quarter?

Viraj Kacharia: No, so when we report others, it's around 12% of our revenue, so it's around INR 50 crores to INR 53 crores the revenue from other customers, in this particular quarter. I think last quarter also we did something along similar run rate, which was around INR 50 crores to INR 53 crores.

Finance Team Member: I think in EV what you're looking at, actually there is disruption with some of the customers, but if you see our portfolio, we are active with more than 23 - 24 customers. So I think while one customer which is not moving up, there is another customer where there is increased volume. So for us, EV has only gone up this quarter over the last quarter.

Viraj Kacharia: And do we have any money outstanding because a lot of companies are facing working capital issues?

Arvind Chauhan: No, it is not that case. We are getting our money on time. It's just based on whatever the terms agreed.

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Viraj Kacharia: Okay, just last question was on the margins. I think we did something like close to 39% contribution margin, and in the past, we talked about us having pricing pressure -- I mean, cost pressure from various raw materials. So, have we recovered all of the price increase from the customers, or there's still some more left? So, how should one understand the contribution margin moving for us in coming months?

Arvind Chauhan: So these margins, you're saying some improvement. This improvement is -- I think you're talking about that EBITDA margins?

Viraj Kacharia: No, I am talking about contribution margin, which was close to 39%. So, last few quarters, we were facing raw material cost pressures. So, in that sense, have we got all the price increase?

Finance Team Member: Yeah, we have got all of our escalations from the customers. Virtually, if you see that, the margins have increased, this is because most of the escalations that come in the Company because there's hardly escalations left, and the Company is very closely monitoring this escalation that we are getting money on time. So this is what is reflected in our margins also.

Viraj Kacharia: Okay, fine. I'll come back in queue. Thank you.

Moderator: Thank you. Next question is from the line of Jatin from RTL Investments. Please go ahead.

Jatin: Yeah, hi, good evening, thanks for the opportunity. My first question is on your Yamaha revenue trajectory. Now, from a peak of about INR 90 crores a quarter, we are now down to about INR 67 crores, and this quarter, it was on a Y-o-Y basis also down 14%, 15%. So, just wanted to understand how should we think about this going forward?

Rajesh Sharma: In last quarter also we have explained about this. There was some certain models, which were fixed volume for the export market, especially for the European market, and those volumes has already been covered. So, might be there are few more models which are under pipeline, will again come in next quarter or next to next quarter. So, this is only because of the fixed volume.

J.K. Jain: Moreover, the exports are down. The total industry's exports are down as compared to the domestic market.

Jatin: So basically, you're saying for Yamaha India, the product that they export from here to Europe, those export numbers are down, and that is what is impacting these numbers?

J.K. Jain: Right, yeah, not only for Yamaha, for the whole industry as such.

Jatin: Yeah, yeah. I didn't get -- quite catch the first comment. When you said there was a fixed number for export, was that like one-time model which you supplied because typically in the auto industry, you always have orders for them, lifecycle of the models, which would be normally much longer than rather the one-time model.

Rajesh Sharma: It is a regular. It always be a five-year model. Five years, one model will be launched for five years, but their order line is obviously for two quarter will be okay, and two quarter will be

obviously down.  
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Jatin: Okay.

J.K. Jain: This is normal trend. Normal trend in -- basically export is down for the two-wheeler industries at the moment.

Jatin: Right, got it, got it. Second question was on your sides, just on the Yamaha line, so you mentioned that there are these FZ series of models which have got a launched. So, should they boost the Yamaha number going forward?

Arvind Chauhan: Can you repeat your question?

Jatin: This was just a follow up on the Yamaha side, where I was asking that you responded to an earlier question that on the FZ series you are there as a sole supplier? Would we expect that that would support the Yamaha revenue going forward, or is that something that is already there in this quarter's numbers as well?

Rajesh Sharma: That will definitely support. That will support for recovery of all -- whatever losses we are having.

Jatin: Okay, great, that's good to h

ear. My second question was on margins. Now, if I look at our company for a very long period of time, our margins have been very closely in that 12%, 13% kind of range. Now we are seeing them starting to inch up to 13.5%, and gradually hopefully even higher. So, what is really driving this margin performance?

Finance Team Member: Actually if you see that, in earlier period, we have been delivering margin to the tune of 12%, and every time we have been telling that, our escalations during the period of raw material costs has been not -- has been difficult with the customer, but customer is taking time to pay the same, but now you see that we have virtually received most of the escalations on time and you see that the raw material consumption has also gone down by 1%. So, that is why you see the reflection in our EBITDA margins because that is why EBITDA has gone up by 1.5% from 12% to 13.5%, which we hope to maintain the same.

Jatin: No, my question was more slightly longer period. I understand that right now, this is RM lead land but even before this entire process, where RM started shooting up happened, we were always around that 11%, 12% kind of mark. We were never at the 13.5%. So, just wanted to understand what...

Finance Team Member: Hopefully because now the turnover is growing, you see that every year the turnover is growing, but our cost of overheads is not going in that amount. So, the percentage is coming down. So that is clearly visible in our overall percentage. So, this top line is growing. Every year, we are growing by 15%, 20%, nine months we have grown by 30%. So that increase in sales with a corresponding not increasing the fixed overhead is giving impetus to our improving margins.

Jatin: Great, great, so you're really running a very tight ship and we can see the benefit of that. My last question was on Hero. Now, we understand that for Hero, the largest supplier was Unitech and they are having kind of their own issues, financial issues and we recently checked with Lumax and they mentioned that they are already a very large supplier and hence they have not seen any

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benefit from Unitech share going down. So, would it be fair to assume that a large part of that benefit would accrue to a company like Fiem?

Rajesh Sharma: No, it is not like that. The technology on which we are working as of now, better developed supposed to get that business, and that business is not only for the domestic market, even for the export market also.

Jatin: So then, who is that business going to? I would assume typically when an auto OEM finds a supplier in distress, they kind of try to diversify away from that supplier.

Rajesh Sharma: Of course out of this, three suppliers are already there, but the point is that we are getting the business on our strength, and we can only talk about our company. We cannot talk about the competitors.

Jatin: Understood. Thanks a lot, sir.

Moderator: Thank you. Next question is from the line of Komal Ladha from YellowJersey Investment Advisors. Please go ahead.

Komal Ladha: Hello. Can you please give your share of business with different customers?

Arvind Chauhan: Customer wise... so the business... the wallet share, I think you are referring?

Komal Ladha: Yeah.

Arvind Chauhan: Okay. So this we are giving for the full year based on '21, '22 numbers. The TVS, for headlamps



we are having 73%, taillamps 69%, winker 82%, and for rearview mirror 55%. For Yamaha, headlamp is 91%, taillamp is 64%, winker is 5%, and rearview mirror is 32%. Suzuki, headlamps is 80%, taillamp is also 80%, winker is 23%, rearview mirror, we are sole supplier so 100%. For HSI, headlamp is 40%, taillamp is 76%, winker is 85%, and rearview mirror is 100%. Apart from the rearview for RR and position lamp we are 100% with Yamaha as well as Suzuki.

Komal Ladha: Okay, thank you. And I wanted to ask that what kind of demand

can we expect from two-wheeler

industries in coming two years as well as in export market?

Finance Team Member So, domestic two-wheeler industry, or you're talking about the export, or both?

Komal Ladha: Domestic two-wheeler industry and as well as export.

Finance Team Member So domestic two-wheeler industry, I think you could see over the last few quarters, there is a lot of activity and I think it is well positioned for growth, I think. There is over the next couple of years, it should get back to the peak that the industry had achieved in FY '19. So, there is enough headroom, all the economic factors, the macro factors seem to be stacking up well. So, we feel very confident that the industry will grow very confidently from here on. Export market, I think is also something that our company specifically is working actively with our OEMs. And I think there is a lot of potential with China Plus One strategy is coming in Thailand, other markets,

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even European markets are looking for a lot of diversification. So, there is a lot of positive development there. So, over the next two, three years, the industry should do fairly well.

Komal Ladha: Can we expect to cross the peak in FY '24 or FY '25?

Finance Team Member: It'd be tough to give an exact estimate. There are many macro events at play, but clearly we are heading there.

Komal Ladha: Okay, thank you.

Moderator: Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: Yeah, thanks for the opportunity. So, my first question is on the raw material prices trend. So how is the raw material prices currently and do we expect some sort of a price decreases that we have to take if the raw material prices are decreasing?

Arvind Chauhan: The prices there is -- of late, there are softening in the prices, but this is never a concern for us, actually. This is always passed on to the customers. There is a lag of, say, one quarter, two quarter, but this is always passed through.

Aashin Modi: And sir, my second question that we've talked about is that we grow ahead of the industry going forward. So, I want you to understand what sort of a volume growth do we expect because of increasing share of business with existing customers, increasing adding new customers, so do we expect faster volume growth than the industry?

Arvind Chauhan: See, when we're talking about our growth, there are lot many growth sectors, and this is not only the volumes... everything, like the technology give us the advantage of more realization as well as whatever we can get -- can get more businesses from our existing OEM customers, and the EVs and LEDs. There are so many factors for these growth drivers.

Aashin Modi: Okay. Sir, my third question is regarding LED adoption. So, as far as our current order book, could you tell us how there's a higher share of LED in the two-wheeler segment, and given the pricing pressure that the two-wheeler industry has seen, can we expect the LED adoption to be as fast as we are thinking?

Rajesh Sharma: As of now, as we have already declared, 50% penetration is already there. And here on, every year you can see 10% of additional increase of conventional to LED is being adopted by the customers. So, we hope in next five years 100% will be changed to LED.

Aashin Modi: And sir lastly, on the EV orderbook, the orderbook we have from our EV customers, so there are a few players which are facing issues from FAME-II subsidy. So, is our order book very much -- has a higher proportion of those two customers especially Hero Electric and Okinawa?

J.K. Jain: We are supplying -- basically as I told in my speech, these are all short-term hurdle. They are not permanent. So they will come out very easily.

Rajesh Sharma: They have already started their volumes and production is on.

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Moderator: Our next question is from the line of Nirvana Laha as an Individual Investor.

Nirvana Laha: Hi, thanks for the opportunity. Sir, good to see that you're saying that the EV impact will not be substantial or permanent. So just one question. I assume you faced some impact in quarter three.

So, can you confirm that and do you think there'll be impact in quarter four, or are you expecting normalized volumes from quarter four from the EV players?

Arvind Chauhan: There is no impact on us. I think the previous question you're referring is about the subsidy issue on FAME. There is no impact on our business.

Nirvana Laha: So in terms of orders received by Fiem from these players, there was no impact it was business as usual. Got it.

Arvind Chauhan: No impact.

Nirvana Laha: And you don't foresee any impact in the coming one or two quarters based on the orders you're receiving?

Finance Team Member: I think the way you have to look at it is that we have a very diversified customer base here. There will be one or two players who will be impacted. There will be other two players who will ramp up volume, and that is what has happened to keep our volumes the way they are. So to that extent, we feel that the overall volumes, our share will continue to go up, our EV volumes. Now which player does what is something that remains to be sort of seen over the next few quarters, but overall industry is going up, and that is why we've been insulated because of our diversified customers.

Nirvana Laha: What percentage of your sales roughly are related to OEM exports, not your exports, but if you can give a rough figure OEM exports?

Arvind Chauhan: No, see it is difficult to give because we are supplying to their global models and so many geographies in Europe, Japan and Thailand, but we cannot give the numbers how much exports...

Rajesh Sharma: Our supply is directly to Indian customers, and they are exporting their vehicles or their parts to their subsidiary companies. It will be difficult for us to calculate the percentage.

Nirvana Laha: Okay, so not even a ballpark kind of number? So the reason I ask this question is because export demand may be impacted, as you're saying, but domestic demand may grow strongly, so just to model that.

Arvind Chauhan: But it's very difficult to give this number.

Nirvana Laha: And for Hero Motors, the upcoming supplies, are they going to be LED supplies or halogen, or is it a mix of both?

Rajesh Sharma: All LEDs.

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Nirvana Laha: All LEDs, okay. Final question from my side, so, you mentioned that margins are improving due to operating leverage, and revenues increasing, but also the gradual conversion to LED should also be one of the strong reasons, right?

J.K. Jain: Yeah, yes, yes. Yeah, that's true. That is one of the -- and moreover, it is our USP to how to get the margins, how to save on the costs-- how to become economical because customer doesn't give any margins.

Arvind Chauhan: So basically, it is all the internal efficiency...

Nirvana Laha: Right. Given that you're saying you expect in five years 100% conversion to LED, the margins should sustain right? Of course, there can be one-off events, which nobody can predict, but the 13.5%, 14% kind of margins, if everything else remains normal, should sustain the same. Is that the correct understanding?

Rajesh Sharma: Yes.

J.K. Jain: Yeah, basically the trend is like that. So, based on the trend we can say that in next five years it is going to be 100% LED.

Nirvana Laha: Okay. And any developments on modelling purpose?

Finance Team Member: Yeah, for your modelling purposes to answer yes. I mean, this is the margin we would expect going forward.

Nirvana Laha: Any developments that you want to talk about with respect to any new products, either four wheelers and lighting or anything else at all?

Finance Team Member: So, I th

ink there is a lot in ecosystem, there is lots happening with the EV ecosystem, with the overall industry, and there is active discussion on a number of strategic sort of initiatives. However, we would be able to only talk about it when something actually culminates. So, at this point of time, it'll be too premature.

Nirvana Laha: Sure, but would you like to highlight at least any area of the universe that you're looking at?

J.K. Jain: We're strategically -- at the moment, we can't disclose.

Finance Team Member: But it will be all adjacencies only across the industry. There is no -- so it will be very related to businesses.

Nirvana Laha: Okay, and this is not seeking guidance, but just in how many quarters do you think you'll be in a position to announce something on this, just if you have an idea?

Arvind Chauhan: No, no. See, the things we have shared that this will be all our related industry...the automotive,

and next thing we can definitely inform, as and when something culminates.  
Moderator: Next question is from the line of Shakti Agrawal, as an Individual Investor.  
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Shakti Agrawal: Hi, congratulations on a good set of numbers. Sir, I wanted to understand what is our capacity utilization at this point?

Arvind Chauhan: See, our capacity utilization is in the range of 75% for this quarter.

Shakti Agrawal: 75% for this quarter. What is the peak capacity utilization that we can achieve, sir?

Arvind Chauhan: Peak, it can go beyond 90%.

Shakti Agrawal: Peak it can go beyond 90%. All right. Any breakthrough in the four-wheeler division, sir?

Because we've been discussing for last couple of quarters about breakthrough in the four-wheeler division and diversification towards this? Has there been any breakthrough in that?

Arvind Chauhan: As already informed, we are working on the opportunities, but definitely nothing to inform as of now.

Shakti Agrawal: And sir, what is the overall contribution in the entire two wheeler on our contribution in terms of light, what is the overall cost contribution in that?

Arvind Chauhan: You're talking about our market share in the two-wheeler lighting?

Shakti Agrawal: No, no. Like in 2019, you'd mentioned that our overall contribution is about like INR 2,000, INR 2,500 rupees in the entire thing. Just wanted to know what is the overall contribution in the entire two-wheeler -- this thing for headlights, taillights, what you supply.

Arvind Chauhan: I think you're talking about the kit value per vehicle.

Shakti Agrawal: Yes, yes.

Arvind Chauhan: So, it depends, means, INR 2,000 to INR 5,000 and maybe more in some cases because...

Rajesh Sharma: It varies from INR 800 to INR 5,000.

Shakti Agrawal: Okay, INR 800 to INR 5,000. All right. That would be quite helpful. Sir, now, the two-wheeler industry has grown about 10%. We have grown about 30%. So, is that the kind of outperformance that we're going to continue going forward as well? Let's say if the two-wheel industry grows by 10%, we are going to grow by 30%?

J.K. Jain: Basically, if you see, we have to reach minimum near 2019 level. We are much below, much, much below. So we reach 2019 level, then it comes very high, the percent come very, very high.

Shakti Agrawal: No, no sir. I'm just saying that let's say industry has grown 10%, the two-wheeler industry...

Arvind Chauhan: See, what we maintained that we always outgrown the industry growth. We are very hopeful... I mean there is nothing to say that we will not grow better... in fact, we will grow very strong.

Shakti Agrawal: And sir, what are we -- in terms of capex, what are the capex numbers that we're looking for FY '24?

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Finance Team Member: So, I think for the current year, we should close... may be between INR 45 crores and INR 50 crores, and for next year again there should be another outflow INR 40 cr

ores to INR 50 crores

additional. Yeah, so another INR 50 crores odd you should estimate.

Moderator: Next question is from the line of Viraj Kacharia from Securities Investment Manager.

Viraj Kacharia: Just two questions. First is, you talked about an opportunity in exports for us. So, is this direct export opportunity or we are talking more about, say, supply to Yamaha or HMTI for their global...

Rajesh Sharma: There are -- our supplies are domestic -- to all the domestic customers and domestic customers are exporting. There are few supplies we are doing direct export that is of Harley Davidson, and Piaggio. These are our direct export. And some of Suzuki and Yamaha also we do direct export, but major percentage are with Indian customers only, Indian OEMs.

Viraj Kacharia: So when we talk about an increasing opportunity in exports, can you provide some perspective, what is that opportunity and how are we looking to play that?

Rajesh Sharma: Overall volume forecast from the customers are good. I think we are hope -- we hope there will be a good opportunity for the growth of numbers overall.

Viraj Kacharia: And typically in exports also, the product development cycle is between, say, three, four years to five years. So, when we are talking to customers for export opportunities, where would we be in that journey?

Rajesh Sharma: Yeah, it is always be like 1.5 years to two years the development time and five years is normal vehicle life cycle...

Viraj Kacharia: So, a lot of that would start materializing in next two, three years. Is that understanding right?

Rajesh Sharma: Yeah, as of now, we are working on our 85 – 90 plus new projects for different OEMs for

domestic as well as exports market.

Viraj Kacharia: Second question was on the cash part. What would be the cash as of December 31?

Arvind Chauhan: INR 207 crores is at December.

Viraj Kacharia: Sorry, your voice was not coming clear.

Arvind Chauhan: This is INR 207 crores.

Viraj Kacharia: Net cash, right?

Moderator: Next question is from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: On this Hero order that we have got, is this for scooter or motorcycle models or EV?

Arvind Chauhan: So very difficult -- to specify the models...you understand...

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Rajesh Sharma: Yeah, there are scooter and motorcycle model, but mainly the first products will come with motorcycle.

Ashutosh Tiwari: Okay and this is like a new model or from the -- like, say, they are launching the lot of the extract models as part of that as a new model or refresh?

Rajesh Sharma: They are doing both models. One is existing, another is new model.

Ashutosh Tiwari: And Yamaha, you mentioned that a couple of more models will be added for next year.

Rajesh Sharma: Yeah. There are three models we'll be adding, a new within next year that will be for domestic as well as for export, both.

Ashutosh Tiwari: So, this is like a refresh of the earlier models or it completely new models?

Rajesh Sharma: Completely new model.

Ashutosh Tiwari: So Yamaha will again go back to growth from next year?

Rajesh Sharma: Yes.

Ashutosh Tiwari: And you mentioned you have INR 200 crores plus cash on the balance sheet right now, the net cash.

Arvind Chauhan: INR 207 crores.

Ashutosh Tiwari: So any plans to increase dividend and or how should we -- because capex is going to be lower only for us, so any plan to increase dividend or what is thought process in cash?

Arvind Chauhan: See, this is -- regarding the dividend, it is -- you already have seen 20% to 25% of our net profits as per the policy... so definitely the cash is more, it will be increased and it all depends on the Board's decision.

Moderator: The next question is from the line of Anika Mittal from Nvest Research.

Anika Mittal: Hello. Sir, what is the revenue guidance for the complete financial '23, do you see quarter four will

I be better than quarter three financial year '23?

Finance Team Member: Generally, we have given a guidance of 15% revenue growth, but overall on...

Anika Mittal: Yes, sir.

Finance Team Member: Overall, generally, Q4 is always better than Q3 for us sequentially.

Anika Mittal: Okay.

Finance Team Member: So, to kind of maintain that.

Anika Mittal: Okay, sir. But sir, EV share for the quarter three financial year '22?

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Finance Team Member: EV share is right now close to 6%.

Moderator: The next question is from the line of Rahul Picha from Multi-Act PMS.

Rahul Picha: Sir, on the Hero business that we have won, what could be the contribution in the next financial year? Like, will it be a meaningful contribution?

J.K. Jain: No, it is just the beginning. So next quarter will not be meaningful. Maybe from the next year, it will be very good supportive.

Rahul Picha: So, can we expect it to be in the top five customers for next year, FY '24?

J.K. Jain: No.

Rajesh Sharma: We cannot comment as of now. It totally will depend on the customer ramp up plan.

Rahul Picha: Okay and what kind of wallet share are we expecting in the next quarter or the next year for Hero?

Arvind Chauhan: It is too premature to talk about these parameters. So, definitely when the next year numbers will come, you will get a clear picture.

Rajesh Sharma: First, vehicle will be launched. Those all figure will definitely come out on the platform.

Moderator: Next question is from the line of Nidhi Babaria from Envision Capital.

Nidhi Babaria: Sorry if I missed it initially, but if you can help me understand the order book which we have right now. And also when we say that the current margin is a lot of -- a lot of current margins

has been contributed via other expense. So, do we mean to say that the gross margins are going to be stable at 39% kind of range and the -- like the...

Rajesh Sharma: Yes, we have a 95 plus new projects as of now under development. Those will be materialized in next year or maybe next to next year. So, we have a strong project portfolio which is under development which will give us our sales figure into positive direction of sales growth.

Nidhi Babaria: Okay and sir, do we give order book guidance?

Arvind Chauhan: No, we generally don't give the order book guidance....

Nidhi Babaria: Okay.

J.K. Jain: Approximate -- you can say the approximate value is around INR 850 crores to INR 900 crores

Arvind Chauhan: Yes. The projects we are referring...will be INR 850 crores to INR 900 crores value in next 3 years' time.

Nidhi Babaria: And this will come under production in FY '24 itself or it will be in next three years?

Rajesh Sharma: Some in '24, some in '25, yeah.

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Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment Managers .

Pritesh Chheda: Sir, what is the expected shift in LED to non-LED next year in FY '24? And even now, the LED to non-LED pricing is 2:1 -- sorry, 3:1?

Arvind Chauhan: Sir, your voice is breaking, but we can...

J.K. Jain: Yes, will you repeat the question?

Pritesh Chheda: Sir, question is, what will be the LED to non-LED shift, share shift in FY '24?

J.K. Jain: As we have explained earlier, at the moment, we are at 50% level and we expect to 60% level.

Pritesh Chheda: Next year based on whatever models and RFQs and production plan that you have?

J.K. Jain: Yeah.

Pritesh Chheda: Okay. And the premium LED to non-LED is 3:1, 2:1, the pricing?

Rajesh Sharma: It totally will depend on the technology, what kind of technology is being input for with LED or without -- non-LED. There are reflector type, there are projector type. So, every cost is different.

It will be very difficult to calculate by this way. But normal condition is conventional to normal

LED, it is almost still 1:3.

Pritesh Chheda:

On the margin side, is there any upsides to margins when LED mix keeps on rising?

Arvind Chauhan: We are already doing 13.5% to 13.6% now, so it is always ...

J.K. Jain: Margins are always the same.

Pritesh Chheda: Margins are always same?

J.K. Jain: LED or non-LED.

Pritesh Chheda: Okay. So when you move next year on a higher utilization at 90%, will there be a further margin offset from 13% that we are reporting 13%, 14% that we're reporting right now or you think that lot of the margins are captured?

Finance Team Member: Margin in terms of amount will increase, but in terms of percentage, we have already outperformed everybody and we cross even 13.5% first to maintain this margin at 13.5%, 13.6%, 13.75%, but when the sale grows, then definitely, the amount, the margin will be very huge.

Pritesh Chheda: And lastly, sir, on exports, I couldn't get your comments. Someone asked you on exports whether are you getting any direct exports or most of your export opportunities that you're seeing are deemed exports that is basically the supply to a Honda or Suzuki or a Yamaha in India and they in turn tend to export the product lines? Are you...

J.K. Jain: Basically, our export -- yeah, please continue.

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Pritesh Chheda: Are you a part of any global supply, direct supply or are you ideally global direct supply? That was the point.

J.K. Jain: Yeah, basically, direct supply, globally, we are giving to Harley Davidson, we are giving to Yamaha and Piaggio. So, these are the direct supplies. But rest of the things, we are giving to the OEMs in India and they are exporting with their own channel to different countries.

Pritesh Chheda: Okay. So how much is direct supply in total exports for you, percentage?

J.K. Jain: Yeah. 2.7% at the moment, direct exports.

Pritesh Chheda: 2.7% of the export or 2.7% of total sale? 2.7% of your total sales?

Arvind Chauhan: Our sales.

Moderator: The next question is from the line of Kisan Ravia as an Individual Investor.

Kisan Ravia: Sir. I just wanted to know like the overall market size of the 2-wheeler lightning. Is there any number you're looking forward to?

J.K. Jain: No, basically you can say about INR 8,000 crores to INR 9,000 crores at the moment. And we are at the 30% level (pls. read estimated).

Kisan Ravia: And is there any ballpark number for the same future opportunity growth for the same?

J.K. Jain: Yeah, basically, as we told that we have more than 95 projects in hand, which is going to be in next two years. So, we have a very robust pipeline.

Kisan Ravia: And so, these numbers are including your LED light numbers, right?

J.K. Jain: Yes, yes, yes.

Moderator: Next question is from line of Vishal from Swan Investments.

Vishal: Just one question regarding, sir, what will be our import content in LED and non-LED lighting?

Arvind Chauhan: The non-LED lighting is nil.

J.K. Jain: Nil, almost nil.

Arvind Chauhan: Almost nil. And for the LED head lamp, the content is more. It ranges from 35% to 60%. So, it depends on what product we are talking. But LED, the import content is more.

J.K. Jain: And it varies from product to product.

Vishal: Sir, then in that case, as the proportion of LED lighting increase, we have to maintain more of inventory and our working capital will be stretched. Is that -- that can happen LED vis-a-vis non-LED?

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J.K. Jain: Yes, basically, your question is correct because for the electronic product, we have to have a very, very high inventory and also projections we have to give for a year. Earlier, it was six months. But now, we have to give a projection for one year, so the inventory is very high. That's true.

Vishal: Sir, then in that case, sir, the working capital cycle in LED is stretched and the capital intensity in LED is also high. So, sir, in that case, how do you manage

age the ROCE in both the business,

LED and non-LED? Is the non-LED business more ROCE accretive than the LED business? Is my understanding right?

J.K. Jain: No, no, basically, the sales of the LED business is higher and being a fixed cost, so the profit is better. And with regard to the how you manage it is our USP to how we manage our turnover versus stocks.

Arvind Chauhan: One thing you have to understand, this is the higher level of inventory is required because this is the import of the electronics and the LED. When the situation normalizes, that lead time will also be reduced.

Vishal: Is the price difference of -- in LED, 3:1, still there or it is lower now?

J.K. Jain: Now better, now getting better day by day.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. Sahil Sanghvi for closing remarks. Thank you and over to you.

Sahil Sanghvi: Thank you. We, on behalf of Monarch Network Capital, we want to thank the management for very patiently answering all the questions. J.K. sir, do you have any closing remarks?

J.K. Jain: Yeah, I will. I appreciate everyone's participation in the conference call. And I hope that we have provided satisfactory answers to all your queries. If you have any further questions, please don't hesitate to contact us. Thank you and have a good day.

Moderator: Thank you very much. Ladies and gentlemen on behalf Monarch Network Capital, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Jun 2023

June 6, 2023

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q4/FY23 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on June 01, 2023 to discuss Operational and Financial performance of the Company for Q4/FY23. Pursuant to Regulation 46(2)(a) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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Q4FY'23 Earnings Conference Call  
June 01, 2023

### COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD - MR. RAHUL JAIN – DIRECTOR
- MR. RAJESH SHARMA – DIRECTOR - MR. VINEET SAHNI - CEO & DIRECTOR
- MR. ARVIND CHAUHAN -CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

### MODERATOR

- MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q4 FY '23 Earnings Conference Call of Fiem Industries Limited, hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you, and over to you.

Sahil Sanghvi: Thank you, Yashshree. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q4 and FY '23 Conference Call of Fiem Industries Limited. We'll start the call with the initial comment about the results and the future outlook of the company and then we'll open the floor for question-and-answers. So without much delay now I hand over the call to Mr. J.K. Jain, Chairman and MD of the company. Over to you, sir.

J.K. Jain: Thank you. Good afternoon to everyone, and welcome to FY '23 Earnings Call of Fiem Industries. Joining me on today's call are Rahul Jain, Director; Rajesh Sharma, Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team. I would like to introduce Mr. Vineet Sahni who has joined us as Director and CEO. Vineet Sahni has a vast experience of over 35 years in the automotive industries. He will be driving the company growth strategy in the 4-wheeler segment. The results and the investor presentation for FY '23 have been made available on the both the stock exchange and the company website. I hope everyone has had a chance to review the same.

FY '23 has been a year of recovery and transformation of the Indian economy. Despite number of challenges, including financial sector, inflation and geopolitical issues, Indian economy has demonstrated its strength and has emerged as one of the fastest-growing economies in the world, with a growth rate of 7% in FY '23.

This growth has been driven by a number of facts, including the recovery in domestic demand and the government's focus on infrastructure development. The 2-wheeler industry also posted a year-on-year growth of 9.8% in production volumes and 17.7% in domestic sale volumes. The 2-wheeler segment is the best suited to meet the country's mobility demand, and thus, I believe the industry will sustain a double-digit CAGR in the long term.

Now let me shift my attention to the operating performance of the Fiem Industries. I am pleased to share that the company's revenue for the full year FY '23 have grown by 18%, EBITDA by 28% and the profit after tax by 46%. We have a very strong balance sheet and are well positioned  
Fiem Industries Limited  
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for growth. Our EV customer base continues to grow and we have now 28 customers in this segment.

While the EV industry has seen some slowdown due to the recent FAME subsidy challenges, the long-term growth remains intact and we are committed to supporting our customers in these transitions. I am also pleased to share that Fiem has entered into an agreement with Gogoro India to expand its product portfolio in the 2-wheeler EV segment.

As you are aware, Gogoro India is a group company of Gogoro Taiwan, which is Taiwan's largest EV 2-wheeler manufacturer and is a world leader in battery swapping technology. As a part of this agreement, in addition to our existing lighting and rear-view mirror business, we also

plan to gradually indigenize in phased manner, the hub motor assembly and motor control units. Gogoro will provide the technology -- technical know-how and other support in setting up the manufacturing facilities as well as production, quality and testing support for the above new product lines. This will significantly enhance our per vehicle content to INR15,000 to INR18,000. In addition, this opens up a new electronic segment for Fiem, which can provide significant growth and new opportunities in future. This tie-up demonstrates Fiem's leadership in EV segment and the confidence that its manufacturing and technical abilities enjoy the global customers. We thus are well positioned for growth in FY '24.

With this, I hand over to our CFO, Mr. O.P. Gupta and the finance team to update on operational performance. Thank you.



O. P. Gupta: Thank you, sir. Good afternoon to everyone. First, I will present the Q4 numbers. After which, I will cover the full year FY '23. The company has registered quarterly sales of INR432.84 crores in Q4 of FY '23 as compared to INR483.52 crores over same quarter last year.

This decline is due to a 25% drop in production volume of our key customer, Honda. The EBITDA in Q4 was INR60.21 crores translating into an EBITDA margin of 13.91% as compared to INR62.78 crores over same quarter last year with EBITDA margin of 12.98%. The PAT of the company has also increased to INR38.05 crores as compared to INR32 crores in quarter 4 of FY '22, representing an increase of 18.9%.

Now I will briefly cover the number of full financial year '22-'23. During FY '23, the company has achieved net sales of INR1,834 crores as compared to INR1,558 crores in FY '22, representing a growth of 17.7%. EBITDA stood at INR247.85 crores being 13.51% as compared to INR193.45 crores being 12.42% during FY '22. This is a jump of over 28%, driven by higher sales.

PAT of the company stood at INR139.63 crores as compared to INR95.26 crores during FY '22, which is higher by 46.5%. I am happy to report that we are a debt-free company. During the year, the company has made a capex of INR54 crores. As you are aware, the company has been consistently declaring higher dividend every year. In line with the same, I am also pleased to inform you that the Board of Directors have recommended a final dividend of INR30 per share for FY '22-'23.

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With this, I end the financial brief and now the floor is open for question-and-answers. Thank you.

Moderator: Thank you very much. We have our first question from the line of Aashin Modi from Equirus.

Aashin Modi: Congratulations on a great set of results. Sir, my first question is regarding this Gogoro agreement. Could you please provide us with some time lines on this? And what sort of a value addition will we do? And if you could tell us what sort of a customer base we target, what sort of a -- in terms of revenue addition do we target from here?

J.K. Jain: Rajesh.

Finance Team member: I think, Mr. Rajesh Sharma is actually in Tokyo. He'll take the question on... Rajesh, go ahead please.

Rajesh Sharma: Yes. As Mr. Jain has already covered in his speech about Gogoro product line, what we did is because we have already developed the automotive lighting, especially headlamp, taillamp and blinker for their 2 models that will be exclusive for India as well as export market. Further on, the partnership, which is being defined that is for hub motor assembly, motor controller and ECU. These are the 3 components for which we have already started the assemblies and might be in August, this production line will be started to a ramp-up condition.

Aashin Modi: Okay. Okay, sir. And sir, my next question is on the order book. We had said that last quarter order book was around INR850 crores, INR900-odd crores. So if you could tell us how much is the new orders? And how do you see the ramp-up of this order book in the

next 2, 3 years?

Finance Team member: Yes. So the order book is actually around INR950 crores today and it's ramping up well. There is -- we've mentioned that we have close to 28 customers in the EV segment alone, where there is a lot of work happening. So overall -- and this is over and above the existing customer plus we have -- we are beginning with Hero Group as well, which we've informed here in the past. So overall, the order book is very healthy.

Aashin Modi: And sir, could you tell us how this would ramp up in the next 2, 3 years? We are talking about adding 3 new models of Yamaha and also starting with Hero. So if you could tell us how it will shape up in FY '24 -'25? New order...

Finance Team member: So specific numbers, we won't be able to give you. But overall direction, we are giving you the new customers that have been added and specifically with regards to Hero and the EV segment, which are new. But -- and overall guidance we've given in terms of the order.

J.K. Jain: Basically, we are very bullish on that.

Aashin Modi: Okay. So we expect to outperform the industry by 10%, 15% in the next 2, 3 years?

Finance Team member: Yes. That we have always maintained that we will outperform the industry given our diversified mix that outperformance, we are pretty confident.

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Aashin Modi: And sir, our LED contribution this quarter increased to 60%, 65% so was it because of the customer mix, which changed? And what sort of a number do we see in FY '24 and '25, LED

mix in the whole lighting piece?

Arvind Chauhan Yes. So this LED is 56% in quarter 4, this is, as you rightly said, this is because of mix of customer sales. But on overall year basis, this is 49%.

Aashin Modi: And what sort of a expectation do you have for -- based on our orders in '24 and '25?

Arvind Chauhan So as we already, you know in last calls also, we already said that in next 2 - 3 years, it will be increasing and near to 60% will be very soon.

J.K. Jain: 75%.

Arvind Chauhan Yes. So it is on increasing trend.

Aashin Modi: Okay, sir. And sir, on the margins front, our margins have continuously improved, so could you give us some sort of a guidance on what sort of a margin do we expect going forward?

Finance Team member: Yes. So I think in the earlier past, we were, I think, more towards 12.5%, 13%, but I think the recent performance you've seen this quarter has been exceptional in terms of margin but from guidance perspective, we would like to maintain around 13.5% as we go forward.

Aashin Modi: And sir, lastly, so we have added Vineet sir to our team. So what sort of a ramp-up in 4-wheeler do we see? What sort of a technology addition do we need? And how much time will you take if you want to venture into 4-wheeler?

Vineet Sahni: Yes. Thank you for the question, Vineet this side. I have just joined in. And I am bullish about the trends in 4-wheeler industry. We have started knocking the doors. Too early to say anything on this but we are very positive in this direction. And we will get a good customer response because of my experience and old relationship with the customer.

Moderator: We have our next question from the line of Piyush Jain from NX Wealth Management.

Piyush Jain: My question is also on the similar lines on the earlier participant asked. First, I wanted to understand what is the size of opportunity which we are seeing with the partnership of Gogoro?

And what type of margin this business will have and what type of capex requirement will be there? Second, what is our capacity utilization and as -- with Vineet sir, penetration which we'll be able to get some 4-wheeler customer? Then is there any further capex will be required to ramp-up the -- for 4-wheeler requirements?

J.K. Jain: Yes. Basically, with regard to the Gogoro, we are just starting and we have informed earlier. So as soon as, we'll be start by August onwards. So basically, it will

I be -- initially, it is going to be

CKD and which we are going to indigenize in a phased manner. So that is what about it.

Finance Team member: Yes. And on your specific question around numbers or capex, let me just state that Gogoro, as you know, in India, they are focusing around the B2B segment significantly. And there is a large opportunity there. So I think all of these are something which will evolve over the next couple

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of months. And then there will be a joint -- there will be investment around it but it is early to comment on that. But we see a very large market opportunity.

Piyush Jain: But any ballpark -- any estimate, something because generally in automobiles, whenever we are tying up with any new customers, something, we need to do some capex also. Is there any capex also requirement which we need to do for this motors...

Finance Team member: Yes, there is definitely capex that is happening as we speak but those are not significant numbers. What will happen is that this will ramp up to a large number, which is what we are finalizing.

J.K. Jain: No, we are in the process. We are estimating this. We'll come back to you in the next quarter on this.

Piyush Jain: Okay. And this will be similar to the margin currently Fiem Industries is doing or it could be on the higher or lower side?

Finance Team member: Similar margins, as such.

Piyush Jain: Similar. Okay.. The other question was on 4-wheeler. Again, for that business also, do we need to do any capex or our facility is still enough to achieve some X number of the revenue?

Vineet Sahni: This is Vineet this side again. See, it is too early to decide on capex because 4-wheeler, as you know, is a long lead time business. First, you need to get orders and you have to develop a product. So we are working out our strategy. At appropriate time, we will keep you updated.

Piyush Jain: Okay. So can we get this data? Like currently, we have closed this year around INR1,850 crores turnover, without capex, can we give our capacity, how much is the turnover we can achieve in next 1 or 2 years? Or what is our -- right now facility can we deliver, what type of number?

Finance Team member: So our current capacity, our estimate is that this can easily -- our current capacity can take us to INR2,300 crores to INR2,400 crores turnover, that ballpark figure. But that is also variable. It really depends on the product composition. And with the LED content also going up, all of that could mean a higher turnover as well. But organical growth, we are well positioned. We have enough capacity to take care of that. But all the new initiatives that we are talking about, though they will require some capex but those are things which are being crystallized, as we speak.

Piyush Jain: And what is our current EV percentage share on the overall top line?

Finance Team member: It's still 5%-or-so.

Piyush Jain: So have you seen any demand subdued with respect to -- because there's lot of things going on with respect to FAME subsidy and all. So have we seen any truncated schedule or something or some subdued demand on the EV spend side?

Finance Team member: So it's been customer specific. There have been some customers which have been impacted significantly and there are other customers who have gone up. And so from that perspective, if you look at between FY '22 and '23, the EV sale has gone up by 2.5x, 250% but there is some impact on a few customers, which you are all aware of.

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Piyush Jain: Okay. And the last question from my side. Are you supplying for TVS iQube specifically or we are not supplying for that model?

J.K. Jain: Yes. We are under development. And I hope in the next few months, our supplies will start with iQube.

Piyush Jain: And sir, earlier also we have given some guidance that we will be starting some 2, 3 models for Hero. So a

ny development on that front, when we will or already started...

Rajesh Sharma: Yes. Hero, 1 model -- 1 product is already started. And last month, further on the new model, which is being launched by Hero that will be started from August first week.

Piyush Jain: This is ICE or...

Rajesh Sharma: Sorry?

Piyush Jain: This is IC engine model or EV model?

Rajesh Sharma: These are all IC engines. EV model is under development right now. EV model will be soon launched by end of this year.

Piyush Jain: For that also Fiem will be the partner?

Rajesh Sharma: Yes.

Piyush Jain: Okay. And last question. This Harley-Davidson and in Yamaha how much we did in the full year FY '23 as compared to '22?

Arvind Chauhan: See, for -- you are asking about 2 specific customers, right, Harley-Davidson and Yamaha?

Piyush Jain: Yes.

Finance Team member: Just 1 minute. So for the full year Yamaha is approximately INR280 crores, which is 15.3% of our revenue -- of our sales and Harley-Davidson is INR38.15 crores.

Piyush Jain: Okay. Any significant ramp-up is expected in Harley-Davidson?

Rajesh Sharma: No. As of now...there is...

Arvind Chauhan: Yes, Rajesh ji, please continue..

Rajesh Sharma: Yes. There will be growth but not significantly because the models and volumes are not so high. We are exporting from here to U.S. as well as to Thailand and those models are all high -- higher CC models.

Piyush Jain: Okay. Just last thing, do we have a different margin in export business as compared to domestic business or margin trajectory is the same in -- whether it's Harley-Davidson or Hero or TVS?

Arvind Chauhan: These are same.

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Piyush Jain: Great set of number and continue, we are delivering the great set of numbers. Congratulations and all the best for the future.

Rajesh Sharma: Thank you very much.

J.K. Jain: Thank you.

Moderator: We have our next question from the line of Swarnashish Chatterjee from Asterisk Capital.

Swarnashish Chatterjee: I have 2 questions. One is regarding the Hero. So we are supposed to ramp-up from quarter 1, so what kind of contribution Hero should give Fiem this financial year?

J.K. Jain: Yes. As informed earlier, we have just started -- so we are very bullish that the things will be very good in -- going to the future because already 3 projects are with us. So future will be very bright.

Swarnashish Chatterjee: Okay. And my other question is regarding the new tie up, regarding the hub motor, ECU, MCU. Shall we see revenue in next financial year, I mean FY '25?

Rajesh Sharma: This is for hub motor and motor controller?

Swarnashish Chatterjee: Yes, yes.

Rajesh Sharma: Yes, we can see this revenue in next year. .

Swarnashish Chatterjee: Next means, financial year '25?

Rajesh Sharma: Yes.

Swarnashish Chatterjee: Yes. Okay. And another thing is, as Vineet sir has joined from Lumax, is there any chance we can have a talk with Bajaj also?

J.K. Jain: Can you...

Arvind Chauhan: Can you come again, please? Your voice is not clear.

Swarnashish Chatterjee: Yes. My question is, Vineet sir has joined from Lumax. So that is only to penetrate the 4-wheeler industry or we can have a talk with Bajaj also for supplying?

Vineet Sahni: So the responsibility will be overall growth of Fiem that is my responsibility and with a special focus on 4-wheeler industry because that will require special efforts from our side.

Moderator: We have our next question from the line of Darshil Pandya from Finterest Capital.

Darshil Pandya: Sir, I just wanted to understand how is June quarter looking like. As you know, historically, it has been a bit of weak quarter.

Arvind Chauhan: Yes, please excuse us. We are talking about the year ending, which is last year, not the current quarter. It will be appropriate time to talk about this quarter in only on the con-call of next month.

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Darshil Pandya: Okay. No

, I'm just asking as to how the quarter has been going, that's all.

Finance Team member: No, that means same thing. Please excuse us.

Moderator: We have our next question from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: Congratulations for good set of numbers. So my first question is regarding the reasons for margins crossing 13%, 13.5% again. So is this just because of scale efficiencies and I mean, utilization efficiencies? Or is there any other reason why you get to clock such margin?

Arvind Chauhan: Yes, you rightly pointed out. But the main reason is we got escalation from -- for previous quarter from -- that is also the reason of this increased margin.

Sahil Sanghvi: You mean price escalations, right?

Arvind Chauhan: Yes, yes.

Sahil Sanghvi: Okay. Okay. And what is the direction moving ahead? I mean, will we see some price correction going ahead or will we further have price escalation?

Arvind Chauhan: See, we maintained 13.5% margin. So this already -- we -- means we already shared this kind of guidance.

Sahil Sanghvi: Right, right, sir. And second question is to Vineet sir. Congratulations sir on your new responsibility now. I just wanted to understand, sir, what is required for us to break in into the 4-wheeler industry, sir? I mean I believe these, I mean, the way these things work out is, there is a long relationship that has been developed. So how do we aim to break in, in this industry?

Vineet Sahni: Yes. So that's a good question and thank you for welcoming me. See, as you said, 4-wheeler requires a particular strategy. All of us at Fiem are working on that strategy. We are clear to make roadways into -- inroads into these customers. And we are also getting positive response from them. So we are working on technology, on the relationship, on the partnerships, so there are various routes we are working on to make headway into 4-wheeler industry.

Sahil Sanghvi: Right, sir. Right, sir. My third question is regarding the capex guidance for FY '24. So we had capex in one of our plants. Are we going ahead with that capex, INR60 crores, INR70 crores that we wanted to spend in one of our plants?

Finance Team member: Yes. Over the next 18 months, we expect INR75 crores to INR100 crores capex that is likely. And that is part of some regular expansions related to clients plus other capacity enhancements. So this doesn't include anything else, whether it's 4-wheelers and others, which is all work in process.

Sahil Sanghvi: Right, right. And my last question is, previously in the, start of the call, we were told that we will start some production for Gogoro in August. So that means we could garner some revenues in FY '24 itself? Just to get...

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Arvind Chauhan: Yes, this -- means, August onwards the supply will start, so definitely, there will be some revenue.

Moderator: We have our next question from the line of Krishna from Niveshaay.

Krishna: Yes. Congratulations on our great numbers. So as the previous participant was asking on the capex. Previously in one of the calls, we had guided that we are doing -- we would be doing about INR50 crores, INR60 crores capex that can give us a asset turnover of 6x. So is it the same capex we are talking about or it's a new capex?

Arvind Chauhan: No, I don't know. I mean, we have never said that we are doing the INR65 crores capex. But actually, that was the estimation we given, that's next 24 months, our capex estimate is around

INR75 crores to INR100 crores. As far as asset turnover -- yes, it is always based on the full gross block, not on specific capex.

Krishna: Okay. And asset turnover, you were telling about, what can we expect...

Arvind Chauhan: It is same 2x.

Krishna: 2x.

Arvind Chauhan: Yes.

Krishna: Okay. And sir, I joined the call a bit later. So if you've already answered, you can skip it. So what's your view on the current electric 2-wheeler

market because of the subsidies ban and everything?

Finance Team member: So what is happening in the market, you are seeing that there is some amount of issues regarding FAME subsidy challenges. It has impacted...

J.K. Jain: EV segment.

Finance Team member: EV segment. It has impacted a few customers significantly. Some of the others are still going ahead. So we -- our belief is that these are all short-term blips. I think eventually EV industry is here. It is growing. It is serving a certain customer need. So there is going to be growth and a significant growth. So that -- as you look at it in the next 18 months context, it is not going to be relevant. These challenges will come and go, is what our belief.

Moderator: We have our next question from the line of Sriram R, an individual investor.

Sriram R: I have 2 questions. One, on the industry side. I mean, like, in -- if I look back in FY '14, we did about 1.5 crores of volumes. And today, we are at 1.58 crores. So I mean, for the past -- the last decade, 2-wheeler industry has been stagnant. So I just want your views on what is going to be the demand driver for the industry as such, whether it's electric or ICE, what would be the growth engine?

And my second question is on the new unit which is going to come up for the EV business, where will it be, I mean, the location of the unit, just want to know.

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Finance Team member: So on the industry front, you're absolutely right. The 2-wheeler industry has gone through some stress. We are still 20% to 25% lower than the peak industry volumes, which were there pre-COVID. So we haven't got there. The reasons... the number of reasons... over the last couple of years, be it COVID, be it the safety measures, which were there, which has increased the cost of input, I mean, the final product but all of that seems to be now coming together. And what we see is that over the next couple of years, this growth is going to be there.

The fact that we are still below those peak industry volumes means there is a long way ahead for us. So we think, as we mentioned also, double-digit industry growth seems very possible. And in fact, the industry could surprise at the upside because there is enough availability of finance, vehicle demand is coming back. So all the ingredients are there for the industry to do well.

Within that, EV will also be a driver. But if you look at the overall industry, volume, first that has to grow and EV will continue to take some share out of it. So we think that next couple of years, we should see robust demand at the industry level. And the other question was related specifically to Gogoro, you were asking or where...

Sriram R: Gogoro.

Finance Team member: Like location of factory?

J.K. Jain: Location, Rajesh?.. It will be in Maharashtra!

Rajesh Sharma: No, no, they are talking about our location. So we will be expanding our facilities in Tapukara plant only.

J.K. Jain: Yes.

Sriram R: Okay. Okay. And sir, just on the industry side, I mean, like what is giving you that confidence for the double-digit industry growth? I mean, where are the green shoots? Just want some pointers on that. I understand that you're expecting a rebound in volumes but that is fine. But just want to understand where you're coming from?

Finance Team member: Yes. So first is, you see what the industry has done over the last 1 year. I mean a 17.5% domestic volume because what you are seeing is, the export market is still being hit. So which is why you see the production volume still moderate, right? But domestic volumes are picking up. The rural side, which is a large constituent and you could look at segments like MFIs, you could look at some of the others, all the rural demand seem to be stacking up well for this segment. And the financing is available.

And in the past, there have been several changes regarding BS-IV, BS-V and BS-VI and all the norms which were being put up, which increase the cost of the vehicle. I think that is also being moderated. So on the ground, a couple of quarters here and there, we do see those blips all the

time. Last quarter, from a industry perspective was not so great. But as we look 12, 18 months, we feel that the volume should grow.

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Moderator: We have our next question from the line of Swarnashish Chatterjee from Asterix Capital.

Swarnashish Chatterjee: Sir, the Gogoro production is going to start from August but will that be pilot production and we will need approval from EV OEM, only then the commercial production will start?

Rajesh Sharma: No, this -- the homologation and all, whatever regulatory requirement, is already completed. So August will be ramp-up only. Of course, it will be not a mass production but ramp-up plan will be there.

Moderator: We have our next question from the line of Smit Shah from Monarch Network Capital.

Smit Shah: Sir, can you please share the wallet share of our key customers for FY '23?

Arvind Chauhan: So -- this we share for our top 4 customers. And this is on yearly basis. So for FY '23, this is for TVS headlamp is 68%, taillamp is 86%, blinker is 85%, rearview mirror is 62% and DRL, we are 100% and license lamp, 95%.

For Yamaha, our headlamp share is 83%, taillamp is 63%, blinker is 10% and rearview mirror is 82%. Yamaha position lamp, we are 50%.

For Suzuki, headlamp we are 71%; taillamp is 71%; blinker is 4%; rearview mirror 100%.

Suzuki, for RR 100% and license lamp also 100%. HMSI, headlamp is 40%, taillamp is 76%, blinker is 85% and rearview mirror 100%. RR and position lamp also 100% for HMSI.

Moderator: We have our next question from the line of Aashin Modi from Equirus.

Aashin Modi: Sir, I just had 1 question. We mentioned that our key customer HMSI is facing some production issues. Could you please highlight what is the situation currently? And if you know when it is expected to normalize?

Finance Team member: I think what we did mention was that last quarter, the volumes dipped at HMSI but eventually, the reasons -- there was no production issue that they have, no, there were certain other issues but they are best equipped to handle. We see normal business trend this quarter.

Moderator: We have a question from the line of Sriram R, an investor.

Sriram R: You mentioned that the new unit is going to come up in Tapukara, right, this is in Rajasthan, correct?

J.K. Jain: Yes, please.

Arvind Chauhan: No, no. This -- what we informed that we will be expanding the capacity in Tapukara. Tapukara is a big plant, so we are expanding the capacity over there, yes.

Sriram R: Okay. Okay. Sir, I'm just wondering, so the EV manufacturers, I mean, Hosur is slowly becoming a EV hub. Any -- I'm just wondering why the plant is set up over there and -- or you are going to cater to Northern Belt or something like that?

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Rajesh Sharma: No, no. It is not like EV. We were talking about Gogoro first. But EV because product line is common for ICE and EV and we have been supplying from all the plants, wherever it is required, we will be capable to supply, from South plant, South customers we are catering from our South plant. North customers we are catering from our North plant.

Moderator: We have our next question from the line of Kripashankar Maurya from Choice Equity Broking.

Kripashankar Maurya: I just want to understand the content value, which we're going to supply to Gogoro for all the products, I mean, that figures.

Finance Team member: Yes, what was your question again, content for Gogoro?

Kripashankar Maurya: Yes. The content value you're going to supply to the Gogoro for the new product, what will be the content value?

J.K. Jain: We have already informed you that the total kit is going to be around INR15,000 to INR18,000 per vehicle.

Moderator:

We have our next question from the line of Mayur Bapoadara, an individual investor.

Mayur Bapoadara: Congratulations on good set of numbers. I just wanted to ask regarding how much it is difficult for customers to change to another partner and what is our competitive advantage in this industry?

J.K. Jain: Can you repeat again?

Arvind Chauhan: Sorry, your question is, we could not understand your question, actually.

Mayur Bapoadara: Okay. So let me repeat my question. I'm asking regarding how much it is difficult for our customers like Hero or TVS to change the vendor, once they are with us -- working with us, how much it is difficult for them to change the vendor?

Vineet Sahni: Yes. Okay. So see, there are a lot of ethics and policies, which work with our customers. So it is not changed at random. So there's lot of investment that happens in consultation with our customer. So it is not that they can change any vendor so easily. And it is a very planned process and we grow with our customers, always.

J.K. Jain: Moreover, the tooling belongs to the customers. So unless there is a big problem with the manufacturer, then only in that case, some changes can take place. So basically, it depends on QCDDM, as long as you are there or you meet all the parameters, there is no threat to the company.

Vineet Sahni: Quality, cost, delivery, development and management they are the key parameters and our organization is very equipped for meeting these requirements. So we continue to grow with our customers.

Moderator: As there are no further questions, I now hand over the call to management for closing comments. Over to you, sir.

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J.K. Jain: I appreciate everyone's participation in the conference call and I hope that we have provided satisfactory answers to all your queries. If you have any further questions, please don't hesitate to contact us. Thank you and have a good day.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Aug 2023

August 23, 2023

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q1FY24 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on August 16, 2023 to discuss Operational and Financial performance of the Company for Q1FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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Q1FY24 Earnings Conference Call  
August 16, 2023

### COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD - MR. RAHUL JAIN – DIRECTOR
- MR. RAJESH SHARMA – DIRECTOR - MR. VINEET SAHNI - CEO & DIRECTOR
- MR. ARVIND CHAUHAN -CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

### MODERATOR

- MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL



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Moderator: Ladies and gentlemen, good day and welcome to Fiem Industries Limited Earnings Conference Call, Q1 FY'24 Conference Call, hosted by Monarch Network Capital.

As a reminder, all participant lines will be in the listen-only mode. And there would be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee for future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Good evening everyone on behalf of Monarch Network Capital. I welcome you all to the Q1 FY'24 Conference Call of Fiem Industries Limited. We will start the call with the initial comments about the results and the future outlook of the company and then we will open the floor for question and answer.

So, without much delay, now, I hand over the call to Mr. J.K. Jain - Chairman and M.D. of the Company. Over to you, Sir.

J. K. Jain: Good afternoon to everyone, and welcome to the Q1 FY'24 Earning Call of Fiem Industries. Joining me on today's call are Rahul Jain - Director; Vineet Sahni – Director and CEO; Rajesh Sharma – Director; Arvind Chauhan – Company Secretary; O. P. Gupta – CFO, and other members of the finance team.

The Investor Presentation and the Results have been published on both, the company's website and the stock exchange. I trust that all of you have had the opportunity to review the same. As we celebrate India's 77th Independence Day, it is heartening to observe the remarkable progress of our nation's economy. Our strong fundamentals have laid a solid foundation for sustainable growth in coming years. The Indian automotive industry has also shown a strong performance, the passenger vehicle industry has grown 7% driven by robust growth in the utility vehicle segment. The two-wheeler industry have posted growth of 1.6% in the production volumes and 11.6% growth in the domestic sales volume in Q1 FY'24 as compared to the same quarter of the last year. The same growth has been driven by combination of the factors including the growth in the country's GDP, green shoots of recovery in the rural market and the new product launches. With an 11% increase in the sales during Q1 FY'24 along with the approved consumer sentiments, the industry is poised to sustain this positive momentum through the year.

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During the quarter, the EV two-wheeler segment experienced a significant policy shift with the Fame II subsidy from 40% to 15% effective from June 1, 2023. This change led to a decline in the June sales for electric vehicles EVs as against the strong performance in the May 2023. Despite of this setback the overall sales for the quarter remained strong with EVs two-wheeler sales reaching 2.17 lakhs units, marking a 66% increase over the same quarter last year. Looking ahead, we are confident that the EV industries will find its footing and stabilize during the course of the year.

Now let me shift my attention to the operating performance of the Fiem Industries in Q1, current year. We are pleased to report a strong start to the fiscal year Q1 FY'24 net sales of INR 471 crore, EBITDA of INR 62 crore and PAT of Rs. 36 crore. This comes on to back of the record FY'23 which once again reflect that diversity of our business model and portfolio. We have a strong balance sheet and are well positioned for growth.

On business front I am

excited to update you on our engagement with Hero MotoCorp. As you are aware, Fiem Industry is working closely with the Hero on several new projects. I am thrilled to announce that we have commenced production of the prestigious Harley-Davidson X440 which was launched by Hero MotoCorp during this quarter. This model has received a positive market response. Additionally, the quarter witnessed the launch of Simple Energy's EV scooter marking another significant milestone in our ongoing pursuit for the leadership in the EV segment.

Now I would like to draw your attention to an unfortunate event. During the quarter, despite of our best safety measures, we had an incident of fire at our Rai factory. The fire caused substantial damage to the plant and machineries and part of the building. However, all assets of the companies are adequately covered under insurance. Due to the presence of the right safety measures and the timely action by the management and its employees, we could save a

substantial part of the injection molding, surface treatments facilities, etc. We are happy to announce that there was no loss or injury to human life. The company resumed production within three days and there was no business loss. I must extend my heartfelt gratitude to our employees and OEM customers who responded swiftly and work tirelessly to restore normal operation. Now I hand it over to Mr. O. P. Gupta and the finance team to update on operational performance.

O. P. Gupta : I would like to present the Q1 numbers for FY'24. The company registered a sale of Rs. 470.71 crore in Q1 of current financial year against Rs. 441.98 crore in corresponding quarter of 22-23, this represent a growth of 6.5%.

The EBITDA for the quarter stand at Rs. 61.66 crore translating into an EBITDA margin of 13.1%. The EBITDA in the corresponding quarter of 22-23 was Rs. 57.55 crore and percentage was 13.02%. The PAT of the company is increased by 19.67% to Rs. 36.44 crore as compared  
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to Rs. 30.45 crore in Q1 of FY 22-23. During the quarter the company has made a CAPEX of Rs. 18.12 crore.

During the quarter an unfortunate fire incident happened in part of one building of our Rai unit. The company has identified various assets including stocks and plant and machinery which were affected due to this fire. The carrying value of inventory impacted is Rs. 25.8 crore and plants and equipment impacted is of Rs. 25.2 crore. This has been written-off in the statement of Profit & Loss during the current quarter ended on 30th June, 2023. The above amount has been shown as recoverable on account of insurance claim as on 30th June, 2023. In view of this there is no impact on Profit & Loss. The company has a valid insurance policy which adequately covered the losses for the inventories, property, plant and equipment.

With this I end the financial brief and now the floor is open for question and answers. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Priyansh, an individual investor. Please go ahead.

Priyansh : My question is mainly to Mr. Gupta regarding the accounting treatment of this fire incident. So, one part is very clear wherein he has mentioned that the loss to the inventory and as well as to the plant machinery has been written-off so that's absolutely clear, it's has been debited to P&L account. But the second, the sentence is bit vague and unclear wherein it has been mentioned that it has been shown as recoverable. Recoverable is fine, recoverable means it is an asset item. So, where it has been credited in the second entry, second entry has been taken to the liability or to the P&L account?

Management : Once you write-off an asset you will debit to loss on account of fire and credit to stocks and plant and machinery. And if this loss is not the loss of the company t

his money is to be recovered

from the insurance companies, so what we do next is you reverse this loss and then show as recoverable from insurance firm. And so the exact amount which is shown as written-off is nothing but recoverable from insurance company, so there is no impact on P&L account.

Priyansh : Guptaji, again you are not clarifying the second entry did you credit that P&L or did you credit in the liability?

Management : No, there is no liability, there cannot be a liability because liability --

Priyansh : Hold on, let me explain you. I am a Chartered Accountant, let me explain you.

Management : Okay.

Priyansh : Like once the loss is incurred you have to pass complete written-off but this claim from the insurance company is not yet determined is not fixed that whether you will receive full amount.

So, ideally you should have taken only the debit and not the credit. Or if you want to take credit,

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you can take to the asset as recoverable and corresponding liabilities, you cannot take through the P&L account. So, since you have assumed that you will get the full amount, which is doubtful, because insurance may not like give the full amount because they will also have the depreciation or like they also have their own way to calculate. So, you will not get in anyway the full amount.

Management : So, I think that is not clear to you, this is the carrying value of the assets in the books, it is not the full amount, it is only the written-down value which is shown in the book, which is knocked off from the book, it is not the actual cost.

Priyansh : No, written-down value is your value but they calculate differently that like if you dispose your what, how much you will get --. So, the point I am trying is that you may not get the full amount so that's what I want to tell you. So, ideally you should not have credited the full amount to the

P&L account. Generally, all the companies, they debit, once the loss is done by the incident you have to take the loss to the hit with the P&L account. But the credit entry, they don't pass to the P&L, it is there, you can see a lot of, recently there was a case of, I think Amara Raja this one, I think so you can see their balance sheet also. So, like they don't take this insurance and claim receivable in the P&L account because it will not be determined, it is yet to be filed, in your case there is no such, no case filed.

Management : Actually, you are not understanding that if you have not seen the insurance document. Insurance document is the insurance is for the cost including the reinstatement of 15%. So, what is recoverable from the insurance company they have deputed the team of surveyor and surveyor has seen assets that the value of written-down value and stock in the books of accounts, that document they have taken –

Management : I think you can take this clarification offline because this is a discussion going on and other people are also waiting. So, better if you can take it offline, yes please.

Priyansh : My second point is regarding employee benefit expenses; it has gone significantly up from Rs. 56.8 crore to Rs. 68.01 crore corresponding to YoY. So, almost increase of about you can say 18% increase so what steps are we taking to reduce the employee cost?

Management : This employee cost is annual increments are happening in the first quarter. And sometimes also goes into the second quarter, so this is nothing but the yearly increments of the employees.

Priyansh : My humble request to you, you are the majority owner, you are significant owner, we are the minority shareholders. We do understand the concept of increment but it's not mandatory to keep such an increment that the employee cost has increased by Rs. 12 crore and profit has increased only by Rs. 8 crore. So, it means the increment given to the employee are way high than the performance o

f the company, like motivation has to be there, no doubt but I think this has to be really calibrated properly in future. Like in the case of other companies, even the CEO has taken the cut in the salary note there like for example increment in case of Wipro for Fiem Industries Limited  
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example, all that is net profit, but in our case we have way high increased the salary. So, there is a very humble suggestion to you, please reconsider this point going up, like in the future.

Management : We have taken your advice, but anyway this is the internal appraisal and how things happen, we have taken your point, thank you.

Priyansh : Appraisal is fine, appraisal is only process but to give or not to give, to give, how much to give it is your call, so we are only telling you that Rs. 13 crore, Rs. 14. crore salary has increased 20%, profit is not increased by 20%, this is what I am saying, please don't give such high salary.

Management : I think you have not fully understood the turnover in March Quarter 4, was Rs. 432 crore. And the turnover in this quarter is Rs. 478 crore.

Priyansh : Only 10% increase, salary is going by 20% increase.

Management : No the 10% increase of Rs. 430 crore come to Rs. 40 crore. And whereas the salary has increased by Rs. 8 crore, you are not understanding. The 10% you are calculating on Rs. 438 crore will come Rs. 40 crore. You are taking the percentage you are not taking the amount.

Moderator : Thank you. The next question is from the line of Aashin Modi from Equirus Group. Please go ahead.

Aashin Modi : My first question is regarding our business with Hero, so we have launched one scooter earlier and now we have launched this Harley, so are there any new product launches lined up with Hero. And if you could quantify our revenue with Hero, that would be helpful. And also on these lines, if you could also help us our content per vehicle on the Harley compared to normal content.

Management : The vehicle launched by Hero is already explained like under Harley-Davidson umbrella, this X440 has been launched. As of now product volume is very difficult to say from our side. This is all customers input and we are ready for any kind of volumes which Hero will ask from us, because we have a readily available all the products, line up which is being assembly condition and all is well established at our end.

Aashin Modi : I was asking our revenue with Hero during the quarter and are there any new product launches apart from the scooter and Harley launch which we have done?

Management : Yes, there are four models, further models are under pipeline that might be launched during coming years.

Aashin Modi : Lighting content for vehicle on Harley is it significantly different from our normal lighting content?

Management : Yes all lighting, this is all lighting and contents are high of course all are in LED, so value is high.

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Aashin Modi : Secondly on our revenue with Yamaha so are there any new model launches which are lined up with Yamaha and within the existing business, how do you see the demand for the export models of Yamaha? So, overall, how do we see the revenue with Yamaha going forward?

Management : There are additional four models under pipeline and might be during coming months and years these all will be launched. We are looking for very good product sales as against our customer's input, customer requirement wherein the export models are of course based on the requirement of individual country and we are following that. And we are very optimistic for the sales towards Yamaha projects for domestic as well export.

Aashin Modi : My third question is regarding this other business which we gave, so that business has come down so far that used to be Rs. 35 crore odd to Rs. 40 crore odd per quarter, it's almost down to Rs. 18 crore this quarter. So, what is the reason behind th

at?

Management : Other business, means what you are referring is, can you clarify?

Aashin Modi : Other business which we, in the product wise split the rearview mirror lighting, plastics and the other business which is there it was Rs. 19.2 crore during the quarter. So, that used to be approximately 10% of our revenue at Rs. 40 crore odd.

Management : See this other business is, actually other than the lighting, the mirror and the plastic parts, so it remains fluctuating as per the requirement of the customer.

Aashin Modi : And asking apart from this rearview mirror and plastic molding part there is a fourth element which is considered as others, so that has significantly dropped on historical, I was asking about that business?

Management : That they remains as per the model, because even the rearview mirror and the plastic parts -- yes they remain stable, yes.

Aashin Modi : And lastly on margins, so there was a dip in our gross margin during the quarter, was it more because of mix or has the RM prices increased for some elements?

Management : We have always guided for us, if you recall, earlier we were guiding for a margin of 12.5% to 13%. Last quarter you saw a substantial increase in margins, it was exceptional last quarter, but we had indicated that we continue to guide for 13% to 13.5% as our overall EBITDA margin. And that is something we will get to, this quarter also we are around the same level. You should actually factor that 13% to 13.5% and look at the overall year, because there are marginal variance from one quarter to other.

Moderator : Thank you. The next question is from the line of Nikhil Upadhyay from Securities Investment Management Private Limited. Please go ahead.

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Nikhil Upadhyay : One question was if we look at the HSMI business so Q4 we had mentioned that there was some disruption and all. And to some extent we have seen sequentially the revenue contribution has increased. Do you think it will sustain at this level or any outlook that you can share on the HSMI part? That is first part, and secondly have we lost any market share there, what we used to have with HSMI, has that market share gone down, anything on the models or with any other product?

Management : So, HSMI, the overall volume which is being predicted by HSMI is 4.72 million and we are having same percentage of share which is being given to us. And the next question is -- there is no market share has been down from our side.

Management : And --- it is stable, as per the requirement of HSMI it is stable.

Management : And as far as your question on quarter-to-quarter, we did mention Q4 was exceptional for HSMI. There was some blips there, but Q1 is back, HSMI is doing better and as we see even July seems to be better. So, HSMI also seems to be on track and we have our market share intact absolutely.

Nikhil Upadhyay : So, that inventory rationalization and all what they were doing is now behind us and it's normal business for us --?

Management : Yes, Q1 seems to indicate that as of now that's, they seem to be on course.

Nikhil Upadhyay : Secondly, because of this fire loss did we have any production loss? Would you say it was not significant impact on the sales for this quarter at any point?

Management : No not at all, we were able to begin production within three days. So, even the customers and our employees worked overnight, so there was no production loss at all -- because what we were able to do is to use our facilities across and we were able to fulfill the requirements for the customer from other facilities. So, there was no production loss at all.

Nikhil Upadhyay : And if you can talk about the new initiatives on Gogoro and Toyodenso, how are we progressing there and when do you see --. So, just how are progressing there in terms of the business and overall profile?

Management : During our last communication also, we did about Gogor

o SKD production we have already

started and this will ramp up in coming months. And further on we are working for localization, 100% domestic production for that we have taken the next six to eight months' timeline wherein

we will do the complete SKD into CKD and complete domestic production will start for ECU and motor controller, this is about Gogoro.

Nikhil Upadhyay : And on Toyo Denso tie up?

Management : Toyo Denso we are already working for bank angle sensors, further on we are working for some new projects which will be announced very soon.

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Nikhil Upadhyay : Just last two questions, on Yamaha you said there are four models in the pipeline so are these a replacement of existing business or are these completely new models --?

Management : These are all new models for the domestic as well as for export market.

Nikhil Upadhyay : And in export are there any new countries or is it like largely same regions which we were earlier supporting.

Management : This all are with the same region.

Nikhil Upadhyay : And lastly on the four-wheeler business what kind of investments have we done as of now through the P&L and how large is the team build up which is happening and anything that you can share on the progress on that side.

Management : See at this moment we have formed a small team and we are actively engaged with four-wheeler customer as a result we have inquiries and RFQs. We are now enhancing team in technical area so that we can cater to the requirements of four-wheeler customer. So, we are proceeding in a step-by-step manner to enhance this business.

Moderator : Thank you. The next question is from the line of Rohan from Multi-Act PMS. Please go ahead.

Rohan: So, my question is on provision for warranty so if I look at FY'23 numbers there was a sharp jump in provision for warranty, so just wanted to check the reason for that?

Management : So, I think you are referring the balance sheet of FY22-23, yes the provision for the warranty is made considering the evolving landscape in automotive industry. As almost all OEMs are revising the supply agreements wherein the warranty period as well as the warranty amount for defects or rejection is more in comparison to the earlier practice. So, considering that development we made this provision.

Rohan: So, should we expect this kind of a run rate like around Rs. 11.8 crore kind of a run rate on expenses side?

Management : No actually this is a provision only and there is no actual outflow of cash in the provision. So, it will be reviewed after say some quarters it will be reviewed and it will be looked what is the actual things.

Rohan: But basically this kind of a run rate should be expected going forward as well.

Management : No, No

Rohan: But it was a big jump like from Rs. 1.95 crore to Rs. 11.8 crore -- out of that around Rs. 7.3 crores was in non-current and balance was in current so what was the reason for that. So, is like a one year tenure kind of a provision that we are making?

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Management : See what I already explain this is a matter of abundant caution this provision is made. And we can definitely relook or review it after two, three quarters or one quarter. So, it is a provision only, there is no actual outflow of the cash.

Moderator : Thank you. The next question is from the line of Nirvana Laha, an individual investor. Please go ahead.

Nirvana Laha : So, can you tell us when do you expect the money from the insurance claims to come, separately for the inventory claim and for the equipment claim?

Management : See this process is going on, so it is definitely a long period to assess all this thing and even the insurance company takes time. So, we will update you as and when this, something happens to update.

Nirvana Laha : From past, your experience from past such claims, any idea on whether it will co

me in this

financial year or longer?

Management : No we cannot comment, so we will definitely update.

Nirvana Laha : And you mentioned something about the Claim Clause, I didn't get it exactly. Did you say that the Claim Clause said that whatever the written-down value is, you are entitled to 15% above that.

Management : No, actually this is what was explained to the earlier analysts actually that we have to see the insurance policy. So, there is different insurance policy for different coverages. So, unless you go through the insurance policy coverage that is difficult to explain, so that was the reason.

Nirvana Laha : So, the reason that I am asking is I am trying to understand the claim value that you will get and the replacement cost that you will incur. Do you expect significant difference between the two,

because if these are old assets then there will be a lot of difference, depending on the clause of the insurance claim, so I am just trying to understand that.

Management : Of course, you are very right in understanding, this is our written-down value and of course the replacement value will be definitely higher and the actual assets will be definitely higher, that is what the insurance policy is for. So, the replacement value of the actual assets and further reinstatement to the extent of 15% it all cover under the insurance policy. It is not only the written-down value the actual cost of the new assets will come.

Nirvana Laha : So, on Gogoro I just had few questions about the partnership itself. So, is the partnership limited to Gogoro's models in India or like are we also entitled to sell it to their models outside India and China for example?

Management : As of now this agreement between Fiem and Gogoro is for India market. And going forward it can be discussed further in coming years.

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Nirvana Laha : And has Gogoro already launched their models in India?

Management : Not yet, but very soon they will be launching this vehicle.

Nirvana Laha : And I think you had said in the last call that initially you will start from CKDs and then you will gradually move to localization. So, I know its new technology new experience for you, but you have a timeline in mind, how much time it will take you to indigenize the production?

Management : Yes, a total of eight to nine months is being discussed with Gogoro. And we hope by coming next year, financial year we will be localized this part and we will start supplying to Gogoro.

Nirvana Laha : And what percentage will be localized, are you in a position to say that, will it be 100% or will it be less than that?

Management : As of now no, we are working on that very closely with our suppliers as well as Gogoro.

Nirvana Laha : And last question from my side is you said that there was some softness in EV two-wheeler sales in June. So, if you can tell how much did we come down from May to June in EV two-wheelers?

And how are we seeing volumes in July, August, is it at the June kind of numbers or is there an uptick, if you can comment on that?

Management : So, what we did mention was that at the industry level, April/May were good, May was the highest in fact ever on a monthly basis. June saw a dip from May and July seems to be as per the data available has improved as the external data, This is the industry data now as far as we are concerned our EV sales is increasing. Our share now is close to 6% which is a fairly good number. And that will continue to ramp up during the year because we have a significant leadership in this segment. So, what we were giving was the overall overview because of that Fame II subsidy that there could be couple of months here and there, but directionally if you look at, over the next 12 to 18 months, the industry will continue to grow and we will get decent share from that.

Nirvana Laha : And one last thing, can you talk about seasonality in your busine

ss in terms of quarters, is Quarter

1 seasonally a little weak?

Management : So, I mean of course Q1 is relatively lean than the season is when you know the festival season, and festival season also depends on the timing, sometimes it's in September, sometimes in October. So, you will see a sort of a ramp up around the festival. Then there is a sort of a little bit of lull, then March goes up. So, I think there is a little bit of seasonality, if you look at quarter to quarter.

Moderator : Thank you. The next question is from the line of Sahil from Monarch Network Capital. Please go ahead.

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Sahil Sanghvi : My first question is regarding the agreement with Toyo Denso, the one that you have mentioned in the annual report the USB charger and GAPS sensor could you provide any details on that, I mean what exactly is that, how it would shape up, and the timelines?

Management : Actually, for Toyo Denso, we are already in a relationship of technical collaboration for the bank angle sensors and whatever is new is for the specific product and customer so as of now nothing to share more about that.

Sahil Sanghvi : Secondly this is a question about the overall two-wheeler industry, we saw 9% decline in July YoY for the overall two-wheeler sales. So, on the demand front, what do you see, what is the outlook as such, do you expect some near-term weaknesses?

Management : I think that the rains did have an impact on a short-term basis which would be probably for a month or two. I think we are expecting a good season again, the coming quarter should be over the next three to five months because the season should be good. And we are yet optimistic over as far as the full year is concerned we are still hoping to get a double digit increase in the two-

wheeler industry.

Sahil Sanghvi : And another question on the EV front so Ola did come out with the Ola S1 X yesterday, the unleashing happened. So, are we going to give, I mean supply of the lightings for Ola's this model also S1 X.

Management : Yes all Ola models as of now whatever is being produced by them is with Fiem only. So, yesterday 15th of August whatever is the S1 is being launched all lamps are being supplied by Fiem only.

Sahil Sanghvi : One last question to CFO sir, I would just want to understand the interest cost which seems abnormally high, even if we look at the borrowings, and maybe the interest cost and the percent of borrowings even if I remove these obligations still it seems to be very high. So, what's exactly over here, I mean what consists in the interest cost?

Management : As there is no interest you see this is a zero-debt company. There is no interest cost except that the interest cost of bill discounting which the company has taken from SBI. So, there is very little interest cost now. So, that is the bill discounting charge. There is actually no interest cost of the company. And in the recent, in the future quarters only this bill discounting is also going to be over, because the banker is now making arrangement with the customer. And the customer will have a tie up with the customer and the customer will in-turn give us the discounts. So, we will not be probably having this very bill discount and charges in the current quarters.

Sahil Sanghvi : So, the Rs. 5 crore kind of interest cost that was there in FY'23 whole year that could be attributed to bill discounting itself, I mean some part of it?

Management : Yes.

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Moderator : Thank you. The next question is from the line of Nikhil Upadhyay from Securities Investment Management Private Limited. Please go ahead.

Nikhil Upadhyay : Just one question, this is on our gross margin. So, like last quarter we had reached almost 40% gross margin and gross contribution margin and this quarter we are in the range of 38% so while for most of the players or peers -- RM co

st in deflation has actually helped the auto-ancillaries.

So, how is our case different from most of the auto-ancillary players. So, have we seen more, so what part of the cost element has seen a higher increase? Or is it more because of product mix and if it product mix, if we look at our LED contribution is the highest in this quarter across like 16 to 20 quarters so I would have thought that the gross margin and the EBITDA margin would have improved year-on-year and both sequentially. So, if you can just help us understand that.

Management : So, are you comparing it with sequential, let's take the sequential I think you are looking at that, if you see our sequential margin have declined, if you look at EBITDA also that has declined, even the LED share was higher last quarter, for the full year it was lower but for the last quarter it was exceptionally high. So, a quarter here and there you will see various things basis product mix. One particular model which is doing well that supply is going, that has a higher LED contribution than it will normalize. So, for example on the LED we have been guiding that we will hit over the next 18 months, 60% odd, we are at 53.5% now, last quarter was 56. So, on the LED front that's where the journey is.

And we did mention that last quarter also we had some sort of escalations which had come through and hence the normalized margin should be looked at in that range of 13% to 13.5% which is where we are right now.

And I think the first question you asked around RM costing part are these basically pass-through so with the quarter effect here and there lag here and there, we will end up with a similar kind of structure. So, it doesn't really benefit or --

Nikhil Upadhyay : One follow up, but if we look at sequentially the sales is also much stronger than what we were in Q4 like we are almost Rs. 60 to Rs. 70 crore higher than what we were in Q4 of last year, or Rs. 40 crore higher. So, wouldn't have that contributed towards a better EBITDA margin, maybe gross I understand the product mix was inferior of lesser LED versus Q4, but EBITDA should have improved right, because the sales and operating --

Management : Escalation, the answer there is escalation so one is as you rightly sort of understood and answered yourself is higher LED share in the last quarter, but also escalation had come through last quarter, which is why the margin normally had shot up suddenly. If you see our normalized margin this is where we are, between 13% and 13.5% is what we are guiding.

Nikhil Upadhyay : And the full year CAPEX would remain around Rs. 50 to Rs. 60 crore or any rethinking on that number?

Management : No that is the number at this moment.

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Moderator : Thank you. The next question is from the line of Gopinath an individual investor. Please go ahead.

Gopinath : I have two questions, so the first question is when we can expect revenues from Gogoro?

Management : Next year.

Management : Yes, we have recently started production and might be by next year we can see the revenue from Gogoro to the individual customer.

Gopinath : Second question is regarding this fire accident. So, just I want to understand is there any difference between the actual amount for example around Rs. 50 crore but is there any final claim if you receive around for example Rs. 40 crore then that Rs. 10 crore we have to show it in P&L, will it happen only after incident claim is done, is it correct?

Management : No, this amount receivable will be much more than what is shown because this is only the carrying amount, this is the first big amount which is shown in the books as written-off, so there is no question of anything even a penny less than this.

Gopinath : So, what I want to understand is whatever loss occurred right, incurred or occurred, so the whole amount you are going to get from insurance company?

Management : So, this

is what I am saying, this is only the impacted assets have been written off. What amount the company is likely to recover is when the final details will be made and then the claim will be filed, that is the time when the company will know what is the actual amount to be recovered, but it will for sure be more than what is written.

Gopinath : And final question what about the FY24 outlook with respect to revenues?

Management : Outlook is very good, basically there are four to five factors: i) auto industry's growth, that itself is one of the factor. ii) New projects, of which we have more than 80 in our hand, that is going to be another factor for our growth. iii) Is increasing contribution of LED, because the more LED uses will be the better growth for the company and iv) Indirect export to the LED growth.

So, basically what we are supplying to the OEMs here they are exporting, so basically it is indirect exports for us that will also -- for example Yamaha, Honda, Suzuki, Piaggio like that these customers we are having indirect export through them. v) Then a higher market share in EV that also is going to be the driving factor for our company. vi) And then the last four-wheeler segment will also, going to give us a big chunk of growth in future to come.

Moderator : Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi : So, last quarter we declared order book of approximately 9.5 billion could you please give our current order book? Also, if you could give some color on that what is replacement business and Fiem Industries Limited

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what is new business? And some SOP of this order book what will come this year and what will come next year?

Management : Order book is same what we declared almost 85 to 90 projects are on line right now and we will be expecting 25% to 30% sales revenue within this year and balance will be next year and so on.

Aashin Modi : In terms of LED our value share currently stands at approximately 56%. What would be our volume share and what would the volume share of LED be in the industry currently?

Management : See industry is now growing and whatever new facelift models are coming or new models are coming those are coming with the LEDs only so this contribution year-on-year will increase and we are expecting every year in-between 5% to 10% LED increase -- will be there in the products.

Aashin Modi : Okay so volume share of LED would be approximately 20% to 25% currently in our business?

Management : It is very difficult to comment on that.

Management : But we are seeing the increasing trend in that.

Aashin Modi : So, can you expect that currently we are sitting at 56% and we have a target of 60% so given that volume shares is low currently of LED so we can easily surpass that levels in the next 18 months?

Management : We are saying 5% to 7% every year so this is what we are targeting over the next 12 to 18 months of course it depends on the industry, but I think a 5% to 7% shift every year is a reasonable number to go.

Moderator : Thank you. The next question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta : My question is related to the four-wheeler the one that we are entering now to Vineet sir so the competitor where you have earlier worked who are majorly in the four-wheeler lighting segment where the margin is around 7% to 8% or maybe 7% to 9% so here in Fiem what different strategy we are using or what different we are trying to approach the market to not compromise with our margins?

Management : See the products in four-wheeler and as you mentioned the earlier company that also has many legacy products, because that company is, a lot of halogen products and are legacy products, what we are trying to enter is into a new technology products as such. Secondly Fiem has a very deep integration of processes which leads to frugal manufacture



ing basically catering to two-wheeler market so we are going to use this strength to enter into four-wheeler market and maintain the margins and even try to grow, so that is our strategy.  
Karan Gupta : New products in four-wheelers all will be in LED or more advanced technology?  
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Vineet Shah : We are trying for that, it will be a mix, but then we will use our deep integration capability to continue to increase the margins.  
Karan Gupta : And any CAPEX we are planning to --?  
Management : No at this moment we are in the process of market study and preparation of business plan, we shall update the investors as soon as we are ready.  
Moderator : Thank you. The next question is from Gopinath an Individual Investor. Please go ahead.  
Gopinath : Is there any plans for stock split or bonus?  
Management : No as of now there is no plan, but at appropriate time Board will consider this.  
Moderator : Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead  
Radha: Wanted to ask a bit on the industry perception for the new products, Hub Motor, MCU etc. and since we are expecting our revenue to come from FY25 onwards, so what will be the margin trajectory of these products, initially and how will it pan out in the next five years, given that many other players are trying to enter this product? Currently is there any imports of such products in India?  
Management : As of now for Gogoro we are using SKD products, all products are being import from Gogoro and wherein the product is being made as per agreement is only for Gogoro as of now, so we will accepting overall revenue from Gogoro itself and further on the technology and partnership can be seen for the new opportunity wherein we can serve for this model to other customers.  
Management : And with this addition of new product like hub assembly and all that, per vehicle our participation will be in total around 15,000 to 17,000 per vehicle.  
Radha: And margin profile?  
Management : We are still working out, but definitely it will be in line with that.  
Radha: In line with?  
Management : With our existing margins.  
Radha: 13.5%?  
Management : Yes, approximately.  
Radha: So, that would be over a period of the next three to five years when we reach an optimal utilization?  
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Management : Yes its going to be very high in next couple of years.  
Management : So, initially it will be less because of imported content and as we localize it is planned to increase.  
Radha: So, over a period of time we can increase our overall margins beyond 13.5% because of these products?  
Management : We are working on that as to how to improve our margins.  
Moderator: Thank you. As there are no further questions I would now like to hand the conference over to Mr. Sahil Sanghvi, for closing comments.  
Sahil Sanghvi : Yes, just wanted to thank the management for patiently answering all of the questions. And also on behalf of Monarch Network, we thank all the participant for joining the call. Jain sir would you like to give any closing comments?  
J. K. Jain : I would like to thank everyone for your participation in today's conference call. I do hope that we have provided satisfactory answers to all your queries. If you have any further questions, please don't hesitate to contact us. Thank you and have a good day.  
Moderator : Thank you on behalf of Monarch Network Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Nov 2023

November 15, 2023

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q2FY24 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on November 9, 2023 to discuss Operational and Financial performance of the Company for Q2FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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Q2FY24 Earnings Conference Call  
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### COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD
- MR. RAHUL JAIN – JOINT MANAGING DIRECTOR
- MR. RAJESH SHARMA – JOINT MANAGING DIRECTOR
- MR. O.P. GUPTA – CHIEF FINANCIAL OFFICER
- MR. ARVIND CHAUHAN -COMPANY SECRETARY
- OTHER FINANCE TEAM MEMBERS

MODERATOR

Sahil Sanghvi: Good afternoon, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q2 FY24 conference call of Fiem Industries Limited. Participants, please note that this conference call may contain forward-looking statements about the company, which are based on belief, opinions and expectations of the company as on date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. We will start the call with the initial comments about the results and the future outlook of the company, and then we will open the floor for questions and answers.

So, without much delay, I will hand over the call to Mr. JK Jain, CMD of the company. Over to you, sir.

JK Jain: Thank you. Good afternoon to everyone and welcome to the Q2 FY24 Earnings Call of Fiem Industries. Joining me today on call are, Rahul Jain, Joint Managing Director, Rajesh Sharma, Joint Managing Director, Arvind Chauhan, Company Secretary, O.P. Gupta, CFO and other members of the finance team. The investor presentation and the results have been published on both, the company website and the stock exchange. I trust that all of you must have reviewed the same.

I am delighted to report that Fiem Industries has delivered a strong operational performance for the quarter with a net sale reaching to INR506 crores in the Q2 FY24. Our EBITDA stands at INR66.4 crores with a margin of 13.1%. Our strong operational focus has meant that our profit remains robust with a 15% increase to INR42 crores on a sequential basis.

We continue to benefit from our diversified product and customer mix. For the Q2 of the current financial year, two-wheeler industry have registered production volume of 5.6 million units. We expect a strong second half driven by the festive season and pick-up in rural demand.

During the quarter, EV volumes were 1,80,000 units, which is an increase of 23% on a year-on-year basis. Fiem is strongly positioned with the EV market and continues to outpace the market trend driven by partnerships with leaders like Ola and TVS. We continue to move ahead in working jointly with our OE customers.

Some of the models like TVS Raider, Suzuki Access, and Honda Activa continue to do very well. We updated you last quarter about Harley Davidson X440, which was launched by Hero Motor Corp. This model has found good traction in the market and our volumes are ramping up. Similarly, on new products, there is a strong pipeline. We are working closely with Yamaha on their recent launch Aerox 155. This is a premium scooter for both Indian and export markets. With TVS, we have started supplying for Jupiter 125 scooter model and also for a new three-wheeler model, King Duramax. In the EV segment, we have added several new customers, notable being Raptee, Polaris, and Numerus. Overall, we are very well positioned and we get into the second half of the year and remain optimistic about future growth.

I now hand over to Mr. O.P. Gupta and the finance team to update on operational performance. Thank you.

O.P. Gupta: Thank you, sir. Good afternoon to everyone. First, I will present the quarter 2 numbers for FY24. The company has registered sales of INR505.85 crores in Q2 of current financial year against INR470.71 crores in Q1, which is an increase of 7.47%. The EBITDA stands at INR66.36 crores, translating into an EBITDA margin of 13.12% as compared to an EBITDA of INR61.66 crores, that is 13.1% in Q1 of current financial year. The PAT for Q2 is INR41.91 crores as compared to INR36.44 crores in Q1 of current financial year, which is higher by 15%.

Now, I will present the H1 numbers for FY24. The company has registered sales of INR976.56 crores in the first half of current financial year as against INR963.3 crores in the cor

responding

period of previous year, which is an increase of 1.38%. The EBITDA has remained flat at INR128 crores. PAT for first half of current financial year is INR78.35 crores as against INR69.56 crores in the corresponding period of previous year, which is higher by 12.64%.

During Q2, the company has made a capex of INR33 crores and total capex in the first half of current financial year is of INR51 crores.

With this, I end the financial brief and now the floor is open for questions and answers.

Sahil Sanghvi: Thank you, sir, for the opening remarks. Whoever wishes to ask a question can raise hands and

I'll call their name and I'll ask them to unmute themselves. I think we already have some participants who are raising their hands. Starting with Garvit Goyal, you may unmute yourself and ask your question.

Garvit Goyal: Starting with on the Gogoro partnership, supply was expected from August 23 to Gogoro. So, two questions on this. One is, what was the revenue contribution from Gogoro in this quarter?

And what is the expected number in H2? Along with in August, Gogoro announced a partnership with Swiggy. And last month, Delhi government also announced a requirement to replace the fleet of delivery partners and e-commerce players with EVs. So, what kind of upside in revenues do you see on account of these developments for Fiem in the near to medium term?

Management: Yes, about the Gogoro, first of all, I just like to brief because it is a newly started and they are ramping up their model. So they are ramping up right now. They have produced few numbers of vehicles and our supplies are on with that. Might be the next quarter, we can see some sales percentage and same volume. This is what we expect as of now.

Garvit Goyal: And what is your expectation on the new announcements like Gogoro made a partnership with Swiggy and Delhi government also announced a requirement to replace the fleets with EVs?

Management: As of now, no such announcement is being heard by us.

Garvit Goyal: Okay. During second quarter, Indian two-wheeler registrations almost grow by 12% y-on-y and EV sales also grow by more than 20% as you mentioned in your opening commentary. So, can you help me to understand despite uptake in our underlying growth drivers, why did our top line de-grew by 3%? Is it due to any intense competition we witnessed during the quarter or what is the exact reason for it?

Management: So, actually, if you look at the industry data, you should for our purposes, be focused on production data, because we are linked closely with the production volumes. Now, if you look

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at the production volume of the industry, if you take the full H1, for example, the industry has been flat. So, we've actually in that way, we've done better than the industry. And if you look at sequentially, we've grown. But I think overall, what you are talking about is probably the final end retail sales of some of the OE customers.

So, on the production volume, the industry has been flat. But as we mentioned in our opening remarks, there has been a delayed festival this time. So, there should be good uptake in the second half and you will see that growth coming.

Garvit Goyal: Understood. And so, can you share some clarity on the capex being incurred and what kind of capacity expansions are we looking at with that capex?

Management: So, if you look at first half, we have incurred already INR52 crores of capex. This includes some of our normal capex, some of the capex because of some other events. Overall, this year, we should have on our balance sheet approximately INR100 crores of capex. So, that would position us well for future growth.

Garvit Goyal: Understood. And we are planning to increase our PV revenues. But looking at one of our peers, the margins seem a little bit lower on that side. So, can you elucidate on what is the margin difference among

g two-wheeler and PV segment that we cater to?

Management: So, PV, we actually announced that PV is a focus area which we will be going forward making some strides in that segment. But right now, that business is almost minimal. So, there is no way to compare. As we move into it, we should be able to guide you better with the margins.

Garvit Goyal: Okay. And lastly, since first half is over and with festive season, as you mentioned, coming in the second half, so do you think we will be able to grow 20% in a second as compared to first half based on the demand you are witnessing from your channels? So, going by that, can we achieve a ballpark sale number of INR2,200 crores in FY '24?

Management: I think, you know, we hesitate to give specific numbers. We are overall optimistic, as we mentioned, but, you know, it would be tough to give a number because there are many variables in the overall industry. But overall, I would say that the overall trend remains very optimistic.

There could be a delay in a quarter moving upwards.

Garvit Goyal: So, we can assume H2 will be better than H1 at least?

Management: Yes, you have a question?

Garvit Goyal: Yes, I was asking, that means H2 should be better than H1 at least, right?

Management: Yes. Okay. Okay.

Sahil Sanghvi: Thank you. Yes. Okay. Moksha Shah, you can go ahead. You can unmute yourself and go ahead.

Moksha Shah: So, my question was, with the domestic two-wheeler demand picking up, how do we see this turning out for our business?

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Management: So, we, I mean, we've been kind of guiding over the last several quarters that we believe that the demand should pick up and there are signs of that recovery happening. So, clearly, you know, we've always outpaced the industry. So, that will be very beneficial for us. We should, we should sort of move forward with our growth plan. So, overall, domestic industry will significantly, you know, over the next 12 to 18 months, we are on a very positive trend.

Moksha Shah: Okay. And if you could help me guide for the revenues for FY24 and H1 FY25. Any guidance on the revenues?

Management: I think, you know, what we, what we've kind of mentioned in the earlier question as well, that it is, we are not giving any specific data points on a specific number, but we generally outperform the industry and we are optimistic of doing that.

Moksha Shah: Are we expecting to keep the same numbers, increase any growth rate number that you'd...

Management: You will see much better growth in H2 is all I can say.

Sahil Sanghvi: Thank you. Mr. Viraj Kacharia, you may please unmute yourself and go ahead.

Viraj Kacharia: Yes. Hi, thanks for the opportunity and congratulations for good numbers in such a challenging environment. Just three, four questions. First question, you know, if you look at our sales mix, right, in lighting, especially, the share of LED has seen a good drop compared to what it used to be for last few quarters. So, LED revenue share used to be 35% and then 40% last quarter. It's now come down to 33%. So if you can just give some perspective, what really happened?

And second question just was related to the revenue part again, that if you look at the others customers, and others products. I think last few quarters we have seen a moderation in revenue share both from other products and other customers as well. So if you can just also give some perspective, what is happening there?

Management: So first question on the LED. The LED for the Q2 has remained 47% and for the Q1 it was 53%. So it was not in the range of 30% what you said. And we have to see the overall....

Viraj Kacharia: If I look at the presentation which we shared for Q2...

Management: Actually, in the presentation, what you see is the automotive LED and the automotive non-LED as a separate group. So we are what we are showing you, you have to see what is the in total lighting

g. What is the LED versus the conventional. So what we are always saying that within the automotive lighting 47% is the LED. So I think this is clear.

Viraj Kacharia: So again, if I look at the within auto lighting...

Management: Let me clarify if there is any confusion in the data points you are referring we can clarify. But as of now, what I'm saying is that in the last quarter, the LED share was 53%. And now this is 47%. And we have to see the yearly basis because here and there in one quarter don't make a difference. Overall, the LED trend is quite increasing. That is one thing.

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And the second thing I think what you are referring is the other products. So what is the other balance which are less than 10%? So these remain changing because our major three categories are automotive lighting, rearview mirrors and the plastic parts. So rest others are, it keeps changing based on the requirement.

Viraj Kacharia: Is it specific to one or two customers in others?

Management: No, it depends actually. It's sometime depends on the customer requirement. So it goes into the others because these are other than the three main product line.

Viraj Kacharia: Okay. And other customers?

Management: Other customers are you can see top 5. We always give the percentage, but other customers, even the EV segment there, we are adding in the other customers. So definitely there will be a fluctuation in the share of the other customers. We are adding with a fast pace the EV segment customers.

Viraj Kacharia: So my question was that, if you're adding new customers in EV in others, if you look at last four quarters or five quarters, we used to do around INR55 crores to INR60 crores of quarterly revenues in from others. And that has kind of dropped to INR44 crores in September quarter. So I was just trying to understand, what is causing this drop in the current quarter?

Management: So that's -- your question is correct. But the reason is if there is any fluctuation within that metrics of the other customers that numbers fluctuate. That is the only reason.

Viraj Kacharia: Yes, I'm just trying to understand what is causing the fluctuation because we are adding new customers. We are winning new orders, sir.

Management: See, depending upon the customer requirement, if suppose there is a high demand in some specific quarter, then and in the next quarter that customers, keep some low volume. It depends on that.

Viraj Kacharia: Okay. Just two more questions. One is on the capex part....

Management: Sorry, but just to kind of make sure that you get the question there. There is no loss of market share in any of this. This is just 1Q. I mean, this quarter versus another quarter, one particular customer having some variation. So there is no the reason is not any fundamental market share change.

Viraj Kacharia: And what will be the share from EV customers in this other EV or overall revenue from EV models?

Management: EV now we should be around 6% of our total revenue.

Viraj Kacharia: Okay. Now on the capex part, you said INR100 crores is the what we are looking at in terms of spending in the current year. And if I understand it right, that earlier, our communication was that we have enough facility available at existing facilities and land bank to cater to any new orders. So if the market were to shift from conventional to LED on the current asset base itself,

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we could do upwards of INR2,500 crores to INR3,000 crores kind of a revenue base. So this additional capex of say, which we're doing total INR100 crores. What is it towards? If you can give some perspective?

Management: Yes, great question. Let us clarify the earlier guidance of our capacity utilization and our plan being sort of up to it for a much higher sales that remains. The enhanced capex that has happened, which you see right now

is because of that fire incident that we reported last quarter to you. So, because of that, there is a replacement capex for some of those sort of plant. I mean, some of these machinery and that would be fully covered in the fire policy. So that will not be really a cash out for the company, but you will see gross fixed asset going up because of that.

So our earlier guidance of a real capex from a cash flow perspective remains the same, which is that INR50 crores to INR75 crores over the next two year to three year period. So anything else that happens is just for a replenishment. And again, I reiterate, there is no cash outflow for the company. We don't expect any cash outflow.

Viraj Kacharia: So this money will be reimbursed from the insurance company?

Management: Absolutely. So we've raised a claim on the insurance that is part of our notes to the account. And as and when that process is completed, we will be able to give you full figures around it. But all of this will be fully replenishes our belief from the insurance company. So the INR100 crores capex from your cash flow perspective is not a INR100 crores capex.

Viraj Kacharia: Okay, last question to Mr. Jain specifically. So if you look at the current management structure before the recent announcement, the business has been led and driven by you as a CMD. And in the last six months, eight months, we also hired a senior person in the role of a CEO and Whole-Time Director. And just we kind of made a recent announcement about two new Joint MDs being added in the management structure. So just trying to understand the thought process behind this structure. And what role and responsibility would each of these senior personnel would be looking after?

JK Jain: Basically, recently announced two new Joint Managing Directors are basically upgradation from the Director to Joint Managing Director. So they are not new, they are the existing one, but they are doing better. So we are upgrading them. They are taking more responsibilities.

Secondly, the CEO we have appointed that is for four-wheelers focus, but that is going on and it will give results after some time. So that is what, Yes, over a period of time, it takes time.

Viraj Kacharia: Okay, understood. Okay, fine. That's all for my side. Wish you good luck, sir.

Management: Thank you.

Moderator: Yes, we can have the next question from Anubhav Mukherjee. You may unmute yourself and go ahead.

Anubhav Mukherjee: So if you look at the sales to Yamaha in this quarter, it has like de-grown quite a bit year-on-year. And in the last quarter also, there was like an updation that we would be like taking up new

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models of export and Indian models as well. So did that not factor in this quarter because there is a significant de-growth from Yamaha year-on-year?

Management: Yes, so in Mr. Jain's speech, it has already been declared that Aerox 155 is recently being launched. And this is doing good in the domestic market. We can look after in the next quarter or next to next, we will have domestic and export businesses also. Where in other side, if we see Europe market is going down, slow down, and that is resulting our export business, which is being declared that most of the premium segments products we were having and we will be exporting to Europe countries.

And this is not resulting the minor sales of Yamaha, especially for the export. Domestic is, of course, increasing with the new models and time to come new models will further be launched in the next quarter or next year.

Anubhav Mukherjee: Yes. And like there also was a mention of export only models that we would cater to. So are these in the pipeline? Can you give more details on that, like for Yamaha?

Management: Yes, we are having as of now, seven projects which are under development right now, which will be launched in 2024, 2025 and for the next three years plan, we have

as of now in our hands.

Anubhav Mukherjee: And these models are like for mainly for the export market or like?

Management: There will be domestic and export both.

Anubhav Mukherjee: Okay. And these are new models or like, have we gained like existing export model or like international model, both?

Management: There are 90% of the projects are new model, where in few are facelift also.

Anubhav Mukherjee: And, sir, even in HMSI, like both for this quarter and overall H1, there is a year-on-year degrowth of revenue from HMSI. So can you give some color on that? Like is it because it doesn't seem like HMSI at least sales data does not show that much of a degrowth. So is it like we have lost some share or how is it like or our model is not doing well?

Management: No, there are model mix which is doing good in some of the quarter where in overall business for 4.71 million, whatever is being declared by HMSI will be same and our share of business will remain also same. So we will be not losing any business and where in our overall growth with respect to HMSI will remain same. We are expecting good sales during next quarter and second part of the year.

Management: And HMSI if you see the production volume on a year-on-year basis, it's down 5.7%.

Anubhav Mukherjee: Yes and even sales is down like 5%- 6% which we get but like at least the data because you share the quarterly data, have been sharing for like now sometime. At least what I can see is that year-on-year our sales to HMSI has gone down by 12%- 13%. So, it seems to be more than a...

Management: See, the overall trend as I said 6% down there and ours is marginally more, sometimes marginally less. Those are dependent on models, one particular model. So there is, I would say

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nothing more to read in that. Those fluctuations one model will do well, the other model will come back next quarter. Those differences happen.

Anubhav Mukherjee: And also for Hero Motocorp, apart from that Harley model, they do have some other, they made some other launches as well including I think a scooter as well. So were we the suppliers for some of these models like or any other model apart from the Harley one?

Management: Yes, we are working further on six models as of now and those launches will be soon, might be in next quarter or we are expecting two models launch in the next year.

Anubhav Mukherjee: Okay, that's all from my side. Thanks.

Management: Thank you.

Moderator: Guneet Narang, you can unmute yourself and ask the question.

Guneet, Narang: Yes, so most of my questions have been asked. I don't have a question but I have a recommendation for the management. So I mean, we are sitting on a very huge cash pile and the share is also reasonably priced. So I mean why don't we do a share buyback which will act as a good reward for the long term shareholders because some of our shares would be extinguished permanently and the valuations would in turn be better because of the buyback and act as a reward for the long term shareholders and also I mean will also show us about the confidence of the company in itself. So I would just recommend to do a share buyback with the idle cash that is with the company. Thank you.

Management: Thank you for the suggestion. We will, I mean obviously these matters are discussed at the Board level all the time and we will sort of take your suggestion. What we have to optimize as a company is future growth. Where do we need capital? How are we looking at over the next three years to five years plan before we make such decisions? But your suggestion is important.

Guneet, Narang: Alright, that's what I was going to say. Thank you.

Moderator: Garvit, you still have your hand raised. Would you want to go ahead again?

Garvit: Yes. Thanks for the opportunity again. Just you highlighted like Europe is facing headwinds. So I want to ask, whether you

u people see any kind of impact on our consolidated revenue in upcoming months due to Europe headwinds?

Management: No, I don't think -- we are not looking for that. It is only seasonal. We can say Europe is always, we go six months up, six months down. So we are expecting and we are very much optimistic to have a very good market from Europe time to come.

Garvit: Understood. And can you also comment upon those new products that we are manufacturing in

partnership with Gogoro? So basically, what is the competitive landscape there? Who are the existing players in India, who are already manufacturing the product and supply to two-wheelers?

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Management: See this Gogoro, what we are supplying as of now, all the lightings, mirrors, plastic parts, as well as the two products which is being recently to be launched together with that is motor controller and hub motor. And these hub motor and motor controller is exclusively as of now for Gogoro. And with the support of Gogoro technology, we will be introducing these products to other OEMs also.

Garvit: That thing I understand, but I was asking from the competitive landscape point of view, like who are the existing players manufacturing these products and supplying to two-wheelers in India?

Management: There is a technology partner and technology behind this hub motor and motor controller. So we cannot see any competition within this market because there are unique technology which is available as of now with the partner. So we are looking for a good market based on that.

Garvit: Understood. And can you also discuss the competitive landscape for our LED lightings and the other automotive lightings that the products we are currently doing on? Like are you seeing any new competitors coming into the market or establishing or trying to assess the market share from you?

Management: No, it is very difficult and we are very much open about this and we are working for next 10 years of technology as of now in our R&D. So we cannot see any partner can take our business and we are taking the business from good customers and good result out of coming out from the customer's positiveness.

Garvit: Understood. That's fine. That's nice to hear and congratulations and all the best for the future.

Moderator: Viraj, you have your hand raised. Do you want to ask a question?

Viraj: Yes, I just had two queries. One, sir, you talked about six models for Hero which you will be looking to commercialize. So these are existing brands of Hero or these are new models altogether?

Management: These are new models of Hero.

Viraj: Okay. And in terms of existing brands, is there any action in terms of, because the existing vendor they had, they are facing a lot of issues and going under restructuring?

Management: Correct. We are working very closely with Hero right now. We cannot declare anything but we are very open and we have a capacity available to manage all the business which is covered and which customer is looking for this.

Viraj: Okay. And second question was largely in terms of unit realization, especially in auto LED lighting. So what we understand is, there's been further technology changes and the prices of unit LED is on a downward trend. So if I have to look at Q2 or generally or last few quarters, have you seen any moderation in unit realization because of this fast?

Management: No, we haven't seen any realization downtrend at all. I think the realization has been fairly stable. LED, in fact, we are working with customers on more and more sophisticated LEDs. Some of the ticket sizes are increasing.

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Management: For EV customers, are only LEDs.

Management: India is not working for the domestic market. We are working on some specification in standard which is being applicable for the world. And those are all being covered

d within the regulatory

requirement wherein no low trend LEDs can be applied. So we cannot see anything which is being downtrend.

Viraj: Okay, fine. Sure. Thank you. Good luck.

Management: Thank you.

Moderator: Anubhav, you want to ask a question?

Anubhav: Yes, I just have a few follow up questions. Sir, like since you also mentioned that you are developing technology which is accepted globally. And like this India manufacturing opportunity is like really accelerating. Like we do hear a lot about in China plus one and also manufacturing shifting from Europe to India.

So is there a possibility apart from like our existing OEMs we can be like or are we approaching totally new OEMs to supply LED lighting? Is that a possibility?

Management: Yes, sir. We are working globally.

Management: With many European.



Management: European like Piaggio, MBK. These are already customers wherein we are developing a few products and we will be supplying to them. We are expecting good volume and good business from global OEMs also.

Anubhav: But sir, the only thing is that Piaggio is where in India and I think they have been our customers. So can we approach like completely new European or like American OEMs for supply of LED lights? Yes, is that a possibility?

Management: Right, as of now like in America also Harley Davidson is our customer and Triumph is also in our pipeline. So we are very regularly working on that and we are definitely looking for the good business from worldwide market wherever it is possible to get.

Management: And we are working many new European OEMs also. But at the moment we can't declare the same.

Anubhav: And sir, apart from this Gogoro opportunity, are there any other product diversification we are looking at any completing?

Management: Yes, there is a lot of discussion. There are number of initiatives that the company is running. Number of dialogues happening because there is a lot of changes in the landscape happening with EVs and others. But we would be able to sort of come up with a concrete plan only post our internal deliberation. So I think at this point of time there is Gogoro. But I mean there is a whole lot of other initiatives happening.

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Management: We have already like Toyo Denso is our partner wherein we are as of now supplying Bank Angle sensor wherein we have already signed a document for a throttle sensor as well as USB. So soon we will be developing products for customers and supply to all the OEMs, EVs and others.

Anubhav: Yes, thanks. That's all from my side.

Sahil Sanghvi: Thank you very much. Yes, so anyone else who would like to ask a question can raise their hand. And I think we have no further questions. Thank you to the management also for patiently answering all the questions and thank you to all the participants for joining the call. Jain sir, would you like to give any closing comments?

J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I do hope that we have provided satisfactory answer to all your queries. I wish you and your family a very happy Diwali. Thank you and have a good day. Thank you.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Feb 2024

February 17, 2024

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q3FY24 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on February 12, 2024 to discuss Operational and Financial performance of the Company for Q3FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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Q3FY24 Earnings Conference Call  
February 12, 2024

### COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI – CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

### MODERATOR

- MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL
- Fiem Industries Limited  
February 12, 2024

Page 2 of 15 Moderator : Ladies and gentlemen, good day and welcome to Fiem Industries Limited's Q3 FY2024 earnings conference call hosted by Monarch Network Capital Limited. This conference call may contain

forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the Company as on date of this call. These statements are not the guarantees of future performance, and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital Limited. Thank you and over to you Sir!

Sahil Sanghvi : Thank you Manuja. Good evening everyone. On behalf of Monarch Network Capital, I welcome you all to the Q3 FY2024 conference call of Fiem Industries Limited. We will start the call with initial comment about the results and the future outlook of the company and then we will open the floor for question and answers. So without much delay now I hand over the call to Mr. J.K. Jain, Chairman & Managing Director of the Company. Over to you Jain Sir!

J.K. Jain : Thank you. Good afternoon to everyone and welcome to the Q3 FY2024 earning call of Fiem Industries. Joining me today on this call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO & Director; Arvind Chauhan, Company Secretary, O.P. Gupta, CFO and other members of the finance team. The investor presentation and the results have been published on both the company website and the stock exchange. I trust that all of you must have reviewed the same.

The Indian economy continues to maintain a strong growth trajectory. As per the Reserve Bank of India, the real GDP for FY2024 is expected to increase by 7.3% on a year-on-year basis. This growth rate surpasses previous forecasts by the International Monetary Fund (IMF) and the World Bank, which were set at around 7% and 6.3% respectively. Despite global challenges Indian economy has been able to grow at a strong pace, supported by

the domestic demand, capital

investment and pickup in the private sector investment. Fiem Industries continues to deliver solid performance and has posted a 10.3% increase in the net sales to Rs.483 Crores in Q3 FY2024. I am pleased to report a strong 26% jump in PAT on a year-on-year basis to Rs.40 Crores. For the Q3 of the current financial year, two-wheeler industry has registered a robust growth with a production volume of 5.5 million units. We are seeing revival in the rural demand and consumer spending and expect a strong demand to continue in Q4 of the current year. On the electric vehicle front, the government has recently announced a significant boost to the fund allotted to the FAME II subsidy, an additional Rs.1500 Crores outlay has been given which should help the EV industry. During the quarter, EV volume increased to 2.4 lakh units as compared to 1.8 lakh in the previous quarter. This is a 34% increase as compared to the Q2. We are strongly positioned in the EV market and Fiem Industries Limited

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Page 3 of 15 continues to outpace the market trends. I am delighted to announce that your Company has made a breakthrough in the four wheeler passenger car segment. It has been selected as a supplier for the full LED headlamp for a high-end European car. The Company has received the purchase order along with the advance. Further, we have already commenced design and development of the same. We have also made significant progress with passenger car OEMs in India, some of them in the final stages. This is the first big step towards our journey in the passenger car segment. Further, as you are aware that our Board of Directors have recommended a bonus share in the ratio of 1:1 to reward our esteemed shareholders. Your Company is always committed to enhance the shareholders value. I now hand over to Mr. OP Gupta and the finance team to update on operational performances.

OP Gupta : Thank you Sir. Good afternoon to everyone. I am presenting numbers for third quarter ended December 2023. The company has registered sales of Rs.483.11 Crores in Q3 FY2024 in comparison to Rs.437.9 Crores in same quarter last year, which is a growth of 10.32%. The EBITDA for Q3 FY2024 is Rs.64.49 Crores translating into margin of 13.35% as compared to an EBITDA of Rs.59.63 Crores that is 13.62% in Q3 of previous financial year. PAT increased by 25.86% to Rs.40.3 Crores as compared to Rs.32.02 Crores in corresponding quarter of FY2023. During the quarter the company has made a capex of Rs.20.61 Crores. Capex for nine months period ended December 2023 is Rs.71.76 Crores. With this, I end the financial brief and now the floor is open for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Aashin Modi from Equirus Securities. Please go ahead.

Aashin Modi : Hi congratulations Sir for this new breakthrough in the four wheeler segment that we have got, so Sir I would like you to talk more about this business and what was the technology spend which was required and what sort of margins do we expect in this business and also what sort of capex into capacity and technology do we expect in the four wheeler business going ahead?

Management: Thank you. I am Vineet Sahni this side and thank you for your question. See this is full LED headlamp which involves the latest technology and as we have shared in the past we have started this journey by creating the infrastructure for four wheeler and we opened our Pune design office

also, so we have hired the necessary resources, so with this development is being done at Fiem Industries by our own team and we are working out the numbers but currently we will be using our existing capacities and no further capex is required for this particular business.

Aashin Modi : Sure Sir and given the fact that it is an export order it will be quite

incremental on the margin front

any guidance or anything over there?

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Page 4 of 15 Management: Not at this moment because the product is at the design and development stage so we will be updating appropriately in future.

Aashin Modi : Is there any timelines on when we should start picking up?

Management: So this will pick up in Q4 and beyond next year. It will go from Q4 of next financial year and beyond because the development lead time for such products is high.

Aashin Modi : Any thoughts on any form of technology licensing or any sort of JV we look to do going forward in this space or do we continue to expect it to do all the things in-house only?

Management: So we will do all the things in-house and wherever external supports are required we have outsource agencies who will help us but the responsibility is with Fiem Industries and we will do the development ourselves.

Aashin Modi : Sure Sir thanks. My next question is regarding the two wheeler customer and sales so we have seen a pickup on quarter-on-quarter in Yamaha versus Yamaha production numbers so any new business that has picked up in this Yamaha during the quarter?

Management : Yes there is additional one model which is being picked which is ZXR model that model is being converted into class B to class D where in the product is being now started for domestic as well as export market both. So that is the only one model which is being launched during this quarter.

Aashin Modi : Why I did ask this question Sir so Yamaha is seeing good ramp up last year and then it was flattish or a bit down this year so could you give us more clarity on how do we see Yamaha business going forward with what sort of model launch pipeline and what sort of a revenue growth do we see with Yamaha going forward?

Management : We have been awarded four businesses for Yamaha and we are looking for a sales figure with the volume which is being produced in India as well as export market.

Aashin Modi : Any quantum on how many models have been picked up and what new model launches as expected over next year?

Management : Two models will be launched during next year.

Management: I think specific data point we cannot disclose but directionally what Mr. Rajesh Sharma mentioned there are several projects in the pipeline and the business pipeline with Yamaha looks robust but specific volume number we will not be able to give you.

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Page 5 of 15 Aashin Modi : Sure Sir and the last question is regarding the order book so if you see in last one year our outperformance increase in the two wheeler industry has been a bit low so what percentage our instant order book is currently from LED and what sort of penetration growth could we see in the next one or two years given the fact that they are sort of penetration numbers?

Management: So, on the new orders for the current quarter our LED share is 51% which has increased from 47 that was there sequentially the previous quarter. The new order book that is there most of the projects are on the LED side so we expect this number to bump up significantly as we move forward. We had always guided towards 60 but we think this should move towards 65 to 70%.

Aashin Modi : Sure Sir. I will join back in the queue. Thank you.

Moderator: Thank you very much. The next question is from the line of Jatin Chawla, an individual investor. Please go ahead.

Jatin Chawla : Thanks for the opportunity. Sir my first question is when I look at Fiem's revenue growth over the last 8-10 years there has always been a reasonable outperformance over the underlying two wheeler industry now when I look at the last quarter the two wheeler industry grew 19% and Fiem has grown 10% and even for the nine month period there is not much outperformance this year that Fiem has over the underlying two wheeler industry so what is c

ausing this and when is this kind of likely to change?

Management: So couple of points there. I think if you look at first the H1 the two wheeler industry volumes have been pretty flat in H1. Now if you look at the current quarter you are absolutely right the industry has grown 19% but that is in volume terms, what we are reporting is more our value terms and hence disconnect. I think structurally we continue to in fact maintain our market share if anything we have sort of got several new orders from our existing customers so there is no loss of market share what has happened is that there have been a couple of models, for example with Honda there has been a model which was launched for 100cc, Honda Shine. That model has done good volumes

and we are not present in that. It is low cost entry model for Honda so I think because of these numbers sometimes you get the impression that there is distortion of figures but otherwise we continue to have the market share and over the next several quarters you will see that our product mix comes into play and we will continue to outperform.

Jatin Chawla : Got it and I think to the previous question you answered that you expect the LED share to rise eventually to 65 to 70% that is as a percentage on the revenue side or on the volume side, total volumes you expect that kind of share?

Management: This is on revenue, we reported on our revenue.

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Page 6 of 15 Jatin Chawla : Right so when you say new order share revenue share is 51% that is not too different from what your current revenue share is within lighting if I look at your revenue share even today LED ratio is kind of 51- 52%?

Management: So as a company we are at 51% of all automotive lightings that we are doing, 51% is LED. This share at a company level will gradually shift towards 65 to 70% driven by the new pipeline that we have.

Jatin Chawla : But in the last quarter order book that you were saying it is still at 51% only right?

Management: Order book and LED share is a separate item. We are saying LED share for the company today stands at 51 was 47 last quarter. This will keep moving up towards 65 to 70%. Now the driver of that is the new order book that we have and that order book predominantly is mostly LED and which is why, structurally we are moving for higher LED share.

Jatin Chawla : Got it and on the EV two wheeler side post kind of government being tighter on the FAME subsidies we have seen some of the smaller EV two wheeler players are struggling with the volumes so how are you kind of placed with some of the larger EV two wheeler players and how do you see your EV share panning out over the next two, three years?

Management: We currently work with more than 35 EV players which are either small, medium, big. The largest of them, the middle, and the even the lowest. So we are pretty much hedged in terms of who is able to gain market share. Obviously, the top player today is the likes of the Ola or TVS, we work with all of them and our share continues to grow.

Jatin Chawla : Got it. Thank you.

Moderator: Thank you very much. The next question is from the line of Dishant Jain from Quasar Capital Partners. Please go ahead.

Dishant Jain : Sir can you help with the volume growth for Q3 or nine month?

Management: We do not give the numbers in the volume and you already have the growth in the value terms.

Dishant Jain : Just wanted to get an update on the Sonapat power plant like are we facing any capacity constraint due that power plant is affecting our volumes right now just wanted to check on that plant?

Management: No, actually if you see, what we submitted already the information we keep updated...the production was resumed within three days and whatever we are doing it will be quite fast, the restoration of all the facilities. As far as the capacity constraint, this is not there.

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s Limited

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Page 7 of 15 Dishant Jain : Sir any update on the insurance claim which are yet to be received, any update on that?

Management: This is under process.

Dishant Jain : That is all. Thank you.

Moderator: Thank you very much. The next question is from the line of Viraj Kacharia from SIMPL. Please go ahead.

Viraj Kacharia : Thanks for the opportunity. Just couple of questions. Now if you look at the sales breakup which we share in the presentation the reason why the sales performance has been relatively weaker compared to the two wheeler growth is if you see the other products that has not declined and even the plastic product segment we have seen a flat growth so the lighting business continues to see a very healthy performance so if you can just give some perspective what is causing a muted or a degrowth in ex of lighting product segments and if one has to understand the drivers of growth in these two segments in coming years what would that be?

Management: I think you are referring the plastic parts and the rear view mirror parts, if I have correctly understood?

Viraj Kacharia : Plastic and then Others.

Management: Others, okay so you have to see that our main product line is always the lighting, and other the rear view mirror. So whatever is the requirement of the customer, what we are doing the plastic parts and Others always remain as per the customer requirement. But why this percentage is showing less growth, because the growth has happened more into the lighting. So this is the only reason.

Viraj Kacharia : Sir what I am asking is what is causing a flat growth in plastic product segment and similarly if I look at others we have been trying to introduce new products for many years also so in other products also what is causing the degrowth because that is the only reason why overall sales

performance has been on a relative basis lower than what the end market has grown?

Management: See some of some of de-growth that you are talking in plastic is also softening of the raw material costs therefore it is not reflecting as a revenue growth. While we understand we need to focus on these products more which are coming in our strategy we will in future focus more. Our current focus is more on our prime product, which is lighting.

Viraj Kacharia : Second question Sir this is to Mr. Sahni so first of all congratulations to you and the team and to Mr. Jain on this milestone of breakthrough in PV, just couple of questions here, one is what would

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Page 8 of 15 be the size of order indicatively and second is wanted to understand the top five KPIs for you or the major milestones what would that be and where are we right now in that journey?

Management: So see at this moment we are not able to disclose the right numbers and details. Important point today was to make an entry into four-wheeler and that too of the top end product which is a full LED headlamp. Now what it does to us is we create a right infrastructure to develop such complicated products for OEMs not only for Europe but also for Indian market that makes us future ready as Fiem industries into four-wheeler segment and with this we are now armed to approach Indian OEMs as well and this is in final stages as intimated by Chairman and in future we do see a good growth in this segment. However, I must tell you that the lead time for development of such product is high in four-wheeler, so therefore we are not talking about any numbers at this moment.

Viraj Kacharia : The question on the major milestones for you say either before you start putting in any major capex and also in terms of the breakthrough say in Europe what we understand globally the market is very concentrated between the top three, four players, they would have more than 70-75% share so for us who is kind of venturing into four-wheeler space for the first time what has enabled

us to gain

share especially in export market in Europe?

Management: See our strategy is to move step-by-step and in a strong manner. We do not want to commit errors, so we do not want to jump and get into very big OEMs and order. We need to first create right infrastructure to support our customers and move step-by-step so as you talked about KPI as I told you the next step is to make entry into some of the OEMs in India and we are actually at very close to doing that and then start in a small manner and then gradually once we prove ourselves I am sure our customers will respect us by giving us bigger orders.

Viraj Kacharia : Okay just two more questions if I may, one is on the employee cost if you see there has been a healthy jump in last two, three quarters and put on year-on-year basis so any one-off in this or what is causing this and second is on the tie-up we have any update you can give in terms of the scale of operation and how do we see that?

Management: First is about this employee cost, you see it is result of two things, one is that our four-wheeler team has increased and resources are being hired for design and development, that is one factor.

Further, the small impact.. that there is a shutdown also for some days, so that also impacted, because production is less. Next question was about the Gogoro, right?

Management : Like Gogoro have launched first model that model is mainly we launched for the B2B. Now the coming year they are planning to have a B2C that volume we can foresee during next year so as of now they have not started the mass production they produce very small quantity and looking for the good business from B2B segment only as of now.

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Page 9 of 15 Viraj Kacharia : Sure I will come back in queue. Thank you.

Moderator: Thank you very much. The next question is from the line of Anubhav from Prescient Capital.

Please go ahead.

Anubhav : If I look at the revenue from other OEMs and I suppose the electric two wheeler OEMs would be in this category that saw 7% year-on-year degrowth while if you look at the numbers for Ola this quarter they have seen a very healthy growth so what is causing this degrowth in the revenue from others, is it like from the other OEMs or how is it?

Management: Your observation is correct. This... Other OEMs are all, other than top four which we report separately. And as far as the percentage is concerned what is down or up it is because so many customers are there except this four, every small customer or even the other OEMs are in this. So there is always a change in the business. So, this is happening, otherwise there is no big reason of any difference.

Management: So just to support, this I think we can confirm there is no loss of business share we supply as per the demand and the production of the OEMs, so if OEM production is less then naturally the revenue will be less but it is not at the cost of losing any business to competition.

Anubhav : I get that. Sir apart from Ola would you be able to share like which are the other key top EV, two wheeler OEMs for you?

Management: TVS, Simple Energy, Ultraviolette, Ampere, Okinawa, Revolt, these are the major customer to

whom we are working as of now.

Anubhav : I get that and the TVS volumes would be categorized as for TVSs I suppose not in the others category for the electric two wheeler?

Management: Yes, everything for TVS.

Anubhav : Sir Hero MotoCorp apart from the Harley-Davidson model they have launched a couple of other models like I think there is a Zoom scooter which is coming with LED headlights and Karizma also they have launched or launching a model so are we supplying to any of these new models?

Management: No, these two models whatever you named are not of our portfolio. The new launch will be during next month which is having our Fiem products within this and further on... during the next year we will be expect

ing two new models wherein the complete presence of Fiem is there.

Anubhav : I get that. Thanks. That is all from my side.

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Page 10 of 15 Moderator: Thank you very much. The next question is from the line of Varun Arora from B&K Securities. Please go ahead.

Varun Arora : Thank you for the opportunity Sir. Sir can you repeat your employee cost I did not get your point?

Management: So... the question was about some increase in the employee cost during the quarter. The reason is one is the new team is joining in the four-wheeler and other is, there is small impact of the shutdown also in second half of December for some days.

Varun Arora : Sir what is your outlook for next quarter as well as for FY2025 what sort of growth you are seeing now if you can throw light on that?

Management: I think overall the two wheeler industry, I think H2 we have always maintained is looking better and we continue to maintain that Q4 looks optimistic and not just Q4 as we look ahead for the next year FY2025 we see all roadblocks being removed so to speak as far as the growth is concerned and I think the two wheeler industry will grow well and we should grow even better.

Varun Arora : Sir by the way on LED share so you said 65 to 70% you will achieve, by what timeline you are looking at this number since we are at now 51%?

Management: So between two to three years is what this outlook is for.

Varun Arora : Sir coming back to the previous participant's question you said by next quarter Hero will launch couple of products like just you said, just for clarification I need?

Management: Next quarter will be one model wherein next year will be couple of models.

Varun Arora : Couple of models and are you also there in the recently launched Xtreme 125R so are you guys there?

Management: No, we are not in that.

Varun Arora : Thank you Sir. That is all from my side. Thank you.

Moderator: Thank you very much. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi : First of all congratulations to Jain Sir and Vineet Sir for the breakthrough in four wheeler space. My question is what was the contribution from the EV two-wheeler and revenue in 3Q?

Management: So, this EV is 5.6%.

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Page 11 of 15 Sahil Sanghvi : I think there were a couple of new model launches that were expected to come in Q4 this year I understand Hero there is one and Yamaha there is I think two, three correct me if I am wrong any other launches expected in Q4?

Management: Piaggio new model is coming during Q4.

Sahil Sanghvi : That is all, right?

Management: Yes that is it.

Sahil Sanghvi : Thank you.

Moderator: Thank you very much. The next question is from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla : Thank you for the opportunity again. This order on the four wheeler side that you said European customer is it an export order or you are supplying domestically to a European OEM?

Management: It is an export order.

Jatin Chawla : You will be exporting. Normally we see LED headlamps or headlamps are not a product which kind of travels very easily?

Management: Yes, it does. But we offered value proposition to them and not in cost but in the speed of development and therefore, we could get this order, so in overall scheme of things we were selected for this source.

Jatin Chawla : Got it. Second question is on TVS so Honda you explained right that there was a particular model which is doing well hence maybe compared to overall Honda volumes you are not doing that well even on TVS when I look at the last five year CAGR also your revenue CAGR is 5% now TVS volume CAGR itself is 5% and given the LED penetration their overall revenue CAGR would have

been much higher so it seems we have lost some share of business within TVS also at an overall

level,

what is kind of causing that?

Management: No, we have not lost any share. In fact, we have gained share so I do not know what figures you are talking about. Our TVS numbers even if you look at in the current quarter our sales have increased 27%. So, I do not know what figures you are quoting but we continue to maintain our market share.

Jatin Chawla : I was looking at slightly longer term numbers FY2019 to FY2024 and it seems there is almost only like a 5% kind of CAGR in revenues over that period?

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Page 12 of 15 Management: Probably, value-volume is getting mixed. I think if we take like-to-like we are very confident we would have not lost anything at all but we can come back with a detailed data point for you.

Jatin Chawla : Sure that would be useful. Last question so we see a lot of two wheeler auto ancillary companies given that there is a big kind of onetime shift happening in the industry where industry is moving from ICE to EV are entering new components, any plans from that side?

Management : We had already announced during our last quarter because with Gogoro we have tie-up to make a hub motor and motor controller and coming forward we will be in ECU also so this production will start during first quarter of next year. We are just installing the machineries and we will be ready to explore the market with these two products as of now motor controller and hub motor during next year.

Jatin Chawla : This is for Gogoro only right now right or any other OEMs also we have?

Management : This will be initially with Gogoro and further on we will explore with new customers also.

Jatin Chawla : Thank you.

Moderator: Thank you very much. The next question is from the line of Viraj Kacharia from SIMPL. Please go ahead.

Viraj Kacharia : Thanks for the opportunity. On Hero what we understand they are looking at upgrading the existing major brands they have in terms of the aesthetic part and the current supplier seems to have challenges when it comes to LED capabilities. So are there any discussions around order wins for the existing major brands they have or the pipeline you talked about is largely for new model portfolio?

Management: As of now, we are working for the new model, as and when we will get the opportunity for the existing models wherein any problem is faced by customer we are ready for accepting this because we have a capacity and capability available with us.

Viraj Kacharia : Second question is on the PV announcement. So, just trying to understand which OE would this we supply the reason again I am trying to ask you what you said on the entry strategy that we are not looking to compete directly with the MNCs head on and if you look at the market structure there also you have the likes of (inaudible) 40:12 so they are kind of supplying across the Board right from mass market so just trying to understand what segment and OE which we are catering initially?

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Page 13 of 15 Management: So we are catering to a niche segment, to start with but with high technology product and at this moment we are unable to disclose all details but that is all part of our strategy. Like you are aware company has to prepare very well for addressing this kind of a market, which demands high quality and high technology so this is part of our strategy and we are moving as per that.

Viraj Kacharia : So when you say niche segment is it within the passenger vehicle segment or it is a different application segment altogether?

Management: It is passenger car.

Viraj Kacharia : Is it more of fresh order or we are more of a second source supplier to them?

Management: It is fresh and it is a new development. We are doing complete design and development.

Viraj Kacharia : I understand there are initial orders we have and we are also talking to other OEs in India but one has

to look into the milestone for investment in a facility what would you be looking at in terms of the milestone before putting or committing to a large investment?

Management: See normally, the milestone for any new plant is one order which justifies a capex. So we are very prudent in deciding on capex and a new plant. For example, any order let us say India 50,000 to 100,000 vehicles set is the right quantity to set up a new plant so this is our journey and we will go step-by-step and at appropriate time we will inform about setting up new plant when we are ready for such big orders.

Viraj Kacharia : So I understand this may be more of a chicken neck kind of a situation but in your interaction say with the OEs especially in India would not this also be one of the major barriers in terms of getting the business because they may want a dedicated setup when it comes to four-wheeler and right now we do not have any such infrastructure in place so in terms of our approach also would we be open



to setting up this capex even before we get any order or how are we kind of approaching this whole thing?

Management: It is not prudent to set up a capex or a new plant without the order because lighting is a highly capital intensive unit. However, I want to tell you we have entire facilities available with us to convince our customers. Our existing plants will get approved and they are in the final stages of approval, because customer sees our management and the experience in building up the product which we have. So, we will invest very judiciously and we will be very prudent in our capital investment as it is very important to do it at appropriate time.

Viraj Kacharia : Just one more in terms of investment also in P&L you said that lot of resources we have added, lot of investment tech capabilities buildup we have done even before we got the order so in terms of  
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Page 14 of 15 investment we have kind of frontloaded a lot of that in the P&L already, one has to understand and say the annual investment and P&L we have been doing what would that be roughly?

Management: It is just the manpower, technology cost that we are talking. We have not ordered any machine it is like softwares and the skill that we have.

Viraj Kacharia : I am just talking on that perspective as well, just indicatively like more like 15-20 Crores kind of investment in P&L?

Management: Sorry to interrupt you it is too premature to give you any number. At appropriate time when we have a right business plan in place we will keep you informed.

Viraj Kacharia : Fine sure. Thank you and good luck.

Moderator: Thank you very much. The next question is from the line of Smit from Monarch Network Capital. Please go ahead.

Smit: Congratulations on a decent set of numbers. Sir my question is regarding wallet share in say headlamp, tail lamp, etc., with the OEMs?

Management: This wallet share actually we share on the yearly basis and I am sharing this wallet share for the last financial year FY2022-2023. I will start with TVS. For headlamp we are having 68% and for tail lamp is 86%, winker 85%, RVM 62%, and DRL we are 100% and license lamp is almost 95%. For Yamaha head lamp is 83%, tail lamp is 63, winker is 10% and RVM is 82%, position lamp we are 50%. For Suzuki head lamp is 71%, tail lamp is also 71% and winker is 4%, RVM 100%, reflector is 100% and license lamp is also 100%. For HMSI head lamp is 40%, tail lamp is 76%, and winker is 85%, RVM is 100% for position lamp and reflector it is 100%. These are for FY2022-2023.

Smit: Thank you Sir and one more question regarding some other products which we had mentioned in our annual report that is the USB charger and GAPS sensor with technical assistance arrangement that we have Toyo Denso, any light on that regarding some timelines or what stage of development the product is in and when can we expect the products

to contribute to revenue?

Management: So this is with our existing technology partner that is Toyo Denso. So, maybe it is too early to talk about this, maybe in next year, we will update you when anything happens.

Smit: Thank you.

Moderator: Thank you very much. The next question is from the line of Anubhav from Prescient Capital. Please go ahead.

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Page 15 of 15 Anubhav : Sir for the motor control unit product can you provide some detail on what stage are we in terms of product development and any details like when can it be launched over here?

Management: On hub motor and motor controller, we are already supplying SKD as of now to Gogoro wherein our all equipments are on the way trans transferred from Taiwan which we will be expecting by mid of next month and one month is required just to have installation of this so by next year first quarter we will resume our production for complete domestic assemblies of hub motor and motor controller.

Anubhav : Just a followup like will it require like investment in a team because motor control unit in my sense is very software and electronic intensive so like what kind of development effort will it require?

Management: SMT lines are already available with us and the software and other circuit design everything is being as of now provided by our partner Gogoro. So we will start the production with the facilities available with us wherein the specific assembly line and the testing machines are under transit right now.. which will be installed shortly and by first quarter we will start the production.

Anubhav : Sir what is like thought on this eventually will it like localized or what percentage of localization will there be for this product?

Management: We are working to localize by more than 75% of the product wherein 25% will be the electronic component which will of course be import from outside only.

Anubhav : I get that. Thanks that is all from me.

Moderator: Thank you very much. As there are no further questions, I will now like to hand the conference

over to Mr. Sahil Sanghvi for closing comments.

Sahil Sanghvi : I would like to thank the management first of all for very patiently and elaborately answering all the questions. On behalf of Monarch Network I would also like to thank all the participants for joining the call. Jain Sir would you like to give any closing comments.

J.K. Jain : I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions please do not hesitate to contact us. Thank you and have a good day and good evening.

Moderator: On behalf of Monarch Network Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: May 2024

May 28, 2024

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q4/FY24 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on May 23, 2024 to discuss Operational and Financial performance of the Company for Q4/FY24. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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### COMPANY MANAGEMENT

- MR. J.K. JAIN – CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI – CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA – CFO
- OTHER FINANCE TEAM MEMBERS

HOSTED BY  
MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q4 FY '24 Earnings Conference Call hosted by Monarch Network Capital. This conference call may contain certain

forward-looking statements about the companies, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Yes, good evening everyone. On behalf of Monarch Network Capital, I welcome you all to the Q4 and FY24 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we will open the floor for questions and answers.

So, without much delay, now I hand over the call to Mr. J.K. Jain, Chairman and MD of the company. Over to you, Jain sir.

J. K. Jain: Thank you. Good afternoon to everyone, and welcome to the Q4 FY '24 Earnings Call of Fiem Industries. Joining me today on the call are; Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.

The investor presentation and the results have been published on both the company's website and the stock exchange. I trust that all of you must have reviewed the same. Fiem Industries has reached a big milestone posting its highest ever sales by exceeding INR2,000 crores and attaining a net profit of INR166 crores in the financial year FY '24.

Your company has delivered an outstanding performance, showcasing robust results for both the last quarter and the entire year. The 2-wheeler industry is growing strongly with the production volume reaching 21.5 million units in FY '24. This increase is due to the improved consumer sentiment and higher rural demand.

April numbers for the 2-wheeler industries also reflect the robust trend in the OEM volumes. We believe this growth will continue in the coming years, reaching new highs. For the full year FY '24, our valued OEM customers have also done well with Honda, TVS, Suzuki and Yamaha all achieving double-digit growth this year. Their confidence in future growth is demonstrated by the plans of many OEMs to setup new plants to meet the growing demand of the market. We also see good growth in export with Hero Harley development, new models specifically for the international market, backed by the success of the X440 locally. Additionally, TVS acquisition of the U.K. based Norton had led to the collaborative efforts in developing new Fiem Industries Limited

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products for the Norton brand. We, thus, believe that overall demand outlook continues to be strong.

In order to position ourselves for this demand, we are also preparing for a major capital expenditure program. We expect to spend INR250 crores to INR300 crores over the next 3 years to drive our future growth. In the last quarter, I announced that your company had made a breakthrough in the 4-wheeler passenger car segment in the European market. I am delighted to share that we have also received order from the reputed OEMs in the Indian passenger car segment also.

We continue to make significant strides in our journey, marking this as a major milestone as we expand into the passenger car market in future

. Further, I am pleased to inform that our Board of Directors have recommended a dividend of INR20 per share on the enhanced share capital, post to 1:1 bonus share.

I now hand over to Mr. O.P. Gupta and the finance team to update the operational performance. Thank you.

O. P. Gupta: Good afternoon to everyone. First, I will present Q4 numbers, after which I will cover the full year FY24. The company has registered quarterly sales of INR554.7 crores in Q4 of FY24 as compared to INR432.84 crores over the same quarter last year registering a growth of 28.1%. The EBITDA in quarter 4 was INR75.46 crores translating into an EBITDA margin of 13.6% as compared to INR60.21 crores over the same quarter last year with an EBITDA margin of 13.91%.

The PAT of the company has also increased to INR47.1 crores as compared to INR38.05 crores in Q4 of FY23 representing an increase of 24.02%. Now, I will briefly cover the numbers for full financial year 23-24. During FY24 the company has achieved net sales of INR2,014.37 crores as compared to INR1,834.04 crores in FY23 representing a growth of 9.83%.

As a percentage of total automotive lighting, the LED lighting stands at 52% in comparison to

49% during last year. EBITDA stands at INR267.97 crores as compared to INR247.85 crores during FY23. PAT of the company stood at INR165.84 crores as compared to INR139.63 crores during FY23 which is higher by 18.77%. During the year, the company has made a capex of Rs INR85.86 crores. With this, I end the financial brief and now the floor is open for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of CA from Nvest Analysis Advisory LLP. Please go ahead.

Garvit Goyal: Good evening, sir, and congrats for a good set of numbers. I have three questions. One is our company has consistently delivered bottom-line growth year after year and while this is commendable, I am concerned about our top-line growth. Despite having the marquee clients we are only achieving lower double-digit top-line growth.

Although we may be outperforming the industry, I believe a company of our calibre under efficient management should adopt a more aggressive approach to increase the market share and

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diversify further. So, can you please elaborate on why we are not pursuing more aggressive strategies for the top-line growth and what can be the steps that we are planning to take to improve our growth trajectory further?

Management: Thank you for that. I think as you rightly said we have outperformed the industry over the last many years. But also looking ahead if you notice we have actually made a lot of investments over the last 12 months and a lot of investments are now envisaged as we have just announced a large capex program.

So, in line with what you are saying we have already thought through that there are several new areas that we want to work in. The four-wheeler segment is obviously something that could be a very big growth driver for us. The other segments including hub motors and others are also being talked about. So, I think your point is already noted. The management has already been working over the last 12 months to 18 months towards several new initiatives and you will see the output over the next couple of years and the investment for that is being made as we speak.

Garvit Goyal: And sir you mentioned about the capex like what is the area that this INR250 CR to INR300 CR capex will go into?

Management: It will go across. So, one is obviously enhancing our existing capacity for the current segment. There is a certain capacity requirement in South India. There is also going to be capex for the new projects which we announced on four-wheelers. There will also be capex around the hub motor units. So, all of that combined we envisage INR250 crores to INR300 crores capex

x to  
happen.

Garvit Goyal: And sir I am also concerned about the apparent delays that are happening in Fiem and the Gogoro project for manufacturing the hub base and the motor controllers. So, could you please explain why there has been no meaningful contribution to our top line so far? Additionally, please also provide some details on the capital expenditure incurred on this project to the date and specify when we can realistically expect to see some revenue generation from this area?

Management: See, so about this Gogoro, what they did is because initially they planned for market B2B that was the one bottleneck because the prices of first model which is being launched was little bit higher side. The acceptability from the market was very poor.

Now, company is already working to launch a new vehicle which will be competitive in the prices, which is equal to the part of the vehicle which is being already in the market. And company will be soon giving back overall information to launch this kind of vehicle, which will be at par with customer expectation. And same time, we will be doing the indigenization for this hub motor and motor controller because once it will be indigenized, the PLI and other scheme can be managed by Gogoro.

So, another six months-time, we will be in position to give you the exact figure and overall volume.

Management: And basically, we were not able to give more because the production of Gogoro was not there. So, they have produced so far only 5000 numbers. So, basically, it is driven by the OEMs.

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Garvit Goyal: So, do you see any kind of revenue coming into in FY'25 from this area?

Management: We are expecting it is totally depended on the customer as well as the plan from Gogoro.

Garvit Goyal: And lastly, on the innovation side, so could you also provide an update on the development timelines in the current phase of that USB charger and the gap sensor which are being developed

with technical assistance from the TOYODENSO? Further, what are the new innovations in the terms of new product development that we are doing right now at our R&D centres?

Management: TOYODENSO, it is being not the new product, it is being developed and already in the market, it is all under supply since last five years, wherein we are working for some new products also which will be still under discussion with customers.

Garvit Goyal: And what are the new products that we are doing at our R&D centres apart from these things?

Management: Yes, we will be working for so many projects like especially for the lighting areas only. One is the major thing which we are planning right now to establish our EMC & EMI is there which is necessary to have testing and validation in house and a laser headlamp.

Management: So, I will just add on, we are working on three main technologies. One is a laser technology which is a technology of the future and that will go both in two wheelers and four wheelers and we propose to be the first in the industry to launch that. We are working very closely with the customer.

Secondly, we are also working on a night vision which is the need for A segment, B segment and C segment cars. So, we are working on that technology along with customer. And third, we are also working on the ambient lighting technology which is mood lighting which is specific to four wheeler.

So, that is also new technology that we are working on. So, apart from that, we are also working on certain technology which we cannot disclose at this moment.

Garvit Goyal: Understood sir. And sir, what is the guidance for FY'25 in terms of top line?

Management: So, it is difficult to give a number on this but we will grow organically in this around 12% to 15% is what we anticipate in the coming year. However, if some targets come across our way, we will capitalize on that. But at this moment, we anticipate 12% to 15%.

Ga

Garvit Goyal: Understood sir. That's it from my side. All the best for the future.

Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisory LLP. Please go ahead. Mr. Gagan Deep, your line is unmuted. Please proceed.

Gagan Deep: Sir, my question is already answered.

Moderator: Thank you. Next question is from the line of Viraj from SiMPL. Please go ahead.

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Viraj: Yes. Hi. Thanks for the opportunity. Congratulations on good set of numbers. Just couple of questions. A question on the PV part, this new order which we talked about, if you can just give some more perspective in terms of is it an existing order or it is a new product development which we back for? And what will be the size of the order? And when do we expect it to commission?

Management: One of the orders that we received for headlamps for European is a totally new development. So we are designing it in here. Right. And the development is on. Design has already been approved by the customer. Prototype is under approval. And this development time will take another six months for the tool to be developed. And then we will start the supply, let's say, in around the end of this financial year, we should be starting the supply. The expected revenue will depend on the offtake from the customer.

Viraj: So, on the Indian OE order, any update you can give into the size of opportunity when do we expect it to start?

Management: Yes. So we received order from three of the Indian customers already. One of the product is under development and we believe that we should be able to productionize it fast. In next three months, we will start in a small way for one small lamp and then other RFQs we have started receiving and working on that.

Viraj: So, this order is for the headlamp piece or is it more on the tail lamp or any colour further? That is one. And, when you say INR250 crores, INR300 crores, how much we are allocating for the four wheeler piece?

Management: So this order is for small lamp at this moment, but LED new technology lamp. And this we are doing it from our current plant only. We are not investing specially for this business because we have capacity and this design is complete and approved by customer. The product is under tooling at this moment.

Viraj: Okay. And so on the capex piece, when we say INR250 crores, INR300 crores, capex on next two to three years, earlier communication was when you look at our existing facility, which is largely for two wheelers, we have sufficient capacity to cater to, say, around close to INR2,800 crores to INR3,000 crores scale, if the market shifts to LED. And hence the capex expectation for next two, three years, at least was very muted.

So, when we say this INR250 crores, INR300 crores, even for PV, we are not going majorly in a brownfield, not in a greenfield way. So what are the major components of this capex?

Management: So if you see the current year, capex is already INR86 crores. And so if you see organically, if

you were to put next two, three years number, you will already be at INR200 odd crores. So additionally, we built in some more capex for expansion at our Hosur plant and also for four-wheeler that, as I said, is an estimated number, which will be crystallized over the next six, nine months. That's the broad capex range we are giving.

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Viraj: Okay. And in terms of the existing two wheeler business, so, you know, if you look at our production, if you compare the production numbers of, say, HMSI or Yamaha for last, say, three quarters, our sales performance has been underperforming compared to the production growth you're seeing in, those two customers. So what explains the underperformance?

Management: I think what you should do is ideally look at more a yearly and a three-year trend.

Viraj: I'm looking at the last three quarters

, so almost a year is what I'm looking at.

Management: Yes. So actually, except for the first two quarters, last two quarters, we've done better than their volumes. But what happens when we explain the last quarter also, sometimes one product or a particular customer thinks of where we're not there. If you look at overall volumes and overall our growth and if you look at on a yearly basis, you won't find much of a difference there.

Viraj: Can you give, the wallet share, which you used to give earlier in terms of headline, for the top four customers?

Management: Sorry, Viraj, that wallet share actually we tried to work out, but, this information we take from the customers as well as some internal sources. So this time, we are not able to do that.

Viraj: Okay, just two more questions on the gross margin part and again on the realization as well. So if you look at this particular quarter, we have seen a sharp moderation in our gross margin. So what is it driven by? And on realization, if you see globally, there's a change in technology in LED itself, which has given a drop in realizations across the board. So for us also, are we seeing any similar trend playing out?

Management: So you are specifically questioning on the gross margin, or means you are talking about the EBITDA margin overall?

Viraj: No, my question one is on the gross margin, sir. That if I look at this particular quarter, Q4, we have seen a moderation in gross margin, almost 200 business points year-on-year. What is it driven by?

Management: So if we see...material cost is same, even the other costs are the same. The only thing, some increases in the manpower and this is the main difference. There is no big difference, otherwise.

So I think I would say -- rather than quarter, because what happens, there's always a lag in the customer compensation of the raw material costs. So it is always better to see annualized working of gross margin. And if you see that, the gross margin has not changed.

Viraj: Okay, just one more question. On the realization part, if we can just give some perspective, are we seeing any moderation and realization, especially in the LED part?

Management: No, I think it is just the same. It continues because we have a back-to-back path to compensation from customers and it continues in a similar manner.

Viraj: Yes, okay, got it. And on the replacement business, if I look at this business, for last two, three years, we've seen a very healthy growth. And given where the market is shifting towards LED,

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usually the replacement cycle is much longer than what one would think. So what explains the growth in replacement business for us?

Management: See, our replacement business is going on the same requirements, whatever the products we are selling earlier, the only difference is that the lighting requirement is no higher, because of the LED. It is steady. So even, during the current year, we registered a good growth in the replacement market. It's INR141 crores.

So when, as the vehicle becomes old, the old technology product requirement goes up. And therefore, when we supply that, you see the growth in the business. So this is always, it always happens like that. As the time passes, the lamps get replaced, the bulb technology, not the LED technology. And therefore, you see the growth in our replacement business.

Viraj: Okay, okay. And any update on the insurance, for the fire claim?

Management: So this is, we already informed, we already, submitted our claim, and this is under process.

Viraj: Okay, I'll come back in queue and thank you.

Moderator: Thank you. Next question is from the line of Jatin Chawla from RTL Investments, please proceed.

Jatin Chawla: Yes, hi, thanks for the opportunity. Just checking on the India PV side, did you say you received orders from three customers or was that RFQ?

Management: So we have orders total from three

customers and we have RFQ from another three customers.

So we will, in short time, we'll be working with six customers in OEM, including exports.

Jatin Chawla: Got it. And on the capex side, I don't know why you guys are calling this as a large capex, because it seems you're already spending INR80-INR85 crores every year. So this INR250 to INR300 crores is the same run rate. So it doesn't seem there is any big pickup in capex or, you know, you're not seeing kind of growth avenues to invest going forward. So just some understanding on that?

Management: No, so just our maintenance capex is more like INR40-INR45 crores. So we're just saying that over and above maintenance, there is some requirement, as we mentioned, there is requirement at those who plant, there could be requirement for 4-wheeler thing at some point in future. So given that this question has been asked of us, of our guidance, we are giving a number that we think is likely to happen.

Jatin Chawla: Got it. So this INR250-INR300 crores, what sort of asset turnover one can expect? What sort of, incremental revenue could come from this?

Management: Almost 3x is what we expect.

Jatin Chawla: And this hub motor capex that you're mentioning, will this be for beyond Gogoro or this is largely only to service Gogoro needs?

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Management: This is as of now for Gogoro. Further on, once this overall facility will be ready for penetration, we will work together with Gogoro to cater this motor, hub motor and motor controller to other OEMs also.

Jatin Chawla: Got it. And this quarter, we have seen some pickup on Yamaha revenues as well. You know, last few quarters, the run rate was more around INR70 crores. We have seen this go up to more than INR80 crores. So any new models that have come in or this is just seasonality where the March quarter was strong?

Management: Yes, there are two models which has been launched during last year. This one is of Aerox 160 and other model is for export. So those models have given us positive growth and sales figure overall.

Jatin Chawla: And going forward, I think there were a few, another five, six models that were going to come. So should we expect that this run rate will continue to go up?

Management: Yes, of course. We are very much hopeful for this and we are working on that area.

Jatin Chawla: Got it. Just one last question. So Hero, I think you spoke about the fact that on the Harley side, there is quite a bit of traction, but beyond the Harley and in terms of some of the more mass market models for Hero, are we seeing any kind of orders coming for those as well?

Management: Yes, there will be a few models which are already being developed and might be next quarter if these models could be launched. And thereafter, we can give you the right picture which model is being launched and which, what all kind of product is being developed by us. But there are six, seven projects which are under pipeline under Hero model, mass models, as well as Hero Harley also.

Moderator: Thank you. Next question is from the line of Omkar Arora from Eraya Capital. Please proceed.

Omkar Arora: Hi, sir. Congratulations on a good set of numbers. I have a couple of questions regarding the long-term view of the company. So if we see the sales growth for the company over long-term last 8 to 10 years, we've grown at a CAGR of almost 11%.

And I understand that we have four major revenue streams going forward, which are the two-wheeler business where we are already catering where we provide lights and mirrors, LED lights within the two-wheeler segment, new revenue segment where we plan to cater to the four-wheeler segment, and new products under our JV with Gogoro. So my question is, what kind of growth do we expect in the next three to five years in each of these revenue streams?

Management: So let's look at organic business. So organic business is going

to be driven, of course, by the

two-wheeler industry growth. We've highlighted that we have a leadership position there. We have a leadership position in the EV segment. We also have indirect exports. So to that extent, in the two-wheeler segment, we feel optimistic that the growth is coming back.

You mentioned last 10 years. Out of that, last five, six years have been very tough for the two-wheeler industry. So, A, the core organic growth should be stronger. We expect that given that

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the two-wheeler industry will do well, we should do even better. We should definitely do 12% to 15% of organic growth.

Over and above that, there are several areas which we've highlighted, which we're looking at, including the motor business, including the four-wheeler business, and other opportunities that may arise. And I think we are preparing ourselves for those opportunities. So if you look at some of the parts between organic and other, we do expect our growth to be much better than what you have seen in the past. We have set ourselves some ambitious targets on that.

But some of them are binary and will depend on some of these outcomes, especially on the four-wheeler and hub motor. And you may have to be patient for a few quarters before they kick in.

Omkar Arora: Is there any kind of number that you can throw on the four-wheeler segment in particular? What kind of numbers do you expect to do in the next one year, two years, long term, five years or so?

Management: So, not at this moment. As you are aware, the incubation period for four-wheeler is literally long term. So we are already getting inroads into the customer. That is step one. I think by the end of this financial year, we will be ready with our proper business plan and we'll share the numbers with all of you.

Omkar Arora: What kind of margins do you expect in this segment, the four-wheeler?

Management: The four-wheeler segment has similar margins as two-wheelers. However, the value goes up because the price range is higher. So, you pay more on the absolute value and the margins remain similar.

Omkar Arora: Okay. But don't you think you face stiff competition in this segment as compared to the segment where you are leaders already?

Management: We are preparing accordingly.

Omkar Arora: And I have one last question. Can you also provide some details around the total capacity and the current cap utilization and the growth in the coming years? Can it be met by the current capacity or do we see more capacity coming up in the next few years apart from this financial year as well? So, if you can throw a timeline of capacity that you must have prepared?

Management: So, talking about the current capacity level, we are around 80% in the capacity. In our business, we have a good time for development and during the meantime of design and development, we also generate the capacity. So, capacity generation is not a big issue for us.

Moderator: Thank you. Next question is from the line of Varun Arora from B&K Securities. Please go ahead.

Varun Arora: Yes. Hi, sir. Thank you for the opportunity. So, just some clarifications I want. So, previously participant one asked, the growth you said 12% to 15%. So, that's the revenue growth you're expecting for the FY '25?

Management: Yes. Organic revenue growth.

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Varun Arora: Organic revenue growth. Okay, sir. And just another thing on the PV Indian OEMs. So, you want to order and you said one project is under development out of the three customers. Is this the right understanding, sir?

Management: Sorry, can you repeat your question please?

Varun Arora: Basically, there are three customers you got the orders from the Indian OEMs, right, sir? And one project is under development, which will come out in the next three months?

Management: Yes. So, three customers, one is export t

o India at this moment and three additional is RFQ phase.

Varun Arora: Okay. And all projects are under development now? I mean, so...

Management: The order that we have, they are under development. And one product of Indian is shortly time, I think we should enter into SOP in next 3 months to 4 months.

Varun Arora: Okay, sir. Sir if I may ask you how big the order is for which you've got?

Management: So, this is a small order at this moment around INR10 crores annually approximately for a full calendar year, but it is more of a beginning to start with the customer.

Varun Arora: And you will start the execution in FY25 only I mean the INR10 crores we are estimating for FY25?

Management: In the current year we will start the SOP.

Varun Arora: And can we say the next year in FY26 this will grow by the double or triple I mean just need some guidance on that one for FY26?

Management: Naturally, this will grow. And there are adjacent products for which we are now issuing RFQ because we are developing this product. So, this product will get us more products also with the same customer.

Varun Arora: Okay, sir. And the last clarification I want on the Hero product pipeline. So, you said there are three products right now under the pipeline?

Management: No, there are seven products as of now under development. And three are on tooling side and another three is from designing side. So, total we have six products as of now.

And further on RFQs, we are working on the RFQs also.

Varun Arora: Okay, sir. That will be all from my side. Thank you for the question.

Moderator: Thank you. Next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead. Ms. Jyoti, your line is unmuted. Please go ahead.

Jyoti Singh: Yes, sorry. So, thank you for the opportunity. Sir, I just wanted to understand that the new product that we are working on that is called ambient mood lighting. So, if you are able to explain Fiem Industries Limited

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how big is this opportunity and we already having a competition in this segment and along with that a few of the auto ancillary that is already working on it. So, how big the opportunity that we have and what are the target in that?

Management: And let me tell you, there is no very well organized broad organization today in the country who is serving this market because this is a growing market with a big potential. The ambient lighting or we call mood lighting in the cars. Especially all the new EVs have this feature. So, we are exploring this market in a very focused manner. We are getting very good response from the customer.

So, currently we are working on three RFQs on this because we already could manage to get RFQ from the customer and we hope to finalize at least one of them in this financial year and having done that it will lead to more such businesses. So, we see a high potential in this business and the scope can go up to in, let's say, 3 years to 5 years up to INR500 crores to INR1000 crores that is the kind of opportunity it has.

Jyoti Singh: Okay. And sir, another question on the premiumization side, like now there are a number of vehicles that is upcoming time more in the premium segment. So, how we are seeing the increased content per vehicle if you can explain on that side?

Management: So, the trend is, Jyoti, electronics is increasing in all vehicles. The content of electronics is going up exponentially in all the segments and both hardware and software. Related to this, cyber security content is also going up because data security is becoming more and more important and lighting as such is having a lot of electronics into this. So we expect the content to go up in future for all the lighting products.

Jyoti Singh: So, currently, sir, we have done any price hike?

Management: Say again, sorry.

Jyoti Singh: Currently, we have done any price hike in this quarter or we are planni

ng in the upcoming  
quarter?

Management: Price rise. You are talking about the price hike?

Jyoti Singh: Yes.

Management: No pricing gets settled at the time of development and once the product is designed there is no change. It is then only the raw material change which is passed through and we get compensated by the customer product most of the customers not all, but most of the customers.

Jyoti Singh: Okay. Thank you so much, sir.

Moderator: Thank you. Thank you. Next question is from the line of Rahul Picha from Multi-Act PMS. Please proceed.

Akshat: Yes. Hi, this is Akshat here. First of all congratulations for a very good set of numbers. I had two questions. So, my first question is on the capacity utilization side in our organic business.

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So, if you could just spell out what is the capacity utilization on an average across plants and how do we look at Brownfield expansion given there would be constraints which you said in the southern part of the country. So, that is number one. And I'll follow up with second question afterwards?

Management: So, about the current capacity utilization this is around 80% in the last quarter and your next question is about the capacity enhancement in the south units. We are doing that, yes we are investing over there.

Akshat: And so with all these PV orders and RFQs in hand as of now, so we've got already three PV orders which are in tooling and development stage and three over RFQ. So, while we understand that it will be like a starter for FY25, but from FY26 onwards what kind of a contribution do we expect from these PV orders to our overall revenue like do we say in that this could be like a 10% of revenue from FY26 onwards?

Management: So, I think it is too early to estimate this. And I think I had just shared a couple of minutes ago. By the end of this year, we will try to crystallize our plan for future. too early to estimate as of now on the forthcoming revenue.

Moderator: Thank you. Next question is from the line of Divyanshu Sachdeva, an individual investor. Please go ahead.

Divyanshu Sachdeva: Sir, I just have a very basic question. So is it possible for you to give some guidance or maybe some outlook on the two-wheeler industry going forward, maybe for the next year?

Management: We believe that if you look at the last five years, you will see that we are still not, you know, we are still below the peak that was hit in FY'19. So, there is no reason why two-wheeler industry should not grow and surpass that very soon. As you mentioned, the April numbers of the industry looked quite robust. So, double-digit growth is something that we definitely expect going forward, not just for the current quarter or two, but for the next couple of years. We see all the green shoots for the two-wheeler industry to do better.

Divyanshu Sachdeva: Okay. And is it possible for you to share some margin range in your mirror business? Maybe any basic range for that.

Management: Margin specifically for mirror business?

Divyanshu Sachdeva: Yes. Is it possible for you to give some range in that segment?

Management: The margin across the products are same because we are supplying to the same customers.

Divyanshu Sachdeva: Okay, sure. Thank you.

Moderator: Thank you. Next follow-up question is from the line of CA Garvit Goyal from Nvest Analysts Advisors LLP. Please go ahead.

CA Garvit Goyal: Hi. Thanks for the opportunity again. Just one question on the margin. Do we see any kind of improvement in margin in FY'25?

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Management: So, we are already on 13% plus and we definitely would try to do our best about the improvement of the margin.

CA Garvit Goyal: Okay, sir. Thank you.

Moderator: Thank you. Next follow-up question is from the line of Viraj from SIMPL. Please proceed.

Viraj: Yes. Hi. Thanks for the opportunity. Just two or three questi

ons. One is on the PV part again.

You talked about three confirmed orders and then you have three RFQs. And then there's an export order which we announced last time. So, internally, what milestones you've been looking at before putting in or committing to a greenfield capex?

Management: Committing to a greenfield project?

Viraj: Capex.

Management: So at this moment, for this financial year, we do not see any greenfield investment for passenger vehicles. And honestly, I don't see next year also. Because going forward, we will be targeting one big order, which we anticipate in next financial year, which will lead us to set up a plant. But today, for next two years, we will not be investing in greenfield project for passenger vehicles.

Viraj: Sir, the existing orders, which we have got, largely be in niches or in the opportunity scale, they will be like sub INR50 crores or sub INR25 crores kind of opportunity scale?

Management: So, currently, they are niche orders. And this will be produced in our existing facilities only.

Viraj: Okay, got it. Second question was on the two-wheeler piece. If we look at the other customers, right, where we in the past have talked about EV players, you know, are the major contribution there. If you look at our top customers, like say Ola and few others, they've seen a very healthy ramp up in volume and that is continuing. But when I look at our other customer revenue base, it's largely been flat. So what explains the divergence?

Management: See, you're talking to the customer-wise business share slide, we shared in presentation, right?

Viraj: Yes, sir.

Management: So, see, we already shared this, our top five customers, it is already there. Rest all, you know, somebody is increasing, somebody is decreasing, but because our turnover is almost 10% growth. So because of that percentage that remains same in the range of 11%.

And if you see the total -- if you also see the total EV industry volumes from '23 to '24, the numbers are from 7 lakh-odd to 9.5 lakh EV. You are aware that because of various changes to FAME subsidy and all, there have been some challenges to a few customers. So for us, we've still grown this pie significantly and what Arvind highlighted, as a percentage, it may still look the same 11%. But as an absolute number, we have gained here.

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Viraj: Okay, just two more. When you talked about six or seven projects for Hero, are all these new products or, you know, even for some of the existing brands, we will be looking to supply them?

Management: No, these are all new products.

Viraj: Okay. And last was on the Yamaha piece, recently they came up with a press release and they are moving some of the global models, platforms from ASEAN to India. So for us, you know, how should we understand the opportunity? Would we be the sole supplier or any color you can give there?

Management: Like recently, you have heard this Aerox 160, which is being launched not only for India, and we will be soon starting from here to Indonesia also. So all models, whatever is being concentrated right now from OEMs are to be made for Indian market as well as for global market also.

Viraj: No, my question was about existing product brands being moved, the production being moved from ASEAN to India. So in that sense, I was just trying to understand, would we be a beneficiary or...?

Management: Yes, we'll be doing and this has already been working like that already. Whatever products as of now is being made here is being exported to ASEAN countries too.

Viraj: Okay. Thank you.

Moderator: Next question is from the line of Ravi Purohit from Security Investment Management, Private Limited. Please go ahead.

Ravi Purohit: Hi, most of my questions have been answered. Just one broad question at the company level. I think we've discussed a lot of initiatives over the last six months on the call. We hit our initiative

with Gogoro, new business coming in from passenger vehicles, new RFQs for Hero, Harley. And I think we've also mentioned today during the call that we are looking at 12% to 15% growth organically.

So, if you put all of these together what kind of number is the company like aspiring to do in terms of revenue in the next three to four years? Will it be like a difficult task for us to hit INR4,000 crores revenue in three years, four years time?

Management: See, we don't... We are very bullish.

Yes, I mean, there are many opportunities we've seen and we've kind of highlighted them. What are these opportunities? How are we working around them? But we don't want to give you a specific guidance number, but organically, nothing organic, there seems to be a large potential.

Ravi Purohit: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Nikhil from SIMPL. Please go ahead.

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Nikhil: Yes, just one question, sir. As you said, the total EV volumes are 7 lakh to 9 lakh. If you have to understand the total size of the lighting, which the EV volumes would be corresponding to, what would be the total size? Would it be like approximately 100 crores? Or would it be still lower than 100 crores? The total size of lighting with the EV volumes would be corresponding to?

Management: I think the better way of looking at it is EV is right now 5% of the total industry at this point of time as well in terms of overall number. And I think taking one benchmark number will not be correct, whether the EV per EV content is 2000 or 3000 or 4000, because different EVs will be priced differently, especially as this number moves from 5% to higher number. So if you want to take a benchmark, you can take a 2000-3000 per vehicle. But that may not be the right way of looking at it because in future, you may have more premium EVs coming or less premium coming.

Nikhil: Correct. So I just wanted to understand what is the approximate size of lighting which EV is corresponding to today. I am not trying to do any extrapolation for future. But anyways, second question, based on the pipeline and RFQs you are finding in Hero, over the next 3-4 years, do you see Hero can come in, be one of our top 5 customers? Or would you say the pipeline does not give such a confidence?

Management: No, we are very much convinced about this and we will be working together with Hero, not only 7 projects, further projects are also in the pipeline. And we hope this overall customer range, Hero will be also on the top.

Nikhil: Okay, fine. Thanks a lot, sir.

Moderator: Thank you. Next question is from the line of Rohan Advant from Prad Capital. Please go ahead.

Rohan Advant: Yes, so thanks for the opportunity. Sir, I just wanted to clarify, when we say 12%-15% organic growth, what do you mean by organic? Is it just a two-wheeler business?

Management: Yes, it just means our basic current two-wheeler business and not the new business which may come significantly, whether it is Gogoro or whether it is the PV business, which we are

attempting.

Rohan Advant: Got it. Sir, and in one of your comments, you said that the ambient lighting opportunity could be a INR500 to INR1000 crores opportunity in a few years. So, can you elaborate on what that opportunity is and what are you doing as a company to address that?

Management: Yes, sure. See, each of the new cars which are coming in, they have this ambient lighting or what we call mood lighting. So, mood lighting has an electronic component also. There is a driver which is used to light up the interiors of the car. And this lighting goes not only on the four doors, but it also goes on the central console and the dashboard. And this overall package ranges from INR3,500 to INR8,000 to INR10,000. It's good content in a car. So, we are working aggressively with our customers to gain this opportunity.

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Rohan Advant: Okay. And so there, do you have any disadvantage versus the incumbent or it's a new opportunity where you and the competitor would be equally competent to address?

Management: We do not have disadvantage. Rather, I would say we have advantage of the new technology that we are trying to introduce in ambient lighting. And that will be liked and promoted by our customers. So, we feel we are at an advantageous position in this business.

Rohan Advant: Got it, sir. Thanks for taking my question and all the best for the next quarters.

Moderator: We have our next follow-up question from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Yes, thanks for the opportunity. Just a quick follow-up. For this ambient lighting, is this a technology that we have done or the technology has been developed internally by the company?

Management: So, we have developed internally and wherever required, we are taking support of one of our German agencies. Wherever required, we are taking its support. But it is developed internally by Fiem Group.

Jatin Chawla: Okay, got it. Thank you.

Moderator: Thank you. Next question is from the line of Manoj Shroff from Kivah. Please go ahead.

Manoj Shroff: Hi, sir. Thanks for the chance. Just two quick questions. One was for the 12%, 15% growth. What is the underlying two-wheeler OEM growth that we are assuming?

Management: 8% to 10%.

Manoj Shroff: And is that the OEM visibility that we have? They are asking us to prepare for so much?

Management: That is obviously the changes but this is the current outlook. So, we do expect this kind of a growth to come through over the next couple of years.

Manoj Shroff: Sir, and earlier we used to talk, and please correct me if I'm wrong, that automotive LED mix will improve and we have a higher margin there. Can you just talk a bit about that, that how the LED mix will improve and our margins will increase there?

Management: See, you are right. This LED, but the percentage of the total automotive lighting is increasing. As for last year, it was 52% in comparison to the FY'23, where it was 49%. And about the increasing trend here...

... Next 2 years, 3 years, it is going to touch 75%.

Manoj Shroff: And how much higher are the gross margins is sir?

Management: See, gross margins are the same because it is going to the same customers but the point is that it will be higher realisation.

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Manoj Shroff: How much higher realisation, sir? I think you've spoken about it. Sorry, if you can just repeat?

Management: I think 2X or 3X, we are comparing with the conventional versus LED, as a realisation, not the higher margin you are referring to.

Manoj Shroff: Thank you so much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital for the closing comments.

Sahil Sanghvi: Just want to thank the management of Fiem Industries for very elaborately and patiently answering all the questions. Also, on behalf of Monarch Network, we thank all the participants for joining the call. Jain sir, would you like to give any closing comments, please?

J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you and have a good day.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## **Call: May 2024**

*(no extractable text — likely a scanned image PDF)*

## **Call: Aug 2024**

*(no extractable text — likely a scanned image PDF)*



## Call: Nov 2024

November 19, 2024

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001

Dear Sir,

Sub: Q2FY25 Earning Call: Transcript.  
Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on November 14, 2024 to discuss Operational and Financial performance of the Company for H1FY25 and Q2FY25. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan  
Company Secretary

Encls: A/a

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Q2 FY'25 Earnings Conference Call"  
November 14, 2024

### COMPANY MANAGEMENT

- MR. J.K. JAIN– CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI– CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO
- OTHER FINANCE TEAM MEMBERS

### HOSTED BY

MR. SAHIL SANGHVI – MONARCH NETWORTH CAPITAL

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November 14, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '25 Earnings Conference Call of Fiem Industries Limited, hosted by Monarch Network Capital.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*", then "0" on your touch tone. Please note that this conference is being recorded.

I would now like to hand the conference over to Sahil Sanghvi from Monarch Network. Thank you and. Over to you, sir.

Sahil Sanghvi: Thank you, Sam. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q2 FY '25 Conference Call of Fiem Industries Limited.

We will start the call with the initial comments about the results and the future outlook of the Company. And then we will open the floor for the question and answers. Please note that this conference call may contain forward-looking statements about the Company, which are based on beliefs, opinions and expectations of the Company as on date of this call. The statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. So, now I hand over the call to Mr. Management, Chairman and Managing Director of the Company. Over to you, sir.

J.K. Jain: Thank you. Good afternoon and welcome to the Q2 FY '25 Earnings Call of Fiem Industries.

Joining me on today's Call are Rahul Jain – Joint Managing Director; Rajesh Sharma – Joint Managing Director; Vineet Sahni– CEO and Director; Arvind Chauhan – Company Secretary; O.P. Gupta – CFO, and other members of the Finance Team.

The Investor Presentation and the Results have been published on both the Company website and the Stock Exchange. I do hope that all of you have reviewed the same.

I am delighted to announce that Q2 FY '25 has been a milestone quarter for us with the Company posting its best ever Quarterly Results. Our sales have grown by 20% year-on-year, showcasing our strong execution capability. Net profit of the Company rose by 19%, underscoring the effectiveness of our strategy, initiatives and operational strength. In Q2 FY '25, the Indian two-wheeler industry demonstrated strong growth, with production volume reaching 6.3 million units, which is a 12.5% year-on-year increase. This growth is largely fueled by a resurgence in rural demand and a strong consumer sentiment. Our close partnership with the leading OEMs has been instrumental in enabling us to scale our production and capture this demand effectively. We anticipate continuous growth in two-wheeler industry for the remainder of the fiscal year, supported by the sustained demand momentum. Our new product pipeline remains exceptionally strong and robust.

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During the quarter, our valued customer, TVS Motors, has launched a new premium Jupiter scooter incorporating our advanced LED lighting technology. This model features front and rear combination lamp equipped with our unique micro-optic Collimator technology, a first in the Indian two-wheeler market. This innovation not only enhances visibility, but also brings a distinctive look, adding significant value to the riders' experience and setting a new standard in the scooter styling. During the quarter, we worked closely with Yamaha for the launch of their YBR 150 model now being exported to Brazil.

In passenger car segment, we are making steady progress with the several exciting initiatives. Our second project with the Mercedes has been successfully delivered and we are now in the final stages of the third project. I am delighted to inform you that we have received orders from Mahindra and Mahindra for the number plate lamp for their Thar, Scorpio, Bolero and other

models. The start of production of these orders will be commenced from January '25. This is an important milestone towards our progress in the passenger car segment. We are actively collaborating with the major OEMs to develop proof of concept solutions tailored to the Indian market, reinforcing our commitment to the innovation and the new technologies.

With this, I hand over to Mr. O.P. Gupta and the finance team to update on the operational performance.

O.P. Gupta: Thank you, sir. Good afternoon to everyone. I am presenting Quarter 2 and H1 numbers for FY '25 in comparison to the corresponding period of the previous Financial Year.

In Q2, the Company has registered sales of Rs. 607.45 crores against Rs. 505.85 crores in the corresponding quarter of previous financial year, which is an increase of 20.08%.

For H1, the Company has registered a 20.94% increase in sales to Rs. 1181.05 crores as against

Rs. 976.56 crores in the corresponding H1 of previous financial year.  
 EBITDA for Quarter 2 stands at Rs. 80.27 crores with a margin of 13.21% as compared to Rs. 66.36 crores, that is 13.12% on corresponding quarter of previous financial year.  
 For H1, the EBITDA stands at Rs. 159.04 crores with a margin of 13.47% as compared to Rs. 128.02 crores, that is 13.11%.  
 PAT for Q2 is Rs. 49.83 crores against Rs. 41.91 crores in the corresponding quarter of previous financial year, which is higher by 18.9%.  
 For H1, the PAT is Rs. 99.03 crores as against Rs. 78.35 crores in the corresponding period of previous financial year, which is higher by 26.39%.  
 During the Quarter 2, the Company has made a CAPEX of Rs. 43.42 crores and total CAPEX in the first half of current financial year is Rs. 71.84 crores.  
 With this, I end the financial brief. Now the floor is open for question and answers.  
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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Viraj from SIMPL. Please go ahead.

Viraj: Thanks for the opportunity and congratulations on the good set of numbers in such a challenging environment. So, there's couple of questions. If you see in the first half, we have incurred a CAPEX of Rs. 70 crores and I think in the last few calls you have been talking about Rs. 250 crores to Rs. 300 crores in CAPEX over a three-year period. So, what is driving this increase? And is there any change in terms of guidance in terms of CAPEX spend? If you can just give some color on this?

Management: Yes. So, our CAPEX guidance remains the same. If you see, in FY '24 we did a CAPEX of Rs. 85 crores. YTD we have done Rs. 72 crores, we expect to do another Rs. 50 crores in H2 which will be approximately Rs. 120 crores to Rs. 125 crores for the year. And our target for next year is another Rs. 80 crores to Rs. 100 crores. And hence if you look at it, it is going to be a ballpark between Rs. 250 crores to Rs. 280 crores odd. That was the number which we had guided for. This is for expansion of capacity; you see our revenue growth and our future revenue growth target. So, we continue to be, and want to be well positioned for future growth.

Viraj: And this would include the CAPEX for the PV lighting as well, right?

Management: This is the broad CAPEX plan for the next 18 months right now, yes.

Viraj: Yes, but it will be inclusive of the CAPEX for PV lighting segment?

Management: Yes, fairly.

Viraj: Just one or two more questions. See, if you talk about lighting, the competitive landscape we have seen the whose and whose in the Indian lighting space catering to the auto segment. And I think in the last few calls you have been talking about us trying to enter through LED lighting and other new technology offering by targeting niche segment in lighting in the PV space. Just a few questions here, one is, how large are each of these pockets? And in terms of competitive landscape, can you just give so

me color? Is the market still catered by the same players who are there in the headlamp, tail lamp category? Or these are kind of catered to by imports? And the related question is that, in PV we are seeing a very high hyper competition with realization with the pressure. So, in terms of margin structure, will it be similar or lesser compared to two-wheeler, or any color you can give on these aspects?

Management: So, maybe Vineet can address the PV segment. Vineet?

Vineet Sahni: Yes. So, we are working on various new technologies with specific OEMs. And to answer your question on the competitive landscape, the answer today is, we are the only players who are working on specific technologies with OEMs that is making us different. And OEM is also engaging with us very deeply to bring these technologies. So, at this moment, we cannot reveal what kind of technology because they are pretty unique and very futuristic. But we are working on different technologies with the customers. On the second part, you said on margins, the margins are similar in PV as they are in two-wheelers.

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Viraj: Sir, just one follow-up, can you give some perspective on what is the addressable opportunity for each of those applications which we are targeting, I mean, outside of headlamps and tail lamps? And again, on competition part, say something like Lumax through IHCV, they have kind of backed good amount of orders from Tata Motors and they also have seems to be inroads in Mahindra. Primarily through OEs we are also targeting for entry in PV lighting. So, just a perspective on size, and also competitive landscape, is it primary import based or is it same players who are catering in headlamps and tail lamps, just any perspective?

Management: So, at this moment we cannot tell you and quantify the size of the market because it would depend on what kind of technology is finally adopted by the OEMs. The kind of technologies we are working, they are not necessarily headlamp and tail lamp, there are many other technologies which have come into passenger cars. And we understand what the competitive landscape is doing, we are also in the market. And therefore, I said that we are working on certain unique technologies. And if we get the breakthrough that will be unique, and that could open up new markets and new segments in the industry.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Invest Analytics Advisory. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. My first question is on the margin side. Q-on-Q basis there is a slight dip in the margin, so is there any specific reason for that, sir?

Management: Yes. So, there is no specific reason. We continue to guide for the range that we have, which is 13% to 14% odd. There is always a change in the quarter because sometimes there are some price markups, in another quarter they may not come. So, overall if you see, normalized basis, we will continue to be around the margin level that we guided.

Garvit Goyal: Sir, like in last concall also you mentioned about the industry outlook, so two-wheelers industry is doing tremendously well in recent times. So, how do you see the industry outlook shaping up in next say near to medium term? Is there any kind of risk that that we may encounter in the coming quarters?

Management: No, overall, we continue to believe that at least H2 is looking very decent. And overall, if you see our industry numbers, we are yet below the all time peak that we had did. So, there is enough room for us to grow. So, we continue to be fairly positive over the next 18 to 24 months looking at a large opportunity here for growth.

Garvit Goyal: Secondly sir on the diversification side, like we are looking to enter into PV segment. So, by when do we expect like something material will be coming to our top line from this segment?

Management: So, we h

ad given the indications in the past that it takes a long lead time and we had indicated a three-year period and in our last investor calls as well. So, we maintain the same.

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Moderator: Thank you. The next question is from the line of Rohit Singh. The line for Mr. Rohit Singh has dropped. We will move on to the next question. The next question is from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Just carrying on the first question from the first participant on the competitive intensity side, we have heard a couple of players talk about the competitive intensity rising on four-wheelers. I think you addressed that. But I wanted to check if on the two-wheeler side also are you seeing any change in the competitive intensity, how is that evolving?

Management: Yes, two-wheeler market is also being growing and definitely there is chances of so many new opportunities are there which is being implementing not only headlight, taillight, there are certain lights which will be soon will be in the market and that will also be launched same as like PV.

Jatin Chawla: No, I meant in terms of competitive intensity, are you seeing more competitive intensity, which could put some pressure on margins going forward?

Management: As such, no.

Jatin Chawla: My second question is, when I look at your Q-on-Q numbers, there is a big pick up that we have seen on TVS from almost Rs. 145 crores to broadly Rs. 175 crores. Is this largely driven by Jupiter or we are seeing traction across other models as well?

Management: So, not only Jupiter, Jupiter new launch, premium launch is 100% with us, and that is one of the major factor wherein other models also have increased their volumes like three wheeler and other two three models, did very good market during last quarter.

Jatin Chawla: And on the order side we have seen a decline, a reasonable decline on a quarter-on-quarter basis. Is this largely driven by the leading EV player or is it more driven by some of the smaller players not getting PLI subsidy and hence their volumes declining?

Management: You are talking about the other category, right?

Jatin Chawla: Yes, where revenues have come down from like Rs. 70 crores.

Management: Yes, that that others is a mix of everything else, including some EV players and some of the others. So, that mix you are aware in terms of there has been some shift in the EV volumes, EV volumes have been low in the current quarter.

Jatin Chawla: And for Yamaha, how do you see things panning out? You mentioned one launch has happened, but I think you had earlier said that there are a number of other launches lined up as well. So, how do you see that account shaping up for us?

Management: Yes, Yamaha as we have already disclosed, seven, eight models are already under development right now and there may be chances by next quarter or next to next quarter they will launch their vehicle and SOP will start accordingly.

Moderator: Thank you. The next question is from the line of Tanuj Goyal from Gravy Train Capital. Please go ahead.

Tanuj Goyal: So, one question was regarding the hub motors project which we developed for Gogoro, I guess. So, what is the status of that project? And if it goes through then what are the projections we see in terms of volumes, pricing and profitability?

Management: So, the project with Gogoro is currently facing some headwinds. Gogoro has seen some management change, significant management change internationally at their head office level. So, they will need to sort of refocus and then make a strategy around India. At this point of time that technology transfer has happened, machines have come. But the outcome in terms of where Gogoro is going to the market remains uncertain for the next two quarters. So, we have to wait and watch. At least for Gogoro.

O.

For the others, we do have a certain plan in mind for going after the hub motor.

Tanuj Goyal: So, have we approved our existing client Ola Electric for the same, for hub motors?

Management: No, We are working with the many other OEMs.

Tanuj Goyal: And another question was regarding the growth which the Company sees from the four-wheeler segment. Since we have just started it, so other than lighting, are there any other segments in the four-wheeler market which we intend to pursue? And also, just to add on to this question, in terms of profitability and cash conversion cycle vis-à-vis the two-wheeler market, how is the four-wheeler market for us?

Management: So, I will take your question. We are currently focused on our core product, which is lighting. We are not diversifying because first we have to focus on our core strength. So, we are pursuing lighting with four-wheeler. And your second question was on I think margins, which we have handled before, they are similar to the current status.

Tanuj Goyal: Just one last question, though there has been a decent improvement in the financials of the Company, however, there has been a significant stake sale by the promoter group in June. So, is the promoter group looking for any other business avenues or, I mean, what exactly is the reason for a significant stake sale?

Management: No. First of all, let me correct, it's not significant. This is the first ever sale by the promoter in decades. So, it's not a significant number. It was intended for personal use. And we do not have any plan at this point of time for more stake sale.

Moderator: Thank you. The next question is from the line of Shiv Shah for Run Capital. Please go ahead.

Shiv Shah: Sir, I have two questions. First is, can you share the LED contribution for the quarter and first half? And percent proportion of LED in order book?

Management: So, for the second quarter the LED has remained 57%. In Q1 it was 55%. And for H1 it is 56%.

Management: And with regards to the projects, 98% is LED.

Shiv Shah: And just a follow-up question on earlier asked margins question. I see there's a slight decline in gross margins for this quarter. Any raw material price fluctuations or is it transient?

Management: We explained that the margins uptick minus here and there happens every quarter and normalization happens as we go along with the OEM cycle, so there is no specific reason. And we continue to guide for our margin which is between 13% and 14% we expect to remain, that will remain. So, there is no specific reason for this quarter, and our raw material is all passed through.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathaway Investments. Please go ahead.

Vinay Nadkarni: Just wanted to check out, your replacement market is pretty low, 5% to 7%, hovers between that. Any particular reason why it is so low? Isn't that a big segment? Or is there too much competition there?

Management: Basically, with the introduction of more and more LED, the domestic market will definitely go down, because the life of the LED is much, much, much higher because the normal conventional light is 2,000 hours, whereas the LED lighting is 25,000 hours. So, only when there is an accident the change is there. So, the aftermarket is going to be a little less in LED lighting.

Vinay Nadkarni: But conventional lighting would not be able to supply? Isn't the margins in the replacement market more than the OEM market?

Management: Yes.

But the conventional market is not growing, right, the LED market is growing, that's why our share is higher there and where there is a lesser replacement market.

And also, we are in agreement with OEMs, there is a contract with certain OEMs where we refrain from selling in the aftermarket.

Vinay Nadkarni: Second is on the capacity utilizations, can you just give us some figures

on that, what kind of

capacity? Because you are growing at 20%, just wanted to check out on what is the capacity utilization?

Management: Yes, it is close to 80% during the second quarter.

Vinay Nadkarni: And with 20% growth every year-on-year, your CAPEX is also keeping in pace with increasing the capacities I presume?

Management: Yes, this is increasing steadily by the CAPEX we are making.

Vinay Nadkarni: Can you just spell out the order book, I am sorry, I did not get that number which we have as on date.

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Management: Order book, we have already informed that we have more than 100 projects lying with us which works out close to Rs. 1,200 crores.

Vinay Nadkarni: And this would be what timeline for deliveries?

Management: Maybe next one or two years, depends on the launch of the project.

This pipeline of projects always take time, whatever is being started two years back might be launched now, and the RFQs which is being converted into orders may take another two years' time. So, it is a cycle.

Vinay Nadkarni: Just one thing which keeps bothering me when I look at your marquee client base, your concentration with two-wheelers is very high, it's about almost 57% with only two companies.

What is the motive that we have with them that we would not be losing them any time because a loss there would be a big hit?

Management: So, first of all, if you see the two-wheeler market, the five players will essentially capture the whole market. And our concentration risk is very, very distributed. None of them is more than, the top most Honda is 28-odd-percent. So, I think given that the overall market has only four, five players, we will have to be with all of them, right.

Vinay Nadkarni: And what would your share be with Honda, in the sense Honda's share with you I can understand, but how much of Honda's requirement are you providing?

Management: Depends on the model.

And it more depends on the models and the items.

Vinay Nadkarni: And TVS would be how much?

Management: I think you would be better served to look at our last annual report. There we have given our annual model wise numbers. And I do not think you should look at the gross number of 70, 60 in this manner. You should look at each model and then see the share. That's a better way and more accurate.

Vinay Nadkarni: Fine, thanks a lot. And Congrats for really good numbers. I mean, in a very bad season I think this is a good change. Thank you very much.

Moderator: The next question is from the line of Mihir Vora from Equirus Securities. Please go ahead.

Mihir Vora: So, basically just one question was that, were we present before in TVS for Jupiter or is this a new product we are doing?

Management: Jupiter base model we were there, we headlamp tail lamp all the lighting. And this premium model, which is being launched in the last quarter is 100% with us. And during this quarter they did 70% plus production of premium model wherein 30% is of base model.

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Mihir Vora: But in this we are both, the base and the premium one, right?

Management: Yes, both models.

Mihir Vora: And sir, any update on the Hero thing, like we were expecting some orders from Hero?

Management: We are already working on eight or nine numbers of models. We are just waiting for a few models which are already being developed and ready for the mass market. It is only you should get the go ahead for SOP from customers, and then we will continue that. As of now, presently we are in three models, we are supplying already to our customers.

Mihir Vora: Alright. And congrats on this Mahindra win. So, basically just wanted to know whether it is from, like we have a separate plan for PV, or will it be from our existing plants only, the supply to the Mahindra?

Management: So, at present we are continuing using our capacity of the existing p

lant. So, it will be from the existing plant for Mahindra.

Mihir Vora: And would you be open to share the share of business there for those models, like overall what can we look at?

Management: I think it is a little premature to share because in some models we have entered as a second source, and in some models we have entered as the first source for future models.

Moderator: Thank you. The next question is from the line of Rohan Advant from Pratt Capital. Please go.

Rohan Advant: Thanks for the opportunity and congratulations on a good set of numbers. Sir my first question was on Honda. If you see Q2 versus Q1, we were flat. So, how is H2 looking for Honda? Any orders in the pipeline? Any launches that you would be supplying to?

Management: Yes, there are models, but as of now we cannot disclose. But there are models always in pipeline which will be launched in subsequent quarters, and years to come.

Rohan Advant: Sir, and with respect to the passenger vehicles where we are trying to get inroads and we have had some logos that have opened up for us, I understand in the initial time frame this would be small in value, but over a three-year period, sir, how much do you think can passenger vehicles contribute to our overall revenues by FY '27 or FY '28 around that timeline?

Management: So, as indicated in our previous investor call, we would like to still hold on to these numbers. As you are aware, we are exploring various possibilities. And it will take us some time to put a proper business plan, revenue growth, everything. So, kindly have patience and we will definitely talk once we are ready with that.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

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Khush Nahar: Just one question, sir, are we onboarding Ather as a client as of now?

Management: We as of now are working with so many other customers, too, and Ather is also one of them. We will disclose once we will get some business from customers. Of course, we will be always be announcing this thing during the call.

Khush Nahar: And sir, one last question, sir, how is the overall EV space panning out for us in terms of the new models coming in EV, so we are participating in that?

Management: So, we are present with almost every major EV player. However, you are aware that the EV volumes for the quarter have been fairly low. The total volumes are less than 150,000 for this quarter. So, EV sector is facing some headwinds, be it the government subsidy or be it other challenges. We feel that they will sort that out in the next couple of quarters and will come back to growth. When they do, we are very well prepared because we are working, we have relationships with almost all of them.

Moderator: Thank you. The next question is from the line of Ankur Agarwal from Akari Services. Please go ahead.

Ankur Agarwal: Sir, I wanted to ask that there have been a fire incident in the month of June last year, so you filed an insurance claim for Rs. 120 crores, right?

Management: Yes, Rs. 100 crores around.

Ankur Agarwal: Out of which you received Rs. 30 crores and like the rest was under litigation, the case is still going on I think.

Management: Yes, yes. So, I think you please read our full disclosure in the quarterly results itself. This is under process with the surveyor for the assessment. So, we will update as and when this development comes. We already received Rs. 30 crores as of date.

Ankur Agarwal: So, right now there's no proper visibility after that?

Management: Yes.

Moderator: Thank you. The next question is from the line of Hrishi Parekh from Pentacle Family Office. Please go ahead.

Hrishi Parekh: Just a few questions back you mentioned that most of your raw material cost is passed through. I wanted to understand is it pass through in terms of percentage to enable us to maintain the margins or it's like

on rupee cost to cost basis?

Management: This is cost-to-cost basis averaged out on the buying cost, and that is being passed to customers.

Hrishi Parekh: So, with the raw material increase or decrease the margins can also fluctuate a bit because the pass through is largely on the cost to cost basis?

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Management: Yes .

Hrishi Parekh: Also you mentioned that you are working with the OEMs on some of the newer technologies. So,

can you help us understand that what can some of these new technologies enable for the OEMs and can result into their adoption? Like say for example you mentioned that LEDs have a life of about 25,000 hours versus 2,000 hours for the traditional lights. So, what can some of these new technologies enable for the OEMs for them to adopt?

Management: I will take this question. So, we will not be able to disclose the technology, but we can always tell you that we are working towards more of safety of riders and co-passengers. We are working towards communicating lighting. So, we are working on these features which will enhance not only the decoration but also the safety features in the passenger cars and two-wheelers.

Moderator: Thank you. We have a follow-up question from Viraj from SIMPL. Please go ahead.

Viraj: Just a few questions. You said that Gogoro has kind of put on hold and reviewing plans for India given a change in leadership at the top. But the technology if you see, either hub motor or MCU, has that been fully transferred and absorbed our end?

Management: Yes, entire plant setup, everything which is being required for hub motor and motor controller is already being placed at our end. People from Gogoro will be visiting to install and very soon we will start talking with other customers also based on the facilities available with us.

Viraj: Sir, earlier when we into this arrangement with Gogoro, the thinking was that this will largely supply to Gogoro. So, is there any licensee fee or royalty to be paid to them so that we can start catering to other players?

Management: The facilities are manufacturing facilities which can produce or which can manufacture any kind of wattage, which is being required for an individual customer.

Basically it is common, so it is not specific, but the technology is what we have got from Gogoro.

Viraj: So, there will be some royalty or license fee when we kind of start supplying to other players as well?

Management: Yes, once the order book will be ready, we will discuss and we will disclose this royalty factor also.

Viraj: Second question is, on the employee cost front, I think the kind of increase you are seeing for the last few quarters trial and what the sales growth has been, so just kind of understand is there anything, what is driving it?

Management: So, if you compare the last quarter, the quarter one, it was 14.05% and this quarter it is 13.78%. So, there is no increase in that, it will remain in this range only.

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Moderator: The next question is a follow-up question from CA Garvit Goyal from Invest Analytics Advisory. Please go ahead.

Garvit Goyal: Sir, I think in the opening remarks you were talking about some innovations happening at TVS. So, can you please elaborate on it, like I missed that thing from you?

Management: Your question is specific to the TVS Jupiter product?

Garvit Goyal: No, I think you were talking about some technology innovation first time in India.

Management: Yes, so we are working on new technology which are currently not being used in any of the passenger cars or two-wheeler segment. So, we are trying to work alongside customers to bring this technology to India, and there our team is working on innovations and new technology.

Garvit Goyal: This is towards the two-wheelers and four-wheelers?

Management: Yes, it is for both.

Moderator: Thank you. The next questi

on is from the line of Praveen Motwani from Bank of India Mutual Fund. Please go ahead.

Praveen Motwani: I have just one question. Could you please just help us to understand the development on the four-wheeler side? It's around 3.3% of our revenue and how are we planning to ramp up? And who all are the clients in domestic and international, if you can just help us to understand that?

Management: Yes, sure. I will brief you, and it was also in the Chairman's speech. So, we are working alongside many clients in four-wheelers. And we successfully delivered two projects of Mercedes and we are working closely for the third. We are going into startup production for Mahindra and Mahindra number plate lamp, it is a small lamp but it goes across all models where in some models we are second source and in some we are now first source also. And in other customers we are also working on new technologies' engagement where we are developing proof of concepts so that we also follow the technology route, which is a very strong way to enter this segment. And there we are getting good response from customers. So, these are the various activities we are working on in four-wheeler segment.

Praveen Motwani: Sir, when you talk about the you are working with multiple clients, but you said on the Mercedes piece two projects have been delivered and you are working on third project. So, this is just a trial period or it's an actual delivery you will start?

Management: So, as explained in earlier investor calls, we are engaged with them for development projects, the development cars, this is the stage one. So, where small volume projects are developed with them



and delivered to them, which they use it for their development cars. And then once we have deeper engagement, we go on a series production.

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Praveen Motwani: And sir, any number like in next two years or three years, what is your target, like how we should see the mix changing from two-wheeler to four-wheeler? We are at 3.3 right now, how it will change over the next two years? Any number on that front or your thoughts on that.

Management: So, as explained in the previous question by me, it is a little premature to talk about this guidance. Kindly have patience. We will definitely work this out. We are working on several streams, so any number we give will be pretty premature. So, we will definitely come out with the number at appropriate time.

Moderator: Thank you. The next question is from the line of Ankur Shah from Quasar Capital. Please go ahead.

Ankur Shah: Sir, can you just outline the contract scale up size with Mercedes? Like what can an eventual contract be?

Management: So, as I said, we are not targeting the revenue, these are small volume development projects. It is more towards developing the technology for four-wheelers alongside Mercedes, getting to know their systems and developing trust with them. Because the very fact that we are on the third project it makes us feel proud, because you can be awarded a third project only once you are successful in the first two. So, that is the step-by-step process. So, at this moment revenue will be a wrong measurement the way we are proceeding. At appropriate time we will give you the indication of revenue.

Moderator: Thank you. The next question is a follow-up question from Shiv Shah from Run Capital. Please go ahead.

Shiv Shah: Sir, I wanted to clarify on the cash received from the fire insurance, how will the accounting for it work?

Management: Rs. 30 crores we received as interim payment, and it is subject to final assessment because this policy is on a reinstatement basis. After final assessment from the surveyor the final settlement will be happen.

Ankur Shah: So, it is not yet reflected in our financials, is it?

Management: Sir, you are asking about the cash received or are you asking about the treatment of the loss? Anku

r Shah: The treatment.

Management: The treatment, the book value has already been written off. We have given complete disclosure in the quarter results itself.

Ankur Shah: And the second question, is there any specific revenue growth guidance for FY '25?

Management: We generally do not give specific, but our long-term agenda remains medium-term 15% to 20% growth is something we believe we are envisaging.

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Moderator: The next question is from the line of D.S. Inda, an individual investor. Please go ahead.

D.S. Inda: Thanks for giving the opportunity and putting good numbers. My first question is that what percentage of your total R&D investment is allocated to each of your key segment, like two-wheeler, four-wheeler or any? And can you highlight any specific R&D initiative or technology platform that you consider to be important towards your future growth in each of these segments?

Management: So, let me split your question. First is about the numbers. Our R&D spend is on a consolidated basis for all lighting products, and it is coming around 1.5% in the balance sheet. And in future it is going to be increased substantially. And then again your second question, what kind of new technologies, this we have already explained I think in the product when we talked about the Jupiter and at four-wheeler passenger vehicle side Mr. Sahni has already informed about the new technologies.

Management: So, I will just add on, all technologies that we are working, they are pretty significant, both for passenger cars and two-wheelers, and also significant for auto industry in India. So, it takes time, but some of the technologies will fructify shortly and we will keep you informed.

D.S. Inda: And my second question is, sir, as my earlier participant has been asked, but I want to know that the objective of growing the four-wheeler business to a significant level within the next five years, what we do in long term strategies for balancing growth between two and four-wheeler segment? And how will the Company address the competitive dynamics and customer acquisition challenges in the four-wheeler segment, sir?

Management: So, I think it's a good question, and we have been talking about technology. The very fact that we

are pursuing technology is to have a long-term presence in the four-wheeler market. And we as Company management will ensure a proper balance and focus be maintained in both the segments, that will be done. So, that's more of a management part of it. But the technology is very futuristic and that is the way where we can maintain and increase our market share and grow our revenues. Management: And we are very much hopeful to have a very good substantial amount in next five years in four-wheeler segment.

D.S. Inda: Sir, you are putting a good numbers then your margin percentage and this EBITDA percentage, I think this is conservative or we can assume more, sir?

Management: We are hopeful for the better.

Moderator: Thank you. The next question from the line of Hrishi Parekh from Pentacle Family Office. Please go ahead.

Hrishi Parekh: Sir, I would want to follow up on my previous question on the new technologies that we are looking to have adoption of. So, have we seen these new technologies being adopted already in some of the other markets by other players? And how the penetration has been in those markets? So, if you can help us understand that.

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Management: Yes. So, this technology we can divide into two sections, some of the technologies are already present globally and adopted by certain players internationally. We are trying to bring that to India, that's section one. And second is where even globally all players are working to introduce their technology. And we are also one of them to bring that to India and will be like if it gets launched in

Europe, it will be getting launched in India. So, it is very contemporary. So, we are working on both the things.

Hrishi Parekh: And any of these are as a result of regulations that have evolved in the other regions or it's just that OEMs want to offer the better features to the customer?

Management: It is a mix of both.

Moderator: The next question is from the line of Devang Maher from Eagle View. Please go ahead.

Devang Maher: Sir, are we currently exploring any opportunity for inorganic growth we have good cash on balance sheet?

Management: Do you want to repeat your question, please?

Devang Maher: Sir, are we currently exploring any inorganic growth opportunities given we have good cash on balance sheet?

Management: No, we already have identified a few segments, like we explained our foray into passenger vehicle, our foray into what hub motors can do. So, I think those are the near term areas that we are working on.

Moderator: Thank you. The next question is from the line of Ram M, an individual investor. Please go ahead.

Mr. Ram, your line has been unmuted, please go ahead. There is no response in the line of Mr.

Ram, we will move on to the next question. The next question is from the line of Ankur Shah from Gausar Capital. Please go ahead.

Ankur Shah: Just one question on this premiumization trend, which is playing out, and all these OEM manufacturers I think they have significantly increased their premiumization launch strategy. So, with this respect, does the value or the kit size differ significantly, like versus a normal sort of a launch?

Management: Yes, premium technology means some additional cost. And that is being identified as a base model to premium differences also. And marginally there is an additional cost which is being used in raw material as well as in processing cost also.

Management: And also the new features

Management: Yes.

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Ankur Shah: So, sir like are we actually seeing the volume intensity pick up in that manner? Because obviously rural sales and all being a part of it, I do not think so. But is the premiumization trend very clear inside Fiem also?

Management: Yes, it is very clear because we started from 50 CC motorcycle and now we are running on 500 CC too. So, already we are working on that area only. So, in our work segment also we are working towards that area.

Moderator: Thank you. The next question is from the line of Abir Katyayan from NEO Wealth Management. Please go ahead.

Abir Katyayan: So, the question I had was, in terms of LED growth that we saw this quarter, roughly north of 35%,

apart from Jupiter or let's say Classic 350, are there any other significant models that contributed to this growth?

Management: Yes, there are models like Ronin, Raider and Ntorq, Apache, these all the model mix are there which has given this significant business to us, and these are all in LED models.

Abir Katyayan: Another question that was concerning me is, the premiumization story we all see, but then eventually this LED gets to a particular scale. Do you think that LED would not be considered as a premium product anymore and the value of the overall market segment that you are targeting might actually be affected in, let's say, the coming three or four years?

Management: LED will be definitely a part of that. Along with LED what all premium things you can make in your design, that is the styling and customer assistance, and we are working on that area.

Management: Because everybody wants new feature new things, so this is also part of it.

Moderator: Thank you. The next question from the line of Saurabh from. Multi Act. Please go ahead.

Akshat: Hi, this is Akshat here. Congratulations on the good numbers, first of all. And I had two questions. So, my first question was, historically we have been saying that the difference between halogen and LED is in the range of 2x to 2.5x. Now

you look at the new Jupiter, which is launched, and we have also discussed on the call that the technology is the newer technology which we have used. So, as we are moving ahead in the LED adoption, is this gap even increasing further in terms of the content premiumization? So, is it like higher than 2x, 2.5x now or we continue to trend on that line?

Management: Basically, it is similar, only the features are added new.

Akshat: So, we continue to maintain the 2x, 2.5x realization as compared to halogen once the full LED adoption is complete?

Management: Yes.

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Akshat: The second question was on the new wins that we have had in TV Jupiter and Eicher Classic 350. So, both these models, were they fully ramped up in Quarter 2 or the production will be fully ramped up from the third quarter onwards?

Management: This is continuing. As of now the projections which we received from Royal Enfield for TVS are in similar phase.

Akshat: But they were there for all three months of Quarter 2 is what I was trying to understand.

Management: Yes, all three months of Quarter 2.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Please go ahead. Your line has been unmuted.

Sahil Sanghvi: I just wanted to thank the management for patiently and elaborately answering all questions. Also, on behalf of Monarch Network Capital, I want to thank all participants for joining the call. Jain sir, Vineet sir, any closing comments?

Management: Yes, please. I would like to thank everyone for participation in the today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please do not hesitate to contact us. Thank you and have a good evening.

Management: Thank you.

Moderator: Thank you. On behalf of the management and Monarch Network Capital, that concludes this conference call. Thank you for joining us. And you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Feb 2025

February 19, 2025

The Manager,

Dept. of Corporate Services

B S E Limited

25th Floor, P. J. Towers, Dalal Street,

Fort, Mumbai - 400 001

Dear Sir,

Sub: Q3FY25 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on February 13, 2025 to discuss Operational and Financial performance of the Company for Q3FY25. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

Encls: A/a

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Q3 FY'25 Earnings Conference Call"

February 13, 2025

### COMPANY MANAGEMENT

- MR. J.K. JAIN– CMD - MR. RAHUL JAIN – JMD

- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI– CEO & DIRECTOR

- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO

- OTHER FINANCE TEAM MEMBERS

### HOSTED BY

MR. SAHIL SANGHVI – MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Fiem Industries Limited Q3 FY '25 Earnings Conference Call, hosted by Monarch Network Capital Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you, and over to you, sir.

Sahil Sanghvi: Thank you. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q3 FY '25 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we'll open the floor for question and answers.

Now I'll hand over the call to Mr. J.K. Jain, Chairman and Managing Director of the company.

Over to you, Jain sir.

J.K. Jain: Thank you. Good afternoon, and welcome to the Q3 FY '25 earnings call of Fiem Industries. Joining me on today's call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.

Our investor presentation and the results are now available on our website and the stock exchange. We trust that you must have reviewed the same. It gives me great pleasure to report that Fiem Industries has once again delivered an outstanding quarter, exceeding industry's benchmark and demonstrated the power of our strategic vision. Before going into our detailed results, let me briefly give an overview of the economy landscape.

The Indian economy remains on an impressive growth path with GDP expected to rise by 6.7% in FY '25. Further, the Finance Minister's historic move to give substantial relief of income tax to the middle class is likely to inject fresh momentum into the consumer demand, which will have direct positive impact on 2-wheeler industry.

Turning to the automobile sector. The 2-wheeler industry has maintained its robust momentum, growing by more than 10% in the first 9 months of FY '25. Rising rural income, robust demand from the urban market and the new model launches have driven this growth, solidifying the 2-wheeler industry's position as a growth driver in India. Fiem has been able to outperform the industry achieving 22% sale growth in Q3 FY'25.

During the quarter, Yamaha and Royal Enfield posted a strong performance driven by the new model launches. Yamaha launched [YZR 150cc and XTZ 250cc] for Brazil and European market. In line with the trend in automotive lighting industry, we are making significant

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investment for strengthening our electronic capabilities in the area of advanced design software, electronic laboratory for EMI and EMC testing and validation. Further, we have also invested in the state-of-the-art electronic manufacturing facilities at our plants in North and South.

In addition, we are also expanding our R&D and design capabilities at our subsidiaries, FRT Italy and FIEM Japan. We continue to make our sincere effort in growing 4-wheeler business our first project of LED number plate of Mahindra & Mahindra has been approved for their 3XO, Thar, Scorpio and other models. Similarly, the second number plate is approved for the electric 3-wheelers Supro and Bolero model. Our ma

nufacturing facilities has now been

approved by Mahindra & Mahindra and production is likely to commence from quarter first FY '26.

Moreover, we have received another order for a new project XUV700 refresh model. Further, we are currently working on many more RFQs, which are likely to be converted into the confirmed orders in FY '26. We continue to remain focussed on growing our business in 2-wheeler and 4-wheeler segment through the new product and the new technology introduction. With this, I hand over to Mr. O.P. Gupta and the finance team to update on operational performance.

O. P. Gupta: Thank you, sir. Good afternoon to everyone. I am presenting quarter 3 numbers for FY '25 in comparison to the corresponding quarter of previous financial year. The company has registered sales of INR590.1 crores in Q3 of current financial year in comparison to INR483.11 crores in Q3 of FY '24, which is an increase of 22.15%.

The percentage of LED lighting within the total automotive lighting has increased to 61%. The EBITDA is higher at INR77.88 crores translating into an EBITDA margin of 13.2% as compared to an EBITDA of INR64.48 crores that is 13.35% in corresponding quarter of previous financial year. PAT has increased by 17.64% to INR47.41 crores as compared to INR40.30 crores in Q3 of FY '24. During the quarter, the company has made a capex of INR36.94 crores taking the total capex to INR108.78 crores for 9 months of FY '25.

With this, I end the financial brief, and now the floor is open for question and answers.

Moderator: The first question is from CA Garvit Goyal from Nvest Analytics.

Garvit Goyal: Actually, I was reading in business standards the commentary from CEO, Niranjana sir of Hero Moto that they are seeing a big rural jump over the next 4 to 8 quarters. So are we witnessing a sharp increase in or any such indication of increasing demand for our products based on whatever conversations happening with our end customers? And can we expect FY '26 to be at a higher growth than our historical growth rate of 20%, driven by the expected industry tailwinds, as you also mentioned in your opening remarks, sir. So that is my first question.

Management: Yes. So specifically, I don't know which comment are you referring to, but we have maintained that the 2-wheeler industry is on an upswing. FY '25 is going to be very robust, and we see no reason why the demand momentum should not continue into FY '26 as well. Both rural and the urban markets are showing positive.

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Garvit Goyal: Understood. And first half -- first 9 months, basically, we reported a significant growth. So are you confident enough to maintain that Y-o-Y growth in Q4 as well?

Management: Yes, Growth momentum is on positive. We are seeing positive offshoots everywhere, and we should continue

Garvit Goyal: And lastly on the R&D initiatives and our 4-wheeler initiative, what are the progress happening on that side? And are we looking to increase our revenue in FY '26 to the total revenue from the 4-wheeler side? And what are the updates on the Gogoro side?

Management: There are many questions in there, but let's just first take the question on 4-wheeler.

Management: So... I am Vineet, I'll answer your question on 4-wheelers. See, as per our strategy, we are first finding entry points into 4-wheelers. Revenue is not our immediate target. And you would have heard in Chairman's speech, we already got presence in multiple models of Mahindra, which is as per our strategic plan. And now our plan is to move up the value chain and obtain orders for higher value. And then next step would be to translate to other customers. So revenue will follow, but we are following our strategy of FIEM Group to go step-by-step in this field.

Garvit Goyal: And on Gogoro front?

Management: Yes. So Gogoro is facing significant headwinds in the international market. I don't know if you

have picked up those comments. They have a lot of challenges that they are facing at global market, which is India strategy yet remains unclear and which is why we are not seeing any significant uptick from where we updated since last quarter. It is right now on pause.

Garvit Goyal: Until now, how much fund we have invested in that side?

Management: That is not a very big amount, and we don't have that figure handy. So that is -- we are just waiting for the Gogoro response on global team.

Moderator: The next question is from Jatin Chawla from RTL Investments.

Jatin Chawla: In the opening remarks, you spoke about some order for the XUV700 refresh. Is that also for the number plate? Or is that for some other lamp in the vehicle?

Management: No, it is not number plate. Number plate in any case will get commonized what we are developing. And this is for another product, but still small lamp. And -- but it is for a new forthcoming model.

Jatin Chawla: Got it. On the quarterly results side, just wanted to check on two things. One, when I look at the growth for Honda, that growth is on a Y-o-Y basis, 4%. I think Honda's production numbers, the growth was much higher. So is that some share loss? Or is this because some models of Honda where we are present are not doing well and some others are doing well? That's one. And secondly, on the replacement side, also, I see there is a double-digit decline Y-o-Y during this quarter. So what is driving that?

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Management: So on Honda business, you're right, the growth is 4-odd percent versus 6% to 7%, which the Honda has grown. That is primarily driven by certain set of models there at Honda's end, which are doing -- which have taken uptick. There is no sort of change in our business model with them. Our business continues to be absolutely same. And Honda is already showing uptick in volumes as we speak now. The last quarter, there was also shutdown at Honda, which has impacted some volumes. The plant shut down from December 22 onwards. So that has also impacted their volumes.

Jatin Chawla: Got it. And on the replacement side?

Management: Yes. As in the last quarter also, it is being explained that now all the lamps is being converted from conventional to LED. So demand is, of course, reducing. And further on, we have the agreements with all the customers, whatever properties of customers like moulds and other things are available with us, to be used for their production. So this will be impacting quarter-on-quarter, plus or minus both.

Jatin Chawla: So broadly, directionally, we should expect this business to kind of go down going forward?

Management: We are working for some other models wherein we are not directly with the customers. Those things will definitely come in the replacement market that will give the boost to our replacement market sales too.

Moderator: Next question is from Ravi Purohit from Securities Investment Management.

Ravi Purohit: Congratulations on a good set of numbers. A couple of things. Generally, I wanted to understand, we've been speaking about various kind of ambient lighting and lighting per se themselves have also dramatically improved over the last few years on the newer vehicles. So if you could kind of just give some flavor, let's say, for example, 5 years back or 10 years back, in a typical SUV

or a typical sedan or hatchback, what would have been the cost of putting all the lightings within inside of the car and head lamp and tail lamp and all those things?

And today, let's say, when we are looking at newer models from newer companies, like recently, Mahindra had showcased their electric vehicles. Hyundai is in the process of launching a few. Maruti has announced a few. So we see a lot of lights in these newer vehicles. So how does kind of the addressable market or the lighting spend per vehicle on an average change between what it was 3 years back, 5 y

ears back and what it is today and what it will be in the next 5 years?

Management: That's a very, very broad question. I think we need to spend a lot of time on that, but give you a broad sense -- let's say, 20 years back, a lamp of the minimum, let's say, 800cc model used to cost around INR700, INR800, right? Our typical lamp of LED today would cost around INR8,000 to INR10,000. So that is a big change that has happened in the industry.

The overall market, which was approximately INR2,600 crores now is around INR8,000 crores to INR10,000 crores market just for exterior lamps. But the interior lamps and MEL lighting are also getting added. So the overall market potential of lighting only in India is going to around INR10,000 crores to INR15,000 crores in the future.

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So there's a lot of work to be done, you are right. And we at FIEM are working on all these technologies. We are also developing some proof of concept with some of the OEMs, which I can't disclose now on several new technologies. So we are absolutely abreast of what is happening in technology in lighting, and we are working closely with certain OEMs to bring this technology in India.

Ravi Purohit: If you could just give like a ballpark, let's say, the Mahindra showcase of the 2 new electric cars that they did, right? What in your guess would be the total spend of lighting in that model, right? If those models are selling at INR30 lakhs or INR35 lakhs, would lighting be INR50,000 worth inside or outside both put together?

Management: No, no. This is out of the scope of my purview to give the answer because there's a competitive product. I don't think it is right for me to give the numbers on this subject. We are not supplying them. It is the competition. So it won't be correct on my part to give you any numbers.

Ravi Purohit: Lighting in addition to the existing light would increase our substantially going forward. And we already have products and all the ability to be able to service this upcoming demand in the next 3 to 5 years?

Management: So there is a strategy that FIEM has. And as we said, we want to follow a robust strategy, which is a step-by-step manner. You cannot address the whole market immediately. It will be incorrect.

So we have a planned strategy, focused customer with whom we are working. And gradually, we will expand our base because we are increasing our spending, as you would have heard in the Chairman's speech on R&D. We are focusing a lot on electronics. And these are the future things which will help us in growing our market share in India.

Ravi Purohit: And second, we had this tie-up with Gogoro and we were kind of getting tech transfer on the motors and the other parts. Now what happens to that? What happens to the money that we've spent? What happens to the tech transfer that is coming in from there? Are we allowed to kind of use only for Gogoro or can we kind of absorb technology and offer products to OEMs also?

So if you could just give an update on what is happening with the tie-up with Gogoro, how much money has been spent? And what does the future look like?

Management: So okay. So let me answer that. First, on the money part, the money is kind of insignificant. It's under INR10 crores. So it's a very small number that also is reimbursable. So frankly, that is not the challenge. As you rightly pointed out, what we were hoping for was the technology transfer to happen fast and we could go to the market to other customers as well.

That process is as of now at pause, as we said, because of the global challenges. We expect that technology transfer to happen that should happen in the next couple of quarters. It might get delayed. However, it is kind of clear that Gogoro may not be pursuing the Indian market so heavily. So we do not expect too much volume out of that. But if the tech transfer happens, then that would help us attac

k this segment in a different manner. But that remains to be seen how it will be played out over the next 2 quarters. At this point in time, it is on pause.

Moderator: The next question is from Hitesh Goel from Riddish Advisors.

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Hitesh Goel: Congratulations on very good set of results. My first question is on the 4-wheeler business. Can you give us some sense what is the kind of content per vehicle right now you are envisaging in the 4-wheeler segment, especially Mahindra because we've got a lot of these models versus, say, content that you have in Honda or TVS just for us to get a sense how 4-wheeler business will move.

Management: Yes. Thank you, Hitesh. I've understood your question. See, as of now, as I said, this is a very small lamp. Our strategy is to make our presence in every model. And the best way to enter into every model is to get into some lamp, which is common, which we have done, right? So the content today is insignificant. And therefore, we are not chasing revenue as of now. We are chasing our presence in various models because that will open bigger markets for us in the future. So that is the plan.

Hitesh Goel: So Vineet, any guidance you can give us, say, 5 years' time, what can be the revenue share of the 4-wheeler or your vision? Maybe your vision -- say today, it is only 3%.

Management: So as I had spoken in the last conference also, we have not documented and we have not planned revenue as of now. I had requested for 1 more year to bring in our strategy paper because our presence is maturing, and we are getting good responses from our customers. Even the traction on new technology is good. Now it is difficult to quantify at this moment. We will do it at the appropriate time and share it with you.

Hitesh Goel: Okay. Great. And my second question is on Hero MotoCorp. You talked about 6 models that you are working on with Hero for development. So any updates on that? When will we see a meaningful revenue from Hero for FIEM?

Management: Yes. We are just waiting for the products to be ready for mass production. We are just waiting for the launches, which are being announced by customers. And thereafter, we can start and we can declare in our subsequent quarters.

Hitesh Goel: But what can be the size of a Hero? I mean, in that sense, will it become, say, 10% of revenue in 2 years' time? Any sense you can give us?

Management: Yes. This will be very difficult as of now because volumes are always decided by the customer. Sales and others will definitely come out with once the customer will launch and customers will declare their numbers.

Management: And these are right now new models. So it's tough to say in terms of acceptance of these new models, how quickly they will scale up. But over 3 to 4 years. .. We are working for more than 10%...Yes, we are working on that.

Hitesh Goel: Okay. And my final question is on margins. Basically, we are seeing a consistent increase in LED ratio, right, in the lighting business and even in entry-level now customers are putting LED lights. So just wanted to get a sense of margins because gross margins haven't moved much, if you look at gross margin will remain in the same. Margins in LED gross margin...Sorry, go ahead

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Management: We have kind of clarified in the past as well that there is a gradual turn towards LED, which you can see it's now basically 60%. However, our margins, whether it is LED or conventional are broadly in the same range [inaudible 0:23:56]. As for the volumes and operating level, that has already increased, yes

Moderator: Next question is from Khush Nahar from Electrum PMS.

Khush Nahar: So a couple of questions from my side. So first is, could you elaborate more on what led such strong growth of 21% in quarter 3 because usually from other auto players, we hear that quarter 3 is usually

a weaker quarter in terms of post festive and some shutdowns happen. And consequently, the new order wins that we have won, how much is the LED portion? And my second question is on the capex plan that we have over the next 3 years.

Management: Okay. So the Q3, you're right. Q3 industry has grown well in volume terms, if you see Q3 has been 8% growth for the industry. We have outperformed because of our overall mix. We kind of highlighted that some of our customers, notably Yamaha, Royal Enfield and several others did much better than these numbers. So all of this together helped us beat this industry number, and we have grown more than 20% close to 22.2%.

And as far as your other question, LED is concerned, yes, that has increased from 57% to 61% for the current quarter, and we think that this number will keep inching upward as new models are being introduced new models, all of them are mostly LED and hence, LED number will constantly increase.

And your final question was on capex. Now we had guided for INR125 crores to INR150 crores of capex. We've already spent INR108 crores for 9 months already. Another INR25-odd crores would be sort of spent in Jan to March. So that -- so we are broadly in that range for the current year. And for the next year, the number could be anywhere from INR75 crores to INR100 crores



additional.

Khush Nahar: So as of now also, we are not planning to spend in terms of a new 4-wheel plant?

Management: No, this does not include any new greenfield 4-wheeler plant. This includes the normal capex, which takes care of the current requirement of the 4-wheeler.

Khush Nahar: So could you help me with the cash number then, the cash on books as on date?

Management: This is INR217 crores.

Moderator: Next question is from Viraj from SIMPL.

Viraj: Yes. So just a couple of questions. First is, if you look at the sales figure for the supplies to Royal Enfield, a quarter or 2 back, we talked about us bagging order for Classic. So if you kind of adjust for that, you've probably not seen a full ramp-up for that -- for supplies to Royal Enfield. So would that be a right assessment?

Management: Sorry, can you come again? Your voice is not clear. Just go a little distance from the mic please. Your muffled voice is coming.

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Viraj: Am I audible now?

Management: Okay, better.

Viraj: Yes. I was asking if I look at the supplies to sales to Royal Enfield, given that we have bagged an order from -- for the Classic and we are a sole supplier there, one would think the ramp-up would be much faster in terms of supplies to Royal Enfield. So just trying to understand what is driving -- why the ramp-up seems to be a little softer?

Management: Why would you say softer? If you see Q-on-Q, year-on-year increase for Royal Enfield, we are almost like up 100% over last year.

Viraj: Okay. Because if we map out the quarterly production numbers and the unit realizations, usually one would see a typical sales addition of INR20-odd crores on a quarterly basis. So hence, I was just trying to understand if the ramp-up...

Management: It's more like INR30 crores for Royal Enfield, which is a significantly higher number than last year.

Viraj: Okay. Second is in terms of Yamaha, can you just give some more color what has driven the growth there? Is it more export driven? Is it more domestic launches? And how should one understand the run rate there?

Management: See, as already our Chairman has already announced there 2 models which has given us export volume that is for Brazil and Europe. And simultaneously, the domestic market is also growing, which is together with us.

Viraj: Okay. So in the past, we used to talk about us working on 6 to 8 new model platforms for Yamaha, both globally and India. So how is the pipeline looking now?

Management: Yes. As of now, we are on the same track. We are as of now also having 8 new models, which are

for domestic as well as for export market.

Viraj: Okay. Second question was on the PV. In the earlier conversation, you talked about us working on electronics, further making investments and also working on. So can you elaborate a bit more what exactly we are doing there? And an added question is, in the past few calls, we talked about us looking at or having tie-ups with -- for different technologies. So is that largely for the Indian market or there is an opportunity for us to look from an export point of view also with those partners?

Management: So I will address this. Your first question is on electronics. Yes, electronic is required not only for 4-wheeler, but also for 2-wheeler because both the products in segments are going electronics.

So FIEM as a group is strengthening the electronic capability in-house, all in design software, validation, setting up EMI, EMC and setting up a good manufacturing facility with the latest equipment. So that is a process, which is not only going to help 2-wheeler, but also 4-wheelers as a business. We are still working with our technology partners and all this development is

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focused on India market. So while we are absolutely open for exports, but our focus today is for India market.

Viraj: Okay. Just one follow-up. You talked about electronics. Now if you look at for 2-wheeler lighting also, I think we were one of the earliest players when it came to setting up the SMT lines and having that backward integration. So when you say further than electronics, what is further backward integration we are doing there, either for 2-wheeler and 4-wheeler?

Management: See, the whole outlook of electronic is changing. It is not only simple electronic. Now electronic is coming with AUTOSAR, CAN and LIN arrangements, connectivity within the 2-wheeler with the ECU. So a lot of things are changing in electronics. It is not very simple. Software is getting embedded into hardwares. So software, firmware, hardware, everything is required in modern products. So this is something which needs to be upgraded by the organization. And we are again taking early mover advantage by taking some actions now.

Viraj: Okay. So in terms of capex, I think what you said is we are looking at spending close to INR100-odd crores this year, correct me. Now if I look at the cash balance as of September end, we were close to INR220-odd crores in terms of cash balance. Now even in the end of the December quarter, we're still around the same balance. So is it because of -- I mean, is the working capital increase, is there any significant increase in working capital? Or how should one understand this?

Management: So is your question around the end use of this?

Viraj: So my question is, if I look at September cash balance, it's still around INR230 crores, INR220-odd crores. And as of December, it is still around similar levels.

Management: Yes, your observation is correct. The cash balance is almost same. There are basically 2 big reasons. One is the dividend payout that has happened in the same quarter. And whatever is the additional capex we are doing, this is all from internal accruals. So the balance remains same.

Moderator: Next question is from Mohammed Patel from Care Portfolio Managers.

Mohammed Patel: My first question is...

Management: Your voice is not clear.

Mohammed Patel: Is it better now?

Management: There is lot of back ground noise.

Mohammed Patel: Is it better now?

Management: Okay. Much better.

Mohammed Patel: Currently, we are servicing the PV market with the help of our current existing lines and plant and machinery. So going forward, would we be requiring new assembly lines and plants for ramp-up of the PV products?

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Management: Yes. PV products, like any other products, new lines are required. Same lines cannot be used. So whatever product

s we are doing and will do will require investment in assembly lines.

Mohammed Patel: Like what would be the estimated capex just an estimate if you have to give?

Management: So the capex figure given you just now includes investment of 4-wheeler and 2-wheeler both. There is only a marginal investment in 4-wheeler as of now. Any significant investment will be informed to the investors.

Mohammed Patel: And last question was, basically, I'm sorry if I'm repeating the question. So for Gogoro, as you said we have only spent like INR10 crores for the investment. But have you put any plan for the Gogoro is it remaining or what have we done in terms of investment for Gogoro?

Management: Let me try and understand because it's difficult to follow your some noise. Did you ask what is our investment in Gogoro?

Mohammed Patel: Yes, sir. Have you put up a plant?

Management: As I said, it is under INR10 crores in single digit and that's why it's not a material figure. And plus these are all investments which are returnable from Gogoro. These are part of the agreement with them.

Mohammed Patel: Okay. So we have not invested any major asset for Gogoro currently?

Management: No. There's nothing beyond this.

Moderator: The next question is from Shubh from RatnaTraya Capital.

Shubh: Sir, you used to share wallet share data for different OEMs. If that is available, can you share, please?

Management: So we shared up to last year only... last 2, 3 years we shared. But as of now, we don't have that figure because that is a lot of information we got from the OEM as well. So we don't have that data for the current year.

Management: We'll be able to perhaps put it together as part of the annual results. Estimated number on quarter is difficult, but we try for the annual exercise.

Shubh: Understood. No problem. Also, is there any update on the fire money reimbursement?

Management: You are talking about the insurance?

Shubh: Insurance, yes.

Management: Okay. So that is already in the process. INR30 crores is already received in the month of September.

Shubh: Right. Understood. And nothing above that as of now, right?

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Management: That is -- I just informed this is under final process of...

Management: Nothing is received further. We have not received anything.

Moderator: Next question is from Khush Nahar from Electrum PMS.

Khush Nahar: Am I audible now?

Management: Yes.

Khush Nahar: I just wanted an update on the 4-wheeler European OEM to whom we were supplying approval stages were going on over there. So any update on that?

Management: Yes, it's a good question. We have last week submitted our final samples to them. It has just reached them yesterday and with our complete detailed report, all parts from our side are okay.

So we have sent the final samples, and that will go to customer next week, and then the process will start. So this is moving as per the plan.

Moderator: Next question is from Saurabh from Multi-Act.

Akshat: I'm Akshat from Multi-Act. So my question was mainly on Yamaha. So I wanted to understand and get a clarification as to this light that we are supplying, if we are supplying to Yamaha India and whether they are exporting the light as it is or they are making a entire motorcycle and exporting it?

Management: No. We are sending the lights to Yamaha India and Yamaha India is sending these lights to outside countries. And vehicle assemblies will be at MBK as well as in Brazil Yamaha.

Akshat: And this is mainly for the YBR 150 model, right?

Management: These are the two models which is being explained to you. This is models FZ 150, YBR 150 and XTZ 250cc.

Akshat: And my next question was mainly on Hero. So we've been working on around 6 to 8 model of Heroes for a long time. So just wanted to understand if you've got any idea of the launch pipeline of those models from Hero and what could be our estimated SOP for those models.

Management: It is 3 models, upcoming models are being validated and QAV is being done by customers. Now just we are waiting for the launch and ramp-up plan. And thereafter, we will explain you and we will give you the overall details.

Akshat: And sir, any other significant model wins in the Q3, which you would like to highlight because we've not highlighted in the opening remarks.

Management: Q3 was, of course, a year-ending quarter. So it is all will be launched in the new year whenever you go for a January. So there are a few models which is being launched by the other customers during this quarter. So we will explain you these models during next call.

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Moderator: Next question is from Prashant Kothari from Stock Market REIT.

Prashant Kothari: I wanted to ask about the Mercedes-Benz project. What is the SOP for that?

Management: So as we had informed, we are doing the low-volume development project for Mercedes. So first 2 projects are already complete and delivered to Mercedes. Third project is on, and that is also moving as per plan.

Prashant Kothari: Okay. And about the Gogoro project, have you initiated any discussion with the other EV OEMs to commercialize this?

Management: No, we just explained that there is the transfer of technology process is pending. And once that is completed, only then can we start that discussion with other OEMs.

Moderator: Next question is from Mehul Panjwani from 40 cents.

Mehul Panjwani: I'm recently tracking your company. So I just want to understand, I got to know from earlier question that there was some fire for which we have got insurance. So when was the fire, sir, which period of the year? And was it in this financial year?

Management: Okay. So this fire happened on 13th of June 2023. And as I informed, one ad-hoc payment we already received INR30 crores in the month of September last year. And rest of the things are under process.

Mehul Panjwani: And one more follow-up question, sir. So was there any operational impact during that period?

Management: No, we timely intimated to the stock exchange also. This production was resumed within 3 days and all things are now in the original reinstated stage.

Moderator: Next question is from Shubham Sehgal from Skill Ventures.

Shubham Sehgal: So my question is about the new technologies. So if we see in our annual report, we had mentioned about 4 technologies mainly ambient lighting, laser, capacitive cuts, and microlens array. And we also mentioned that we've been working with our technology partners and we have signed MOUs with them. So I just wanted to ask like how far are we with these

technologies? Like could we see them materializing in maybe 1, 2 years going forward? So like could you give some color about these and like any technology that we have got any proof of concept that you are working on?

Management: Yes, sure. So as I said, this initiative of ours and new technology is quite well appreciated by our customers. And we did the technology show, and we are quite deeply engaged with our customers. So currently, with 2 customers, we are working on proof of concept.

And one of the technology has got more traction, and we will be shortly receiving a statement of requirement and RFQ from one of the customers, and that is a result of all the hard work we have done in last 1.5 years on technology. And once we work on that RFQ, then we are likely to get that business deal. So this is a step-by-step process, and we are quite engaged with the customer in bringing good results for FIEM Group.

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Shubham Sehgal: Okay. And I'm assuming this would be a domestic customer that you're working with?

Management: See, we are working with Indian customers. That is our focus.

Shubham Sehgal: But my question here is that why aren't we targeting like international customers? Like don't you

think like the acceptance rate could be higher and we could get more orders there?

Management: No, it is not the wish. As we said, we are a conservative organization moving in robust planned step-by-step process. We don't want to jump. First, we will establish ourselves in Indian market.

We will establish a good quality, and then we will approach international market.

Moderator: Next question is from CA Garvit Goyal from Nvest Analytics.

Garvit Goyal: Just want to know like what is the anticipated margin profile in the upcoming quarters? Like in June quarter, we did around 14% and since then we are doing 13%. So is it the sustainable kind of margin guidance we will guide for future as well? Or are we looking to further improve the margin?

Management: We don't give quarter-by-quarter margin guidance. We've kind of said that we ideally like to work in a band of around 13%, 13.5%, but we don't give any other specific guidance, especially quarter-over-quarter. This is what our intent would be over the next couple of years.

Moderator: Next question is from Prashant Kothari from Stock Market REIT.

Prashant Kothari: Yes. Just a follow-up. With the recent fluctuations in the raw material cost, particularly for plastic and electronic components, are we handling -- how are we handling the price pass-throughs with the OEM? And has there been any delays or pushback in passing on the cost increase?

Management: There is a very defined process in terms of handling these sometimes escalation or changes that happen because we have to work very, very closely with OEM on every component. Everything is transparent. So as we've explained in the past also, ours is a pass-through process, any changes is pass through on a quarterly basis. So any impact on any changes will come through discussions with OEM on a quarterly basis. It is a process which will happen. So no impact on any of the -- any changes that may happen in raw material.

Moderator: Next question is from Khush Nahar from Electrum PMS.

Khush Nahar: So just one question I had, any kind of guidance that you would like to give in terms of revenue for the next 3 years?

Management: We don't give any specific guidance. What we like to maintain that we will be ...

Management: ... We are very optimistic and we hope as the things are going well in the auto sector. So we hope good improvement.

Khush Nahar: So any kind of range 15% to 20%, maybe one point industry is growing by X, what are we targeting?

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Management: We've always done better than industry and 15% to 20% is something that we definitely would like to get to, definitely not less than that. But again, as we said, we don't give a specific number.

Khush Nahar: Right. So when can we expect 4-wheeler to contribute significantly, say, around 10% of our top line? When is that possible in which year?

Management: So as I said that we will be coming out with the crystallized numbers after our strategy in entry at OEM is done, which will take a year, and we will definitely present our business plan because currently, we are not focusing on revenue. We are focusing on entry and then we are going to focus on increasing our revenues. So we will be sharing that with you at appropriate time.

Moderator: Next question is from Ankur Shah from Quasar Capital.

Ankur Shah: Congrats on great set of numbers. Sir, just one question on the margin. Sir, like with the 22%

top line growth, we would have expected some operational leverage to materialize on the bottom line. And yes, sir, so is there some reinvestment which is taking up the extra margins? Because last call, I think you all called out that the factories are running at 80% capacity. So in any manufacturing setup, the last 20% is the most profitable. So like why are the margins staying where they are?

Management: So here is the synopsis of how we look at our business. And as we explained whether from

a

product-wise, one of the driver has been LED also. As you see, the growth is coming from the transmission from conventional to LED. That is also one of the important driver of growth. And whether it's LED or conventional, the margins are broadly same at customer level. So while I appreciate what you're saying on operating leverage. However, this is the broad number that we'll operate.

Ankur Shah: So is it that if we reach a particular customer volume, is it that the customer will ask for repricing because that is the only thought which comes to my mind.

Management: Yes. So we are in a super competitive environment where customer always want lower price... it is never that the customer will not want a lower price. See a lot depends on product mix also.

One of the customer goes down, other customer goes up. So margin is complex, and you cannot relate directly that if the sale has gone up, margins will go up. What product mix is there, that is very important. And I can give you example, Ola was doing, for example, 50,000 a month, which is now 25,000. So margins would change. So the product mix is important.

And also, if you look at Q-on-Q from Q2 to Q3, our sales are actually marginally lower only from Q2, but our margins are better, so it's not just a function. You are right in an environment where there's increasing sales, there should be more, but there are many other things that you will need to kind of factor, including what Vineet mentioned around product mix.

Moderator: That was the last question in queue. I would now like to hand the conference back to Mr. Sahil Sanghvi for closing comments.

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Sahil Sanghvi: Yes. I just wanted to thank all the participants for joining the call and also thanks to the management for very elaborately answering all the questions. Jain sir, would you like to give any closing comments, please.

J.K. Jain: Yes, please. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you, and have a good evening. Thank you.

Sahil Sanghvi: Thank you.

Moderator: Thank you very much. On behalf of Monarch Network Capital, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Jun 2025

June 05, 2025

The Manager,

Dept. of Corporate Services

B S E Limited

25th Floor, P . J. Towers, Dalal Street,

Fort, Mumbai - 400 001

[BSE Code: 532768]The Manager,

Listing Department,

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra (East), Mumbai -400051

[NSE Symbol: FIEMIND]

Dear Sir,

Sub: Q4&FY25 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (referred herein as Listing Regulations).

An Earning Call was held on June 2, 2025 to discuss Operational and Financial performance of the Company for Q4&FY25. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

Encls: A/a

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Q4&FY'25 Earnings Conference Call"

June 02, 2025

COMPANY MANAGEMENT

-MR.J.K. JAIN–CMD - MR. RAHUL JAIN –JMD

-MR. RAJESH SHARMA –JMD - MR.VINEET SAHNI –CEO &DIRECTOR

-MR. ARVIND CHAUHAN –CS - MR.O.P. GUPTA –CFO

- OTHER FINANCE TEAM MEMBERS

HOSTED BY

MR.SAHIL SANGHVI –MONARCH NETWORTH CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q4 FY '25 Earnings Conference Call hosted by Monarch Network Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sahil Sanghvi. Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Avinath. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q4 and FY '25 conference call of Fiem Industries Limited. We will start the call with the initial comments about the results and the future outlook of the company. And then we'll open the floor for question and answers.

Now, I'll hand over the call to Mr. J. K. Jain, Chairman and MD of the company. Over to you, Jain sir.

J. K. Jain: Thank you. Good afternoon, and welcome to the Q4 FY '25 earnings call of Fiem Industries. Joining me on today's call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni:, CEO and Director; Arvind Chauhan, Company Secretary; O. P. Gupta:, CFO; and other members of the finance team.

Our investor presentation and the results are now available on our website and the stock exchange. We trust you must have reviewed the same. I am pleased to share that the company has started a new Innovation and R&D Centre at Gurugram. This facility will include consolidation of Mechanical, Optical and Electronics along with CAE capabilities. In addition, we are also setting up the state of art EMC / EMI, Electronic validation laboratory, which will be the first of its kind in the Indian lighting industry. For integrated approach and speedy development of the new product in electronics, we are setting up prototyping facilities, SMT and assembly line. This Corporate Office includes the top management is also at the same location to support the integration and the consolidation process. I expect this strategic move will enhance our efficiency and our capability to serve our customers better.

Now let me turn to the industry's performance. FY '25 has put up India's 2-wheeler market back into the high gear. The industry's volume for the year grew about 11%, but Fiem was able to outperform with 20% growth. On operational front, we have posted another record performance for the Q4 and the year ending FY '25. Our revenue have grown up strongly to INR2,422 crores, and we have -- we are able to deliver all time high PAT of INR204 crores for this FY '25.

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Our new product development pipeline remains very strong. Design Centres in India, Italy and Japan have shortened the development time line, allowing us to roll out new projects faster. This quarter, Honda Activa EV was launched, where Fiem is single source for Rear Combination Lamp, Front Position Lamp, Licence Lamp and Mirrors. Yamaha rolled out new models, Tracer 700 and NovaFactor, fitted with Fiem Headlights and Position Lights for the European and Brazilian markets.

And the Royal Enfield Classic 350 facelift model, we started supplying full lighting solutions.

For Hero Motors, we have started supplying Headlights for its new Xtreme 250 model. TVS iQube model where we supply Headlamps, Tail Lamps and Mirror continues to take leadership positions in EV market. We also supplied full

lighting solutions to TVS for their new model

Apache 4G. All these new models launched are LED based, and these demonstrate our continuing leadership in this market.

Our 4-wheeler push is also gathering speed. We are happy to inform the commencement of the production of our first product, LED Licence Plate Lamp to Mahindra & Mahindra, this product is now approved for all models.

We have also received confirmation of development of three new projects for their highest-selling model, Bolero, which includes development of the High Mounted Stop Lamp. Our earlier order of the Headlamp and Tail lamp was executed flawlessly, while we received appreciation from Mercedes, Germany. We have now received another order for the Headlamp for their new Development Car Project.

As we look ahead of FY '26, the outlook remains bright, driven by the strong rural demand and a favorable monsoon expectations.

Company's Board has always believed in sharing its earnings with the shareholders and the company continues to achieve new milestones and generate record profits, the Board of Directors have recommended highest-ever dividend of 300%, which represents 39% pay-out. This record pay-out is in line with our ethos of sharing value with the shareholders.

With this, I hand over to Mr. O. P. Gupta and the finance team to update on operational performance.

O. P. Gupta: Thank you, sir. Good afternoon to everyone. I will present the Q4 FY '25 number compared to corresponding quarter of last year and also for full year ending March '25. The company has registered quarterly surge of INR633.8 crores in Q4 of FY '25 as compared to INR554.7 crores over same quarter last year, registering a growth of 14.26%.

For the full year, we have achieved net sales of INR2,404.96 crores as compared to INR2,014.37 crores, representing a growth of 19.39%. As a percentage of total automotive lighting, the LED lighting stands at 59.3% in FY '25 as compared to 52% during last year. The EBITDA in Q4 was INR83.81 crores, translating into an EBITDA margin of 13.22% as compared to INR75.46 crores over same quarter last year.

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EBITDA for full year FY '25 stood at INR320.73 crores as compared to INR267.97 crore last year. This translates into an EBITDA margin of 13.34% for the full year FY '25.

The PAT of the company has also increased to INR57.69 crores as compared to INR47.19 crore in Q4 FY '24, representing an increase of 22.25%. For the full year, PAT of the company stood at INR204.14 crores as compared to INR165.84 crore during FY '24, which is higher by 23.09%. The company has made a capex of INR138.28 crore during the year.

During this quarter, there has been an exceptional income of INR3.75 crore, this is on account of favorable arbitration order relating to an old fire incident of 2018.

With this, I end the financial brief, and now the floor is open for question and answers.

Thank you.

Moderator: The first question is from the line of Viraj from SiMPL.

Viraj: Congratulations on good set of numbers in such a challenging environment. First is, can you just give a breakup of -- I think we've spent somewhere around INR140 crores in capex in FY '25.

So can you give some breakup in terms of how much of the capex is towards capacity expansion and also in terms of between 2-wheeler and 4-wheeler. And I think towards a new R&D Center, which commercialized. So can you just give a brief breakup of capex for '25. And what are the capex plans for FY '26 and '27? That is the first question.

Management: Hi Viraj, this is Arvind. So first, this breakup of last financial year, INR58 crores is which we incurred in the Rai Plant and balances all other facilities, including the R&D equipments we have had. So this is the breakup actually. About this next year capex plan, I would request, please...

Management: Yes, the go-forward capex for the next 3 years is approximately INR200 cro

res. And that is --

that doesn't include the 4-wheeler capex that might happen, which also is a significant figure.

But outside of 4-wheeler, our capex plan should be around INR200 crores over 3 years.

Viraj: Okay. So second question is, see, if you see in last 1 or 2 years, we have seen a good amount of shift, a very fast shift towards LED lighting versus conventional. And as you also said in the past, it carries more than 2.5 to 3x at least in terms of realization increase versus the conventional.

And also, if you look at our communication earlier was that if we were to see a 100% LED penetration in our mix, then we would be able to cater to close to INR2,800 crores within.. kind of a revenue scale for the lighting business. So question is then considering the benefit of higher realization and operating leverage, one would think that margins should have further expanded for us, operating margins. But that is not the case. So can you just give some color where are we seeing this higher spend? Is it more towards PV, R&D? So can you just give more color?

Management: Yes. So a couple of points there. First is that for the LED, our EBITDA margins are broadly the same. They are not different as far as LED component is concerned. The other -- but there is

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operating leverage that kicks in with higher revenues for sure. But also, you must appreciate that we are making a lot of investments. I think we talked about our EMC / EMI lab. We talked about electronic facilities. We are also talking about significant investments that we are making on the 4-wheeler side in terms of management, in terms of other operating expenses. So taking all of that into account, our margins are still on a positive trajectory, but we do not expect this to be materially higher over the next couple of years because we continue to make investments for growth.

Viraj: Sir, can you just give some perspective on what kind of investment and P&L we have been making, what kind of bench strength we have had at either for PV or R&D? Because the benefits of this, we will only see after 2, 3 years and so any perspective you can give what kind of investment in P&L and bench that we are adding.

Management: So what we could do is we could talk about the 4-wheeler business separately in terms of what we are doing there. But other than that, everything like, for example, we spoke about our new facility, what we are setting up with the new head-office, the Innovation Center. All of it are fairly integrated with our overall plan.

So it's not going to be possible to pick one out and say this has resulted into this, but there is significant enhancement of capabilities that is happening because of the technology-intensive nature of the industry now. On the 4-wheeler side, maybe Vineet can add in terms of what all we have done already.

Management: Hi, this is Vineet. See, on the 4-wheeler, we have added resources for design as our RFQ content is increasing. We will be talking about it later. So we need to solve a customer. So we have added resources in our Puna Design Center also. We are adding resources in our Japan Design Center and European Design Center also. So as an organization, we are strengthening our technical strength, and that is to support our customer and future projects.

Viraj: Sir, as of today, what will be team size for the PV, just indicatively...

Management: Yes, we will keep this confidential. We are growing, but I would not like to divulge numbers here.

Viraj: Okay. Just last question, on the wallet share side, across the top 4 customers, can you just give that for FY '25 and FY '24?

Management: HiViraj, this is Arvind. See.. when we.. means when we gave this wallet share, we are working with the customers, and there are so many SKUs as of now. So what we are giving here is about this overall total market share is around 33%. And specific about the pr



oduct, it is not possible

to give. So this is the data, which we can share as of now.

Viraj: No, I was talking about the top four product wise, which we used to share earlier.

Management: No, no. That's what I'm saying. This customer pie chart, you can see in the presentation, but not possible to share because there are so many SKUs and data fetching from the customers. So as of now, this is not possible to share.

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Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congrats for a good set of numbers. My first question is like our exposure to 2-wheeler EV segment and your client base, including major OEMs like TVS, have you observed any signs of order moderation or from EV customers in light of recent supply chain concerns such as China export ban if you -- can you quantify the impact in the term growth or overall sales percentage for the quarter?

Management: See, I'm Rajesh here. So as of now, whatever communication about rare earth minerals, whatever is being highlighted from the Chinese Government and Indian Government. The impact in EV market is not much because as of now, the overall share is up 5% only. And about LEDs and other product electronic products, there is no impact as of now because of other than China, all other countries are also into the same business. So there is not much of impact because of these rare earth chemicals.

Garvit Goyal: So is it like are we -- is not going to be impacted because our percentage sale is low or the entire EV industry remains existing, is what you're trying to say?

Management: As of now, entire EV market is struggling. It is all 5% to 6% only. So there's not much of impact is, as of now seen in the market.

Garvit Goyal: And secondly, on the Ola, given that the current financial strain reported by the company, and this is our customer also. So could you elaborate on the quality of your trade receivables with them or like what portion of the receivable is attributable to Ola. And are there any concerns regarding overdue payment for credit risk provisioning for these receivables?

Management: Neither do we have any concerns nor can we disclose such information, which is confidential with clients, and we have no concerns.

Garvit Goyal: Got it. And sir, lastly, on our performance in FY '25, which was obviously the best year for Fiem Industries as far as top line growth is concerned, we grew about 20%, which is a significant outperformance to our historical growth rate.

Now looking at the current scenario, like while rural demand is expected to come bigger due to favorable monsoon as you mentioned in opening remarks as well. What do you think about the urban demand for 2-wheelers? Can we grow by 20% again for FY '26 as well, or do you find it difficult to do that considering the higher base?

Management: I think we've demonstrated even in a bad year, and you've seen in the last 5 years, there have been many negative cycles. Even in the worst year, we have grown well, driven by our very diversified both product mix, as well as customer mix, including our export customers. So we are not dependent on a product or a customer. So at a holistic level, we continue to guide for a 15% - 20% growth even in the worst bad markets.

Garvit Goyal: Perfect. And what percentage of revenue do we accept 4-wheelers to be in FY '26?

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Management: So I continue to maintain that, it is premature to find revenue and to talk about revenue. Please have patience. We are working on systematically on our business plan. And very soon, you will have our revenue, as we discussed. So we have started getting revenue, but today, it is quite insignificant, but we will be growing and then we'll convert it into business plan and share with the investors.

Moderator: The next question is from the line of Karan from Keyno

te Capitals.

Karan: Sir I firstly wanted to understand if Hero is expected to scale meaningfully for you in the near to medium term, like is same being onboarded across only a select models, or is there a broader supplier shift? And if not, I want to understand what would drive the next leg of top line growth at 15% to 20% because you have pretty high wallet share across other major OEMs.

Management: See, we are really very late to start with the Hero. So as of now, we have 4 models wherein we have successfully launched our vehicle -- our product. That to recently as highlighted in our CMD's speech, Xtreme 250 recently launched, and it is doing good. This is, again, with the projector lamp, which is being continued in our portfolio. That is being started from Yamaha. So further on, we are, as of now having eight projects wherein front and rear lighting, both are there, and we hope, we'll have a substantial growth in our business in near future.

Karan: Okay. Understood. And secondly, what is the LED lighting contribution for full year FY '25?

Management: So this LED light for full year is 59.3%.

Karan: Okay. And so over the last few years, LED has grown significantly, and I'm assuming like Fiem

has had a significant growth in realization also. So I wanted to understand if there is further room for improvement in realizations now because LED is at a significant contribution.

Management: I think on the realization, we explained the margin, I think, in the previous sort of question as well. LED will continue to grow. It's -- as we said, it's close to 60%. It will keep growing for the next couple of years. But at -- if you talk about at a margin level, we will be stable, similar kind of margins what we are guiding to. And yes, LED as realization is higher for sure as compared to normal halogen.

Karan: Okay. And lastly, are there any updates on the Gogoro tie up?

Management: No. So Gogoro, we updated last quarter as well. Gogoro is facing a lot of headwinds at the global level, and because of which their Indian sort of plans and venture is on hold. I think there is a new management there at the head office level. So they are reviewing. They are figuring out their financials. So as of now, this is on hold and we will update you as we get a more detailed update with the new management.

Moderator: The next question is from the line of Prashant Kothari from Stock Market.

Prashant Kothari: Yes. So I have a few questions. First, where do you envision the revenue mix in terms of 2-wheelers and versus 4 wheelers, India versus exports and lighting versus other segments by FY '30?

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Management: So the way to answer this question is we are, as of now, 2-wheeler -- predominantly 2-wheeler company. We made some big strides in 4-wheeler. And it is our intent to grow it to a reasonable business out of the overall pie. If we don't make it a reasonable business by FY '30, then obviously, we wouldn't have entered it. So whether that number is 30%, 20%, 50%, I think that business plan is to be sort of rolled out over the next 12 to 18 months.

So it's too early to comment on that number, but it is suffice to say that it will be a reasonably important business for us as we look through for the next 5 years. And as far as exports is concerned, exports is already a material business for us. We continue to work very closely with customers. And it comes in as indirect export, so you may not see it on balance sheet. But that also, we believe, will grow to a meaningful business. It's already a large business. It will continue to track. Was there anything else that you asked?

Prashant Kothari: Lighting versus other segments?

Management: No, Lighting is our core business. So lighting will continue to be our core business. Others will always be ancillary.

Prashant Kothari: Okay. Two questions on that. First, is there any broader diversification strategy in place to reduce

the 2-wheeler dependency over the coming years?

Management: I think no better than what we've already done, which is 4-wheeler. And so to that extent, our core competency will remain to be lighting. But within that, a large segment, which we have not done, which is 4-wheeler, we are pursuing it very aggressive.

Prashant Kothari: Okay. And on the export part, can you share any road map to scale this, how significant it is going to grow over the next 3 to 5 years?

Management: No. So on the export front, if you look at the way the 2-wheeler market works, and I'm talking specifically of 2-wheeler is that it is driven by the OEMs like the Hondas, like the Suzukis of the world, locally, right? And there are the Harleys of the world. So it also depends on how they plan to pursue India opportunity, which is very, very big now in terms of how they are integrating with the thing.

So we are working closely with these OEMs who will work closely with their international partner. And that's how the system works. And there is a lot of inquiries right now. Our product pipeline, if you look at where we -- what we are doing with the Yamahas of the world is very, very robust. So that 1 is something that is closely being worked out.

Prashant Kothari: So I think you have Japan and Italy subsidiaries, right? So they are also coordinating with Honda, etcetera, only for international revenue there?

Management: So that's -- they have the design team there...

Yes. In Italy and Japan, we have a design team, and they are coordinating based on the input from the corporate office. And they will be supporting directly to all the developments wherever and at customer and if it is being required. We have design engineers. So they are very closely

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working with the customer, who are giving us support to give us quick responses and faster development.

Prashant Kothari: Okay. Last question. Given your strong cash generation and increasing scale, how is Fiem approaching the capital allocation beyond FY '26?

Management: So we had laid out our -- I mean, we feel very confident about future growth. So we have laid out a capex plan, which we articulated, INR200-odd crores for our regular capex over the next

3 years and plus 4-wheelers could absorb another INR200-odd crores over the next 3 to 4 years. So that's a large capex program that we are undertaking based on what market opportunities we see. So a lot of that cash will be utilized and plus we want to be ready for any other opportunities that can come by.

Moderator: The next question is from the line of Vijay Kumar Pandey from Nuvama Wealth.

Vijay Kumar Pandey: Congratulations for a great quarter. A couple of questions from my side. I wanted to check first on the. What is like the market share in terms of LED share and halogens in the 2-wheeler segment?

Management: As I already informed our LED share in our lighting is 59.3% precisely. And rest is the conventional.

Vijay Kumar Pandey: Okay. And realization will be around 10% higher or how much -- what is the difference between the realization?

Management: Realization for LED is at least 2x at least, and this go beyond.

Vijay Kumar Pandey: At least 2x and goes beyond.. Secondly, sir, just wanted to understand on your investment in the electronics segment. So what is this particularly regarding. Is that like any new product we are developing or like will it continue to supplement our lighting segment.

Management: So as you are aware, with the advent of LEDs in lighting, a lot of electronics is coming. Even lighting is becoming intelligent. We are working on certain projects with intelligent lighting also, which increases electronic content. And to support our customers, we are investing into EMC/ EMI laboratory, which will be the state-of-the-art laboratory and we'll be the first 1 in India to have it in lighting industry.

We are also investing into prototyping f

acility, SMT line and assembly line for quick turnaround

of development projects. So there's a lot of work happening on electronics and electronics is becoming -- we are making electronic as our strength for future.

There is a lot of background noise coming from somebody. Could you try and keep yourself on mute?

Vijay Kumar Pandey: Okay. Okay. And just last question from my side. So if you can give me a bit of idea about any new products like any new -- the new motorcycles that are being launched or new scooters, in which of them we are partnering or where we have -- we are going to see the increased sales growth, that will be very helpful?

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Management: So there are more than 100 projects, which are under pipeline right now under development.

This has all been developed under new technology, which is being required based on can-base, software base, animation. And for that, we are equipped. And further on, we are investing EMI EMC lab do the faster validation and supply the products to the customer on time.

Vijay Kumar Pandey: Sir, I meant the new models that are coming in FY '26 over next 5 or 6 months. So any particular idea of where -- like which of the new models in which we are partnering with the OEMs and what can be the...

Management: Yes, yes. We cannot disclose unless or until these models will not be launched. So these are customer-confidential agreements between both the companies and those will be launched. Once which we launched, it will definitely be disclosed.

Moderator: The next question is from the line of Dharmesh Shah, an Individual Investor.

Dharmesh Shah: So we are speaking, we received the capex of almost INR140 crores and are using the PAT of INR200 crores, is this quite significant for the company's level? So what kind of revenue we can generate after investing of INR140 crores of capex?

Management: You are asking about the previous year capex we did?

Dharmesh Shah: Yes, yes. The previous year capex, what can revenue generation you consider in next year?

Management: See, our -- if you see our asset turnover, this is 2.5x coming. So you can estimate.

Dharmesh Shah: Not that. I understand that part. But after INR200 crores, we have received a PAT of almost INR200 crores. And out of that INR140 crores has been the capex we are deploying. Am I right?

Management: You are asking that in the last year, we incurred INR138 crores capex. So you are asking about the next year capex, if you can speak a little bit louder and can you clarify your question?

Dharmesh Shah: No, once again, I repeat it. We have received the PAT of INR200 crores last year and we have made a capex of INR138 crores. So what PAT -- what kind of benefit we expect after making such a big investment in the next year?

Management: Yes. So let's break this down. First of all, PAT and capex, keep it separate. You're saying if you made a capex of INR140 crores, what's the benefit we see. I think as we highlighted, our asset turnover is around between 2 to 2.5. So obviously, we expect incremental revenues accruing around those levels and which will translate into sort of PAT.

But sometimes, you cannot see it linearly over 1 year that you put INR140 crores, what is the next year turnover increase and what is the PAT. These are all forward-looking stuff where we think through over the 3- to 5-year plan, and they give you results. So -- but on an overall basis, our asset turnover is around 2.5, which is what it will result in over a longer-term period.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

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Khush Nahar: So two questions. First, if you can elaborate more on the 4-wheeler side in terms of revenue business, the businesses that we won and the RFQs that are there? And second, on the new technology side. So I think the last annual report mentioned the products like micro

lens, arrays

and wind lighting. So some sense on the new technological products from where we're getting RFQs and which we are developing.

Management: Yes. See, we have now started, as you know, it was shared in CMD speech. We have now started production of 1 LED lamp, license plate lamp, which is approved for all models, that is step 1.

Step 2 also, we have shared highest-selling model of Mahindra Bolero. We have got 3 products for development. And in this, the content has increased. The High Mount Stop Lamp content is much higher. It is around 7x higher than the first product. So that will increase the content. And we are now working on RFQ of around INR700 crores. So we are getting very positive response from various customers. And these RFQs, some will be converted, of course, into revenue.

And therefore, we are planning the capex as we shared, around INR200 crores in the next 3 to 4 years because we might have to set up a plant for our customers, once the RFQ matures. On the technology front, we had shared that we were working on touch sense capacitive technology.

And due to our work, we -- this work got converted into RFQ. We already received RFQ of this technology from our customer.

And now this product is under technical study. For other two technologies, NDA has been signed between customer and us and customer is initiating proof-of-concept, POC, along with us. So if this goes forward, we will be the first company to develop these technologies for our country, India. So it is moving on. And as you know, technology presentation is a step-by-step process.

So we are quite keenly attached with our customers in development of these technologies.

Moderator: The next question is from the line of Viraj from SiMPL.

Viraj: Yes. Just a clarification, you said we've got RFQ pipeline of roughly around INR700 crores.

That's for the PV business alone, right, sir?

Management: Yes, that is correct.

Viraj: And somewhere earlier, you talked about capital allocation, where other than the capex of INR200 crores for 2-wheeler and maybe the capex of another INR200 crores for the PV. So if you even kind of adjust this kind of INR400 crores over a 3- to 4-year period, our cash position would still be somewhat better than what we have right now. So the surplus cash, is there any thought process or deployment of this? Would we be looking for an inorganic play in lighting, any thoughts on this?

Management: Yes. So as an organization, we have to be ready for any opportunity that emerges in the market.

It is always prudent to have some cash available to capitalize on those opportunities. And, therefore, we are ready if the opportunity is good for us, even if it means inorganic, we will go ahead for that. And therefore, we are ready for such opportunities.

Viraj: But when you say inorganic, would that largely be restricted to lighting as a segment, or would it even open to other product categories?

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Management: We are open for any good opportunity for the organization. It could be lighting. It would be electronics also.

Viraj: Okay. And just last question, sir. We are making a good amount of investment either be it in terms of P&L or capex in the electronics. Can you just give some more, probably, examples of how does this kind of add to our overall competitiveness, either in terms of backward integration or in terms of capability.

Management: So see, all these investments we are doing is basically to strengthen our technology to strengthen our organization and our collaboration with the customer. Because the kind of products that are coming in the future, it is important that our organization is future ready. And therefore, these investments are making these organizations future ready to engage very deeply with customers for new technology orders.

Moderator: The next question is from the line of Jatin Chawla from RTL Investments.

Jatin Chawla:

Congratulations on a very good set of results. I just wanted to check first on a remark that you made earlier that you would expect a 15% kind of growth even if 2-wheeler industry volumes are flat. So is that the kind of outperformance over the market that you're expecting? And if yes, then what are the key drivers of the same?

Management: No, we didn't say that we will grow at 15% at flat volumes. What we said was that we expect to grow at 15% to 20% over the next 3 to 5 years on a consistent basis. And we actually believe

that 2-wheeler is on a very good growth path as well. So that's a general guidance on our revenue that we are making at 15% to 20%.

Jatin Chawla: Got it, got it. The LED share number that you gave is more on a revenue basis than it's roughly at 59% this year. On a volume basis, broadly, would it be fair to say it's somewhere around 35%, 40%, if I work with like 2, 2.5x realization?

Management: Tough to estimate, tough to estimate. It will be a guess work. But at the industry level, the general understanding is that it is around yet 30%, 35% penetration.

Jatin Chawla: Got it, got it. And this big pickup in LED penetration that we have seen this year from like 52% to 59%. And that's been the main driver for the outperformance over the 2-wheeler industry that we have seen this year for Fiem. How is the pipeline for future products looking? Is that also like heavily tilted towards LED and hence, we should expect this sort of traction on the LED penetration to continue?

Management: I think it's 100% pipeline is LED. The new project pipeline is 100% LED.

Jatin Chawla: Okay. Great. Last question from my side. We've seen Yamaha with a very strong growth this year, almost 25% growth after 2 years where their revenues were kind of flattish. So should we -- are we expecting this sort of traction to continue given the kind of model pipeline visibility that we have with them?

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Management: We are very bullish to have a similar kind of market from Yamaha, that is for domestic as well as export market board.

Moderator: The next question is from the line of Saurabh from Multi-Act.

Saurabh: Congrats for the results. The first question was on HMSI, like sequentially, we have grown almost 20% versus if you look at the production growth, it was 4%, 5%. So is this outperformance led by new model wins? Or is it that we have gained some wallet share from our competitors? Or has the mix of LED increased within HMSI?

Management: I think this is -- our wallet share remains broadly the same. So these are general specific model-related movements over the quarter. But at an overall level, we are at the same share.

Saurabh: So are we present even in the new models, the 2025 models that HMSI has been launching? Are we present with the similar wallet share?

Management: Yes. As already highlighted in CMD sir speech about Activa EV. This is being launched with the overall project of 71% share of business in that of lighting is with us. And further on, all the models, whatever is in underdevelopment are also with us with the same pace.

Saurabh: So even in the normal Activa that is the OBD2 complaint Activa that was launched, so we would be present even in that Activa as well, right?

Management: Yes. We are into both the standard and deluxe model.

Saurabh: Okay. And a couple of quarters back, we had 1 order for Jupiter 110, and now Jupiter 125 is being launched. So have we won even for those models?

Management: Yes, we are the single source for deluxe model. And wherein domestic model, there are competitor, but of course, Deluxe's model is 100% being served by us only.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar: Sir, just one question, I think, one of the large E 2-wheeler, the customer was spending in terms of customers. So any update on that? Have you onboarded them as a customer?

Management: W

e have, as of now, more than 40 EV customers on board. And we are very closely working all the model -- all the customers, whom so ever in the top 10 EV companies.

Moderator: The next question is from the line of Vijay Kumar Pandey from Nuvama Wealth.

Vijay Kumar Pandey: Just wanted to check on the RFQ of INR700 crores. So what is our expectation? And how much time period will this be executed? And what is like the start of the sales operation for these RFQs?

Management: So different products have different time lines, but a bigger chunk of RFQ, the SOP is 2028 where we are working with high-value RFQ. And there are other RFQs where SOP is coming.

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Some of them are coming in this year and some are coming in next year. So it is staggered depending on the RFQ and the customer.

Vijay Kumar Pandey: Okay. Sir, any idea you put like how much will be in FY '26 sort of FY '27, just in terms of revenue opportunity?

Management: So we are bullish about it. But as I have shared always, I think it is still early to talk about revenue. We are taking a step-by-step process. And rest assured when the revenue becomes significant, we'll come back to you with our business planning. But as you know, we are entering and there is a lead time to development. So -- but we are moving in the right direction, and we are bullish about our approach to 4-wheeler.

Vijay Kumar Pandey: And sir, generally, the lead time is around 6 months or a year.

Management: 2 to 3 years is normal development lead time in 4-wheeler because a lot of components get developed, validation happens, that's normal.

Moderator: The next question is from the line of Viraj from SiMPL.

Viraj: Just one small data point. In case of a 2-wheeler, if you compare to Activa ICE model, something similar in case of, say, TVS and ICE model and compared with an EV model, what will be the content change into for lighting, if it's an all LED?

Management: Lighting for ICE and LED or EV is similar. There is no change. It is totally dependent on what functions -- what our functions are being added into the light.

Viraj: So if I were to compare and say an Activa versus Activa EV, where we are currently, what will be the content for lighting in ICE and similarly in EV model?

Management: See, in Activa EV model, we have a 71% of share of business in lighting.

He's asking for...

Viraj: I'm asking...actually content for vehicle.

Management: Yes. I'll -- see, EV will always have LED lighting. ICE can have LED also and halogen also, right...

Viraj: No, I am asking...

Management: So if your question is what is the difference between halogen and LED, we can answer it.

Viraj: No, I was just trying to understand, sir, in LED, an ICE Activa variant, what will be the content for us currently? And say, if I have to stay in Activa EV model. What is the content, this actual value?

Management: Rajesh is just telling you that.

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First of all, Activa has 2 models. One is of standard model, which is having conventional lamp, and deluxe is having LED headlamp. And difference of that is 1 is to 2 -- 1 is to 3. It is totally dependent on the functions. And then there is EV. So EV is, of course, as Vineet has already mentioned, it is the same, where in EV 99.9% is 100% in LED lamps.

Management: And the pricing...

And price same as the ICE model -- ICE LED model.

Viraj: So what will be the price of the per unit -- likely per unit. First, realization per vehicle, say, in an Activa LED model for us.

Management: So I think we can give you a range. It won't be fair to give the price.

Viraj: Yes, as you say range is also...

Management: Minimum, it would range anything from 2x to 4x. And it can go up further from -- at the premium level, but minimum 2x for LED.

Moderator: The next question is from the line of Rohan Advant from Prad Capital.

Rohan Advant: Congratulations for a good

d quarter and a good FY '25. Sir, again, on HMSI, we -- I just wanted to clarify on Honda Activa. If you could help us understand that in the ICE Activa, the non-EV Activa, 110 and 125, are we present in both headlamp and tail lamp? And are we present in both halogen and LED models?

Management: Yes. We are presenting both conventional and LED model and having our share of business similar, whatever we were having our wallet share earlier. There are two additional other suppliers also in this model.

Rohan Advant: Okay. Okay. But we have not lost our share or reduced our share at all?

Management: No. We have a same wallet share as we were delivering in the past.

Rohan Advant: Okay, okay. So sir, against the Q4 base of HMSI, whatever is the growth in HMSI, CM's growth will match that or better than in the coming quarters? Would that be a fair understanding?

Management: Yes. We are thinking the same, and we are bullish about the overall numbers.

Moderator: The next question is from the line of Pranay Mittal from Nvest Analytics Advisory LLP.

Pranay Mittal: Yes. See, I just wanted to have a follow-up on the previous person question. See, I think he wanted to know what is the percentage of the value of product delivered by you, either as an LED or ICE vehicle say for Honda, right, Activa model, say the cost is 40% -- sorry, INR40,000. What would be the percentage of LED components that you supply? I think that's what he wanted to know.

Management: We already answered to him. If you have any specific explanation, please ask.

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Pranay Mittal: No, no. I -- okay. Maybe you can read this as my question. Assume that the cost of Honda Activa you say, 40,000 INR, right? What would be the percentage component of Fiem-delivered products in that Honda on that LED side?

Management: In EV, the number of sets complete lighting is around INR4,000.

Pranay Mittal: Okay, okay.

Management: So that will be around -- if we talk about INR40,000, it is at 10%.

Pranay Mittal: Okay, okay. Got it, got it. Okay. That's it from my side. And sir, 1 other question. See, we -- I remember that we sometimes -- 3, 4 quarters back, we were bullish on entering into the EV side of business into hub motors and stuff, I don't know, I didn't track this information beyond that time. So are we still going ahead with that project or we have shelf to that project?

Management: I think we just addressed that point that was being done along with our tie up with Gogoro. And we just mentioned that Gogoro globally is facing some headwinds. So that project is, at this point of time, on hold.

Moderator: The next question is from the line of Dhaval Shah from Fort Capital.

Dhaval Shah: Sir, a few clarification. Sir, in the cash flow statement for yearly FY '25. We see that add of insurance payment received is INR26 crores. While in the loss, we have said that we have received INR30 crores and INR20 crores. So can you just bridge the gap how it is different?

Management: No, no. I think this is.... our adhoc, what we received during the year is INR20 crores at 1 and then INR30 crores. So total is INR50 crores.

Dhaval Shah: Yes. But FY '25, it is showing INR26 crores only in the cash flow statement.

Management: Sorry, can you please recheck, this is INR50 crores, and you can come -- if some bookkeeping clarifications, you can come back to us.

Dhaval Shah: Sure. And sir, another question that our other expenses have increased by around INR13 crores, INR14 crores. So is it a normal run rate we should assume going forward, or there are kind of one-off or that kind of expenditure in this quarter?

Management: So these are development expenditures that the company is doing for future. So that is the category, yes. So we spoke about it. We are investing in technology and development. So these are the expense related to that.

Dhaval Shah: So this should be a normalized run rate going forward?

Managem

ent: So see, it is the company's call. We have to prepare for future. So sometimes, it will come sometime depending on the need. So like now we have invested in electronics, maybe next year, they are less. But if there is a big change in technology, we may have to invest again. So that is the decision that management takes from time to time.

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Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.

Anubhav Mukherjee: I just had 1 question. Sir, a few quarters back, we had done some prototype development for European car OEMs, I think, Mercedes or Volkswagen. So is there any follow-up on an update on that?

Management: Yes, that's a good question. Yes, the development was successful. Our samples -- final samples have gone to the customer. They have now been fitted in De Tomaso car. The car has been showcased very recently. It was in the news, and we were very happy to see our headlamps in that car. So the project has gone very successfully so far. And once the customer approves everything, then we will supply them the lamps that they require.

Anubhav Mukherjee: Okay. And were we the only one in the like prototype development, or were other vendors also in consideration?

Management: Sorry, say again, what is the...

Anubhav Mukherjee: Sorry. For the prototype development, were we the only like vendor considered or like -- it's like...

Management: No, no. This -- the product that I'm talking of De Tomaso is not prototype. It is a full-fledged headlamp with tooling with proper assembly line. What we are developing for Mercedes is also tooled-up samples, but for their prototype car, which is low volume. So this is basically a stage for future developments because we are associated with a company like Mercedes. So we are developing products for them for their development cars, which are currently low volume, but it gives us access to their management and their development team. And, therefore, it results into more RFQs in future.

Anubhav Mukherjee: Get that. So the -- like what we did for Volkswagen, that has like potential for ramp-up?

Management: No, not for Volkswagen, I need to correct you. We have done for De Tomaso, which is a sports car, and we have done for Mercedes, not for Volkswagen.

Anubhav Mukherjee: Okay. So for this like other product like OEM, is there a ramp-up potential now?

Management: So the product that we are -- it's a small product, the starting of production. But as I shared, this is now approved in all models. So first month, like now we have schedule starting from 20,000 a month, which will go up to 60,000 a month. So this will go up gradually in step-by-step manner.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sahil Sanghvi: for closing comments.

Sahil Sanghvi: Yes. I just wanted to thank the management, the whole team for patiently and very elaborately answering all the questions, and congratulations again for a very excellent performance. Once again, thanks, to all the participants joining the call. Jain sir, would you have any closing comments?

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J. K. Jain: Yes. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further question, please don't hesitate to contact us. Thank you, and have a good evening.

Moderator: On behalf of Monarch Networth Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.



## Call: Aug 2025

August 19, 2025  
The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001  
[BSE Code: 532768] The Manager,  
Listing Department,  
National Stock Exchange of India Ltd.  
Exchange Plaza, Bandra Kurla Complex  
Bandra (East), Mumbai -400051  
[NSE Symbol: FIEMIND]

Dear Sir,

Sub: Q1FY26 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015  
(referred herein as Listing Regulations).

An Earning Call was held on August 14, 2025, to discuss Operational and Financial performance of the Company for Q1FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

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Fiem Industries Limited  
Q1FY'26 Earnings Conference Call

August 14, 2025

### COMPANY MANAGEMENT

- MR. J.K. JAIN– CMD - MR. RAHUL JAIN – JMD
- MR. RAJESH SHARMA – JMD - MR. VINEET SAHNI– CEO & DIRECTOR
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO
- OTHER FINANCE TEAM MEMBERS

### HOSTED BY

MR. SAHIL SANGHVI – MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of Fiem Industries Limited hosted by Monarch Network Capital Limited.

Kindly note, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I would now hand the conference over to Mr. Sahil Sanghvi. Thank you. And over to you, sir.

Sahil Sanghvi: Thank you, Muskan. Good evening, everyone. On behalf of Monarch Network Capital, I

welcome you all to the Q1 FY '26 Conference Call of Fiem Industries Limited.

We will start the call with the initial comments about the results and the future outlook of the company, and then we will open the floor for questions and answers.

Now, I will hand over the call to Mr. J. K. Jain – Chairman and Managing Director of the company. Over to you, Jain sir.

J. K. Jain: Thank you. Good afternoon, and welcome to the Q1 FY '26 earning call of Fiem Industries Limited.

Joining me on today's call are Rahul Jain – Joint Managing Director, Rajesh Sharma – Joint Managing Director, Vineet Sahni – CEO and Director, Arvind Chauhan – Company Secretary, O. P. Gupta – CFO, and other members of the finance team.

Our Investor Presentations and the Results are now available on our Website and on the Stock Exchange. We trust you must have reviewed the same.

Let me start with a brief overview of Indian economy.

India remains the fastest-growing major economy in the world with the GDP forecasted to grow at 6.4% in FY '26. However, the recent imposition of the steep U.S. tariff, now totaling up to 50% on Indian export, is creating near term headwinds for some sectors. Fiem remains unaffected with this challenge. The long term outlook remains optimistic and strong. India's strong economic fundamentals, low inflations, healthy government finances, and ongoing reforms will continue to boost the sentiment. Efforts to expand export markets and build new trade agreements like the recent UK FTA should keep the country on a steady growth path.

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Now let me turn my attention to the domestic automotive industries.

The Indian two-wheeler industries began FY '26 on a soft note with domestic production volumes of 5.9 million units, which is flat over last year. This is largely seasonal and demand typically softened in the early months of the fiscal year.

With the festive season kicking in, supported by a good monsoon, the industries poised for a healthy rebound. Against this backdrop, Fiem has been able to post a very strong performance for Q1 FY '26.

Our sales have grown more than 13%, to Rs. 649 crores, and we were able to deliver a PAT of Rs. 56 crores. This growth was fueled by the robust demand from our peak OEM customers like TVS, Royal Enfield and Yamaha, which has contributed to this significant growth.

Let me now turn my attention to the four-wheeler segment which continues to move forward. [..line disrupted...]. We are also very pleased to share that we have received development orders for three additional products from Force Motors. Our engagement with the customer on new technology is progressing well. This successful entry into the four-wheeler space marks a significant leap forward in our journey to become a multi segment global player.

Building on this performance,

Fiem remains well positioned to capitalize on industries recovery through our technology investment and customer partnerships. One such investment is our state-of-the-art EMC/EMI electronic validation laboratory now under installation and set to be the first of its kind in the Indian automotive lighting industries. This facility will unite our mechanical, optical, and electronic capabilities under one roof.

As lighting becomes increasingly integrated with electronics and communication feature, this lab will be a game changer strengthening our technological edge and re-forcing Fiem's leadership in performance and quality.

Looking ahead to FY '26, I am confident in both the industry's growth potential and the Fiem's strong position to capitalize on it.

With this, I hand over to Mr. O.P Gupta and the finance team to update on operational performance.

O. P. Gupta: Thank you, sir. Good afternoon to everyone.

I would like to present the Q1 number for FY '26 compared to Q1 of FY '25:

During the quarter, the company has registered sales of Rs. 649.07 crore as compared to Rs. 573.61 crore over the same quarter last year, registering a growth of 13.16%. LED lighting share in total automotive lighting stands at 63.92%. The EBITDA in Q1 is Rs. 87.36 crore, translating Fiem Industries Limited

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into an EBITDA margin of 13.46% as compared to Rs. 78.77 crore over the same quarter last year with EBITDA margin of 13.73%.

The PAT of the company has also increased to Rs. 56.05 crore as compared to Rs. 49.2 crore in Q1 of FY '25, representing an increase of 13.92%. During the quarter, the company has made a CAPEX of Rs. 16.53 crore.

With this, I end the financial brief and now the floor is open for question-and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Shubham Sehgal from SIMPL. Please go ahead.

Shubham Sehgal: Yes. Thanks for the opportunity. My first question is, so we are with our non-LED portfolio with around Rs. 172 crores to Rs. 180 crores. Do you see this scale further going down or that the market in terms of supply and our provisioning? So, let us see if the number can sustain at this level.

Management: Can you please repeat this question, we lost you in between.

Shubham Sehgal: Yes. My question was that our non-LED portfolio has been stable around Rs. 170 crores - Rs. 180 crores. So, I just wanted to ask that, do you see this scale further going down or should we sustain at these levels?

Management: Yes, see on the LED, what we maintained is that we are currently at 64% as our total automotive sales and this will continue to go up. And over the next couple of years, this number should increasingly go up because our pipeline is 100% LED, all the new models that we are doing is LED.

Shubham Sehgal: Okay. Got it. My next question was, with our LED business scaling pretty strongly, as you mentioned, so how, and how many do we plan to add over the next two years? And what percentage of regular CAPEX will be behind molds?

Management: You may want to just repeat that question. If, operator, if you could sort of help with the, line, we are getting a lot of void in between. In between, we cannot hear this. So, if you could repeat that question.

Shubham Sehgal: Yes. I will repeat it. Yes, definitely. So, I was saying that our LED business has been scaling pretty strongly. So, how many SMT lines do we have as of now? And how many do we plan to add over the next two years? And what percentage of regular CAPEX will be behind molds?

Management: So, we are looking to add another 10 SMT lines over the next couple of years.

Shubham Sehgal: How do we have currently at the moment?

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Management: We have 10 SMT lines in our company and we are planning for another 10 machines in next one year.

Shubham Sehgal: Okay. And what p

ercentage of regular CAPEX will be behind molds?

Management: See, the total CAPEX, if I was to highlight for the current year is around Rs. 75 crores to Rs. 100 crores. This includes everything. There is a new facility that is being planned, new CAPEX on SMT lines and so on. So, that is the composite figure.

Shubham Sehgal: Okay. Got it. My next question was about our key customer HMSI. So, like some growth that we have achieved would be due to the better realization like from the shift to LED. But apart from this, if we see that growth with HMSI versus their production rate, it has been at par or even lower at times. So, like would you be able to provide any color on this?

Management: So, our growth is largely in-line with how much growth HMSI is showing. HMSI has almost had a flat quarter this year and, marginal 1 percentage point or 2 percentage point here and there is basically a result of a specific product mix. There are one or two models that will go up. They could be non LED that could result in a lower realization and so on. But largely the customer, our share, wallet share with the customer is absolutely the same or better and our production is in-line with their own production.

Shubham Sehgal: But sir, on this, if we see that about our competitors, they have been winning major business from HMSI and like you could say example e-Activa, and they also have a further pipeline built. And we also have been, Fiem has been a major supplier to HMSI. So, considering our growth versus our competitors' growth with HMSI, is there any share that we have lost?

Management: No, we have not lost any share from HMSI. And wherever there are few products which are already in development as of now at our end, will be launched during next year. Few products which are together with our competitors has already been launched. That is the only difference.

Shubham Sehgal: Okay. But would you be able to say that in volume terms, how has our performance been with HMSI? If we have not lost any share, what would be the performance in volume terms?

Management: It is a flat only. There is no change of volume, no change of share of business.

Shubham Sehgal: Okay. Got it. Just one request from my side. I mean, if you could start providing the wallet share figures that we used to provide? So, as investors, we could have a better understanding on this.

Management: See, the practical issue around wallet share is that you would appreciate there are thousands of models now, and every day there is a new model, there is a new variation. There could be one model with LED, one without LED. It is very difficult to compile it. We try and compile as best as we can to give you a direction in terms of our overall market share, what it is. But model-wise, and you know the vagaries that you are talking about are all model wise. One model has

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gone and done slightly more or less. So, directionally, we want to tell you that the, in that the business is intact.

Shubham Sehgal: Okay. Yes, if you look at our Hero business, it does not seem to scale up so much. So, I just wanted to know with regard to this challenge that we are facing here, is it the challenge because of the new companies or any delay from the customer side that we are not seeing the Hero business scale up that much?

Management: Voice is breaking in between but about Hero business, whatever business is being taken by us from Hero is as per their event plan is on-track.

Shubham Sehgal: Yes, sir, but we have not seen the scale up happening, so are you facing any challenges there?

Management: No, there is no challenges from our side or no challenges from customer side also, but there are few projects which are being launched as of now under Harley Davidson flagship are being going very slow pace and so very soon we will start the export also. You will see some of the pace in near months.

Shubham Sehgal: Ok

ay. Got it.

Management: We have explained to you that with Hero, we have a lot of new orders that we are doing. And new orders obviously, new projects they come in, they take time for volumes to ramp up. So, that will happen.

Shubham Sehgal: Okay. Got it. Thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics Advisors. Please go ahead.

Garvit Goyal: Good evening, sir and congrats for decent execution. My first question is on the tariff part itself. You mentioned tariff is not going to affect us. So, can you put some color on that like why we are thinking in that way? Because maybe our customers are into export as well, right? So, does not affect us going forward?

Management: Yes. So, tariffs are only applicable to United States and our business directly with United States is very marginal, not significant. And even where there is that business, our contract terms are FOB where we are not impacted because tariffs or any other levies that may arise in future is to be borne completely by the customer. So, we are not impacted.

Garvit Goyal: No, I am not speaking about the direct impact, I am trying to understand about the indirect second order effect maybe your customer may be exporting to U.S., right? So, in that case what kind of effect can Fiem have going ahead?

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Management: No, our direct or indirect order book is not intended to America at all. The American lighting systems that eventually end up in America is very insignificant what I highlighted.

Garvit Goyal: Okay. And secondly, on the four-wheeler part, I read the opening remarks actually, I was speaking about some updates. Can you repeat that? And secondly, did you mention anything on the Force motors?

Management: Yes, we did mention in the CMD speech, in Force Motors we have got orders for three products which are now under development. That is the next entry we have made. So, that was the information shared by CMD in his speech.

Garvit Goyal: So, what are those products and what is the size of business are we looking to do with Force Motors? Can you share the details?

Management: No, at this moment we will not be able to share the type of products. We will share it in due course of time and also the revenue.

Garvit Goyal: Understood. So, is it the only customer that we onboarded in four-wheeler in this quarter or any other customer also?

Management: No, this is the only customer we onboarded in this quarter.

Garvit Goyal: Got it. And lastly on the rare earth metals side, are we seeing any challenges to our customers because of unavailability of rare earth metals?

Management: So, rare earth eventually there is some exposure on the EV side only and EV as right now is fairly small component of the industry. So, we are not seeing any major impact specifically around it right now.

Garvit Goyal: Understood.

Management: Specifically around two-wheeler because our positioning is right now more two-wheeler. So, two-wheeler is not being impacted right now.

Garvit Goyal: Understood. And as the Chairman has mentioned in opening remarks as well regarding the good monsoon and along with the festive season we are entering into, do you see any kind of challenges in the terms of consumer sentiments because of the global headwinds currently going on that can affect the positivity coming out of these two drivers? Or do you think like demand

is pretty decent only and we will be able to grow decently in the coming months?

Management: Overall what we see on the ground, the demand seems to be fairly robust. Festive season is coming on, monsoon has been good. While you see all the headlines on tariffs and all, we have got upgraded recently by rating agency as India. So, I think structurally we are fine. We are not seeing any challenges on the ground.

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Garvit Goyal: Got it. Thank you very much, sir, and all the best for the future.

Moderator: Thank you. The next question is from the line of Rachna from SCIL Ventures. Please go ahead.

Rachna: Hello. I have two questions. First question is in the growth trajectory, there is some benefits due to the realization improvement due to shift to LED lighting. But just to understand better and clearer, what kind of growth has there been in terms of volume?

Management: You will have to repeat your question, ma'am. Sorry, we are not able to hear it very well.

Rachna: Yes. I will repeat it once again. In our growth trajectory, there has been some benefits due to the realization improvement due to shift to LED lighting. But to understand better, what kind of growth has there been in terms of volume?

Management: So, LED, as what we always say, LED is 64% of our total sales right now. And that shift is prominent, that will keep growing. And as LED goes, the realization on LED is much more. But at a margin level, we are going to be at similar level, be it LED or non LED products. So, margins have not changed, but sales velocity definitely increases.

Rachna: Okay. And if you can give color in terms of volume?

Management: Volume growth, what we have said will be translated into our sales growth forecast, which we continue to guide for 15% to 20% sales growth forecast. Because the industry obviously is not growing at 15% in volume term, it is lower. And hence, that volume growth and value growth is the most factored in sales, we do not get specific volume rate.

Rachna: Okay. My second question is, our other segment has been flat. So, if you could give any color, what are the key reasons behind this?

Management: What was the question? Other segments? Did you say just repeat that?

Rachna: Yes. Our other segment has remained flat. So, if you could give any color, what are the key reasons behind this?

Management: Okay. So, I think your question is that this is other product than other than the lighting, right? The rear view mirrors and the plastic molded parts.

Rachna: Yes.

Management: So, yes, you are right, this around 10% is the rear view mirrors and the plastic parts again, because the value and the realization increase in the automotive lighting is in proportionately high. So, definitely there is a change in the percentage, but otherwise the supply and the percentage of the business is growing.

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Rachna: Okay. My one more question. The other expenses, they have seen a very sharp jump. Are there any one-off or other expenses which are driving this? And what kind of run rate we can expect?

Management: So, I do not think there is any sharp jump or something like exceptional. Some expenses in one quarter may not be in the other quarter. You have to see on a yearly, annual basis what is the percentage. That is almost remaining in line with the normal percentage.

Rachna: So, if you could further quantify, are these expenses related to sales or any future investments?

Management: Yes, these are majorly related to the development cost and the sales also, yes.

Rachna: Okay. And just wanted to know what is our cash balance as of date?

Management: So, as of end of quarter, the cash balance is Rs. 341 crores.

Rachna: Okay. And any change in our CAPEX plan we had an ambition of incurring Rs. 200 crores CAPEX over two years. So, any change or is that plan going so well?

Management: No, the CAPEX plan of Rs. 200 crores over next three years excluding anything that we do for four-wheeler remains intact. That is the plan for CAPEX. Four-wheeler as we have mentioned in the past is yet to be finalized. That number could be on top of this, will be on top of this.

Rachna: Okay. Thank you so much. I will get back to you.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Yes. Hi, sir. Th

ank you for the opportunity. So, my question was more on the growth side. So, since we are facing this geopolitical issue and the magnet issue that was happening. So, considering obviously, order book, but this overall macro situation, could you guide us in terms

of what kind of growth we are seeing for this particular year that is FY '26? And over broader term over the next three years to five years, what type of growth are we looking at?

Management: See, organically, we have always maintained that we will grow at 15% to 20%. That is the benchmark that we have set for ourselves. This does not take into account any positive upside that will come from a significant ramp up in our four-wheeler business and which is why we have not sort of given that number to you. Without that number we will aspire to grow at 15% to 20%. Even in this quarter, we have grown around that figure, but this is a seasonal quarter so we will make up for that so 15% to 20% remains our sales growth target.

Khush Nahar: Right, sir. And sir, I think last quarter we mentioned that we had around RFQs worth Rs. 700 crores for the four-wheeler site, so any update on that in terms of conversion to orders or any new RFQs that we received in the past quarter or the current quarter till date?

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Management: We continue to work on those RFQs, and they have moved to the next step the technical studies are on alongside the customer. So, we hope to convert few of them in the coming quarters. We did work on Force Motors RFQ which got converted into order for us on which we are working for development.

Khush Nahar: So, sir, could you be more specific on what kind of RFQs are we looking at like has it increased or how is it?

Management: So, the order, the RFQ value as of now remains the same because some have got converted into orders to us other value we are working on them technically. At this moment we cannot divulge the details on the products on which we are working.

Khush Nahar: Right, sir. And sir just one last question if I can squeeze in, I think last con call we spoke quite a bit on the technological side in terms of that we are focusing on electronics and that kind of technology, so any update in terms of any backward integration or a new category that we are thinking of in terms of product basket?

Management: Yes. Interestingly the RFQs that we are working on few of them are on technology front and that is why it is taking a bit of time, and we have also announced in the Chairman's speech the setting up of EMC/EMI laboratory which is the first of its kind in lighting which is enhancing our strength in electronics. So, in next quarter we should be commissioning this facility integration of electronics, optics, thermal, mechanical all at one location and that is basically to serve our customer in a much better and faster way and gain market share in the industry.

Khush Nahar: Right, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Kripashankar Maurya from Mirae Asset Capital Market. Please go ahead.

Kripashankar Maurya: Yes, hi. Thank you for the question. Kripashankar here from Mirae Asset Capital. Sir, my question is on the gross margin side. We have seen very steady improvement in gross margin in the last three quarters - four quarters. Just wanted to understand what kind of localization we are doing, how we are able to achieve it?

Management: Are you talking about EBITDA margins?

Kripashankar Maurya: Gross margins. Gross margin.

Management: So, they have been largely stable and we have been able to manage with any vagaries with the customers. We have kind of told you in the past as well that any cost increase decrease is all passed on to customers. So, the margins have been fairly stable and continue to be so.

Kripashankar Maurya: Okay. Okay. And on the run rate of the four-wheeler vertical which is around Rs. 18 crores t

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Rs. 20 crores in last quarter also and this quarter also around Rs. 18 crores to Rs. 19 crores. Just

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wanted to know from which quarter we should expect an initial increment in these numbers for the four-wheeler side will it remain largely same throughout the year?

Management: So, in the previous Investor Meet also I have maintained that at this moment we are focusing more on penetration with the customer development of technology. So, the revenue portion we will address by the end of this year for next year's budget.

Kripashankar Maurya: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Shubham Sehgal from SIMPL. Please go ahead.

Shubham Sehgal: Hello. In two-wheeler business, what scope do we further see to grow with our existing or new customers?

Management: Yes. We are working with all the customers to go into details with the electronic items, wherein which is already being included in CMD Sir's speech. So, we are working to be majorly on electronics. One is of lighting with LED and further electronic components like controller and others. So, that is the growth we are looking for it to the electronic area.

Shubham Sehgal: Okay. And as you mentioned like the other electronic components, so like have we like started working on this? Like could you like just give more color on this?

Management: Yes. We have already generated two modules which are already being presented to our customer and our dialogues with the customers are on. We are discussing with all the R&Ds level and very soon will be implemented to production line.

Shubham Sehgal: Okay. Got it. My next question was like for lighting business, what has been the growth in our key customer volumes? Like all of the other products other than the lighting business, what growth has been, what growth has there been with our key customers in terms of volume?

Management: So, we give value data not volume and the key growth for the current quarter has been driven by TVS, Yamaha and Royal Enfield.

Shubham Sehgal: I mean, except for lighting businesses, how are we seeing the growth for our key customers?

Management: Except for lighting business, for other products, we see stability. Our main focus from Fiem Industries remains on lighting. Lighting is undergoing technology changes and we are focusing on lighting. So, there we see a stability in other products and lighting we want to grow. That is our core business.

Shubham Sehgal: Okay. Got it. Just last question. So, if we see in the last five years, I want to ask, has our LED realization remained stable or has it fallen because if we see our revenue run rate of quarterly, it was Rs. 180 crores around calendar year '23 and now it is around Rs. 300 crores. So, have we seen our volume growth better than this overall sales growth number?

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Management: See, there is no yes or no answer to this. This is a product mix issue. So, for example, if you were to sell a significant part of an export model, say to Yamaha at very high realization, that will be very different from another LED being sold here. So, to give a generic answer, no. I think what we have seen over the last five years is that definitely products are getting slightly more premiumized and hence generally, realizations are going to increase because the product complexity, the product demand from the customer is of a better product. So, that trend is happening, but then it really depends on which model is doing well in the market and which one is producing large volume.

Shubham Sehgal: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Devesh Kayal from Monarch. Please go ahead.

Devesh Kayal: Yes. I just want to understand, so, in Yamaha, sequentially over Q4 FY '25, it seems our content per vehicle has gone up. So, is it just the export h

igher, export mix, product mix in the overall

pie or we have added, we have added some more – some one or two models in this quarter?

Management: Yes. During last quarter CMD study speech, I think it is being announced. There are two models which is being launched for the global are doing well. And of course in domestic model also doing good, like as that is, these are the few models which are doing good and volumes are increasing and that is also giving positive growth for us also.

Devesh Kayal: Okay. So, it is a primarily higher mix of export models.

Management: Yes, domestic and export both models.

Devesh Kayal: Understood. Sir, we similar on the TVS side, do not to be similar extent like Yamaha, but there also it seems like content per vehicle has gone up. So, any color on that?

Management: Yes, there are few models in TVS. If you see recent launch of Jupiter wherein they have added front lighting and rear lighting initially are giving us a very good volume, which is almost be double the last first quarter of last year. So, this is one and Apache is also doing good, wherein three wheeler is also being doubled. If we see from last first quarter last year to this year. So, these are the few things which is being almost be double the overall volume.

Devesh Kayal: Understood. And sir, on the Hero side, so besides 250R, do we also supply to 125R or just 250R for now?

Management: This is 250R and 125R will also be launched very soon.

Devesh Kayal: Okay, 125R is already --. Sorry.

Management: Products will be added into 125R very soon, wherein 250R is already being started adding.

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Devesh Kayal: Okay. Understood. Okay. Yeah. That is it from me, sir. Thank you.

Moderator: Thank you. The next question is from the line of Anupama from RatnaTraya Capital. Please go ahead.

Pawan: Sir, this is Pawan. I just wanted to understand, in four-wheelers, are we going to limit ourselves to passenger vehicles or are we also looking at the commercial kind of space? Because we seem to have added an RFQ from a slightly larger kind of vehicle class. And secondly, what should be our expectations on the margin trajectory going forward, I mean, do we expect the margins

to improve from here?

Management: Okay. So, from our side at Fiem Industries, our focus remains on passenger vehicles, commercial vehicles and all four-wheelers. The complete market is important to us, so we are not limiting us to any particular segment. Second question, we see quite a bullish trend in four-wheelers and also in the off-road segment. So, we remain focused on all segments of four-wheelers, and we see a very positive growth in future.

Pawan: Okay. And one more question from my end. On the four-wheeler side, beyond what volumes would we require a separate plant for that further dedicated to the four-wheelers and by when do we expect to do CAPEX on that?

Management: So, normally a plant is viable at a revenue of around Rs. 200 crores and because the initial investment in lighting is high, it is a capital intensive product. So, normal viability is around a revenue of Rs. 200 crores and it also depends on the product mix. Like certain products, we are able to service from our existing capacity and facility, so it does not make sense to invest again. So, we are constantly reviewing the need and we will take the appropriate decision based on the order book.

Pawan: So, we are saying, sir, below Rs. 200 crores kind of revenue we can serve from the existing plant itself. Is that right?

Management: No, I did not say that. Your question was when do we need a new plant? So, for an independent plant, it is a Rs. 200 crores, but we have to make certain investment in our existing facility to serve the growth from zero to Rs. 200.

Pawan: Got it.

Management: Yes.

Pawan: And on the technology side, are we developing new products or are these the traditional products for four-wheeler

rs that it is taking time for us to actually get through with the RFQs? I just wanted to have an understanding on that.

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Management: So, as explained in the previous call, we are working on three pillar strategy in four-wheelers and one of the pillars is new technology, which is more robust and long. It takes time because you are positioning yourself as a new technology player and it is making good progress as far as we are concerned.

The second is for the current models. That is the second pillar. We have to develop products. So, we enter as a small land player. And here we got success, we stay last time we got three products for Mahindra Bolero, which is their flagship model. And the first pillar is also on the standard product that we have that can be applied to any other model. So, these three pillars we are tracking. Each have their lead time, which are different. But normally, in four-wheelers, it takes easily up to two years to develop a product and take it to the start of production.

Pawan: Okay. And for us, of that two years, I am assuming around six months to eight months has already passed, correct?

Management: Yes. So, the technical reviews of the products and the RFQs are in progress. And we will keep you updated in the next quarters.

Pawan: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Well, please go ahead.

Vijay Pandey: Thank you, sir, for taking my question. I have a couple of questions. First one, the Yamaha sales. So, Yamaha sales has declined in the first quarter. And generally, the feedback at the global level from Yamaha was that the sales will be weaker in calendar year 2025. Are you expecting any decline? And also, you can quantify what is our exposure to Yamaha export market and Yamaha domestic market. That will be helpful.

Management: So, our Yamaha sale in Q1 as compared to Q1 of last year, is almost up 20%. So, for us, there is an industry decline in domestic that you are talking about. But we have not seen that. We are, in fact, ramping up sales from Yamaha. And they are both for some of the domestic models, as well as a large portion to export orders.

Vijay Pandey: Okay. No, I am not understanding that. They have suggested that export market for them will be weak for Yamaha. So, are you seeing any changes in scheduling or any products and disruption coming or any product cancellation?

Management: No. As I said, this quarter has been very good for us, for Yamaha. And we continue to see good traction.

Vijay Pandey: Okay. Secondly, if you can just confirm about the orders from Mahindra that we got, Mahindra and Mercedes, which we spoke about in the last quarter, so when is the commercial production

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that we can expect? Is it like this year, next year? You can just give me a timeline and what is the order book of each revenue how should we look into it, that will be pretty useful?

Management: So, as shared earlier we have commenced our commercial production for Mahindra in this quarter the quarter that has just gone. And our first product which is LED license plate lamp that is already getting applied to almost all models of Mahindra step-by-step basis and happy to announce that we have had zero concerns on quality or delivery and have got appreciation from our customer.

For other products that we have Bolero that will follow the launch plan of Mahindra, which we are not able to disclose now because this remains confidential but we are the development of the products are happening. Regarding your query on revenue as explained to earlier at this moment, we are focusing on entry into four-wheeler market and by for the next year budget we would like to convert this into revenue and share with our investors.

Vijay Pandey: Okay. And lastly, I just wanted to check in terms of t

he realization so the LED as a percentage of sales is definitely increasing. So, just wanted to check how much is this contributing to the revenue growth, so we are guiding for 15% to 20% revenue growth if you can help us understand what will be strong coming from the LED mix that will be pretty helpful?

Management: So, our 15% to 20% takes into account the fact that LED will continue to grow up so from a proportion of what we have right now which is 64%, we believe that this number should gradually move up 75% - 80% over the next couple of years and that will drive this revenue growth because the at the industry level we are taking the industry benchmark of 6% to 8% growth which is what the industry is projecting.

Vijay Pandey: Okay. And sir lastly, just wanted to check if you are seeing any impact from the I mean supply chain issues in terms of importing of the glasses because we use the glasses for our LED lights, are we seeing any impact in terms of RE and raw material impact or anything that may hamper our production or hamper our supply chain?

Management: No we are not seeing any such impact.

Vijay Pandey: Is there raw material magnet used in I am not sure, but we have all the news?

Management: We are not using glasses in our lamps. It is all being polycarbonate and PMMA material is being used, not the glass.

Management: This is outdated already.

Vijay Pandey: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Saurabh from Multi Act. Please go ahead.

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Saurabh: Yes. Thank you for the opportunity. So, a couple of questions on Hero. You mentioned that you will be entering into the 125cc segment. So, is it the existing refresh model or the upcoming new launches that Hero would be doing which you have won?

Management: This will be a new model launch which will be soon, might be in a couple of months, it will be launched in upcoming models.

Saurabh: Okay. So, basically the development phase has been done and soon it will be in the commercial production phase.

Management: Right. Very true.

Saurabh: And will this be like LED lighting or a mix of both halogen and LED?

Management: No, this is all LED lighting.

Saurabh: Okay. And other question I had was on other operating income, which used to be around Rs. 4 crores to Rs. 5 crores a quarter and it has jumped to around Rs. 9 crores. So, what is that with respect to?

Management: Yes, you are right. It has marked the increase. The Rs. 4 crores to Rs. 5 crores is the regular income which you are aware which is testing fees, scrap sales and so on, which is regular. This quarter includes a Rs. 4 crore odd design fee for projects that we specifically done. So, that is a separate one, one off. And if you see, even when we report our EBITDA margin, this is excluding that number. Including this, our margins would have been higher.

Saurabh: Okay. So, this is like a reimbursement of design expense that we would have incurred in the quarter or in previous quarters, right?

Management: It is a culmination of a few things for a couple of clients for the year, which has been sort of now passed on. That is it.

Saurabh: Okay. Sure. Yes. Thanks.

Moderator: Thank you. The next question is from the line of Satyajit Sen from Value Research. Please go ahead.

Satyajit Sen: Hello. So, hi. I just had a simple query. So, across the Board, domestic sales of many OEMs have been declining, as shown on the table. And you have consistently grown your sales by about more than 14%, 13% - 14%. What is, I mean, what kind of industry demand are you seeing

in the market?  
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Management: So, if you, if you look at the industry reports and the trends that are published, I think generally the two-wheeler demand seems to be robust for the year and, as per projection, the range is anywhere from 6% to 10% ...is what is being projecte

d by the industry.

Satyajit Sen: All right. Just wanted to know if there are any demand shortages coming forward since there has been a trend for the last couple of quarters that domestic trades have not been performing well.

Is the export side performing well for you? How is demand coming up for you from the direct volume?

Management: No, I think you are mixing up a couple of industries. Two-wheeler industry has done well last year and two-wheeler industry, we believe, will regain new high numbers this year. So, overall, if you see even the constituents, there could be quarter here and there, but if you see annual growth, we are on a good growth path.

Satyajit Sen: All right. Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for the day, I would now hand the conference over to Mr. Sahil Sanghvi for closing comments. Over to you, sir.

Sahil Sanghvi: Yes. I just want to thank the complete management of Fiem Industries for patiently and very elaborately answering all the questions. Also, I would want to thank all the participants who have joined us today. Jain sir, would you like to give any closing comments.

J. K. Jain: Yes. I would like to thank everyone for the participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please do not hesitate to contact us. Thank you and have a good evening.

Sahil Sanghvi: Thank you.

Moderator: Thank you. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: There has been disturbance in connectivity and audio during the call. For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Nov 2025

November 17, 2025

The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001  
[BSE Code: 532768] The Manager,  
Listing Department,  
National Stock Exchange of India Ltd.  
Exchange Plaza, Bandra Kurla Complex  
Bandra (East), Mumbai -400051  
[NSE Symbol: FIEMIND]

Dear Sir,

Sub: Q2FY26 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015  
(referred herein as Listing Regulations).

An Earning Call was held on November 13, 2025, to discuss Operational and Financial performance of the Company for Q2FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

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Q2FY'26 Earnings Conference Call

November 13, 2025

COMPANY MANAGEMENT

-MR.J.K. JAIN—CMD

-MR. RAJESH SHARMA —JMD - MR.VINEET SAHNI —CEO & DIRECTOR

-MR. ARVIND CHAUHAN —CS - MR.O.P. GUPTA —CFO

- OTHER FINANCE TEAM MEMBERS

HOSTED BY

MR.SAHIL SANGHVI —MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q2 and H1 FY '26

Earnings Conference Call, hosted by Monarch Network Capital Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital Limited.

Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Iqra. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q2 FY '26 conference call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company and then open the floor for question and answers.

Now I'll hand over the call to Mr. J.K. Jain, Chairman and Managing Director of the company.

Over to you, sir.

J.K. Jain: Thank you. Good afternoon, and welcome to the Q2 FY '26 earnings call of the Fiem Industries Limited. Joining me on today's call are Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.

Our investor presentation and results are now available on our website and the stock exchange.

We trust you must have reviewed the same. The Indian economy has continued its upward

momentum in Q2 FY '26 with a strong growth. GDP during this quarter is expected to grow at 7.2%. The government's recent GST reduction has provided a timely economic stimulus boosting affordability and confidence across sectors. This positive sentiment has clearly carried through to the auto sector, particularly the 2-wheeler industry.

The 2-wheeler industry recorded robust growth with domestic production volume growing by 10.6% to 6.9 million units. Rural markets have shown solid recovery after a good monsoon, while urban demand has remained strong. Against this backdrop, Fiem has been able to post a very strong performance for Q2 FY '26.

We posted highest ever quarter sale of INR711 crores, which is a 17% increase on a year-on-year basis. Our PAT is the highest ever at INR64 crores. This growth was fueled by very strong demand from our key OEM customers like TVS, Royal Enfield and Yamaha. This quarter, we supported several significant new models launches that highlights our technological capabilities. The refresh Hero Glamour X 125 was launched with Fiem Projector headlamp. Additionally, supplies has also started for Winker lamp for Hero Glamour and Xtreme models. We are also pleased to inform that during the recent Milan show, TVS Norton has launched 2 of their models

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with Fiem headlamps and taillamp, featuring advanced animation and CAN based system technology. Similarly, Yamaha showcased its new Tracer 7 in Milan equipped with our headlamp and position light.

In India, Yamaha has introduced XSR 155 and their first EV model, both featuring LED headlamps and taillamps from Fiem. This in-house development demonstrates our strength in combining high-technology lighting, electronics and volume manufacturing, positioning us well for the rest of the year.

Our journey into the 4-wheeler segment continues with full vigor. Based on our quality and delivery performance, Mahindra has adopted our number plate lamps in their Scorpio and Thar models. We have also commenced our supplies for RR

and Fog for XUV700 refresh model. We

are happy to inform that we have been awarded the following new businesses from Mahindra, high-mounted stop lamp for Bolero, high-mounted stop lamp for Scorpio, RR and Fog lamp for Scorpio, side repeater lamp for Bolero series.

As we move into the second half of this year, we remain confident about the industry's growth path. With a heavy order book, improving efficiency and continued focus on technology and quality, we are well positioned to deliver another strong performance in the coming years. With this, I hand over to Mr. O.P. Gupta and the finance team to update on operational performance.

OP Gupta: Thank you, sir. Good afternoon to everyone. First, I will present the quarter 2 numbers for FY26 in comparison to the corresponding quarter of previous financial year. The company has registered sales of INR711.42 crores in Q2 of current financial year against INR607.45 crores in corresponding quarter of previous financial year, which is an increase of 17.12%. LED as a percentage of total lighting stands at 63.92%.

The EBITDA stand at INR99.1 crores, translated into an EBITDA margin of 13.93% as compared to an EBITDA of INR80.27 crores that is 13.21% in corresponding quarter of previous financial year. PAT for quarter 2 is INR63.78 crores as compared to INR49.83 crores correspond quarter of previous financial year, which is higher by 28.02%.

Now, I would like to present the H1 numbers for FY '25. The company has registered sales of INR1,360.49 crores in first half of current financial year as against INR1,181.05 crores in the corresponding period of previous year, which is an increase of 15.19%. The EBITDA in first half of current financial year stand at INR186.46 crores translating into an EBITDA margin of 13.7% as compared to an EBITDA of INR159.04 at margin of 13.47% in corresponding period of previous year.

PAT for first half of current financial year is INR119.84 crores as against INR99.03 crores in the corresponding period of previous financial year, which is higher by 21.01%. During the quarter 2, the company has made a capex of INR21.28 crores and total capex in the first half of current financial year is INR37.81 crores.

With this, I end the financial brief and now the floor is open for question-and-answers.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shubham Sehgal from SIMPL. Please go ahead. Shubham your line is unmuted, please go ahead.

Shubham Sehgal: Okay. So the provision reversal that we have taken for bad debt and warranties?

Management: Sorry, can you repeat your question?

Shubham Sehgal: Yes. My first question was, could you just throw some light on the provision reversal that you have taken for bad debt and warranties?

Management: No, I think your voice is not clear. It is breaking in between.

Shubham Sehgal: Is it better now?

Management: Yes, but it is breaking even though it is breaking. Can you just repeat once again loudly?

Shubham Sehgal: Yes, sure. So I was asking my first question is, could you throw some light on the provision reversal that you have taken for bad debt and warranties?

Management: Your question is -- you are referring the balance sheet item?

Shubham Sehgal: Yes. So we have taken a provision reversal for bad debt and warranties. So I just wanted to ask like could you throw some color on that?

Management: Yes. So in normal course, small numbers for provision we take sometimes, but then if there are no bad debt, then those are reversed back. So which is why you must see that number, it must be around INR2.5 crores, INR3 crores. So there was no bad debt. For that, it was recoverable and hence it was reversed.

Shubham Sehgal: Okay. Got it. My next question was that if we see in the previous four, five quarters, we've seen a very significant growth in sales for Royal Enfi

eld. And even if we look at their production numbers compared to their production, we've significantly outperformed the sales figure. So I just wanted to know that how do we see this panning out as RE contributes now 6% of the sales. So do we see this figure being stable or increasing with time?

Management: Yes. We have been taken the classic model lamps business and wherein our share of business is more than 90% and we are very bullish to have a similar kind of growth with the RE as of now.

Shubham Sehgal: Okay. So I meant to ask that right now, Royal Enfield contributes around 6% to our sales. So do we see this figure being stable here or do we see this contribution increasing or are we expecting more orders in new models, newer models or more share?

Management: We expect that there could be an uptick on this 6% going forward.

Shubham Sehgal: I'm really sorry. Could you just repeat?

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Management: There could be an uptick on the 6% -- right now, as you rightly mentioned is 6%. We think given the volumes that are coming through and new models, it could increase.

Shubham Sehgal: Okay. And are there like any models in the pipeline or like are we being considered for any other models where we can get more share?

Management: Yes, there are two or three models as of now under development and designing stage. So those models will be launched in the coming years.

Shubham Sehgal: Okay. All right. My next question was, could you provide any update on newer technologies that we've been working on? And when can we see any of them getting monetized like is it like a 1-year or 2-year thing or could it take around 4-year to 5 years? How do we see them panning out?

Management: See one of the examples right now, as our CMD sir has already announced, TVS Norton has launched in Milan show. This technology is also being a new technology, which is being first time launched in 2-wheeler, especially the animation factors in headlamp and rear lamp, which is being run with the CAN software. So this kind of technology is first time being introduced by Fiem in 2-wheeler business.

Shubham Sehgal: Okay. And so these will be there for TVS Norton models in Europe. And I think TVS is going to launch Norton next year in India as well. So we will be catering to that as well?

Management: Yes. This will be -- there are two models, which will be for India as well as for global overall market.

Shubham Sehgal: Okay. All right. Got it. And like how do we see this panning out like do we see some significant upside here?

Management: Yes, of course, there are further models which are under development right now. It is not only one animation. There are a few other technology which will be introduced soon in coming months it is being launched or once it is being commenced by the customer.

Shubham Sehgal: So we are the sole providers, right? And I mean we see that for a longer time being here?

Management: Exactly.

Shubham Sehgal: Okay. All right. I will just join back in the queue I have a few more questions. I will let others also ask. Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Hi, sir. Thank you for taking my questions. Sir, the first question was regarding the provision which we have made regarding the inventory write-off related to the fire incident. So have we recorded to the P&L as well and is this in which line item it has been recorded?

Management: So just to clarify, there is a damage of inventory of INR21 crores and to the fixed asset INR28 crores. So the P&L you are referring actually, this entry has to first debit the P&L account. And

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then because we have an insurance policy that is fully valid. So it is -- the entry is reversed and

it is shown in the recoverable. You can see in the line item of the balance s

heet, there is a

financial assets, current financials where this recoverable amount is appearing

Vijay Pandey: So that revenue which we are getting from the -- or the information which we are getting from the insurance, so that is shown into the P&L as of now or is it not yet shown?

Management: No, I think -- no, it is not shown in the P&L. What I just explained, this is a book entry and this is because we have a valid insurance policy. So you can see that entry which is recoverable in the financial assets.

Management: It's being shown as a receivable.

Vijay Pandey: Okay. Secondly, sir, I wanted to check in terms of passenger vehicles. So our passenger vehicle contribution has come down. We were steadily maintaining at around 5% to 7% over the last three, four quarters, but now it has come down to 2.3%. Any particular reason because we have got the orders from Mahindra. So just wanted to check what is the reason for this?

Management: So this is a good question from your side. There's no particular reason. It's just mathematical calculation. The overall 2-wheeler sales have gone up exponentially as explained in CMD speech. The 4-wheeler, we have got orders, but they are under development and they will fructify in some time. So the revenue is still to come. So what you see is just a mathematical calculation.

So as a percentage, it is looking less. Absolute values have not changed. But 2-wheeler market in this quarter has done very well. Therefore, this is looking at a lower percentage.

Vijay Pandey: Okay. And lastly, sir, any idea when can we have any update on the passenger vehicle part? I think we -- in last call, we said that within 6 months to 9 months' time, we'll have an update?

Management: Yes. So we maintain that. In the last call also, I had said that by end of this financial year, we should be having a clearer picture on our business planning and we maintain that statement. So we are in that process.

Vijay Pandey: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Aangi Sheth from Array Investments. Please go ahead.

Aangi Sheth: Hi, congratulations on the great set of numbers. I had my first question, which is that what is like this time, the margin has been very well compared to the last quarter. So what has -- has there been any like changes in the product mix or like what is the contributing factor to this rise in margins?

Management: So you're absolutely right. The margin has close to 14%-odd, which is a high target for us. So the number is driven by a product mix and also the fact that there is operating leverage now that is kicking in with the increased sales. So we do -- we are kind of now hoping to work more around this range. We've generally guided more 13% to 14%, but we are hoping to work around the 14% mark going forward.

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Aangi Sheth: Do you think this is sustainable, the margin?

Management: Yes. We think given the new volumes and the drivers, we think we should be able to work around these levels.

Aangi Sheth: All right. And one more question is there -- has there been any like RFQs that has converted to orders in this quarter?

Management: Yes, we have already in the CMD speech, it is being informed. There are two models which from Hero is being launched. It is being already converted into a mass production and a sales.

Aangi Sheth: All right. That's from my end. Thank you.

Moderator: Thank you. The next question is from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead.

Anubhav Mukherjee: Yes. Sir, my question is on the Hero models only. So in the last quarter, Hero has, like, launched quite a few products like the new Vida scooter, e-scooter. Then I think there was Glamour X 125. So, are these the new models that we will be supplying to because in some of the earlier quarters, you also had mentioned you were, like, working on some new models.

So can you give some details on that?

Management: Yes. So in CMD sir, speech, it is being already disclosed, in the last quarter, Glamour X 125 and Xtreme, these are the two models which is being launched and it is under production right now. So wherein our projector headlamp is under production for Glamour as well as Xtreme, we are supplying the winker -- LED winker lamps, which is also in production for both the models. And others are already under development, which will be launched and will be announced soon.

Anubhav Mukherjee: Okay. Will you be able to share any indication of like how much Hero can scale up to in the next financial year? Or is it too premature?

Management: You know, for us, we believe that once the customer gets to at least a 10% of our revenue, that's when we can sort of give a more specific guidance. Right now, it's much lower than that. But overall, that directionally, this volume will keep picking up. This quarter has been much better,

and we expect the next half to be even better with Hero.

Anubhav Mukherjee: And sir, apart from Mahindra, like, have we progressed in getting any RFQs or orders from any other passenger vehicle OEMs?

Management: Yes. We already have RFQ at quite advanced stage from Force Motors in a good manner. We have RFQ from Mercedes. So these are the three customers where RFQs are already in progress, and we are expecting some from other customers as well.

Anubhav Mukherjee: Okay. And sir, is there any time line in which like tentatively, we can see the start of production for these, like, new OEMs?

Management: So already, I think in last investor call, we had explained, we started our production for our first order. And based on our quality and delivery reports, it has got adopted into other important

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models of Mahindra, which is Scorpio and Thar. And very soon, it will also be deployed in the balance models.

And we are also opening a warehouse in Pune to support our customer. So that will be the next big step that we are taking. And after that, we have started another production for XUV700 refresh model, which is RR and Fog. Now this will continue because we have other orders from Mahindra and a long list of RFQ on which we are working.

Anubhav Mukherjee: Thanks. I will get back in queue.

Management: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Devesh Kayal from Monarch AIF. Please go ahead.

Devesh Kayal: Sir, just want to know whether we lost any revenue from this fire or it was offset by higher production in the next few days?

Management: No, there is no loss of revenue. You can see in the numbers.

Devesh Kayal: Okay. And on the HMSI side, so HMSI forms 25% of our revenue. While we see over the past few quarters, many quarters our revenue, HMSI revenue has been kind of in line with the production growth of HMSI. So is it fair to say that in Honda, we have lower share of LED?

Management: No. We have -- we don't have lower share of specific products. We have maintained our market share. But -- and, you know, overall, our overall market share is absolutely in line with what is happening. However, there are always a couple of quarters where one product does better than the other, and those minor variations are there. But overall, our market share remains absolutely the same.

Devesh Kayal: Okay. And within the overall Honda, the LED share remains as it is?

Management: Yes.

Devesh Kayal: Okay. Yes. That's it from my side.

Moderator: Thank you. The next question is from the line of Shubham Sehgal from SIMPL. Please go ahead.

Shubham Sehgal: Yes. Thanks for the opportunity again. I just had a follow-up. As you mentioned, that we will be having share in the TVS Norton model. So, what can we expect the realizations to be compared to a normal model like this higher technology that we have? Like can it be like almost double, triple or just an approxim

ate sense if you could give?

Management: This is now too early to announce any numbers. This is totally dependent on the customer launches and the OEMs.

Shubham Sehgal: But definitely higher realizations?

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Management: Yes.

Shubham Sehgal: Okay. My next question was, so the new models that have been launched by Yamaha in India recently. And also, I think they've announced further upcoming models in the pipeline. So do we have any share in them? And what are our expectations from these models?

Management: Yes. So in the speech, this has already been cleared that XSR155 is being having our headlamp and taillamp. And their first model of EV is also being launched a few days before is also being supplied by all the lens from Fiem only. And further on, there are new models which are under development. And once these will be launched, we'll definitely declare all the models.

Shubham Sehgal: Okay.

Management: These are all for domestic as well as for global market.

Shubham Sehgal: Okay. Domestic plus export you're saying, right?

Management: Yes, yes.

Shubham Sehgal: Okay. Okay. All right. Yes. Thank you. And just last one clarification. So you mentioned that we have an RFQ from -- is it the same development product that we have been talking about?

Or has something changed here? Have we progressed here? Like has something changed here?

Management: Yes, these are the same around -- we have more than 100 projects as of now that will be generating the revenue in years to come, maybe around INR1,000 crores to INR1,200 crores.

Shubham Sehgal: Okay. All right. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Congratulations on a good set of numbers, sir. Thank you for the opportunity. So, my questions are more around the 4-wheeler part of business. So could you elaborate more in terms of -- so I remember that last time we had mentioned that we have around INR700 crores of RFQ on the 4-wheeler side.

So right now, have we added more in terms of that, if you could quantify? And also in terms of our plans because I think the next leg of growth might be driven by the 4-wheeler segment. So any time lines over there, if you can give us?

Management: Yes. So as explained, some of the RFQs have already got converted into business nominations for us, which was there in CMD speech. We have graduated from license plate lamp to high-mounted stop lamps, which is a normal progress in 4-wheeler business.

We got this for the flagship model of Mahindra, which is Bolero, which is a big win for us. And then post that, we have got for Scorpio as well. We have got RR that is reflex reflector and fog for two models, side repeater lamps. Plus we are now receiving RFQ for other models as well.

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The RFQ value remains similar as we shared with you before because some of them have got converted and some new RFQs have come from Force Motors. So this is a cycle which we are following. And soon, we'll be converting the current RFQ into business award.

Khush Nahar: Any time on the plant, so I know that the management will give a more clear picture by the end of the financial year. So once we decide to go ahead, how much time would it take to set up a dedicated plant for 4-wheeler and if any ballpark number on the investment that is required?

Management: So yes, we will be more equipped to give you a direction by end of this financial year because we are getting good response from customers. Customer is trusting us, and we are delivering to the expectation of customers step-by-step because we don't want to rush up.

We want to go step-by-step process, which we are following. And we are generating more RFQs and also converting it into business nominations. So we should be able to give you better direction by end of this financial

year.

Khush Nahar: All right, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mihir Dhami from Augmenta. Please go ahead.

Mihir Dhami: Hi, sir. Thanks for the opportunity. I was asking Yamaha had some very good production numbers in this quarter sequentially. So this quarter, it wasn't reflected in our numbers. I understand last quarter, we had very good numbers at that time, but what was the reason for it?

Management: So there are a few models which is being export model volumes, which has increased, and we exported good volume for three or four models for Brazil as well as for Europe. And the domestic market is also being done good for the models which are being under our mass production products.

Mihir Dhami: Okay. I was asking this quarter wasn't good for Yamaha in our portfolio? Any reason for that?

Management: So this is a volume only which is being exported by us. There are a few models which is being launched last quarter as we already disclosed. So those models is being converted into sales figure.

Mihir Dhami: Okay. All right. And another question was 2-wheeler production data in October was quite strong. So do you expect quarter 3 to be particularly strong versus this quarter?

Management: I think structurally, if you look at the 2-wheeler industry, I think if you look at the full year, we feel that there is a high possibility that this will be the highest production year. We could surpass the COVID-high, which was hit back in 2019, '20. So overall, directionally, we feel that we are on an upswing in the 2-wheeler industry.

Mihir Dhami: Got it. Thank you.

Management: I mean I don't want to comment on a couple of months here and there. But if you look at H2 and overall year, that's the direction we are talking about.

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Mihir Dhami: It's okay. Thanks.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Sir, thank you for the follow-up. Just two questions from my side. One was on the Mahindra. So now the new Bolero has been launched. So should we expect revenue from the -- this quarter 3 onwards, incremental revenue in the PV based business?

Management: So as I said, the revenue is already coming in. We are selling our first product, but it is insignificant as a percentage to sale at this moment and therefore, not of interest at this point.

Because we are going in a step-by-step process. We will start seeing more revenue when these new orders, they fructify in manufacturing. And we will keep you informed of our business plan



as we progress.

Vijay Pandey: Okay. Okay. Sure. And lastly, sir, just I know that you had answered it previously. Just I wanted to understand that inventory write-off of INR31 crores. So is it included in an EBITDA or is it below EBITDA line? That is what I just wanted to...

Management: No, there is no impact on EBITDA. There is no impact.

Vijay Pandey: Okay. Okay. Thank you.

Moderator: Thank you. The next question is from the line of CA Vansh Handa from Nvest. Please go ahead.

Vansh Handa: Yes. Thanks for the opportunity and I have a question, like, what is your outlook for the FY '27 in terms of both 2-wheelers and 4-wheelers? And if you can give the guidance for FY '27, that's my question?

Management: So overall, automotive industry, including 4-wheeler, 2-wheeler, both look promising if you look at the next 12 months to 18 months. And directionally, 2-wheeler is performing much better. All the green shoots are there for this recovery to be sustained. So -- and on the 4-wheeler side also, we expect that what we are doing is a differentiated product there. So there is going to be volumes coming through.

On the guidance front, we don't give specific guidance, except that we believe that we will outperform the industry. And in the current context, we have given a guidance of 15% to 20% revenue growth, w

hich we are maintaining. We would like to do that.

Vansh Handa: For FY '27, right?

Management: That's right.

Vansh Handa: Okay. Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

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Vinay Nadkarni: Yes. Thanks for the opportunity. I think your numbers have been very great this quarter. Congratulations. Just wanted to understand, if I look at automotive lighting, non-LED, there has been a growth in sales in this quarter, if I say quarter-by-quarter, quarter-on-quarter as compared to automotive LED lighting. Any particular reason for this quarter-on-quarter?

Management: So there is no particular reason. Sometimes one model which is having the LED that performs better. That number comes in. Otherwise, if you see the yearly basis, that is going -- moving towards 2%, 3% more every year.

Vinay Nadkarni: Okay. And basically, Fiem's growth is always higher than the automotive sector growth of your various partners. Now that generally is because -- I presume because when you're moving from halogen to LED, the 3x multiple will, of course, drive your volumes more. Am I right in -- not volumes drive your value more. Am I right in assuming that?

Management: Yes, you are right, but there are other factors as well. So this is absolutely the whole trend towards LED is definitely a driver for growth. But there are many other factors, including our own product mix, what we do with our customers, our direct and indirect exports that we do. So all of this club together, we are able to outperform the industry.

Vinay Nadkarni: Okay. And lastly, you talked about operating leverage and product mix driving the EBITDA this time. Any particular reason for that operating leverage? You got more volumes in terms of...

Management: Just more efficiencies coming in on our existing plants. So -- and we -- as I said, we hope to kind of make sure that we are able to put more efficiencies out as we.

Vinay Nadkarni: Has the capacity utilization improved?

Management: Yes. This quarter capacity utilization has improved. Definitely, we are moving in towards the 80s. But simultaneously, we are already doing capex to ensure that we have optimal capacity for the next 24 months. And we are also doing -- as you are aware, we have done INR38 crores of capex in the first half.

We expect to do another INR50 crores to INR60 crores in the H2. So our capex for the current year should be INR100 crores. Going forward, we want to continue the momentum of capex in line with our growth.

Vinay Nadkarni: So your capex -- capacity utilization is around 80% this quarter. Then what about product mix? Yes. When I see product mix, the product mix in this quarter actually is more towards automotive lighting, is it compared to LED lighting? Until your margin has improved, any look on that?

Management: Yes. See, you are right. I mean there is some percentage you can see higher in the LED lighting as comparable to the mirrors and the plastic. But as already informed, there are some new model launch in the lighting. So this is the reason of increase in the lighting business.

Management: Moreover, our focus is towards...

And as a company, we remain focused on the automotive lighting as our main product.

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Vinay Nadkarni: Yes. Yes. So when you say product mix, it is the product mix between automotive lighting, LED

lighting and the other products, right?

Management: No, that plus also within LED lighting, our product mix with respect to the customers. For example, we highlighted, let's say, the Norton deal and so on. So all of these blended together, we are able to outperform the domestic industry.

Vinay Nadkarni: So you basically are looking at slightly higher price realization this quarter? Is that what you're saying?

Management: See, it's not -- I don't

think you want to make a generic statement like that because it depends on particular model for that.

Management: Requirement.

Management: Exactly. What is the customer focusing on what kind of a product? Sometimes it's premium product, sometimes it's low value product. That generic statement, so margin is not driven by that. Margin is driven by operating efficiency.

Vinay Nadkarni: Thank you very much. Thanks a lot. I wish you all the best for the remaining H2.

Moderator: Thank you. The next question is from the line of Anubhav Mukherjee from Prescient Capital.

Please go ahead.

Anubhav Mukherjee: Sir, in LED lighting, what is our level of localization now? Like apart from the LED chip, which I suppose we would be importing, do we manufacture all the other parts or like what is the level of localization?

Management: Yes. Only the electronic components, inclusive of LED, we buy from outside. Rest all operations with SMT or assemblies or other processes are being done in-house only.

Management: All localized.

Management: So this is all localized. And you will appreciate we wouldn't be able to get the margin that we can if we were not doing this in-house and that has been our strength. We do everything now.

Anubhav Mukherjee: So it's like almost completely localized. There's no scope for further...

Management: Yes.

Anubhav Mukherjee: Okay. And sir, in lighting, like you also mentioned animation and there is talk of like ambient lighting as well. So can you give us a flavor on the R&D front, what we are doing to keep abreast of all of these new technologies? How large is our R&D team and annually what percentage of sales we are spending on R&D effort?

Management: Yes. We are odd 100 -- more than 100 numbers people as of now working in our R&D, especially in the electronics side, which is a core strength. And the near future is, of course, we are

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electronics. So like the animation, Animation is one of the function, which is being incorporated in our Norton lamp, not only Norton and other lamps also.

This is being driven from the vehicle side indication and it is being controlled within the product, which gives the different kind of running light like the position light, which is giving you whenever you switch on, it is on then gives you some specific signature feature, which is running from one corner to other corner and other corner to next.

So these are the few features which you can see on. Yes, these features are already available on site, if you see the Norton field and further on we are working on ambiance lighting and other - - so many electronics areas wherein we are working for technology, which will very soon will be introduced in the market.

Anubhav Mukherjee: And sir, there are couple -- there are some peers who are like going for like JVs or technology agreements for things like ambient lighting. So do we feel the need for any external technology help or we feel like we can develop in-house completely?

Management: As and when it is required we will do.

Management: So we do not feel a need of any joint venture for this purpose. We are in touch with our relevant partners. As and when required, we can have technical assistance from them for that particular technology and that particular product. Yes. So we are also strengthening our own resources.

We are opening up our innovation lab here and where the people will be working on futuristic technologies. So we are creating that capability in-house. So in general, we don't need any joint venture partner. We are focusing on self-reliance in technology.

Anubhav Mukherjee: That's very helpful, sir. Sir, just last question, sir, since you mentioned for HMSI, like can you give an indication of like are there any new models or like any international models that you're working for, which can help grow better in the HMSI account going forward?

Management: Yes

, it is very too early to disclose anything. But we are, of course, working on a few models, which are for global as well as for domestic.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital Limited.

Please go ahead.

Sahil Sanghvi: Very commendable numbers, especially on the margin side. So congratulations for that. My first question is to Vineet sir, on the ambient lighting front and a few other technologies that we are

working on. Do we have any kind of -- I mean, major progress over there, any kind of major trial runs or any kind of major commercializations over there? If you can just give some more details on that?

Management: Yes. So ambient lighting, we did demonstrate to our customers. So one of the customers have advised us to make a POC. Our team have already demonstrated a proof-of-concept to the customer, very well appreciated by the customer. And this was done along with our electronics team. So we are expecting us to be in the panel of ambient light supplier very soon. So it is moving in the right direction.

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Sahil Sanghvi: Right, sir. That's really good to hear. And secondly, sir, we've got into some MOU with a Swedish company called Allight Lighting for some adaptive lighting. If it's not very early, if you can help us understand what the product is and how you expect this to improve our lighting products as such?

Management: So we have recently signed an MOU and this is because of the government focus on safety. So this is a safety product, which we are bringing in and we are also demonstrating it in the next week in ISOL, which is International Symposium on Lighting. So this is basically when you turn the motorcycle and the light has to be stable. So that is the focus and this will help in reducing accidents on road. So our focus is on [inaudible 0:47:46] concept in the 2-wheelers. And this is [inaudible 0:47:52] and we will demonstrate to the customer [inaudible 0:47:55] in ISOL next week.

Sahil Sanghvi: And depending on the adaptability and then we'll have future benefits on that, right? I mean will take some time to be adapted, right?

Management: Yes, of course, because it takes time, customers will see it, will ask us to make proof-of-concept, we'll do the road test. And, of course, that's a process. But important point here is to keep customers engaged with new technologies because that helps us in building our own credibility and it has different advantages in getting some more RFQs. So that is the direction. Customer starts working as a partner with you.

Management: Innovation...

Management: And that's the focus on innovation.

Sahil Sanghvi: Got it. That's really good to hear. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Saurabh from. Multi Act. Please go ahead.

Saurabh: Yes. Thank you for the opportunity. I had a question on Hero. We have two models which are into production and several, which are in the pipeline. So combining all the models, will we be like achieving around mid-single-digit contribution in next year from Hero?

Management: The pipeline, we've already disclosed in terms of the numbers, what has already been come out and what we are working on. But I think specific numbers, as I mentioned we wouldn't want to put a specific number as and when they cross the threshold of 10% or near, we will be able to come back and tell you. But we are -- directionally, we want to get there.

Saurabh: Okay. And on the passenger vehicle side, like you have said that you have gradually progressed from number plate light to fog light, etcetera. So in the RFQs or in the design phase, are we also present in the main headlamp or taillamp or it is still in the ambient lighting and the interior lighting that we are working?

Management: So, it's a little early to disclose this strategy, but we are fully committed to enter into all I

amps

of 4-wheelers, front lamp, rear lamp, bigger lamps, smaller lamps.

Moderator: Thank you. The next question is from the line of Mehul Panjuani from 40 Cents. Please go ahead.

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Mehul Panjuani: Hello, sir. Thank you so much for the opportunity. I missed your commentary, sir. I would just like to understand is the H2 expected to be better than H1 for our company?

Management: We are driven by the market, and you see where the OEM commentary is, and we hope that H2 is better, but we can't give a specific guidance. Overall, as we keep guiding, we will outperform the industry.

Management: [Inaudible 0:51:07] we are bullish.. OEM will do well.

Mehul Panjuani: Right. Sir, a follow-up question on this. I mean, since I'm new with the company, what is the revenue contribution from 2-wheelers vis-a-vis 4-wheelers?

Management: So today, we are.

Management: Just in the beginning.

Management: Yes, it's around 97% is 2-wheeler, 3% is 4-wheeler at this at this point of time.

Mehul Panjuani: Okay, okay. Okay, sir. Thank you so much for the clarification.

Moderator: Thank you. The next question is from the line of Gopinath Chenna from CDK Global. Please go ahead.

Gopinath Chenna: Congratulations on good set of numbers. Am I audible?

Management: Yes, if can be a little louder, better.

Gopinath Chenna: Yes. So, just have one question. So is there any plans for stock split bonus?

Management: I think your question is about the bonus, right?

Gopinath Chenna: No, no, I'm asking, are you thinking about -- is there any discussions over bonus or stock split?

Management: No, no, nothing. We just finished in 2024.

Gopinath Chenna: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Sir, thank you for the opportunity again. I just wanted to know, I think -- so Dutch company called Nexperia had some issues globally in terms of the chips, which are usually used in the automotive segment. So are we facing not in the next 3 months, but 6 months, any delay in our schedules from the customer side that is supposed to affect the industry in general?

Management: Se -- from electronics side, we are using all these discrete items. And wherein not only single source, we always work with multiple sources, and it is being all communicated with the customer. So no production will be hold or held up because of this Nexperia.

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Khush Nahar: Okay. All right, sir. Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Just a follow-up. So just wanted to understand in terms of 2-wheeler industry, the LED market share will be around 2/3 or is it 50-50?

Management: Industry wise question....

Management: See for us specifically, our contribution is 63%. But as far as the overall industry is concerned, it's estimated around between 30% to 40%, perhaps, but we don't have a specific data around it.

What we are seeing is that there is this increased trend towards LED. In fact, we've highlighted that all our projects that we are working on, every 100% is on LED. So there is this trend towards LED and it will move there over the next couple of years.

Vijay Pandey: One more just, what will be in terms of if I see the content per vehicle CPV for passenger vehicle, what can be the expectation in case of PV as compared to CV -- as compared to 2-wheelers?

Management: So again, it depends on the features of the light. A fully loaded car with all features of LED, the light costs around, let's say, INR60,000. This is fully loaded. But if you remove full load, bring it down, it will be around INR20,000, INR25,000, right?

So there is a difference. It depends on a lot of features, what features you bring into lighting, how much electronics you have into lighting, right? And

I think ratio could be from 2-wheeler to this 1:4 or more. Yes.

Vijay Pandey: Okay, okay. Thank you, sir, and the best for upcoming projects. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Sahil Sanghvi for closing comments. Thank you, and over to you, sir.

Sahil Sanghvi: Yes. Just wanted to thank the management for very elaborately and patiently answering all the questions. Also on behalf of Monarch Network, we want to thank all the participants for joining the call. Management, Jain, sir, would you have any closing remarks?

J.K. Jain: Sure. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thanks. Have a good evening.

Moderator: Thank you, sir. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.

Note: There has been some disturbance in audio during the call. For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Feb 2026

February 17, 2026

The Manager,

Dept. of Corporate Services

B S E Limited

25th Floor, P. J. Towers, Dalal Street,

Fort, Mumbai - 400 001

[BSE Code: 532768] The Manager,

Listing Department,

National Stock Exchange of India Ltd.

Exchange Plaza, Bandra Kurla Complex

Bandra (East), Mumbai -400051

[NSE Symbol: FIEMIND]

Dear Sir,

Sub: Q3FY26 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

(referred herein as Listing Regulations).

An Earning Call was held on February 12, 2026, to discuss Operational and Financial performance of the Company for Q3FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link: <https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

Encls: A/a

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Q3 FY '26 Earnings Conference Call

February 12, 2026

COMPANY MANAGEMENT

-MR.J.K. JAIN—CMD -MR.RAHUL JAIN JMD

-MR. RAJESH SHARMA —JMD - MR.VINEET SAHNI —CEO &DIRECTOR

-MR. ARVIND CHAUHAN —CS - MR.O.P. GUPTA —CFO

- OTHER FINANCE TEAM MEMBERS

HOSTED BY

MR.SAHIL SANGHVI —MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Fiem Industries Limited Q3 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital Limited.

Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Rudra. Good evening, everyone, and welcome to the Fiem Industries Limited Q3 FY '26 Earnings Conference Call. The disclaimer, the conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of the call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand over the call -- conference call -- sorry, I now hand over the call to Mr. J.K. Jain for the opening remarks. Jain sir, over to you.

J.K. Jain: Thank you. Good afternoon, and welcome to the Q3 FY '26 Earnings Call of Fiem Industries Limited. Joining me today's call are Rahul Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Vineet Sahni, CEO and Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team.

Our investor presentations and results are now available on our website and the stock exchange.

I trust you must have reviewed the same. Let me begin with an overview of the broader economic environment. The Indian economy continues to demonstrate resilient and steady momentum in spite of the geopolitical challenges.

As highlighted in the recent economic survey, India real GDP growth for FY '26 is estimated at around 7.4%, and the growth is expected to remain strong going into FY '27. This reflects broad-based domestic demand, healthy investment and stable consumption trend.

Inflation has remained under control, which has supported purchasing power and consumer confidence. The recent union budget has reinforced fiscal discipline, while maintaining a strong focus on infrastructure and manufacturing.

In addition, GST rationalization has improved affordability in the 2-wheeler segment. This has supported retail traction and overall industry sentiment. Overall, the macro and policy environment remains constructive for the automotive ecosystem.

Coming to the 2-wheeler industry, the quarter witnessed broad-based recovery. Total 2-wheeler production grew by 15% year-on-year to 6.8 million units in the quarter. For the first 9 months, industry production is already at 19.6 million units. This puts the sector in a strong position going into the final quarter and expected to cross the previous peak of roughly 24.5 million units recorded in FY '19.

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Leading OEMs like TVS, Honda have reported healthy volume performance during the quarter, supported by the festival demand and improving rural sentiment. Overall, Q3 has been a balanced and healthy quarter for the industry.

Against this improving industry backdrop, Fiem has once again delivered a very strong performance. Further, as part of the long-term commitment to sustainable manufacturing, we are rolling out renewable energy projects across all our plants. This green initiative will help reduce energy costs, improve operational efficiency and is strengthening our commitment to becoming carbon-neutral company.

As vehicle platforms become more advanced, the styling differentiation is gaining importance.

Lighting and electronics are emerging as the key element in defining brand identity. In this environment, our focus remains clear by strengthening techn

ology, maintaining high-quality

standards, driving cost efficiency and ensuring timely delivery.

In line, with our state-of-the-art EMC and EMI laboratory in Gurgaon has started trials and product validation. This enhances our electronic capabilities and significantly strengthening our in-house testing and validation infrastructure.

Our commitment to the passenger car business continued to gain momentum. We are now supplying products such as number plate lamps, rear reflector and fog lamp across various models to Mahindra & Mahindra. In addition, high mount stop lamp of Bolero and Scorpio are currently under development.

We continue to invest in innovation across advanced lighting and electronic technology, including laser system, touch interference -- interface, adaptive drive beam and metric lighting solutions, etc. This focus on innovation will enable us to participate in higher-value lighting solutions in future.

As we move into the final quarter of the financial year, the overall industry's outlook remains positive. With supportive macro conditions, stable policy directions and a healthy order pipeline, we remain confident about the future growth.

With this, I now hand over to Mr. O.P. Gupta and the finance team to take you through the detailed financial performance.

O.P. Gupta: Thank you, sir. Good afternoon to everyone. I am presenting quarter 3 numbers for FY '26 in comparison to the corresponding quarter of previous financial year. The company has registered sales of INR685.81 crores in Q3 FY '26 against INR590.1 crores in corresponding quarter of previous financial year, which is an increase of 16.22%.

I am delighted to announce that for the first time, the EBITDA margin of company has crossed 14%, reflecting overall operational efficiency. The EBITDA for this quarter is INR97.7 crores, which works out to 14.25% as compared to an EBITDA of INR77.88 crores, that is 13.2% in the corresponding quarter of previous year. PAT for quarter 3 is INR63.45 crores as compared to INR47.41 crores in corresponding quarter of previous financial year, which is higher by 33.83%.

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Now, I would like to present the 9 months numbers for FY '26. The company has registered sales of INR2,046.3 crores in the 9 months of current financial year as against INR1,771.15 crores in the corresponding period of previous year, which is an increase of 15.54%.

The EBITDA in 9 months of current financial year stands at INR284.16 crores, translating into an EBITDA margin of 13.89%, as compared to an EBITDA of INR236.92 crores, that is 13.38% in the corresponding period of previous year.

PAT for 9 months of current financial year is INR183.29 crores as against INR146.44 crores in

the corresponding period of previous financial year, which is higher by 25.16%. During the quarter 3, the company has made a capex of INR41.02 crores, and total capex in the 9 months of current financial year is INR78.83 crores.

With this, I end the financial brief, and now the floor is open for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of CA Garvit Goyal from Serene Alpha Analytics LLP.

Garvit Goyal: Congrats for a good set of numbers. My first question is on the insurance and fire incident part. Over the last 2 years, the company has disclosed fire incidents at more than one manufacturing unit. So can management help us understand the root cause identified in each case and whether there are any common operational or the safety gap?

And what are the permanent corrective measures have been implemented to ensure that such incidents do not reoccur? Additionally, have these incidents led to any changes in the insurance terms of Fiem or any internal safety audit across the plant, sir?

Management: So, regarding this -- let me break this question into 3 parts. First part is about

the insurance. As

we already disclosed, our insurance is under process. And for the Unit 7, that is the Rai unit, we already received around INR50 crores, and rest of the assessment is under process, which should be completed, whatever, in the due course of time.

Now, all the policies, what we are taking in the insurance is on reinstatement basis. So, as you understand, in case of this kind of policy, the assessment takes time. Now, coming to the Unit 8, that we already informed to the exchange as well, and we already filed, on January 30, INR82.30 crores insurance claim on reinstatement basis. So it will take time.

Now, about the safety aspect and all these things, the reasons are already there in the -- with the surveyor, so there is nothing big issue about that. But yes, whatever the safety measures we are taking or we are doing, I think Mr. Rajesh Sharma, he can explain a little bit.

Management: Yes. There is a plant, Rai, as well as Tapukara. These are all being audited on a periodic basis. This is being hired a third party. And at the same time, safety team from Fiem is also auditing and regularly monitoring the situations. So Rai plant, whatever fire incident has happened, happened because of short circuit.

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And it is being claimed. It is being already highlighted and being presented. And similarly, all the plants, we have a full commitment and safety measures, which have been necessary to run the production line and to save the human, which is being -- in all the cases, is being taken care.

Management: Just to add, in both the cases, there is no injury to anybody. So our -- whatever the safety measures existing in the company in every factory, it is appreciated by all, but this is an unfortunate event. So sometimes, things are beyond control, and these kinds of things happen.

To add this thing, there is no loss of business in any of the event, you can see the numbers.

So rest of the things for future, management is taking a very serious view about the safety aspect, and this is being undertaken with the help of external risk assessment agencies. And this will be, you -- maybe quarter-on-quarter, we can update you.

Garvit Goyal: Understood, sir. And secondly, on the 4-wheeler segment, while management has been discussing this opportunity for some time, the revenue mix has not seen a meaningful shift yet.

At the same time, competitors in this category are scaling up rapidly, and several new players are entering into this segment.

So in that context, could you help us understand when you expect the 4-wheeler business to start contributing meaningfully to the revenues? And what timeline we should realistically factor in for that? Additionally, from an execution standpoint, will 4-wheeler orders be catered from the existing manufacturing facilities only or through the dedicated plants for this segment?

Management: Yes. I'm Vineet Sahni this side. Yes, we are -- I'm answering your second question first. We are catering the 4-wheeler orders from our existing facilities only at this moment, and this we had shared in our previous calls also.

Regarding the revenue, we had shared to you that we are in the process of building our credibility first, entering into small lamps. And in the next investor meet, which would be in May next year, when we close this financial year, we'll be sharing you a business plan and the revenue impact that the 4-wheeler is going to make in future.

Moderator: Our next question comes from the line of Anubhav from Prescient Capital.

Anubhav: Congrats on a good set of numbers. My first question is that gross margin this quarter showed a substantial improvement, both year-on-year and even on quarter-on-quarter, sequentially. So what drove this improvement? And is this sustainable?

Management: Yes. Thanks for that question. So yes, you're right. The margins are -- as we mentioned, are at an all-time high for

us at 14.25% at the EBITDA level. It's driven by a number of factors. There is operating leverage kicking in. There is improved efficiency. There have been some efficiency

drives that have been done at the factories, which are resulting in some positive impact. And of course, there is a product mix, but also -- we also got some escalations during the quarter. So, that has also come in to boost the margin. From a going forward perspective, we feel confident that the efficiency parameters that we have done will keep helping the margin. So we

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believe that we should ideally be at 14% plus EBITDA margin in future as well. That's the kind of target we are setting for ourselves.

Anubhav: I get that. And like if you look at the sales -- primary sales data for all your key 2-wheeler OEMs, whether it is TVS, HMSI, Suzuki, Royal Enfield, all of them have grown 20% plus, but our top line growth has been slightly lower at 16%. So can you like throw some light on that?

Management: So there has been growth across the industry, but it's not 20%. We look at the production figures rather than sales. So if you look at production figures, TVS has grown 17%. We have outperformed that growth. Honda has grown 18%. We are broadly in line there. So I think also what happens is, quarter-over-quarter, there's a product mix in terms of which model is there and are we there in that model and so on. So from an overall market share perspective, we continue to be right up there with our customers.

Anubhav: I get that. And sir, please don't mind asking my question, but I think it will be on the mind of all the analysts because our competitor -- listed competitor, Lumax Industries, they have also declared their results. And their revenue from HMSI, both this quarter and for the 9 months, has grown like at 50% plus, very, very strong growth, whereas our growth has been much lower compared to that. So again, can you throw some light on what's driving this, like, market share loss, if I may call that, in this financial year?

Management: Yes. This is in line with the same answer has been given. This is totally dependent on the model mix, which are as of now. And there are a few models which are exclusively with the competitor.

Those are giving the right volume on the volume, which is giving this kind of -- yes.

Management: And also, there is -- they have a large 4-wheeler business, which we don't have. So I think like-to-like, from a Honda perspective and overall numbers, if you look at, that -- sometimes, that picture also doesn't come out. But what we do like to reinforce is that our market share with Honda remains the same.

Anubhav: So sir, they specifically clearly reported HMSI and not Honda. So I don't think that can be the reason, but I get the point on models. So yes. And sir, any update on any new RFQ from any other passenger vehicle OEM other than M&M? And also, like, last quarter, we had reported that we were working on an RFQ from Force Motors. So has that converted into some concrete orders?

Management: Yes. So Vineet this side. Yes, Force Motors has converted. We're -- this is under development. We will be reporting that in the next meet. And also, Mahindra, we are working on certain RFQs, which are at final stages. At least 2 major RFQs are at final stages. Hopefully, we'll be sharing that development in our next meet.

Moderator: Our next question comes from the line of Shubham Sehgal from SiMPL.

Shubham Sehgal: So my first question was, have we started supplies to Yamaha for the Tracer 7 model? If I'm not wrong, the model has been commercialized in Europe and U.K. And despite this model win and also the other new model wins we have for the India geography, why have we seen a decline in sales to Yamaha this quarter?

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Management: This Tracer 700 is already in production right now, and we hav

e started supplying to Europe. In

last 4 months, it is in continuous supply. The decline in Yamaha is only because of there are a few models, which are being exported, are always based on the period base. Like, it is sometimes the volume which is being inclined, or sometimes, volumes is being always be in increased condition. So this is -- quarter-to-quarter, you can see some Yamaha because export model has always been up and down, and quantity has been fixed for certain models.

Shubham Sehgal: Okay. Got it.

Management: And domestic market, all -- yes...

Shubham Sehgal: No, go ahead.

Management: Yes. All domestic models, whatever as of now running is being accelerated right now, and it has been giving good business in domestic market.

Shubham Sehgal: Okay. Got it. And just an update on like 2 other models, I think. So one on TVS, we had mentioned, for TVS Norton, we had developed a new technology-based lighting system. Like, any update on that? And also, for the passenger vehicle RFQ, we had also mentioned that we were in final stages for an RFQ with Mercedes. So any update on these 2?

Management: Yes. So Norton, as of now, it is being launched, and mass production will start in a couple of months. We are ready, and it is -- vehicle homologation is as of now on. And might be in next 3



months' time, we'll be in a position to start our supplies from here to Norton U.K. and to TVSM India, too. And can you repeat your question on Mercedes, please?

Shubham Sehgal: Yes. So we had mentioned in the last call that we were in the final stages of an RFQ for Force Motors and Mercedes. So any update on Mercedes?

Management: Yes. There is an update. Mercedes top-level team visited us in the month of January, members -- senior members from Germany and India, the top people. And our -- I'm happy to inform that our plant and other things stand approved as a potential supplier to Mercedes globally for small lamps.

Of course, we will now wait for RFQs to come in. But probably, we are the only lighting suppliers at this moment to reach this place with Mercedes. This was their fifth visit to our plant. So it's moving in the right direction. It takes time, but it is moving in a proper manner.

Shubham Sehgal: Okay. But like, when can we expect to get commercialized, like, in a year or 2? Like, any rough timeline you could give?

Management: Normally, it is very difficult to put a time to it, but we are expecting certain RFQs to come in this -- in the next financial year. And then, it is -- their process development time is around 18 months to 2 years with Mercedes. But important point is to find a foothold in Mercedes because there, the potential is huge. So, that is what we are targeting.

Moderator: Our next question comes from the line of Viraj, an Individual Investor.

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Viraj: This is Viraj from SiMPL. Just a couple of questions. One is on the gross margin. I just wanted to get your perspective. See, if I look at the margins -- contribution margins in this quarter, we've earned somewhere around 40.3%, which is the highest ever since March '23 quarter. So just trying to understand what drove such high gross margin for us. And was there any element of one-off in this?

Management: Yes. We just mentioned that it's a combination of efficiency, operating leverage, product mix and also some escalations, which have come through for the quarter. So it's a combination of all the...

Viraj: Can you quantify the escalation?

Management: As I said, A, this is a combination. And B, going forward, we are still guiding for a 14%-plus EBITDA.

Viraj: Okay. So why I ask this is, see, we have been making investments rightly so in our -- in terms of investments in P&L towards the 4-wheeler lighting business, right? And if I were to adjust for that, then the implied margins would be upwards of 16%, 17% for us. While we're making the investments in P&L, the revenue

maturity is still yet to play out.

So if I look at the existing business ex of that, the 2-wheeler business, that would already be above -- close to 16% or above. So I'm just trying to understand considering that the commentary is quite positive on growth, how should one understand the sustainability of margins for the -- in terms of improvement?

Management: So first, I wouldn't sort of agree that you can delink the business like that because a lot of 4-wheeler projects are also working with our current capex and current capacities. Having said that, I think the important thing what we are seeing is that there's a lot of efficiencies that are kicking in. There's a lot of -- with the new volumes that we have overall, there's a lot of operating leverage coming in.

So going forward, in spite of all the investments that are already envisaged -- so next 2 years, for example, we envisage a INR200 crores capex, which is a combination of our existing projects, as well as whatever we need on the 4-wheeler side. Even with that, we believe that we should be at these margins, or at least 14% plus is what we are targeting.

Viraj: Okay. Just a follow-up to this. If you look at some of the other players in the space, right, they earn somewhere close to 17%, 18% or slightly above margins in the lighting business. The mix can differ between 4-wheeler, 2-wheeler. But if you were to see this kind of a growth rate, say, low-teens or double-digit growth rate sustaining for us, then do you think that margins for us -- there is scope for further improvement in margin structure in the business?

Management: I think it's a highly competitive market, and I don't see 17%, 18% margin coming through at all here. I think 14% plus is a very good aspiration to have, which we are focusing. At least for the next 24 months, I think that's what we want to get to.

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Viraj: Got it. One more -- 2 more questions, sir. One is on -- see, if I look at the 2-wheeler business, we have HMSI, TVS accounting for almost 65% of the overall business. In terms of diversification, how are you thinking about it? See, I understand there may be quarters where one customer may degrow or not grow to the expectation we would like it to be. But in terms of -- one has to look into the white spaces and maturity of those white spaces. How are we thinking

about it?

Management: Great question. So I think from an OEM perspective, if you see what we are -- the OEM who we are not serving is only Bajaj in this metric. Other than that, we serve everyone. And our share even with Hero is growing. On the other opportunities, what we -- what you mentioned is something that was highlighted in the Chairman's speech as well that there is an increased focus now on the electronics in the company.

So, as we move ahead with all the OEMs that we have, there is an increased contribution coming from electronic component, which should help us drive growth much faster going forward. So, that has been our thrust, which is where all the investment is also going. The EMI/EMC labs and other areas which we are investing are heavily into electronics and technology.

Viraj: So when you say electronics, is that a part of the lighting system? Or this is a separate business vertical which we are catering to, which we were not earlier?

Management: So this will be the part of lighting system only.

Viraj: Okay. And any color you can give how large is Hero for us now?

Management: Hero, there's -- see, we are working already on 10-odd products of Hero that is for front and rear lighting, both, wherein a few projects are already in mass production. Destini is already in mass production. Xtreme is also in mass production. X440 is in production. Further on, there are a few models which will soon be launched, and we'll announce those business also very soon.

Moderator: Our next question comes from the line of Siyaa Deshmukh from Pu

ne E-Stock Broking.

Siyaa Deshmukh: Okay. Just from an industry understanding perspective, does the automotive lighting component industry typically face challenges around dead or slow-moving inventory? And if yes, how does our company manage such risk operationally?

Management: Can you please repeat your question? This is not clear.

Siyaa Deshmukh: The automotive lighting industry typically faces challenges around dead or slow-moving inventory?

Management: No. Where from you got this information? This is wrong information.

Moderator: Our next question comes from the line of Pavan from RatnaTraya Capital.

Pavan: Sir, can you please outline other projects from what you are doing for Mahindra and also Mercedes? I understand we had an RFQ, which we are working for Force Motors also. So can Fiem Industries Limited

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you just outline for us when can there be products which would be in commercial production for these -- for 4-wheelers, especially at a scale?

Management: So at this stage, we will not be able to divulge the actual products that we are working on. We are also working on certain new technologies with these customers. So, as and when they mature up and we are ready to declare, we will do that in these meets. But currently, we are not able to do this because we are under NDA with our customers. And next quarter, we will be sharing a bit more about the production plans in the future.

Moderator: Our next question comes from the line of Shrikant, an Individual Investor.

Shrikant: Congratulations for a good set of numbers. So, as per the last call, we had discussed we were in some proof of concept in ambient interior lighting. So any update on that?

Management: Yes. We have got some official go-aheads from the customer on developing proof of concept for the technology that you mentioned and a couple of other technologies. We are in the process of doing that. And as we speak, I get a mail of RFQ also from our customer on ambient lighting, just sharing with you online. So it is moving in the right direction.

Shrikant: Okay. Going forward, can we see this contributing good to our top line, like, as a product?

Management: See, we do see this contributing as a product, but still, it has a long way to go because you need to establish hardware, software, lighting solutions, and we are working actively with our customer. So the proof of concept will be made, then they will prove it in the car, get the management approval. But it has a good potential of growth in the coming future because most of the cars are going for ambient lighting.

Shrikant: Okay. And secondly, like, do we -- like, are there any kind of plans to add any other products, like, we have bank angle lean sensor or canister? So any kind of that product which we are looking to add to our portfolio?

Management: Yes, bank angle sensor, we are already supplying as of now for all models of Honda. And yes, this is -- these are all under technical assistance, and it is being supplying to Honda only. And canister, of course, is no more right now. It is almost out. And there are a few customers only. They are getting this -- Yamaha or some TVS only.

Shrikant: Okay. So any kind of -- like, do we plan to venture out in a joint venture to produce any kind of product in future?

Management: We both are under technical assistance from Japan. One is of TOYODENSO. Another is of Aisan. So these are -- both are running under technical assistance agreement only with the Japanese company.

Moderator: Our next question comes from the line of CA Vansh from Serene Alpha Analytics LLP.

Vansh: So I have a question. So from a medium-term perspective, how does management assess the industry outlook over 12 to 24 months? And also, I want to know the supply side or demand side factors, which you believe could pose some risk or opportunities for us in the future?

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Man

agement: Over the next 12 to 24 months, we continue to guide with our initial guidance, just 15% to 20% growth. We have kind of always outperformed the industry. So we will strive to do the same. Industry anyway is doing very well. As we have commented, first 9 months have been very good.

Even going forward, we believe the outlook is pretty positive. From a -- so from a demand side, we don't see any challenges. From a supply side, also, there are a little bit of supply shocks were there, say, 12, 18 months on some -- few components, that have been taken care of. So there's no specific challenges that we see right now.

Moderator: Our next question comes from the line of Kush Nahar from Electrum Portfolio Management Services.

Kush Nahar: Just one question on the 4-wheeler side. Are we open for any acquisitions? Or are we looking at that so that our time to market becomes a bit faster instead of putting up a greenfield facility from the start?

Management: Yes. To answer your question, yes, we are open for acquisition and high-growth route. However, we are also conservative in acquiring any organization because it has to be a right fit with our philosophy. So we will see in future how it develops.

Kush Nahar: Anything we're looking at currently at advanced stages for the 4-wheeler or 2-wheeler?

Management: No.

Moderator: Our next question comes from the line of Anubhav from Prescient Capital.

Anubhav: Apart from Mercedes, is there any international OEM that we are working with to get the volume?

Management: We have a very initial working, which has started for another OEM, which we will talk later. It is at a very initial stage, but we are talking to them. In fact, they have approached us. So we are working on that.

Anubhav: Got that. And on the aftermarket business, is that a focus area? And are we trying to like grow that? Because that has remained flat for quite some quarters. So if you can like throw some light on that?

Management: We are working with the OEM, and the product belongs to -- our product, whatever is being developed, it belongs to the customer. And we are bound to -- as per with the agreement, we cannot sell those supplies to market. So market is flat.

Anubhav: But you do have a few products...

Management: Yes. There are a few products, which has been developed by us in past, like, for some specific customers, wherein we are not in OEM. We are supplying, and that market is very...

Management: Restricted.

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Management: And another point is, now the new -- all the new businesses, whatever is being developed, those are all in LED, which is having no aftermarket. It is already being used only once there is accidents.

Moderator: Our next question comes from the line of Vijay Kumar Pandey from Nuvama.

Vijay Pandey: I just have a couple of questions...

Moderator: Sorry to interrupt you, sir. But can you speak a little louder?

Vijay Pandey: Is it okay now?

Moderator: Yes. Please go ahead.

Vijay Pandey: First, I wanted to check in terms of our volume share with HMSI and Yamaha...

Moderator: Sorry to interrupt you, sir. Your voice is breaking.

Vijay Pandey: Is it okay now?

Moderator: Can you move to a different environment and speak something?

Vijay Pandey: Is it okay now?

Moderator: Yes. Please go ahead.

Vijay Pandey: Yes. I wanted to check about our wallet share with -- market share with HMSI and Yamaha. Has it declined as compared to what it was previously? Because our growth has been slightly lower than what they have been growing, at least the production rate at which they have been growing. So just want to understand, if you can throw a little bit light on that?

Management: See, it has already been replied in last question also because this is all dependent on the model mix, which model is running good, which model is doing good, which state is good -- which model, which state is doing good. So this is only the

model mix, wherein overall market grew

by -- HMSI is 18%. We are at 14%. So we are stable there. There is no market drop.

Vijay Pandey: Okay. So, sir, which is the part that we are not present with HMSI?

Management: There are a few -- like, H'ness headlamp, we are not supplying. Front lighting is not supplying. Rear is not supplying. So there are a few products wherein we are not there. But most of the market and most of the vehicles segment, we -- our presence is there.

Vijay Pandey: Okay, sir. And secondly, sir, I wanted to understand about your plan to get into the electronics segment. How do you see that electronics segment to be developing? Like, which are the products you are targeting to get into? Because electronics includes a variety of segments. So if you can give a little bit...

Management: Electronics -- these are the part of lighting only. And what all LED business we are doing, it is being well designed and developed in-house only. All SMT, EMS process is being done in-

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house. And additionally, the testing facilities, which is being -- under installation, commissioning, which will very soon start, that will also enhance our overall R&D capability, which will be kept 100% of captive uses for lighting business.

Vijay Pandey: Okay. So, as such, we are not getting into -- we will not be supplying any external electronics product?

Management: No, as of now.

Moderator: Our next question comes from the line of Vinay Nadkarni from Hathway Investments Private Limited.

Vinay Nadkarni: Yes. Just wanted to check out, is there any input costs going up because of supply constraints or anything of that sort?

Management: Nothing specific. And if it does, as we mentioned, it is kind of passed on. It sometimes comes with a lag. But otherwise, all the input costs are passed on, on a rolling basis.

Vinay Nadkarni: Okay. Secondly, can you help us with your Q3 capacity utilization of your plants, roughly what would it be, ballpark?

Management: It's between 77%, 78%-odd. But again, these numbers also depend on how many shifts you are running and so on and so forth. But I think overall, we are well positioned with our capex plan for the next year. We've already spent close to INR80 crores in 9 months. We will spend another INR20 crores, and also setting up enough capacities for future so that we can handle the growth going forward in the next 2 years.

Vinay Nadkarni: Okay. And what are the capex spent on in this year? If you have covered it somewhere, I'll just pick it up from there.

Management: No, there is no specific we have given the plant-wise. But this is basically on the machines and expanding the manufacturing capacities only. And some part is at the Tapukara facilities.

Vinay Nadkarni: Okay. And lastly, does this FTA with EU and U.K. open up some opportunities for exports directly to manufacturers abroad? Or is that not possible?

Management: Generally, we deal with the entities here in India who is onward exporter. So for example, Yamaha or Honda, they export onwards. We do not directly export except for a few...

Moderator: Sorry to interrupt you, sir. But there's some disturbance in the background. Mr. Vinay?

Vinay Nadkarni: No, there is no disturbance here.

Moderator: No, it's from your end actually. Okay. Please go ahead.

Management: Yes. So there is no major implication. As we explained, most of the exports that we have are in the form of indirect export, where we actually export to the -- we sell to the local entity, be it the Honda and Yamaha, who further exports. So they may get a further on the...

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Management: Similarly, like Norton is being taken over by TVS, which will be indirect sales to U.K. also. The product will be supplied and manufactured here and we'll supply to TVS, and TVS will forward it to U.K.

Vinay Nadkarni: No, what I -- yes, that you had

explained last time. What I was trying to understand is, for manufacturers in Europe and in U.K., 2-wheeler manufacturers, would you like to -- I mean, would you be exploring opportunities to supply to them directly, not those who are manufacturing in India and exporting?

Management: We are already supplying -- like in Europe, we supply directly to Piaggio, Aprilia. We supply directly both the customers from here to -- for their different models.

Vinay Nadkarni: So this FTA will help you?

Management: Not such. It is already in regular supply, and it will not be such a...

Vinay Nadkarni: Thank you.

Moderator: Our next question comes from the line of Viraj, an Individual Investor.

Viraj: Just 2 questions. One is to understand -- you talked about increase in electronic content. So the current lighting LED models, which you supply to customers, if you take that as a base of 100,

then how much the content increases post increased electronic content? Any rough indication?

Management: It is totally dependent on product-wise. It is very difficult to say percentage, but it always varies from 30% to 80%.

Viraj: On the existing base itself, would that be right?

Management: Yes, exactly.

Viraj: Okay. Got it. And sir, just one last question was, and this is to Mr. Jain. Sir, our cash levels, if you see, that will just keep on increasing. So despite the capex which we are planning and even accounting for the potential PV capex, the overall cash position in the company would just keep on increasing. So how are we thinking about utilization of this? I mean, I'm just asking more from a 2-, 3- or 5-year perspective. How are you thinking about utilization of this surplus cash?

Management: Yes. So we wanted to be well positioned for any growth opportunities that may come by, whether it's organic, inorganic, whether it is in 4-wheeler or whether it is in our 2-wheeler-related space. So at this point of time, there is expansion anyway, as we mentioned, INR200-odd crores capex going through in the next 18 to 24 months.

But yes, you're right, even then, we will have some surplus. And I think we will, at an appropriate time, take a call. But at this time, we think business presents opportunities, which we could utilize this cash at some point of time, and we are constantly looking for such opportunities.

Moderator: Our next question comes from the line of CA Garvit Goyal from Serene Alpha Analytics LLP. Fiem Industries Limited

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Garvit Goyal: Regarding the growth part, we are guiding for 15% to 20% kind of growth, right, which is more or less equivalent to our historical average of 15%. But if I look at your competitor, they are on the higher base, right? And they are growing and expecting to grow. They are providing a guidance of maybe more than 20% kind of number on such higher base.

I agree that right now, we are into 2-wheeler segment. But next year onwards, I'm expecting, based on your commentary, like, we will be getting some contribution from 4-wheeler meaningfully, right? So considering that thing in mind, on a lower base as compared to the competitor, why are not we aggressive in the terms of the growth outlook, sir?

Management: So on the 4-wheeler side, I think we've already explained that we will kind of present you with those numbers. Those numbers are on top of -- this is the organic rate of growth that we are talking about, 15% to 20%.

And obviously, we will strive for more, but our guidance continues to be in this range at this point of time. As and when 4-wheelers take shape and there is a significant uptrend there, we will add on to this growth.

Moderator: Our next question comes from the line of Shrikant, an Individual Investor.

Shrikant: Post Q3 capex, what would be the current cash level?

Management: So this is INR222 crores as of 31st December.

Moderator: Our next question comes from the line of Kush Nahar from Electrum Portfolio Management Services.

Kus

h Nahar: Sir, my question was more on the electronics side. So like we mentioned, we'll focus more on electronics. So I just wanted to understand, this will be beneficial to us more in terms of content per vehicle on the revenue side or more of backward integration, which will help in maintaining 14% plus, 14% to 16% EBITDA margins? So where will we get the value from?

Management: This will definitely increase the value also. And another point is, like, in our CMD speech, we are already working on upcoming technology, wherein laser, wherein ADB, wherein metrics. This will also give us a positive sign once you have electronics R&D facilities in-house and testing and validation also.

Kush Nahar: So it will be both on the revenue side also, plus benefit on the EBITDA margin also?

Management: Sure.

Moderator: Our next question comes from the line of Sahil Sanghvi from Monarch Network Capital Limited.

Sahil Sanghvi: First of all, congratulations for very good numbers. My first question is, so this year, what will be the total capex target? And next year, how much will be spent?

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Management: This year will be INR100 crores for FY '26. And for the next 2 years, we think it could be upwards of INR200 crores, around INR200-odd crores.

Sahil Sanghvi: So INR200 crores total, right? I mean, not each, but INR200 total for next 2 years?

Management: Total for the next 24 months.

Sahil Sanghvi: Okay. And secondly, at the start of the call, Jain sir did say that there is a lot of planning going around green energy rollouts across the manufacturing units. So if you can give some more information on that, what kind of capacity of power plant are we trying to add? And what kind of savings can we expect on the power cost?

Management: Sahil, thank you. For these green energy initiatives and whatever the renewable energy we are implementing across our plants, one major part is the solar, solar in both forms, that is rooftop, as well as the open access. And in the South, we are also exploring the wind energy. Maybe in next 1 or 2 quarters, you will get a clear picture where we are. And -- but this initiative is already -- we are rolling it out, and you will see the impact in next 2, 3 quarters.

Sahil Sanghvi: So this will -- any time line when this can get commissioned? If you can help us with that?

Management: Okay. So let me clarify. This rooftop, we will be implementing. So it is -- it takes around 4 to 6 months' time, depending upon the capacity. And the open access is very short timer. So it is around -- 1 month or 2 months' time, we...

Management: 12 months!

Management: No, no, that -- so to start with, we can start -- for the open access, it takes around 2 months' time to start. And then, gradually, it is implemented. So maybe after 2, 3 quarters, you will get the clear picture.

Moderator: Our next question comes from the line of Vinay Nadkarni from Hathway Investments Private Limited.

Vinay Nadkarni: Yes. Just one query. We had -- see, there is so much of dependence on one single sector, automotive. You had in the past said that you are also looking at exploring other areas of indoor and outdoor applications. Any progress on that? Because today, the automotive sector is doing well, so we are happy?

Management: No, we've always been an automotive-focused company, and that is something that we have always done. And I don't think we mentioned anything on the indoor, outdoor. So our focus will continue to be and our fortunes will continue to be driven by auto industry. Whether it's positive or negative, it will be driven by auto. So there is no other sector specific outside of automotive that we are looking at.

Moderator: Our next question comes from the line of CA Garvit Goyal from Serene Alpha Analytics LLP.

Garvit Goyal: Sir, you mentioned certain products are not getting -- we are not providing to our end customers, Yamaha and HMSI. S

o I just wanted to understand what is the reason for that? Why are we not

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providing these products? Are these products getting provided by any other competitor of ours only? Or what is the scenario?

Management: I think this is -- let me clarify it again. We are talking about -- we were explaining to one question that how we are supplying to the export and any global market. So what the OEM do, they take this product from us in India by their Indian entity only. And then onwards, they supply to their plants in Europe, in Indonesia, in Japan, wherever it is. So, that is the route. Otherwise, there is no such thing that we don't supply to our customers.

Garvit Goyal: No, sir. Let me repeat. I'm just trying to understand like the growth -- I think our customers are growing at a higher pace in this particular quarter than the growth of ours. So, that is why I think you explained some of the products we are not supplying. So, on that part, I'm trying to understand from you, who is providing those products to those customers?

Management: See, there may be different competitors they may be supplying, but whatever product is being supplied by us, it is totally dependent on the requirement from the individual customers from worldwide. So global requirement is not stable like India, like domestic market here in India. It is totally dependent on the area and month-wise.

There are a few products which is always be run during high winter season where production of 2-wheeler vehicles is -- always be reduced there. So this is a cycle only, and we are -- whatever model mix volume is being fixed at the time of RFQ, these are all being supplied by us.

Garvit Goyal: Understood. And it is not like the demand for the models which we are catering is not getting reduced, right? It's not like that?

Management: No, it is not like that.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Sahil Sanghvi for closing comments. Over to you, sir.

Sahil Sanghvi: I'd like to thank the management -- yes, go ahead, sir, please.

J.K. Jain: Yes. I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you, and have a good evening.

Moderator: Thank you. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: There has been some disturbance in audio during the call. For sake of clarity, transcript has been corrected as per audio, post receipt from Chorus Call.

## Call: Jun 2026

June 6, 2026  
The Manager,  
Dept. of Corporate Services  
B S E Limited  
25th Floor, P. J. Towers, Dalal Street,  
Fort, Mumbai - 400 001  
[BSE Code: 532768] The Manager,  
Listing Department,  
National Stock Exchange of India Ltd.  
Exchange Plaza, Bandra Kurla Complex  
Bandra (East), Mumbai -400051  
[NSE Symbol: FIEMIND]

Dear Sir,

Sub: Q4&FY26 Earning Call: Transcript.

Ref: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015  
(referred herein as Listing Regulations).

An Earning Call was held on June 1, 2026, to discuss Operational and Financial performance of the Company for Q4&FY26. Pursuant to Regulation 46(2)(oa) of the Listing Regulations, the copy of Transcript of above Earning Call has been made available on the website of the Company under Investors section.

The web link of the above Transcript is as under:

Link:<https://fiemindustries.com/analyst-meet-audio-recording-written-transcript/>

Pursuant to Regulation 30(6) read with Schedule III [Part A, Para A, sub-para 15] of the Listing Regulations, copy of the Transcript is also being submitted herewith.

This is for your information and records please.

Yours faithfully

For Fiem Industries Limited

Arvind K. Chauhan

Company Secretary

Encls: A/a

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Fiem Industries Limited  
Q4 FY26 Earnings Conference Call  
June 01, 2026

### COMPANY MANAGEMENT

- MR. J.K. JAIN- EXECUTIVE CHAIRMAN - MR. RAHUL JAIN- MD
- MR. RAJESH SHARMA – JMD - MS. AANCHAL JAIN - JMD
- MR. ARVIND CHAUHAN – CS - MR. O.P. GUPTA– CFO
- OTHER FINANCE TEAM MEMBERS

### HOSTED BY

MR. SAHIL SANGHVI – MONARCH NETWORK CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Fiem Industries Limited Q4 FY26 Earnings Conference Call hosted by Monarch Network Capital Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all the participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital Limited.

Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Jitesh. Good evening, everyone. On behalf of Monarch Network Capital, I welcome you all to the Q4 and FY26 Conference Call of Fiem Industries Limited. We will start the call with the initial comment about the results and the future outlook of the company, and then we will open the floor for question and answers.

Now I hand over the call to Mr. J.K. Jain, the Executive Chairman of the company. Over to you Jain Sir.

J. K. Jain: Thank you. Good afternoon, and welcome to the Q4 FY26 and Full Year FY26 Earnings Call of the Fiem Industries Limited. Joining me on today's call are Rahul Jain, Managing Director; Aanchal Jain, Joint Managing Director; Rajesh Sharma, Joint Managing Director; Arvind Chauhan, Company Secretary; O.P. Gupta, CFO; and other members of the finance team. Our investor presentation and the results are now available on our website and the stock exchange. We trust you have reviewed the same. Let me begin with the macro environment during FY26. Geopolitical tension, currency fluctuations and cost pressures continue to shape up the operating environment for business across the world yet the Indian automotive industry remained resilient, driven by strong fundamentals and continued innovation. Against this backdrop, Fiem delivered its strongest performance to date. This achievement reflects the strength of our customer relationship and resilience of our business model and enduring value of and the capabilities we have built over the years.

Let me now turn to the 2-wheeler industry. FY26 marked an important milestone as industry production exceeds the pre-pandemic peak achieved in FY19. Production volumes for the year grew about 12% to an all-time high of roughly 26.7 million units. Growth was driven by improving rural demand, shift towards premium vehicles and the steady adoption of the electric vehicles.

Coming to the Fiem performance, I am very pleased to report that FY26 has been a record year for the company on every key measures. We delivered strong revenue growth and all-time high profit and our best ever margins. For the full year, our revenue grew by about 16% and the profit after tax grew even faster by 24%.

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Our EBITDA margin also reached a record level, supported by operating leverage and the benefit of our integrated manufacturing models. Let me share a few highlights of the strong progress with our key customers. At TVS, we remain a trusted partner across major platforms, including the iQube, Jupiter, Moped and motorcycle. This reflects the depth of our long-standing relationship. With Honda, our relationship continues to expand, including on Activa EV platform and several new models under development.

At Royal Enfield, we support key models such as the Classic and are also participated in the emerging EV initiatives. We also recorded healthy growth with Suzuki and Yamaha during the year

. At Hero, we achieved an important milestone with approval for a new upcoming EV platform, creating opportunities to further expand our presence in the fast-growing electric mobility segment. Importantly, most of the new business we are winning in LED. This reinforce both the industry's technology transition and the Fiem leadership in advanced automotive lighting.

Alongside growth, we continue to invest in the future. As a part of our long-term commitment to responsible manufacturing, I am pleased to share that we have started our journey into green power. We have commenced the rollout of the rooftop solar and open access renewable energy across our plants.

At our Hosur facility, around 65% of our energy needs are already met through solar power with a further 20% being added through wind energy. We intend to roll out this model across all our other plants over the coming years. This will help reduce our energy costs, improve operational stability and advance our goal and becoming a carbon-neutral company.

Now turning my attention to the 4-wheeler segment. We continue to see significant traction in the business and will start fulfilling key orders for clients like Mahindra & Mahindra starting this year. As you know that Mr. Vineet Sahni has stepped down as CEO to pursue another opportunity. This transition has been smooth and well planned. The leadership responsibilities have been assumed by our Managing Director, Mr. Rahul Jain, who will continue to drive the company's growth agenda with particular focus on expanding our 4-wheeler business. I am also delighted to share that Ms. Aanchal Jain has been appointed Joint Managing Director. She will work in tandem with Mr. Rajesh Sharma, our existing Joint Managing Director, who has a vast experience in the automotive industry. Their combined experience and leadership will further strengthen the company's management team.

As we look ahead to FY27, I remain confident about the opportunities before us. The industries continue to benefit from healthy underlying demand, while the shift towards premium technology-rich vehicles align closely with our strength and capabilities, supported by a strong order book and a robust customer pipeline, we are well positioned for the next phase of the growth.

With this, I now hand over to Mr. O.P. Gupta and the finance team to take you through the



O P Gupta: Thank you, sir. Good afternoon to everyone. First, I will present Q4 numbers, after which I will cover the full year FY26. The company has registered quarterly sales of INR744.35 crores in Q4 of FY26 as compared to INR633.8 crores over the same quarter last year, registering a growth of 17.44%. The EBITDA in Q4 was INR109.18 crores translating into an EBITDA margin of 14.67% as compared to INR83.81 crores over the same quarter last year with EBITDA margin of 13.22%. The PAT of the company has also increased to INR70.59 crores as compared to INR57.69 crores in Q4 of FY25, representing an increase of 22.36%.

Now, I will briefly cover the numbers of full financial year 25-26. During FY26, the company has achieved net sales of INR2,790.65 crores as compared to INR2,404.96 crores in FY25, representing a growth of 16.04%. EBITDA stood at INR393.34 crores translating into an EBITDA margin of 14.09% as compared to INR320.73 crores during FY25, translating into an EBITDA margin of 13.34%.

As a percentage of total automotive lighting, the LED lighting stands at 60% (63%) in comparison to 60% during last 3 years. PAT of the company stood at INR253.87 crores as compared to INR204.14 crores during FY25, which is higher by 24.36%. I am also pleased to share that the Board has recommended a final dividend of 400%, that is INR40 per share amounting to INR105.28 crores. During the year, the company has made a capex of INR108.31 crores.

With this, I end the financial b

rief, and now the floor is open for question and answers. Thank you.

Moderator: The first question is from the line of Arun Agarwal from Kotak Securities. Please go ahead. I'm sorry the line got disconnected. The next question is from the line of Anubhav Mukherjee from Prescient Capital. Please go ahead. Anubhav Sir. Can you hear me? I request you to disconnect the line and please rejoin. We are not audible. The next question is from the line of Dilip Verma, an Individual Investor.

Dilip Varma: This year, the receivable amount has just jumped up. So I just wanted to know what are we liable to get that money back from our customers?

Management: Sorry, your voice is not clear. Can you speak loudly?

Dilip Varma: I had a question regarding receivables....

Moderator: Sorry to interrupt, sir. Sir, your voice is very low, sir. -- can you please raise your handset because we can hardly hear you.

Dilip Varma: Okay. I'm speaking into my handset. What I wanted to ask was that the receivables have shot up this year versus last. I was just wondering if there was a problem with any of our customers and are we able to get our money back?

Management: Yes. This is Arvind. You are seeing the numbers, you are right. There is some increase in the number of debtors, but please understand there is no change in the payment terms. Earlier, we used to discount the bills from our major -- two major customers, one is the TVS. Now company Fiem Industries Limited

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has good cash flows and cash available. So we discontinued the bill discounting, and this is the only difference of the numbers. Otherwise, there is no difference in the terms of the payment.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar: So, a couple of questions. So first, I think on a yearly basis, the other expenses and employee cost has increased in comparison to the revenue. So, what would be the reason for that? Are we front-loading any capex that you're planning? And accordingly, could you give us more color on the 4-wheeler capex that we were deciding what is the amount? And is there any greenfield according to the RFQs and interest that we're seeing in the product?

Management: Yes. So let me question -- let me answer your first question that is about the employee cost. So as a percentage of sales this year -- for full year, this is 13.80%. And earlier also, this is the same range..13.62%. So there is no major change. And some of the difference you will see this because of the increase in the labor cost notified recently.

Management: And on the other part you asked on the 4-wheeler capex, as we have highlighted in the past, our capex program, if you look at it, we look at it at a company level. We have a projected capex of INR200-odd crores over the next 2 years. Last year, we did approximately INR108 crores, and we will continue to invest in our facility.

Some of the 4-wheeler initiatives that we are doing will already be covered in this INR200

crores. If any greenfield project is put up either for 2-wheeler or 4-wheeler, we will advise you well in advance. At this point of time, that is not envisaged. This INR200 crores takes care of everything.

Khush Nahar: Okay. All right, sir. And in terms of RFQs, I think you're sitting on around INR700 crores of RFQs. So any update on that in terms of conversion into business and what kind of pipeline or traction we are seeing in the 4-wheeler business?

Management: Yes. As we already informed the last call also, it is already there, and we are converting -- we have already converted 70% of those RFQs into a business and which will be under development right now.

Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.

Anubhav Mukherjee: Am I audible now?

Moderator: Yes Sir.

Anubhav Mukherjee: Firstly, congrats on a very good set of numbers. Sir, you mentioned about new business from Mahin

dra. So, can you share some color on like did we win some business for new models? And what type of ramp-up can we see like in FY27? Some color on that will be very helpful.

Management: Yes. We were continuously informing about our business, what we did and what we are doing as of now with Mahindra. We started our business 1.5 years before, and we are slowly and gradually be increasing one other part, which are as a second source. And there are a few projects Fiem Industries Limited

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which are being coming as a first source also. And we are working and we have already projects in pipeline, which will be soon once this will be launched, we'll inform you in advance.

Anubhav Mukherjee: Okay. And sir, my second question is like what type of ramp-up are we seeing in Hero MotorCorp? You had in the previous call mentioned about some new model launches in which we are present. So, can you share some more details on that?

Management: Yes. There are two models which is being launched in last quarters, two quarters. These all models are running well. And further on, EV models, which is already being included in our CMD speech, EV model also being awarded to us, and we will soon be give you the feedback once these models will be in the market, once it will be launched.

Anubhav Mukherjee: Okay. Just a small follow-up. I think Hero launched a new refresher version of Splendor, I think Super Splendor XTEC. So, is that a model for which we are like a supplier?

Management: As of now, we are not with the Splendor, but we have other model which is being launched and are working for new models, which will -- as of now, we cannot disclose it.

Anubhav Mukherjee: And sir, for exports, we were doing some product development for Mercedes and we had, I think, visited our plant. So any new business win in that area.

Management: Yes. As we had already informed that Mercedes has given us a business, which will be a testing and validation project. So this model is being well developed, and we had submitted our samples for their testing and validation. Once their testing will be over, the final RFQs will be given to us for the next model development.

Anubhav Mukherjee: Sir, final question before I get back in the queue. Sir, given the commodity inflation and I think we have some import of LED chips and given the INR depreciation, could you give some perspective on where you see the margins in the coming financial year?

Management: Yes, you're right. There is -- obviously, in the market, there is this whole supply chain disruption, which may -- which is causing price escalations in a number of our products. We also have some imports that we cater to. But what we've kind of explained to you in the past, for us, these are all pass-throughs. It's all very well known and understood by the customers.

So these are passed on this price escalations, any increase or decrease, both ways is passed on to the customer. It may happen with a lag of a quarter here and there. But over a period of time.

So for the full year, we continue to maintain our guidance that we will be in the current margin, which is a 14% EBITDA plus is what we target for.

Moderator: The next question is from the line of Arun Agarwal from Kotak Securities.

Arun Agarwal: Sir, my first question is on the 4-wheeler business. Like one of the earlier participants talked about RFQs of around INR700 crores, and we are talking about 70% of that getting converted into business. So that would be around INR500 crores possibly. So is it possible for you to help us understand how the scale-up of revenues in this would happen, say, in the first year or second just a tentative understanding sir on this part.

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Management: No, thanks for that question. Yes. See, first of all, let me just clarify that 700% (700 Crore) RFQs

going into the next phase. That's not converting into an order. S

o let us not read it as conversion

into a fixed order. Now specifically, over the last 2 years, we've kind of explained to you individual details in terms of how we have progressed with Mercedes, how we have progressed with Mahindra and several other customers.

So the order book is starting to come in, but it is still relatively low. But if I have to give you a broad guidance for the year, our current 4-wheeler business would be in the range of INR100 crores to INR150 crores for the current year.

And going forward, we definitely expect this to move up significantly faster to INR200 crores to INR250 crores for the FY27-28. So we've explained to you, these are kind of hard-working businesses. It takes a while for these orders to come through. So we will see a limited impact coming in this year, and I would say, more meaningful impact in financial terms starting next year.

Arun Agarwal: To clarify, you said INR100 crores to INR150 crores FY27, correct, sir?

Management: That's right.

Arun Agarwal: And for FY28, sorry, I missed the number you said, it would move to...

Management: INR200 crores to INR250 crores range Okay, INR200 crores to INR250 crores.

Arun Agarwal: So also just one small thing. Did we also give the cash balance at the start? Sorry, I missed that part in case...

Management: It's around INR260 crores as of today. INR276 crores as of today.

Arun Agarwal: Okay. INR270 crores. Okay. Sir, my other question is on the revenue growth, what we have talked about in the past. So we should be growing by, say, 15% to 20% and outperform the industry growth. So going by the current scenario where currently well, the 2-wheeler industry is doing well, but then there are talks about some moderation in growth that could happen because of El Nino or weaker monsoon. So do we still maintain that annualized revenue growth of 15% to 20% going forward? -- margins you already guided on the revenue...

Management: Yes. We continue to be optimistic for the year. We believe that the year and the subsequent year look okay, and we'll continue to maintain 15% to 20% growth.

Arun Agarwal: Sure, sir. Sir, just one more thing. At the start, I think we talked about the LED penetration. For us, I think from the auto revenues right now, almost around 63%, 64% comes from the LED and balance 36%, 37% possibly comes from the halogen side. Just wanted to understand if you can guide us on the -- for the 2-wheeler industry, I'm talking about not necessarily. But for the 2-wheeler industry, as per your understanding, what would be the current LED penetration, if you could help us possibly both in value and volume terms is possible.

Management: Very tough to give a specific number because there are just too many models and they keep changing back and forth. We've seen some move into LED and then come back to lighting. We  
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-- the only thing we can give you a specific well regarding number is that our pipeline is almost 100% LED. So going forward, this number, which is 63% will progressively keep moving up. Now whether it happens to go to 80% in 3 years or 75% or 82%, we can't predict, but this number is going up directionally.

Moderator: The next question is from the line of Yash from Awriga Capital Advisors LLP.

Yash: Sir, my question is on the 4-wheeler strategy. Under Mr. Vineet, you had to talk about the 4-wheeler strategy on this call. So, can you throw some light on it? And is there any delay on the strategy? And also Mr. Vineet Sahni was supposed to talk about the strategy on this call. So what can be the reason for him resigning because you also offered an extension, I think, in March or January.

Management: Yes. So three different points there. First, let's address the point. Vineet Sahni has left and decided to pursue other interests. He served with us for a 3-year period. And at an extension time, we mutually decided that it is something that he

wants to pursue other opportunities. Now

what he's done is that we have had sort of put together a very solid base for our 4-wheeler business. We've worked hard over the last 2, 3 years. We've got talent. We've got team. We've got all the organizational structure in place now to accelerate this business.

So to your other question, the strategy will be put forward. The new leadership team of 4-wheeler is Mr. Rajesh Sharma and Rahul Jain, who are personally seeing both the businesses. And of course, Mr. Jain is also now personally taken this on. So we will present to you a more detailed strategy on this shortly. But under no sort of circumstances, should you think that there is any derailment in any way. We are moving forward. And we've also given you a little bit of revenue guidance today in terms of what numbers we can produce here. But a more detailed strategy, we will produce at the future. And we continue to be very bullish in terms of what we can do in this

segment because we are starting from a low base, we do very well.

Moderator: The next question is from the line of Akshay Shah from Ashika Investment Managers Private Limited.

Akshay Shah: Congrats on a great set of numbers, first of all. And most of my other questions have been answered, but I will ask you this. If you could just help me with the price of -- average price of a halogen lighting setup versus, say, LED, just maybe average figures.

Management: It is very difficult to reply the answer because it is totally depend on the product wherein front lighting, rear lighting, what all kind of operations, what all kind of systems will you be adding there. The product is not only headlight, this is not high beam low beam. There is a sequential lighting also. There is a position light, there is a DRL. So it is very difficult. But conventional to LED, it is 3 to 4x.

Akshay Shah: Okay. Right. And since we expect the current LED penetration of 63% to keep inching up, can we see more uptick in margins due to that due to higher LED share?

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Management: We've always maintained that the margins are -- I mean, across -- at the product level pretty much similar. So, our margin take into account everything, and our margins will be similar to what we are guiding towards 14%, around 14%.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar: Sir just one question. Are we still --...

Moderator: Sorry, sir, your voice is breaking out. We can hardly hear you.

Khush Nahar: So my question was regarding the new CEO. Are we still looking out for a new CEO to head the 4-wheeler division? Or are we confident that we'll be able to drive the growth ahead since all the strategy is in place?

Management: No, no. We have enough management bandwidth within the company. We are just -- the point we had made is Rahul has taken over as the Managing Director. What we are trying to explain is that to give particular focus to this new segment, he besides the normal operation, he, along with Mr. Rajesh Sharma, will also personally look into growing 4-wheelers so that it gets a desired attention, but we are not looking for a specific CEO for that division. We have enough management bandwidth...

Khush Nahar: And just to get a confirmation, you said the EBITDA margins consolidated will be around 14%, including the 4-wheeler business. It is in a similar line, right?

Management: That's right.

Moderator: The next question is from the line of Anubhav Mukherjee from Prescient Capital.

Anubhav Mukherjee: Sir, in the 4-wheeler business, we have mentioned that obviously we are trying to scale up our business with Mahindra & Mahindra. And also, I think we have started some supplies to Force Motors. But do we see an opportunity to work with other OEMs like Tata Motors or Maruti what will it take to penetrate these other means.

Management: Yes. We are, of course, we are bulli

sh about 4-wheeler as we have already communicated in the past and now also. We are working very closely with all the customers, especially Mahindra, Force Motor and Tata Motors too. And slowly and gradually, once these models will be launched and market will gain and confident on our technology, we will slowly and gradually will start with Maruti also.

Anubhav Mukherjee: Okay. our revenue growth for this financial around 5%, which seems to be lower than the wholesale volumes for HMSI. And in the previous call, we had mentioned that it's mainly a product mix issue and we are looking to supply to some of the new models. So sir, can you share some color on like what type of new model business in HMSI are we getting?

Management: The new business we are getting continuously, but the launch will be, of course, decided by the company. We are ready with the product, which will be launched soon, and you will know once this will be launched because before that, we cannot announce. But whatever business share as of now, we are maintaining the same.

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Anubhav Mukherjee: And sir, final question before I get back in the queue. Sir, for Yamaha, what type of scale do you see in the coming financial year? Because for Yamaha also, you had mentioned some new models. So have they gone into production?

Management: Yes, there are a few models which are already been started, which are all export model, export to Europe as well as Brazil. And further on 8 or 9 models are under development, which will be soon come into production. Those are for domestic as well as global models.

Anubhav Mukherjee: So compared to this year, do we believe further better growth in Yamaha in the coming financial.

Management: Yes. We are bullish for that.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital Limited.

Sahil Sanghvi: Congratulations again on very good results. My question is we were also working on some projects with respect to the ambient lighting and some new age lighting products. So what happens about that? And how do we take that ahead, if you can help us understand that?

Management: Sorry, one time again...

Sahil Sanghvi: So we are working on a few products on the ambient lighting side and other new age front lamps and all of that. So what happens on that front, the fog lamps and a few other things? Do we continue working on that? How do we think on those things?

Management: Yes. We are continuously working on that. And there are a few products which are under POC as of now. Once proof of product will be ready, we will be again visiting our customers to show them the technology, which is being discussed and validated at the time of initial development of meetings. And we are closely working with our partners.

Moderator: The next question is from the line of Rahul Majethia from ER.

Rahul Majethia: My question is more on our insurance cost after Tapukara fire and insurance claim, do we expect upward pressure on our insurance and renewal costs or perhaps on our borrowing costs because of this?

Management: Yes. So let me split your question in two. One is about the borrowing. We already have a very healthy cash in our hand. So, there is no question of borrowing cost in our company. Now coming to the insurance, see, this -- when you seek the renewal for an insurance policy, dynamics at that time works. So maybe this year, we paid some higher premium. Next year, that will be again negotiated with the players. So it is decided on that time only.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited.

Vinay Nadkarni: Yes. I have just one question. When I see your quarter 4 results, your automotive lighting, not the LED part, the other automotive lighting has actually shown a growth. Now is this a onetime thing? Or is this something which is going to be sustained going f

orward?

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J. K. Jain: LED is going to be future.

Management: So, as already explained, our LED lighting share within the automotive lighting is increasing. So whatever you -- I mean in some quarters, if you see some increase in non-automotive, I don't know from where you are leading, but we're continuously increasing 1% or 2% every quarter in LED lighting.

Management: Last year, it was 60%. This year, it is 63%.

Vinay Nadkarni: No, I was talking about the non-LED automotive lighting.

J. K. Jain: Decreasing.

Management: This is decreased. Naturally, it increase in the LED -- are you referring some slide in the presentation?

Vinay Nadkarni: Yes. I'm basically referring to your Slide number 4, where you talk of Q4 28.2 automotive lighting, which around INR212 crores as compared to Q4 INR171 crores. So there's a 24% growth in automotive lighting and LED growth is 19%. So, I was just thinking, is this a one-off thing or maybe some models which came about...

Management: Okay. So this slide, you please see it is here the total sales of the company split into the LED and non-LED as well as the plastic and rearview mirrors. So, when we talk about the automotive lighting only, the split is between the LED and non-LED. So, this -- the chart you are referring, it is actually showing the whole percentage rearview mirror as well. If anything, clarification required, you can reach out offline as well.

Moderator: The next question is from the line of Akshay Shah from Ashika Investment Managers Private Limited.

Akshay Shah: Could you please help me with the current capacity utilization that we are working with?

Management: Yes. Current capacity utilization is in the range of 75%. We have done a capex of INR108-odd crores this year to debottleneck some of the lines. And we continue to invest over the next 2 years as we see the demand going up. So from a capacity perspective, we are well geared to handle our growth.

Moderator: The next question is from the line of Adithya Srinivasan, an Individual Investor.

Adithya Srinivasan: Congrats on a good set of numbers. So I'm just trying to look at the products other than the auto lamps, the rear-view mirrors, plastic molded parts, the revenue share has been marginally decreasing year-over-year. So I just want to understand the outlook for the next year and if it's going to continue to decrease? So if you can help me understand that. This is the only question I had.

Management: Okay. So again, because our main product line is the automotive lighting, and this is increasing very good way. So you are just seeing that percentage terms -- the total amount is also increasing

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in the rearview mirror as well as the other parts, but this is very slow in comparison to the lighting. So this is the difference actually.

Management: Just to explain, this is not a stand-alone product, so to speak, which we pursue too much. It goes to the same set of customers where lighting is going. So kind of ancillary to the main lighting product. And it continues to be sort of in the similar direction mainly because our aim always has been to be a leading automotive lighting company, which is where our focus has been.

Moderator: The next question is from the line of Shubham Sehgal from SIMPL.

Shubham Sehgal: I just had one question. So, all of the 4-wheeler orders that we are pursuing and as you mentioned that we are targeting around INR100 crores to INR150 crores for FY27. So, I just wanted to get an idea regarding the margins. So, are we expecting our 4-wheeler business overall to be margin accretive? Or will it be similar margins as we are earning right now?

Management: See, I think the way we look at this business is at a holistic level. Right now, that business is too small to look at individual margin. Overall, we can continue to guide even while we grow this bus

iness, it will be at neutral margins. This is the margin range that we think we can follow for the next 2, 3 years.

Shubham Sehgal: Okay. Okay. Got it. My next question was, could you just go a little bit in depth and elaborate about the advanced EMI/EMC validation facility that we have opened up? And like is it -- will it support more of the current product development? Or is it for newer products? And could you just give some color about it?

Management: So, EMI/EMC facilities, which is being installed by us, which is one kind of facilities, which is being installed by only a lighting company wherein -- and this will support us in reducing the overall development time, validation of product during the development of Proto to the mass production, which will give us engineering strength of Fiem with a product which will be not only used for domestic for global market too. Overall, electronics is beginning to be a very critical component. And all this will happen in-house here in the -- will help the EMC lab will really help accelerate.

Shubham Sehgal: Okay. Okay. Got it. Like I think you earlier also mentioned that we would be supplying to Norton as well a different kind of a lamp, right, with the different kind of technology. So it will help with this, right?

Management: Yes, it will help EMC/EMI is being required any kind of lamp, which is being used semiconductors. Any electronic component is being used, the test is being done outside by each and every component. This is being installed inside so to reduce the overall development time and not to wait for the time which is being taken from our outside testing agencies.

Shubham Sehgal: Okay. Okay. Got it. And just one more update. I think in the last year or last to last year's annual report and earlier, we had even discussed that we were currently developing new products, not a different technology for the current products, but a new product entirely, like the touch capacitors, the laser technology or something other. So any update regarding these new products? When we expect -- when can we expect to launch them?

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Management: We are ready with the POC. Proof of concept is most important, first of all, and we are discussing with all the customers. It is -- these all facilities and technology is being introduced first by the Indian government, wherein safety norms is being introduced. We are just waiting for those norms to be introduced, and we are ready for adopting this kind of technology with the proof of concept and with the engineering, which is being already taken and proven at our end.

Shubham Sehgal: Okay. And will these new technologies be more for the 4-wheeler or 2-wheeler or like nothing any specific?

Management: This is in 2-wheeler, 4-wheeler both, not only for specific any segment. This will be implemented with all the segments.

Shubham Sehgal: Okay. Okay. Got it. And it would be for newer models only itself, right? And so can we expect it to be like in the market in the next 2 or 3 years or something like that? Or you have no idea when the norms would be?

Management: As of now, no idea because it totally depend on the customers when they will adopt this kind of technology.

Moderator: The next question is from the line of Deep Chandarana from Equity Research analyst Individual

Investor.

Deep Chandarana: Am I audible?

Moderator: Hello Sir, can you hear me? Deep Sir?

Deep Chandarana: Am I audible?

Moderator: No Sir. You are not audible. Your voice is breaking up. I'll request you to fall in the queue again.

The next question is from the line of Anubhav Mukharjee from Prescient Capital.

Anubhav Mukherjee: Thank you for the follow up opportunity. Sir will it be possible to share our R&D expenses for the financial year '26, 25-26?

Management: Yes, this will be -- this is more than 2%, around 2%. So it will come in the full annual report.

You will see it.

Anub

hav Mukherjee: Congrats on substantial spend on R&D, especially in the auto component sector. Can you give some color on like what are the key focus areas or KPIs for the R&D effort?

Management: See, there are a few benefits which are mostly being required to set up this kind of R&D. And

we are always the first to adopt such kind of technology within our organization. So EMI/EMC,

this is being required mainly for any kind of electronic component, which is being used in automotive industries or in any industries. And this will be reducing the overall development time and giving the quality product to the customer in first attempt and first go and first write.

This is a major attempt which is being required.

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Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Sahil Sanghvi for closing comments.

Sahil Sanghvi: I just want to thank the management for patiently answering the question. Please go ahead, sir, for the closing remarks.

J. K. Jain: I would like to thank everyone for participation in today's conference call. I hope that we have adequately addressed all your queries. If you have any further questions, please don't hesitate to contact us. Thank you, and have a good evening.

Moderator: Thank you very much members. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: There has been some disturbance in audio during the call. For sake of clarity, transcript has been corrected at some places, post receipt from Chorus Call.